



STEP Advanced Certificate in Company Law and Practice (International)

Course Manual



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Module 1:

An Introduction to Company Law and Practice



Module 1:

An Introduction to Company Law and Practice



Learning objectives

The purpose of this module is to:

- introduce company law and the practice of private company management
- review the position of the offshore company in context, i.e. as part of a structure used by trustees, private banking institutions and other firms to hold and manage clients' assets
- summarise the role of this text, give a brief overview of the study of company law and introduce what is to come in subsequent modules.

Introduction: the evolution of private banking

Why should private bankers, wealth managers and trust practitioners have to study company law and practice? Surely this is an area for corporate lawyers and company directors engaged in advising or operating a commercial undertaking involved in the operation of a business?

The answer, of course, lies in the development of private banking, and in particular, the use of offshore financial centres for wealth management business.

Private banking and wealth management have been around for a very long period of time. For example, since the emergence of banking in the 18th century, companies in Switzerland have been heavily engaged in the holding, investing and managing of assets for high-net-worth individuals (HNWIs).¹

More recently, since the early 1970s, the large US investment banks have developed private client business aimed specifically at wealth management for US and foreign (non-US) HNWIs. Then, when the Glass–Steagall Act of 1931 (which prevented US commercial banks from being involved in investment banking business by selling or buying company securities²) was abolished in 1999, it paved the way for the larger US commercial banks to enter into the private banking arena.³

The period from 1970 to the financial crisis in 2008 saw a growth in offshore private banking and wealth management. This led to a growth in the popularity of the two types of vehicle used, in common law financial centres, by tax and estate planners and investment managers alike, namely the trust and the underlying asset-holding company. Although the offshore

1. For example, Lombard Odier & Cie was established in 1798 in Geneva; Bank Sarasin in Basel; and Bank Rahn and Bodmer in Zurich in the early 18th century.
2. This is covered in detail in the STEP Advanced Certificate in Trustees' Duties: Investment and Management of the Trust Fund.
3. A number had already taken advantage of the steady relaxation of Glass–Steagall throughout the 1980s and 1990s – for example Citibank (now Citigroup), having acquired Smith Barney in 1990 and merging with Travelers in 2000; Bank America taking over Fleet Boston and Merrill Lynch in 2008; and Chase Manhattan (which had already merged with JP Morgan to become JPMorganChase), merging with Bank One.

wealth management business has plateaued and fragmented somewhat since 2008, with a number of global financial conglomerates divesting themselves of their private wealth management divisions and trust companies to smaller boutique firms, it is nonetheless still a thriving industry.

The typical offshore structure used for holding assets has been described as a 'trust and company combo'. It is a structure established by a HNWI (the settlor), usually on the advice of a wealth manager, whereby the settlor transfers funds to an offshore trustee to hold upon the trusts set out in the trust instrument. The trustee then transfers the trust fund to a special purpose company (either by way of loan or in exchange for shares representing its entire capital). It is therefore the company that actually holds and invests the trust fund. It is the company that buys and sells the portfolio of securities, the real estate, the intellectual property, etc., held in trust. Most of the day-to-day investment and asset management activity therefore takes place at the company level rather than at the trust level, insofar as:

- securities that comprise the trust's portfolio are constantly being bought and sold **by the company**, upon the advice of the asset managers and investment advisers
- dividends and distributions of profits or capital surplus are declared, or loan repayments made, **by the company**, as distributions to the trustee who passes them onwards to the beneficiaries.

A professional trustee engaged in managing a trust therefore must also be in a position to manage the affairs of a private limited company that acts as a special purpose holding vehicle. The trustee must be conversant with the terminology, practices and procedures involved in managing a company.

1. The learning objectives of this Advanced Certificate

There are two key objectives of this Advanced Certificate:

- i. to review relevant company law provisions, i.e. the legal rules that regulate and control a company and its affairs; and
- ii. to guide and train you, in a practical manner, in the practice of company administration.

As an employee of a trust company or other service provider carrying on company management business offshore, you may already have some experience of the practical side of incorporation, administration and dissolution of companies. In order to fully grasp the many day-to-day administrative requirements and issues relating to an offshore company, and to be able to advise confidently and knowledgeably, however, you must have an understanding of the legal framework within which the company exists.

In other words, you need to know the legal rules and regulations affecting companies under your management, as well as the practical administrative procedures, often followed checklist-style, by corporate administrators.

2. The role of this text

This course serves two purposes:

- an academic, sometimes theoretical, review of company law, often comparing onshore requirements with their offshore counterparts
- a practical guide to everyday matters encountered in offshore company management practice, such as the terms upon which service providers are retained; the process of incorporation, continuance and dissolution of companies; decision making; the transaction of business; provision of shareholders, directors and officers; the reduction or control of risk; and many other issues of practical importance.

This course does not, however, deal with regulatory and compliance requirements. Modern governmental regulations that impose new duties upon offshore companies and corporate service providers are reviewed in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance. This course touches on the following matters, but does not go into detail:

- principles of corporate taxation
- regulation of company management business
- transparency and disclosure requirements imposed by anti-money laundering (AML) legislation, the US Foreign Account Tax Compliance Act (FATCA) Regulations, the Common Reporting Standards (CRS) and the Economic Substance regulations.

If you are interested in learning more about these matters, you may wish to consider studying the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

Before we embark upon a detailed review of company law and practice, it is worthwhile, at this stage, to state some fundamental legal principles and make a few observations to enable you to grasp the basics.

3. Company law

A partnership is essentially a private agreement made between two or more persons to run a business together for their mutual benefit. The relationship of the partners to one another (and third parties), their rights, duties, responsibilities and liabilities are a matter of contract. The partnership agreement (which may be oral or in writing) defines the partners' mutual rights and obligations.

By contrast, a company is the product of statute. In order to obtain the advantages of concepts such as a separate legal personality and limited liability of shareholders, a company must fulfil detailed and sometimes complex conditions and agree to abide by statutory rules and regulations. In short, it must comply with the requirements of applicable companies legislation.

Companies legislation, however, often provides only a general framework. In many instances it allows a company to govern itself. Each company has its own, private, set of

rules and regulations found in its constitution – i.e., its memorandum and its articles of association. Accordingly, a company is subject to three sets of rules:

- i. the companies legislation that applies to all companies incorporated in that jurisdiction (see section 3.1);
- ii. the provisions contained in the memorandum and articles of association of the company. Provided that they comply with the minimum requirements set out in the companies legislation, these provisions apply only to that company and may be as varied as the legislative framework permits (see section 3.2 below); and
- iii. modern jurisdiction-specific regulations that impose requirements upon companies, and the directors and regulated service providers who manage them, to ensure compliance with the new duties imposed by AML legislation, FATCA, CRS, Economic Substance rules, etc. (These are covered in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance).

3.1 Companies legislation

Legislation, generally, can be divided into three types:

- i. **mandatory rules** – the so-called ‘must’ or ‘shall’ rules; for example, a law that states ‘the directors of the company **must** wear red socks/**must** not wear white socks’;
- ii. **permissive rules** – the so-called ‘may’ rules; for example, a law that states ‘the directors **may**, if authorised by the articles, wear red socks’; and
- iii. **presumptive rules** – for example, a law that states ‘**subject** to any contrary provision in the articles, all the directors of the company must wear red socks’.

Mandatory rules are intended to regulate behaviour: to prohibit or inhibit certain behaviour in the interests of some public good. The mandatory rules apply automatically to all persons and entities and **must** be complied with.

The other two types of rule, permissive and presumptive rules, are intended to make it easier for persons and entities to arrange their own rules as they think fit. Permissive rules do not apply automatically, but do so if the person or entity decides to opt into the regime. Presumptive rules apply automatically unless the person or entity decides to opt out.

Accordingly, in the above example of a permissive rule, our company **may**, if it thinks it is appropriate, opt to prescribe regulations making it a requirement that its directors wear red socks. In the example of a presumptive rule, all the directors **must** wear red socks, unless the company, if it thinks it is appropriate, opts out of the regime and prescribes regulations allowing its directors to wear socks of a different colour.

A great deal of companies legislation, both onshore and offshore, is permissive and/or presumptive. For example:

‘[1] A company may, if authorised by its articles, purchase its own shares.’

‘[2] Subject to any limitations in its memorandum or articles, the business affairs of a company shall be managed by a board of directors that shall comprise ...’

Paragraph [1] is permissive in so far as it allows a company to buy its own shares; it cannot do so unless it opts in and includes a provision in its articles authorising the company to buy its own shares.

Paragraph [2] is *prima facie* mandatory insofar as the company **shall** be managed by a board of directors; but this provision applies unless the company opts out and makes some other provision in its memorandum and articles (for example, by allowing its shareholders to manage the business).

Accordingly, companies legislation is not like a criminal code, which contains mandatory rules applicable to everyone (the **must** or **shall** rules, for example: 'Thou shalt not ...' or 'Thou shalt ...'). Companies legislation creates a framework within which a company (by its memorandum and articles) or its participants (by resolution of the directors or shareholders) may make their own regulations. This is why, even in one isolated jurisdiction with uniform laws, it is conceivable that no two companies are identical. It is also why the recommendations contained in section 3.2 should be heeded.

3.2 Memorandum and articles of association

During the course of corporate administration, whenever a query arises in relation to the powers, rights, procedural requirements, etc. of a company under your management, the answer will inevitably be found in one of two sources: either in the companies legislation or in the company's constitutive documents, namely its memorandum and articles of the company – and possibly in both.

The companies legislation of the common law offshore jurisdictions, although typically based upon older English statutes such as the Companies Act 1948, differs from jurisdiction to jurisdiction. The memorandum and articles may differ from company to company. Given the international nature of this STEP qualification, we have sought to describe rules of general application in this text and, where applicable, refer you to sections of jurisdiction-specific legislation in the footnotes.

It is impossible, however, to cover an infinite number of variations of memoranda and articles of association. We have quoted from, or summarised, typical articles where possible, but it is probable that the articles of companies under your management are different, to a lesser or greater extent. During the course of your career in company management and administration, it is inevitable that you will encounter many different provisions. You must, therefore, have regard to the specific provisions found in the articles of association of the companies under your management.

Thankfully, trust companies and corporate service providers try to use uniform memoranda and articles whenever they can. Standard articles have been drafted and are in use, often being adopted by new companies intact, or subject only to minor amendments to comply with the client's wishes. We recommend that, as you work through this course, you review the specimen articles found in Appendices 1B and 1C, alongside the companies legislation enacted in the jurisdiction where you work or have some other connection. In this way you can relate the general provisions reviewed in the course to jurisdiction-specific provisions, and to the standard provisions applicable to the organisation where you work.

4. Overview

Accordingly, this manual gives a broad, general overview of fundamental corporate principles. Tasks within each module will ask you to:

- review the companies legislation enacted in your jurisdiction to cross-check general propositions and establish local requirements
- consider a specific set of articles of association typically adopted by companies under your management to establish the precise terms of their self-regulation.

In Appendices 1B and 1C we have provided two sets of articles for you to review periodically, both to familiarise yourself with them and to compare with your standard articles. Whenever possible, you should use and become familiar with the standard articles adopted by your organisation: the constitutions of most of the companies under your management will be based on these. In summary, when this text asks you to review typical articles, use the ones you encounter most frequently in the office.

But don't panic! The examination is based on general principles and can be tackled by any well-prepared candidate who has worked through this text. You do not need to memorise the provisions of applicable companies legislation or the precise provisions of our specimen articles found in Appendices 1B and 1C to be able to pass the exam. Concentrate on the general corporate principles and standard practice. In the office you can consult the companies legislation and the memorandum and articles of the company under scrutiny. Our aim is to give you the ability and confidence to research these documents, to understand their provisions and to rely upon the conclusions reached. The examination reflects this objective. You will be tested on understanding, not on the minutiae. Good luck!



Learning outcomes

By the end of this module you should:

- understand why those working for an offshore trust company need an appreciation of company law
- appreciate how the wealth management industry has developed in recent decades
- appreciate the use made by trustees, private bankers and other service providers of offshore companies
- appreciate why every company is potentially unique, given the permissive rules in relevant legislation, while still being governed by mandatory rules and presumptive rules
- understand the purpose of this study text and how to make it relevant to companies administered by your firm
- know what to expect in forthcoming modules.

Module 2: Characteristics of a company



Module 2:

Characteristics of a company



Learning objectives

The purpose of this module is to:

- define a company
- outline the evolution of company law in England and assess its effect on company law in other common law jurisdictions, particularly the offshore financial centres
- consider some of the fundamental features of a company and distinguish companies from other forms of undertaking
- introduce the companies legislation applicable to the jurisdiction where you work or with which you have a substantial connection
- analyse the arguments for and against the integrity of 'one-person' companies and the limited liability of shareholders
- explore the typical use made of companies incorporated in an offshore jurisdiction.

Introduction

In this module we look at how company law developed in England, as this forms the basis of the company law adopted in the common law jurisdictions of the world and in most of the offshore financial centres.

You do not need a detailed knowledge of the company law enacted in the UK. This module will provide a brief outline of the development of company law generally and place the role of the company in an historical context.

There are five sections. Section 1 analyses a traditional definition of a company; section 2 describes the historical evolution of company law from medieval England to its modern structure; section 3 introduces modern companies legislation enacted in various common law offshore jurisdictions; section 4 reviews the features and advantages of incorporation generally; and section 5 reviews some of the uses made of, and the advantages that accrue to, companies incorporated and managed offshore.

1. Definition of a company

A company is traditionally defined as a group of persons who organise themselves together to pursue a common objective or purpose that usually involves the carrying on of a trade or business for profit.⁴

4. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016). See also JH Farrar and BM Hannigan, *Farrar's Company Law* (4th edn, Butterworths, London, 1998).

This definition is traditional insofar as it is most applicable to a company incorporated onshore. An analysis of the definition reveals that it does not travel well to the offshore financial jurisdictions.⁵ Companies incorporated offshore are characteristically not owned and controlled by a group of persons – they often have only one shareholder, who also provides the company directors. Offshore companies do not typically carry on a trade or business in the traditional sense, i.e. buying materials, manufacturing goods and products, subsequent sales, etc.; they may simply hold investments. Offshore companies do not necessarily operate in the pursuit of profit in the traditional sense – they may exist for other primary objectives, unrelated to concerns for profit, for example they may be part of a structure designed to achieve asset protection, confidentiality, tax efficiency, estate planning, etc.

Offshore companies, in reality, provide a structure whereby assets ‘belonging’ to a high-net-worth individual (HNWI) or other entity are held and managed by another. As such, they resemble a trust where, as you will know, property is held and managed by trustees for the benefit of the beneficiaries. A company, however, is underpinned by a totally different legal regime: one developed in England from the 17th century onwards, primarily by statute (rather than by common law and equity), to meet the demands of industry and commerce.

In a colloquial or business context, the term ‘company’ may be used to include any form of business organisation, i.e. including sole proprietorships, partnerships⁶ and unincorporated associations,⁷ as well as incorporated entities. We shall, in this study text, use the word ‘company’ as meaning a corporation or corporate entity that has been registered, incorporated and exists under the provisions of relevant companies legislation.

Companies legislation confers upon a company a legal personality of its own. A company is said to be a separate legal entity, distinct from its owners (the shareholders or members). Decisions affecting the business of the company are made, not by the owners of the company, but by its board of directors. At its simplest, a company is owned by its members, but the business is run by its directors. We shall explore how and why this dichotomy developed as we review the historical evolution of the company in section 2.2 of this module.

A further characteristic of a company is the limitation of the liability of shareholders for company debts. The responsibility for payment of the debts of a company rests with the company itself. The shareholders cannot generally be required to pay any debts incurred by the company, even if the company is insolvent and unable to pay its debts in full. The liability of shareholders is said to be limited.

Owing to the possibilities for abuse of the principles of corporate personality and limited liability, a regulatory framework has developed. The regulatory framework provided by companies legislation requires a company to observe fundamental rules designed to protect shareholders, investors, creditors and persons having dealings with the company, and the public at large. Before we embark on a detailed review of the development of company law, it is probably worthwhile repeating some basic, but important, principles.

5. You should be familiar with the meaning of ‘offshore’. An offshore financial centre is a jurisdiction that specifically caters for the provision of financial services to persons who do not reside or have their permanent home in that jurisdiction.

6. A partnership consists of two or more individuals who run an unincorporated business together for their mutual benefit.

7. Unincorporated associations – such as clubs, societies, professional bodies, trade unions or other trade associations – operate like trusts, without incorporation. The property of the club, etc. and the power to manage and control it, is vested in trustees who are under a fiduciary duty to hold and manage the property for its proper purposes.

The objective of this diploma course is to review the applicable law and develop the administration skills required by a company management practitioner operating in the offshore environment. It therefore concentrates on offshore companies legislation and practices. There are many aspects of offshore company legislation and many fundamental corporate principles and practice that make sense only when you track their historical development and explore the rationale behind the various corporate concepts.

The companies legislation enacted in a number of offshore jurisdictions is based, to a large extent, upon the onshore legislation that existed in England in 1948.⁸ Accordingly, in order to understand modern offshore company legislation, principles and practices, you need to know how company law developed in England, so that current rules and regulations can be viewed in context.

English company law itself has, of course, moved on from the 1948 Act and was substantially modernised by the Companies Act 2006. This legislation does two things:

- it is both a complete codification of company legislation enacted between 1948 and 1989
- it contains radical new provisions, many of which are designed to simplify the management and regulation of private companies.

2. Development of modern company law

2.1 The early sole trader and partnerships

The earliest form of business medium in medieval England was the sole trader. A sole trader is an individual who runs a business alone and on his or her own behalf. The sole trader:

- owns all the assets of the business
- makes all the decisions affecting it
- is entitled to all the profits
- is liable for all the losses, i.e. the sole trader must pay all the debts incurred by the business without limit.

The main disadvantages of the sole proprietorship as a business medium at this time included:

- undue risk (or at least the inability to share risk)
- the inability of the business to raise capital to finance its operations of an amount beyond the actual wealth of the individual proprietor.

In order to spread business risk and enable a trader to raise additional capital to finance an undertaking (or its expansion), the sole proprietor in medieval England often elected to take on partners and form an association called a *societas*, a structure similar to what is now known as a partnership. It consisted of two or more individuals who combined together to run their business jointly for their mutual benefit.

8. Companies Act 1948.

Many 16th-century business organisations were formed as a society of persons, or partnership. Each partner would execute a partnership agreement under seal. The partnership agreement regulated the relationship of the partners to one another and often divided the business into portions where the interests of the original partners were either expressly made non-transferable or, occasionally, were only transferable to third parties subject to restrictive conditions, such as a requirement that all the partners must give their consent to a transfer of one partner's interest to another.

This form of business medium, in itself, suffered from major drawbacks:

- the prohibition or restrictions upon the ability of partners to transfer their shares in the enterprise; a partner who wished to transfer their own share of the business without the consent of the remaining partners would have to dissolve the partnership
- any capital to finance the business and its expansion could be raised only by the partners making contributions to the common pot; the partnership structure did not allow the business to invite third parties from the public to invest in it.

2.2 The evolution of companies

2.2.1 Before the South Sea Bubble (pre-1720)

The growth of foreign trade conducted by an expanding merchant shipping fleet in England in the 16th century was an important factor in the evolution of the modern company as a business medium.

English merchants began to trade with their foreign counterparts all around the globe, but they did so on their own behalf and on their own account as sole proprietors. Later in the century, the merchants formed 'companies' of merchants by agreeing to trade in particular commodities in accordance with the rules of the 'company'. This was an extension of the guild principle to foreign, as opposed to merely domestic, trade. Nonetheless, the trade of each individual member of the company was kept entirely separate from the others. In other words, the 'company' as such did not trade on its own account as a separate personality.

At this stage in English history, the Crown actively encouraged foreign trade for political (colonisation) purposes. It often granted Royal Charters to companies of merchants, not in order for a company to acquire an independent legal personality to enable it to trade on its own behalf, but to confer upon the company a monopoly for its members to trade in a particular geographical territory.

The next development was crucial. Instead of each member trading on their own behalf, members started to trade jointly, i.e. with inventory owned jointly by the members of the company.

The often-quoted example of this type of undertaking is the East India Company, which in 1600 was granted a Royal Charter to trade as a monopoly with the Indian sub-continent. Originally, each member of the company conducted trade privately on their own account. Thereafter members traded jointly for their mutual benefit – they each subscribed an agreed sum by way of initial investment and received 'joint

stock;⁹ by way of a security document setting out their rights and liabilities. Profits from the trade were initially distributed among members after each voyage according to the amount invested. Soon, instead of a distribution of profits occurring after each voyage, profits were shared after a number of voyages or at the end of a 'financial year'. Eventually, ownership of permanent joint stock was introduced, but this presented problems of liquidity. What if any members wanted to sell their joint stock? There had to be a way of selling a member's interest in joint stock. This was eventually achieved by what was to become the London Stock Exchange,¹⁰ which opened in 1773, but not before some spectacular incidents that are worth a passing mention.

At the end of the 17th and early in the 18th century, British commercial activity was flourishing. Both domestic and foreign trading companies – some having been given monopoly privileges by the Crown, others existing as bare joint-stock enterprises – were proliferating. The structure of these new organisations was favoured because it enabled entrepreneurs to acquire much-needed capital to finance their ventures by way of direct investment by the public. There was an immense growth of public offerings of new shares.¹¹ Speculative investment in these new companies was common and it has been described as a period of incredible gambling mania.¹² And, as we now know, boom is followed by bust. This particular bubble burst in 1720 with the help of the financial collapse of the infamous South Sea Company, which occurred in the following manner.

In 1711 a company headed by the Lord Treasurer, Robert Harley, obtained a Royal Charter to trade in Spanish South America in the name of the South Sea Company. The company then entered into a complex financing deal with the English government, which had borrowed significantly to fund the War of Spanish Succession. The war did not end until 1713. The company agreed to assume a proportion of the government debt, namely £10 million of government bonds that paid a high rate of interest (6% p.a.) in return for a perpetual annuity of £500,000. The company then persuaded bondholders (by making extravagant, unsubstantiated claims relating to the anticipated success of the business of the company and its expected profits) to convert their bonds into shares in the company. Most bondholders converted their bonds into equity in this manner and made a fantastic short-term profit as the share price rose from the conversion price of £100 per share to almost £1,000. The whole stock market surged upwards in a bull market.

2.2.2 After the South Sea Bubble: 1720–1844

The bubble burst in a stock crash in 1720. This was precipitated by a run on the South Sea Company. Investors panicked and the company was unable to meet its liabilities. The whole enterprise collapsed. A significant number of investors lost a lot of money. The government was embarrassed. An investigation revealed widespread fraud and castigated the company and its officers, the government and its ministers and other leading figures of the day. Of considerable importance to students of company law, the English Parliament also questioned the desirability and legality of the corporate structure that had permitted the South Sea Company to defraud so many investors.

9. The name gave rise to the 'joint stock company', which is still in use today.

10. The London Stock Exchange opened in 1773, the New York Stock Exchange in 1817.

11. Initial public offerings (IPOs) (in England, sometimes called 'company flotations'), whereby new companies invite the public to buy shares in the company in order to raise capital to finance expansion.

12. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016).

As a result of the South Sea Company debacle, the government enacted the Bubble Act in 1720.¹³ Rather than legislating constructively by regulating companies and their management, to safeguard shareholders and the public against fraud and other abuse, the Act simply prohibited the use of companies as a legal structure and made their activities illegal. This effectively set back the development of company law for over a century. It caused a resurgence of the old type of business medium, the unincorporated partnership, with all its disadvantages:

- It did not have a separate legal entity, and could not therefore own property except in the name of all the partners; this caused considerable difficulty, particularly where there was to be a change of partners.
- Shares in a company were freely transferable, unlike a partner's share of the partnership, which could be transferred to a third party (if at all) only with the consent of the other partners.
- A company could raise unlimited amounts of capital from the investing public to finance its trade and expansion, whereas a partnership could generally call only on its members for investment.

The 18th century saw the dawn of the Industrial Revolution in England. Business enterprises required lawful and satisfactory legal structures that met the needs of commerce. Unincorporated associations were far from satisfactory. The Bubble Act had outlawed the joint stock company, which merely left, as an alternative corporate structure, those companies incorporated by Royal Charter or by private Act of Parliament. Charters and Acts were difficult and costly to obtain.

The onset of industrialisation and, in particular, the growth of the railway companies, which required significant amounts of capital investment, cried out for some constructive legislative measures that would permit a corporate structure to exist legally, specifically one that:

- could be formed without the need to petition the Crown for the grant of a Royal Charter (which was hardly ever granted) or without the need to obtain incorporation by the enactment of a private Act of Parliament (a prohibitively expensive, awkward and time-consuming procedure)
- could have a separate legal personality so it could own property and enter into or acquire its own contracts, etc.
- would be able to raise money from the public by issuing shares of stock to finance its business
- could ensure adequate protection existed to safeguard those persons who are most vulnerable, namely the investors and the creditors of the company
- could confer a limitation upon the potential liability that might be incurred by investors.

2.2.3 1844 to 1907

In 1844, the English Parliament enacted the Joint Stock Companies Act.¹⁴ This was the first piece of modern companies legislation. Most of the principles found in the 1844 Act still form the basis of modern company law today.

13. 6 Geo I., c18. The Royal Exchange and London Assurance Corporation Act 1720, an Act of Parliament that incorporated the two institutions but, more importantly, forbade the incorporation of any new joint stock companies unless approved by royal charter.

14. 7 & 8 Vict, c.110.

It put the company structure on a sound legal foundation by:

- allowing an entity to be incorporated through a relatively simple registration procedure (rather than by Royal Charter or Act of Parliament), whereby prescribed documents were to be filed with a new public official, the registrar of companies, who could confer corporate privileges (such as those set out below) provided that new statutory requirements were complied with
- permitting the new type of registered company to have a separate legal personality which could endure indefinitely, and to raise money from the public by selling its shares
- allowing shares in the company to be freely transferable without the consent of the other members (a requirement of unincorporated associations and partnerships) safeguarding investors and others to prevent fraud by requiring a regime of transparency to be put in place, so that potential investors are not misled when contemplating whether to buy shares and potential creditors of the company are forewarned that they are proposing to deal with a company.

Surprisingly, the Joint Stock Company Act 1844 did not permit limited liability. The owners of shares in a registered company were still personally liable for the debts of the company, although creditors of the company had to sue the company first, and only if the company was unable to pay could they then seek payment from the shareholders.

It was not until 11 years after the Joint Stock Company Act was passed that limited liability for shareholders was introduced by legislation. The world of commerce had lobbied for this change as a crucial provision for boosting investment in the new regulated companies by making it less risky and therefore more attractive to the investing public. Limited liability, it was argued, would reduce risk for investors. This would enable companies to raise capital from a whole new breed of more cautious capitalist, and thus make capital easier to obtain and, therefore, cheaper. In theory, this would finance the continued progress of industrialisation, and facilitate the development of new enterprises and the expansion of old ones.

The concept of limited liability was not without its critics. It was forcefully argued that the limited liability of owners of these new regulated companies would encourage enterprises to trade beyond their means, and would cause businesses to be reckless and speculative with other people's money. Limited liability effectively transfers risk from the investor to the creditors of the company. Lawful creditors of a company who had traded with the company in good faith might be left without redress if the company were rendered insolvent. Was it fair to transfer risk to the unsuspecting creditor and away from the capitalist investor in this way?

These arguments were swept aside, however, in favour of economic progress. The rationale for permitting limited liability was to reduce risk to the investor and thus encourage investment. It was clear that unlimited liability acted as a 'chill' on investment and that therefore a limitation of liability was necessary for a successful and well-financed economy to grow and develop. Accordingly, the Limited Liability Act 1855 was passed.

This allowed a registered joint stock company (with at least five members) to attain limited liability provided that the company observed certain statutory safeguards to protect potential creditors, such as:

- the inclusion of the word 'Limited' (or 'Ltd') in its name to warn potential creditors that they were dealing with a company and could not obtain payment of debts from the shareholders (this is why English companies still use the abbreviation 'Ltd', rather than 'Inc' which is used in the US)
- the compulsory appointment of approved auditors to prepare and publish annual accounts
- the adherence to a doctrine of capital maintenance,¹⁵ whereby directors were subject to sanctions if they paid unlawful dividends or other distributions of capital to shareholders.

Accordingly, by 1855 the principles that underpin modern company law had been extensively debated and resolved. It was deemed imperative that the public be encouraged to invest money in industry to form an association between the entrepreneur and the capitalist. Although the capitalist shareholders were to own the enterprise, they were not expected to run it, and they were not liable for the debts of the company. The constitution of the company was established in the memorandum and articles of association of the company, which had to comply with the requirements of applicable companies legislation.

Further companies legislation, enacted in England between 1862 and 1989,¹⁶ developed these corporate principles and consolidated earlier Acts. During this period, detailed reviews of company law were carried out approximately every 20 years or so. The most comprehensive 'modern' reviews undertaken in England were before the enactment of the Companies Act 1948, the so-called Jenkins Committee review before the Companies Act 1967 and the Company Law Review, which started in 1998. In this most recent review, the President of the Board of Trade produced a two-volume report in 2001 which led to the introduction of the Companies Act 2006.

Nonetheless, the most important statutory provision so far as offshore corporate practitioners are concerned is still the 1948 Act, as this is the statute upon which a substantial part of offshore companies legislation is based.

2.2.4 1907 to date

Until the Companies Act 1907, only one type of company could exist under English companies legislation – the basic joint stock limited liability company. This emerged to enable business to raise substantial amounts of capital from the public who, upon becoming shareholders and paying for their shares in full, were protected against incurring further liability for the debts of the business by the concept of limited liability. The shareholders, as a group, would then own the company, but the business would be run by their elected agents, the directors, subject to certain safeguards to prevent the business from being run in a fraudulent manner by a rogue director. This type of legal structure and method of doing business was of significant benefit to the manufacturing, transport (shipping and railways) and construction industries, where large amounts of capital were required together with extensive specialist expertise.

15. The doctrine of capital maintenance is reviewed in detail in Module 6.

16. Companies Acts 1862 (25 & 26 Vict c.89); 1900 (63 & 64 Vict, c.48); 1907 (7 Edw. 7, c.50); 1928 (18 & 19 Geo. 5, c.45); 1947 (10 & 11 Geo. 6, c.47); 1948 (11 & 12 Geo.6, c.38); 1967; 1980; 1985; and 1989.

The corporate structure was not, however, without drawbacks. The benefits of incorporation came at a cost, including the requirement to comply with statutory provisions for administration and accounting. These provisions were aimed at minimising the opportunity to operate the company in a fraudulent manner, to the prejudice of investors, shareholders and creditors. The statutory requirements under English companies legislation included:

- obligatory publicity requirements that required directors to publish financial statements of the company on an annual basis together with details of directors' remuneration, with the consequential loss of privacy
- long-winded, time-consuming and inflexible internal procedures (such as meetings, minutes, audits, publication of accounts, capital maintenance, etc.) to deal with the separation and balance of power between ownership (shareholders) and management/control (directors) and for the protection of creditors
- the expense of incorporation, in professional fees, and, after incorporation, in the burdensome cost of compliance.

In the case of a small business operating in the late 19th and early 20th centuries, which did not require large amounts of capital to finance its activities, the disadvantages of incorporation outweighed the advantages. The compliance requirements, to protect investors and those who dealt with the company, were considered too onerous for a small enterprise.

Accordingly, the Companies Act 1907 amended the existing companies legislation to recognise that some small businesses would prefer to incorporate with limited liability but that, because of their nature, all the burdensome compliance requirements were not necessary. For instance, a small business has no need to raise capital from the public – the owner's own capital is often enough to meet requirements. There is, therefore, no need to separate ownership of the company from control. If the owner runs the business there is no need for checks and balances, or to adhere to safeguards designed to prevent rogue directors from abusing their position at the expense of the shareholders.

The 1907 Act therefore distinguished business undertakings with a single or few proprietors (designated 'private companies') from large, multi-shareholder entities (designated 'public companies').¹⁷ Private companies were characterised as companies that did not offer shares to the public, the shareholders were limited in number and generally also comprised the board of directors. Public companies were the converse: they were characterised as companies that offered their shares to the public, had numerous shareholders and – although the shareholders elected the board – had directors who were generally full-time paid executives who did not own (or who owned very few) shares in the company. The fact that a company is a public company does not mean that its shares are listed on a stock-exchange – but if any company does want an initial public offering (IPO)/company flotation, it cannot do so unless it **is or becomes** a public company.

17. In the UK, both public and private companies are regulated by separate provisions found within the same legislation, namely the Companies Act 2006. Elsewhere in Europe, they tend to have separate legislation. For example, the *Aktiengesetz* applies to German public companies (hence the 'AG' designation) whereas the *GmbHGesetz* applies to private companies (hence the 'GmbH' designation). Offshore companies legislation follows the UK model. A private company is one that is not a public company. A public company often carries a defined meaning in offshore companies legislation – usually one that has more than 50 members, with a minimum share capital.

The 1907 Act relaxed a number of the legal compliance requirements for a private company. This type of company was allowed a number of exemptions from the statutory requirements that a public company had to observe.

A private company, if authorised by its articles, could for instance:

- avoid the need to compile and publish formal annual accounts, have the accounts audited, and lay the accounts before the shareholders at their annual general meeting (AGM)
- avoid formal meetings by employing the written resolution procedure, allowing company (or directors') resolutions to be passed in written form without the necessity of a formal meeting.

Accordingly, from 1907 a private company could obtain a number of exemptions from the strict requirements appropriate for a public company. A small enterprise that did not require public participation to raise capital could obtain all the advantages of operating its business under a corporate structure but without having to comply with onerous accounting and administrative requirements aimed at protecting third parties. The concept of the private company has, of course, been embraced offshore for asset-holding purposes.

2.2.5 The historical importance of English company law

It is not an overstatement to say that the limited liability company has been a major influence on the industrial and commercial developments throughout the world over the last 200 years. English company law has been used as a model in all common law countries including, of course, the USA, Canada, India, Uganda, Ghana, Australia, New Zealand and the rest.

Note, however, that companies legislation does not provide an all-encompassing code of company law. It is a high-level framework that is supplemented by common law and equitable principles found in case law.



Task 2.1

From what you have so far ascertained in studying the historical development of a company and its legal structure:

1. list the main differences between a company and a partnership
2. list the main differences between a public company and a private company.

Are the vast majority of companies that are incorporated and managed offshore public or private companies?

After you have completed these tasks review your answer in the light of the summaries given in Appendix 2.

3. Development of modern companies legislation enacted offshore

The company law and related legislation enacted in the UK has, to a large extent, been used as a model and implemented by those offshore financial centres that have a common law background. In fact, the English statutory influence goes back to the Joint Stock Company Act 1856.

There follows a list of a sample of financial centres that have enacted companies legislation inspired by the English statutory model, most notably the Companies Act 1948.

- **The Bahamas:** Companies Act 1992 (Cap. 308), as amended for domestic resident companies; the International Business Companies Act 2000 (Cap. 309), as amended for asset-holding companies
- **Bermuda:** Companies Act 1981 (Cap. 59), as amended and consolidated 2020
- **British Virgin Islands (BVI):** the BVI Business Companies Act, No.16 of 2004, as amended and consolidated
- **Cayman Islands:** Companies Law (Cap. 22) (2022 Revision)
- **Gibraltar:** Companies Act 2014
- **Guernsey:** Companies (Guernsey) Law 2008 as amended and consolidated
- **Hong Kong:** Companies Ordinance (Cap. 622) 2014
- **Isle of Man:** Companies Act 1931 as amended for local companies; and the Companies Act 2006 as amended for asset-holding companies
- **Jersey:** Companies (Jersey) Law 1991, Consolidated Revision 2019
- **Mauritius:** Companies Act 2001, as amended
- **Singapore:** Companies Act (Cap. 50) as amended, current version 2020
- **Turks and Caicos Islands:** Companies Ordinance Ch.16.08, revised 2014.

Legislators in the offshore centres mentioned above have carefully selected those early English provisions that they believe meet the needs of their centre and, where appropriate, they have also fashioned their own provisions and regulations. What you find, therefore, when reviewing the company laws of most offshore financial centres, is a combination of English-influenced provisions and an assortment of locally driven provisions that are designed to enable the centre to compete in the company management services marketplace.

The company law enacted in the UK, as well as in the various offshore financial centres, is designed to provide detailed and considered direction on how the affairs of a company should be conducted, both internally and in its dealings with the outside world.

The main features and underlying principles of companies legislation enacted in all the common law offshore financial centres are largely identical. Nonetheless, while there are significant similarities, there are also differences. For example, do not assume that a Bahamian international business company (IBC) is identical to a BVI business company (BC). There are differences.

Furthermore, company law does not stand still. It continues to develop. English company law has moved towards that of its European neighbours (but may soon depart). Developments in the US are being taken on board by Canada, Australia, New Zealand and other jurisdictions in the common law world. Offshore companies legislation and regulation are being constantly reviewed by the international community and pressure is brought, by bodies such as the Organisation for Economic Cooperation and Development (OECD), to tighten regulation.¹⁸

As competition between the offshore financial centres intensifies, further changes to their company laws are inevitable as certain centres seek to maintain or develop a competitive advantage.

Financial planning techniques are increasing in complexity, often in response to moves in onshore jurisdictions to reduce or close loop-holes that have previously existed. Many planners are taking a more aggressive view on how their clients' affairs should be structured to provide maximum protection and benefit. They often try to achieve their aims by using corporate structures in new and advanced ways.

Legislators in offshore centres often work closely with industry experts to assess the benefits and possible shortcomings in the laws that are in place. They collaborate to produce revisions, amendments, consolidations, and so on. Sometimes a new form of corporate entity may emerge, intended to appeal to a particular type of client, with a view to increasing the competitive advantage of the centre and of the service providers in that centre.

The provision of company management services, and how they are regulated, particularly in offshore financial centres, has created much debate in recent years. The various reviews that have been undertaken in a number of jurisdictions have triggered changes in administration practices. This has necessitated alterations to company legislation.¹⁹

The provision of company management services can be a demanding industry in which to work, as the law and requirements seem to be constantly changing. It is important that company administrators keep up to date with developments, not only in the centre where they practise but also in the industry as a whole, both onshore and offshore.



Task 2.2

1. Download a copy of the companies legislation enacted in the jurisdiction where you work or have some connection. This is likely to be the law that governs the type of company with which you have the most dealings in your professional life. For instance, if the underlying asset-holding companies of most of your trusts are BVI BCs, you should obtain copies of the BVI Business Companies Act 2004, as amended.

18. Note in particular the *Review of Financial Regulation in the Crown Dependencies* (the 'Edwards Report', 1998); the *Review of Financial Regulation in Anguilla, Bermuda, BVI, Cayman Islands, Monserrat and Turks & Caicos Islands* (the 'KPMG Report', 2000); and the various OECD reports on 'harmful' tax competition, transparency and exchange of information referred to in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

19. The Edwards Report and the KPMG Report, together more recently with the Foreign Account Tax Compliance Act (FATCA) and FATCA-inspired Inter-Governmental Agreements (IGAs), the OECD's Common Reporting Standard (CRS) and rules concerning Economic Substance have resulted in a number of changes to company management practices of the offshore financial centres. This is covered in detail in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

2. Where there have been subsequent amendments to the main text of the legislation, but no consolidating revision has been published, ensure that you mark up the original version to alert you to the fact that amendments have been enacted, so that you always refer to the latest provisions. This will ensure that you are not caught out by relying upon provisions of the original legislation that have been subsequently amended.
3. Study the index of the main legislation. Familiarise yourself with the structure and layout of the statute. You will be invited to refer to these statutory provisions on occasions throughout the course.

4. Features and advantages of incorporation generally

Incorporation confers important wide-ranging benefits upon both onshore and offshore companies. We will now summarise these benefits and comment upon the typical uses made of offshore companies.

4.1 Separate legal personality

The fundamental feature of a company is its corporate personality. This is the key feature that leads to all the other advantages.

A company is regarded in law as having a separate legal personality. It is often said that a company is an artificial person and has an existence of its own, quite distinct from that of its members. As a result of its separate corporate existence, a company may, in its own name (not that of its shareholders):

- own property
- conduct business
- enter into deals and transactions
- open and operate a bank account
- agree to be bound by contract
- sue in a court of law
- be held liable, for instance, for breach of contract, the commission of a tort or a crime.

The acts of a company are not regarded as the acts of its members. A third party cannot, as a general rule, go behind the 'veil of incorporation' and attack the shareholders personally for acts done, or debts incurred, by the company.

The concept of corporate personality was firmly established in the often-quoted case of *Salomon v A Salomon & Co Ltd*.²⁰ The facts, arguments developed by each side and rationale behind the decision are particularly relevant to offshore corporate practice, as they relate to the integrity and validity of a 'one-man' company, a common feature of many offshore corporate structures.

Mr Salomon was a sole trader who manufactured boots and shoes. His business was profitable and in 1892 Mr Salomon formed a registered company, A Salomon & Co Ltd, and transferred his business to it at a sale price of £39,000. The price was made up

20. *Salomon v A Salomon & Co Ltd* [1897] AC 22.

of £9,000 in cash and £20,000 represented by 20,000 fully paid up shares of £1 each, issued by the company to Mr Salomon and his nominees. The remaining £10,000 was left owing, secured by a loan note and mortgage over the assets of the company (in Britain called a debenture) in favour of Mr Salomon.

At the time when the company was registered, the applicable legislation required a company to have a minimum of seven shareholders. Accordingly, Mr Salomon received 19,994 shares and a single share was issued to each of his wife, his daughter and four sons, each of whom agreed to hold one share as nominee for Mr Salomon.

Soon after its incorporation the company experienced financial difficulties, suffered losses and the court ordered the company to be wound up. At the conclusion of the winding-up process, the company owed £7,000 to unsecured creditors against assets of £6,000. The loan note and mortgage in favour of Mr Salomon of £10,000 was also outstanding, although Mr Salomon had sold his rights under it to another party. The holder of the loan note therefore sought to take the remaining assets of the company in satisfaction of the monies owed under the note, leaving the unsecured creditors with nothing.

The unsecured creditors questioned the validity of the loan note and mortgage by claiming that the legal structure of the company lacked integrity and was no more than a **sham**. It was argued that:

- Mr Salomon remained the real proprietor of the business after its incorporation.
- The company, A Salomon & Co Ltd, was a 'sham', as evidenced by the fact the Mr Salomon in reality held all the shares, and that the requirement (at that time under existing company legislation) of a minimum of seven shareholders was satisfied only as Mr Salomon's family held single shares as bare nominees on behalf of their spouse and father.
- The company was no more than an alias or alter ego of Mr Salomon and, as such, he should pay all outstanding trade debts incurred by the company as if he were a sole proprietor, without the benefit of limited liability.

The courts of first instance and on first appeal were impressed by these arguments. They held that the company was in fact Mr Salomon's *alter ego* and ordered Mr Salomon to pay the debts incurred by the company out of his own pocket. Nonetheless, the House of Lords, in the final appeal, held that:

- The company had been validly incorporated, complying with all the companies legislation registration requirements.
- The constitution and the company's corporate structure complied with the requirements of the legislation (which, back in 1897, required seven members, but did not stipulate that they had to be independent or actively and independently exercise their rights as shareholders). This is a very important aspect of the decision in that it sanctioned the use of nominee shareholders.
- The company was valid – a 'one-man company' was not an abuse of the companies legislation nor a 'sham', provided all the requirements of the relevant statutory provisions had been complied with; the House of Lords said that a shareholder cannot 'be liable in any shape or form [for the debts of the company] except to the extent and in the manner provided by the Companies Act'.

- As the company was valid, therefore, the holder of the loan note and mortgage was entitled to be paid from the remaining assets of the company and the unsecured creditors were left with nothing.

The *Salomon* case confirmed that, provided the relevant legislation has been complied with, a company is lawful and will obtain, upon incorporation, a separate legal personality. Furthermore, incorporators such as Mr Salomon may not only obtain the benefit of limited liability, they may also take a valid security over assets upon making a loan to the company.²¹

The legal existence of the company as an independent entity is separated from its members by a '**veil of incorporation**'. Creditors of, or claimants from, the company cannot go behind or lift the veil in order to pursue their debts or claims against the shareholders in their personal capacity.

Assume that Mr Salomon had not sold his interest in the loan note to the third party. Would Mr Salomon, in his personal capacity as shareholder and holder of the note, have been able to resist the claims of the unsecured creditors of the company? Would the outcome of the case have been any different?

Yes and no, respectively. Mr Salomon would be a secured creditor (by virtue of the fact that he held a secured loan note, effecting a mortgage over the company's assets) and was therefore entitled to be paid in priority to the unsecured creditors of the company. The company owed moneys to Mr Salomon who, because of his security interest, was entitled to be paid before and in priority to unsecured trade creditors. The creditors were not permitted to go behind the **veil of incorporation** and seek payment of debts incurred by the company from its shareholders. **But is this fair?**

Prima facie, the principle of corporate liability operates against the interests of creditors of a company. The *Salomon* decision says, in effect, that persons who have dealings with limited companies do so at their peril. The risk of loss caused by the financial collapse of a company is suffered not by the businessperson/investor, but by the company's creditors. On the face of it, this is unfair, but the law takes a pragmatic approach: it justifies the apparent unfairness by economic expediency. The company structure provides many economic advantages, and commerce must be allowed to develop for the public good of the economy as a whole. Unpaid creditors, it has been said, are treated as a casualty of commerce.

This shift in risk, from investor to creditor, and its resulting unfairness, has caused potential creditors of a company to come up with ways of protecting themselves against the economic collapse of a company that may, at any one time, owe them money. Creditors²² often seek to protect themselves by:

- obtaining security for monies owed by the company in the form of a traditional fixed mortgage over certain specified assets of the company (usually real estate) or a floating charge over other assets such as moveable chattels belonging to the company

21. Financing the business activities of a company by way of loan capital as opposed (or in addition) to share capital is reviewed in Module 6 section 3.

22. In reality, such creditors tend to be large lenders such as banks, or powerful or influential customers whom the debtor company dare not offend.

- contracting around the corporate personality by obtaining personal guarantees from shareholders, whereby the shareholders effectively guarantee to discharge the specified debts of the company in the event that the company cannot pay.

There are also certain circumstances in which creditors of, and claimants from, a company are allowed, in the absence of security or shareholders' guarantees, to lift the **veil of incorporation**, and go behind the corporate personality to attach the assets of the individual shareholders (or directors) in order to satisfy a debt owed by the company.



Task 2.3

If you were a lawmaker in the 19th or 20th centuries, in what circumstances would you allow a creditor of a company to **lift the veil of incorporation** and disregard the corporate personality to enable unpaid creditors of a company to attach assets belonging to the shareholders in satisfaction of company liabilities?

Having considered the matter, turn to Appendix 3 at the end of this text and compare your answer with the circumstances where the courts of common law jurisdictions have allowed an unpaid creditor of a company to pierce the corporate veil.

4.2 Limited liability

It follows from *Salomon v A Salomon & Co Ltd* that, if a company enters into a contract in its own name and incurs a debt that it cannot pay, the company alone is liable to pay that debt. The creditors of the company cannot, as a general rule, seek redress from the shareholders of the company. The liability of the company in respect of its debts is unlimited, but there is a limitation upon the liability of its shareholders.

To be precise, the liability of the shareholders is limited either to the amount that they are required to pay for their shares (if the company is limited by shares) or to the amount that the members have guaranteed to contribute should the company be wound up (if the company is limited by guarantee).

The memorandum of association²³ confirms whether the shareholders have limited liability and, if so, the way in which the liability is limited. A limited liability company may be limited either by shares or by guarantee.

4.2.1 A company limited by shares

Most companies incorporated, both onshore and offshore, are limited by shares. If the members have paid the agreed issue price for their shares (which in the case of private companies is often the nominal par value), they will have no further liability. If they paid only part of the price at the time the shares were issued, however, they are liable for the unpaid amount. Their liability for the debts of the company can never exceed the amount that is unpaid on the issue of their shares. See, for example, cl.3 of the memorandum of association illustrated in Appendix 1A of the online Study Resources.

23. See Module 3 section 3.2.3, and Appendix 1A of the online Study Resources.

4.2.2 A company limited by guarantee

The memorandum may specify that, should the company be placed into liquidation and wound up, the members are required to contribute a certain sum to assist in the payment of the company's debts. The members are required to guarantee that they will contribute the relevant sum. Their liability to the company will extend to the amount of their guarantee. Such a company is generally referred to as a **guarantee** or **not-for-profit** company. See, by way of example, the alternative cl.3 in the memorandum illustrated in Appendix 1A of the online Study Resources.

4.3 Corporate ownership of assets

The assets of a company belong to the company. They do not belong to the members or the directors or other officers of the company. The rights and benefits of contracts entered into by the company belong to the company, not the members, directors or officers.

A leading case on this issue is *Macaura v Northern Assurance Co. Ltd.*²⁴ Assets owned by a company were insured with Northern. The assets were destroyed by fire. When an insurance claim was made, Northern discovered that the policy had been taken out by Macaura – the sole shareholder of the company – in his personal name, rather than by the company in its corporate name. As a result, the loss caused by the fire was not covered under the policy of insurance. The claim was rejected.

Because corporate assets belong to the company, not its shareholders or officers, a change of membership occurring when a shareholder dies or sells their shares, or a retirement or incapacity of one of the directors or officers, does not affect the company property at all. The property remains vested in the company. The shares are merely transferred to the new owner (or a new director is appointed, as the case may be). This is in marked contrast to a partnership structure where, upon the death of a partner or enforced sale of a partner's interest, for instance, the partnership property may have to be sold and the proceeds distributed. Likewise, the benefit of contracts remains vested in the company and is not terminated upon, for instance, the incapacity or retirement of a director.

As a consequence of a company's ability to own its own property, it follows that a company can also take legal action in its own name to enforce its legal rights; and it can have legal action brought against it for breach of any of its legal duties.

4.4 Perpetual succession

A company is created by a registration process. It exists until such time as a legal process of winding-up is undertaken to terminate it. This means that a company can, in theory, exist forever (in perpetuity). This is in contrast to:

- unincorporated entities that trade as sole proprietorships or partnerships, where the proprietor or partners may, sooner or later, become incapacitated, retire or die
- trusts, which are subject to the so-called perpetuity period and, therefore, have a maximum duration.

24. *Macaura v Northern Assurance Co. Ltd* [1925] AC 619.

Gower sums it up nicely in the following passage:

‘The vicissitudes of the flesh have no direct effect on the disembodied company. The death of a member leaves the company unmoved; members may come and go but the company can go on forever. The insanity of the managing director will not be calamitous to the company provided that he is removed promptly; he may be the company’s brains but lobectomy is a simpler operation than on a natural person.’²⁵

A member who wishes to liquidate an investment in a company merely has to sell the relevant shares.

4.5 Transferability of ownership

As discussed in the historical introduction to company law, one of the main reasons behind the separation of ownership of a company (vested in the hands of shareholders) from management and control (delegated to the entrepreneurial directors) was to promote and facilitate investment in business by the public.

If the public are to invest in a business undertaking, they must be able to buy its shares in the knowledge that they can liquidate their investment if they wish to sell. Nonetheless, a shareholder who buys shares in a company ought not to be able simply to hand back or cancel those shares and get a refund. In addition, an outgoing shareholder ought not to be able to claim an appropriate proportion of corporate assets. This would inevitably have a disastrous effect upon the business of the company. Instead, a shareholder is generally free to transfer ownership of shares for whatever price they will fetch on the open market (unless the right to sell or transfer is restricted by the articles of the company).

This is in contrast to a partnership structure, where the ability of partners to sell or transfer their interest in the partnership is fraught with legal difficulties. The remaining partners must unanimously agree that the outgoing partner may transfer their interest and, even then, the outgoing partner remains liable for those debts of the business that were incurred while still a partner. In the case of a company, a shareholder’s interest can simply be transferred to a third party by share transfer.

Whether a transfer of share ownership is permitted, the extent of any restrictions and the procedure that must be followed to effect a transfer are matters covered by the company’s articles. The desirability of restrictions upon the transferability of shares in a company often depends upon the number of shareholders and the extent of their personal involvement in the organisation. If the shareholders are numerous and comprise pure, impersonal investment capitalists, it would be unusual for there to be any restrictions upon the transferability of shares. On the other hand, if the number of shareholders is small and the shareholders have a personal involvement (for instance, they are also directors) in the business, which is run as a quasi-partnership, it is usual to find a restriction upon transferability. This is so that the shareholders may control the identity of the membership of the company. In effect, it means that the freedom to transfer shares often depends upon whether the company is public or private.

- In the case of a private company, it is common for some form of transfer restriction to be found in the articles in order to prevent shares in the company

25. PL Davies and S Worthington, *Gower’s Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016), para.2–19.

from being offered to the general public. This type of restriction may be a simple requirement imposed upon a shareholder who wishes to transfer shares to obtain the prior approval of the board of directors. (See art.8.3 of the articles illustrated in Appendix 1B of the online Study Resources.) Alternatively, it may be a more complex restriction which confers a so-called right of pre-emption upon the remaining shareholders to ensure that any member who wishes to transfer shares must first offer them to the existing members. (See the alternative art.8.3 illustrated in Appendix 1B.)

- In the case of a public company, there is nothing to prevent its articles from containing a similar restriction upon transferability, although such restrictions are unusual, particularly if it is envisaged that the shares will be offered for sale to the public or listed on a stock exchange.

4.6 Separation of ownership from management and control

Although a company is treated as a separate person, it is nevertheless an artificial person insofar as it is unable to manage itself. A company, therefore, requires natural persons to act for it in relation to its management and day-to-day administration. The management of a company is usually conducted by its board of directors.

The directors have power, conferred by the articles of the company, to buy and sell assets on behalf of the company, to bind the company to deals and contracts, and generally to conduct its business. In order to protect the shareholders from a rogue director's abuse of position, and use of their powers for personal gain, the law imposes upon directors:

- a fiduciary duty of good faith
- a duty to exercise their powers with reasonable care and skill.

While the companies legislation makes it mandatory for a company to have a board of directors, the composition, structure and functions of the board are prescribed by its articles, rather than statute. The extent of the separation of ownership (shareholding) and control (management) is therefore a matter for the company to decide for itself and set out in its constitutive documents. These aspects of the role, function, powers of management and duties of a director are explored in detail in Modules 7 and 8.

5. Use of offshore companies

The advantages of incorporation identified above are predominantly relevant to large, public operating companies. Incorporation allows business entrepreneurs to acquire substantial amounts of capital from the investing public, and permits an individual capitalist to invest in business without the inherent risk of incurring further liability, and without the need to take part in the day-to-day management of the business.

These are advantages for business undertakings that require a considerable amount of capital investment (way beyond the means of a single individual or group of individuals) or that are inherently risky ventures (where there is not only a risk of losing the initial capital investment, but also a risk of being held liable for further calls for capital to satisfy creditors or other claimants).

Although these sorts of activity may occasionally be conducted by companies incorporated offshore, they are not those companies' main types of activity. Offshore companies are often used simply to own and hold assets. Their purpose is similar to that of a trust: to hold assets which are then managed by the directors on behalf of others – in this case, the shareholders (or beneficial owners of the shares). Nonetheless, a corporate vehicle is a structure underpinned by a completely different legal regime from that of a trust.

Assets such as real estate, stocks and shares, intellectual property (patents, copyrights, registered designs) and other investments may therefore be transferred to a company incorporated offshore for the specific purpose of holding the legal ownership interest in those assets on behalf of the original owner, in exchange for the issue of shares in the company.

The offshore company thus becomes the legal owner of the capital asset as well as the recipient of any income produced by it (such as rent, dividends, interest payments, royalties and licence fees).

Some of the common uses of companies that have been incorporated in offshore financial centres are listed below:

- **To hold trust assets:** an offshore company is often incorporated to act as an asset-holding vehicle underlying a trust – the assets are vested in the name of the underlying company, the shares of which are registered in the name of the trustees and held in trust in accordance with the provisions of the trust instrument.
- **To hold passive assets,** such as real estate, works of art, yachts, etc.
- **To hold shares of a group of subsidiary companies,** trading and carrying on business onshore.
- **To conduct investment activities,** such as the buying and selling of marketable securities – for instance, stocks, shares, bonds and fixed interest securities, options, futures and derivative products, and other exotic investments.
- **To act as a collective investment fund,** such as an open-ended or closed-ended investment company.
- **To provide estate planning opportunities** by enabling assets to be held for future generations; some clients, particularly those who are unfamiliar with the concept of a common law trust, may prefer to use a company rather than a trust for this purpose.

Some clients may consider that their offshore company is merely a 'money box,' used to receive funds and make payments as they instruct. Some may wish to be a signatory on the company's bank account. In these situations, the directors are often expected to disregard their implied duties and responsibilities and act only as directed by the client. We will consider the relationship that clients may have with their companies in later modules²⁶ and discuss some of the problems caused by allowing the client too much control. Using a company in the manner of a money box, or as a glorified bank account for the personal use of the client, is contrary to what is considered to be 'best practice' within the corporate services industry.

26. See especially Module 11.

This practice has also been severely criticised by the OECD in its *Report on Misuse of Corporate Vehicles for Illicit Purposes* (May 1998) and in the OECD annual reports on harmful tax competition. The controlled foreign company (CFC) anti-tax-avoidance provisions, FATCA and the OECD's FATCA-inspired CRS and Economic Substance rules are designed to eliminate the tax avoidance opportunities of the 'corporate money box' structure.

In summary, therefore, the advantages identified in section 4 accrue to companies incorporated both onshore and offshore. Bearing in mind the predominant use of offshore entities as asset-holding purposes, what possible advantages accrue to them alone? Why are offshore companies used to hold the assets of HNWIs who reside onshore?

We have identified three reasons why offshore companies are preferred over similar entities incorporated onshore, namely: streamlined regulation, confidentiality and tax planning opportunities.

Onshore regulation of companies, particularly in the case of public companies, where there is a separation of ownership and control, is detailed, long and complex. This often leads to cumbersome compliance requirements. Company regulation offshore is often far more streamlined and reflects the fact that a number of companies incorporated offshore are simple structures: private, often one-person companies similar to Mr Salomon's. Some of the special features available to companies incorporated offshore are reviewed in later modules. These special features include:

- sole or corporate directors
- single shareholders
- migration or re-domiciliation of companies
- audit exemption and exemption from the formal presentation of accounts
- relaxation of the capital maintenance rules, and distribution flexibility
- written resolutions in lieu of formal meetings
- relaxation of voluntary winding-up rules.

The remaining matters, namely tax planning opportunities and confidentiality are, since the syllabus changes in 2020, explored in detail in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.



Learning outcomes

By the end of this module you should:

- understand the broad features of a private limited company and how it differs from a sole trader or partnership
- appreciate the fundamental economic principles behind much company legislation, which:
 - provides a structure whereby entrepreneurs may raise capital from the public
 - enables investors to contribute capital to an enterprise without having to manage and control the business on a day-to-day basis
 - limits shareholders' liability for the debts of the company
 - facilitates the transferability of an owner's interest in a business undertaking
 - protects the capitalist investor against the actions of a rogue director who abuses his or her position
- be able to see the private limited company in context by comparing it with other business media
- appreciate how the company legislation in the common law offshore jurisdictions derives in the most part from English statutory provisions that are used as a model
- be able to identify and describe the common features of an incorporated company
- understand the implications that flow from a company having a separate legal personality
- explain the significance of the 'veil of incorporation' and how it can be pierced
- appreciate the typical uses made of companies incorporated offshore.

Module 2:

Self-assessment questions

1. Provide a definition of a company.
2. Discuss whether your answer to (1) above wholly applies to companies incorporated offshore.
3. What was the earliest form of business operating structure in medieval England? Which two major disadvantages did it suffer from? How were these overcome?
4. The partnership (or *societas*) emerged as an operating structure for a business but suffered from three major drawbacks. What were these?
5. Describe how and why companies emerged as an operating business structure in the 16th century.
6. Describe the events leading up to the so called Bubble Act 1720 (6 Geo I., c18).
7. The Bubble Act 1720 prohibited the use of a company as a legal structure. Why?
8. What types of change did businessmen lobby for throughout the early 18th century? Which English statutes introduced the traditional company model that we see today (including the concept of limited liability)?
9. Describe what is meant by the 'limited liability' of shareholders. During parliamentary debate, what were the main arguments for the introduction of limited liability? What were the arguments against?
10. The incorporation and registration of companies was of significant benefit to the manufacturing, shipping, railway and construction industries. Why?
11. What were the main drawbacks for a small- or medium-sized company incorporated under the 1844 Act, until 1907? What feature did the 1907 Companies Act introduce?
12. Would it be true to say that English company law is a major influence on the company law of most offshore financial centres?
13. The case of *Salomon v A Salomon & Co Ltd* stands for the proposition that, upon incorporation, a company becomes a separate legal entity.
 - i. What does this mean?
 - ii. Who were the parties to the *Salomon* case? What did the claimants seek to achieve and how was the issue resolved?
 - iii. What did the case say about nominee shareholdings?

14. As a company has its own legal personality that is distinct from its members, explain what is meant by the so-called 'veil of incorporation', and how this affects shareholders.
15. In what circumstances may an unpaid creditor of a company go behind the corporate veil and attach assets of the shareholders in satisfaction of their debt?
16. The concept of limited liability is fundamentally unfair.
 - i. Unfair to whom?
 - ii. How is limited liability justified?
 - iii. How have (potential) creditors of a company tried to protect themselves from the insolvency of the company with which they propose to do business?
 - iv. The liability of shareholders may, in the memorandum, be limited in two ways. How? Which method is the most usual?
17. What do you understand by the phrase 'a company has perpetual succession'?
18.
 - i. How, if at all, may the owner of a business, trading as a partnership, sell their interest? Are there any legal or practical difficulties?
 - ii. How, if at all, may an owner of a company sell their interest?
 - iii. In which circumstances are you likely to find a restriction on a shareholder's ability to transfer their shares in a company?
 - iv. Describe a common type of restriction, often found in the articles, relating to share transferability.
19. What are the predominant uses of a company incorporated offshore?
20. How is the nationality of a company determined? Can a company choose which law governs it?

Module 3:

Company Formation and Related Issues



Module 3:

Company Formation and Related Issues



Learning objectives

The purpose of this module is to:

- explain the role, duties and rights of a promoter
- raise awareness of pre-incorporation contracts and relevant modern offshore companies legislation
- review the theoretical and practical aspects of incorporation of a private limited company
- introduce the skill of drafting minutes
- review some of the preliminary issues relating to the migration of companies
- outline the main features and characteristics of a variety of offshore vehicles.

Introduction

Each offshore centre has its own requirements governing, regulations affecting, and procedures connected with, the incorporation of companies that are permitted to exist and carry on business in or from their jurisdiction. Rather than attempt to cover the exact incorporation or registration process that applies in each of the main centres, we have included a summary of the basic steps. You are expected to obtain a working knowledge of the incorporation process that applies in the jurisdiction where you work or have some other connection and of the regulatory corporate requirements affecting companies that transact business from that jurisdiction.

In addition to incorporation, we will review the following matters:

- the role, rights and duties of promoters
- pre-incorporation contracts that promoters may seek to create before a company is formed
- the process of incorporation
- practical matters following incorporation
- registration and migration of foreign companies.

1. Promoters: their role in the traditional incorporation process, their duties and rights

Upon incorporation, a company takes on an independent legal personality. Before incorporation, the company does not exist. Someone must get the company off the ground. This is the role of the promoter.

Companies legislation in the UK, and elsewhere in the common law jurisdictions, does not provide a precise definition of a promoter. The promoter has been described as 'the midwife of the birth of the business',²⁷ and the person who 'undertakes to form a company with reference to a given project and to set it going and who undertakes the necessary steps to accomplish that purpose'.²⁸ As we shall see, however, this definition, is largely applicable to onshore, rather than offshore, company management practice.

1.1 Promoters: definition and description

A promoter is the person who, onshore at least, forms the business plan, arranges the initial capital, lines up professionals to incorporate and set up the undertaking, organises the initial business structure and negotiates preliminary contracts, etc. This person helps create the company and then often sells it something (such as an existing business, capital assets, investments and/or services) in exchange for the issue of shares or other securities.

The role of the promoter has an interesting place in the evolution of companies. In the 19th century there were some spectacular abuses of the position, caused principally by the ability of a promoter to obtain, from the new company, a consideration far greater than the value of the thing transferred to it.

A person who promotes a private company (for instance, in order to take over their own unincorporated business, intending to continue to run the business in more or less the same manner but as an incorporated entity, and to act as its director and majority shareholder) is unlikely to defraud the company at this initial stage. It would amount to defrauding themselves. On the other hand, a professional promoter who intends to sell their shares to third parties soon after incorporation clearly does have an opportunity to defraud investors, as we will illustrate.

Professional promoters of public companies in 19th-century England were often reputable businessmen. Some were not, however, such as one colourfully described by Gower²⁹ as:

'[a] character of dubious repute and antecedents, who infest the commercial demi-monde with a menagerie of bulls, bears, stags and sharks as his familiars, and who, often rising to affluence by preying on the susceptibilities of a gullible public, finally retires from the scene in a blaze of sensational suicide or Old Bailey trial. (It is perhaps a tribute to the law that we definitely picture [the rogue promoter] as coming to a sticky end).'

Nowadays, very few companies, if any, seek investment from the public before the company has been formed. Public companies start off as private companies and 'go public' having traded successfully for some years and built up the business. The first step is to ensure that the company is a public company. Then if the company wants to have its shares listed on an onshore stock exchange, complex and, stringent investor-protection and stock exchange regulations have to be complied with. For this reason the vast majority of onshore IPOs are undertaken by reputable investment banks, and the traditional, individual, 19th-century-style promoter has disappeared. Accordingly, there is nowadays little, if any, abuse of the position of promoter. The public is protected by comprehensive regulation and the integrity of reputable professionals.

27. HG Henn and JA Alexander, *Laws of Corporations and other Business Enterprises* (3rd edn, West Publishing, United States, 1983), p.237.

28. *Twycross v Grant* (1877) 2 CPD 469.

29. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016).

1.2 Promoters: their offshore role

Who fulfils the role of the promoter in the offshore environment? Where does the promoter fit into the offshore incorporation process of a private limited company?

The promoter, you will recall, undertakes the steps that are necessary to form a company, and immediately after incorporation assists or facilitates the company in obtaining capital and funding. The role of promoter is not occupied by those professionals who act in a purely administrative capacity, such as lawyers, accountants or corporate service providers.

Accordingly, for the purposes of our nomenclature, the promoter is the pre-incorporation name given to the beneficial owner of the shares of the company. In the offshore world, where public companies are rare, we do not have to concern ourselves with professional promoters. The promoter is the client, upon whose instructions the private company is formed.

1.3 Duties of promoters

Owing to the possibility of abuse referred to in section 1.1, certain aspects of company law evolved in England in the 19th century to protect potential victims against the actions of a rogue promoter. This was not something carried out by legislation. Instead, the common law imposed a fiduciary duty on the promoter, thereby affording a victim a remedy in law for breach. This fiduciary duty is impliedly owed by every promoter to the company when formed. In effect it means that a promoter must not make a profit out of the incorporation process without disclosing it to the company.

The duty to refrain from making a 'secret profit' is illustrated by the facts of *Erlanger v New Sombrero Phosphate Co.*³⁰ A, heading a syndicate comprising A–Z, acquired the right to mine phosphate deposits in the Caribbean at a cost of £55,000. A then formed a company on behalf of the syndicate and the right to mine phosphate was sold to it for £110,000. A thereby made a secret profit of £55,000.

The case of *Erlanger* confirmed that an owner of property may, as promoter, incorporate a company and sell property to it, but one who does so must disclose any profits. The court in *Erlanger* said that A should have ensured that the company, or a disinterested quorum of the board of directors, were made aware of the terms of A's purchase of the property and subsequent sale thereof to the company and thus were aware of any profit made by him as the promoter of the company.

Where independent directors do not exist to satisfy the requirement of a disinterested quorum, the promoter must make full and frank disclosure of any profit they make to the members of the company. A should have disclosed his profit of £55,000 to the shareholders of the company, namely B through Z. They could then make an informed decision as to the *bona fides* of the deal.

Disclosure to the members of the company may still not offer protection to third parties if the promoter is the initial majority shareholder of the company but intends to sell his or her shares at the first opportunity or intends to 'go public' imminently and invite investment from the public. This is exactly what happened

30. *Erlanger v New Sombrero Phosphate Co* (1878) 3 App Cas 1218.

in *Gluckstein v Barnes*³¹ where A, B, C and D bought the Olympia exhibition hall for £140,000. They then incorporated a company (in which they each held 25% of the shares) to which they sold the property for £180,000. Thereafter they invited the public to buy shares in the company to own and manage the exhibition hall without fully disclosing their 'secret profit'. It was held that a promoter who makes a profit upon a sale of assets to the company must disclose that profit to the **company** by making a full and frank report to an independent board of directors, or to existing **and potential** shareholders (for instance, in the prospectus) so that persons who are contemplating becoming members are fully aware of the terms of the transaction between the company and the promoter.

So, for example, a promoter who, in the process of setting up a company, buys land for \$1 million on its behalf, may only sell that land to the company for \$1 million. To sell it for \$1.5 million, the promoter must disclose the profit to a disinterested quorum of the directors or to the existing shareholders and any potential members of the company. If the promoter fails to make full and frank disclosure, the company may (by resolution of its shareholders):

- (i) rescind the contract that gave rise to the profit and recover the purchase price paid (\$1.5 million) and restore the property (the land) to the promoter; or
- (ii) compel the promoter to account to the company for the profit, and turn over the \$0.5m to the company; or
- (iii) sue the promoter for compensation for breaching the common law fiduciary duty, or for misrepresentation.³²

Finally, we ought to put issues relating to promoters into perspective. These issues are of clear historical interest in the onshore world of commerce where public companies proliferate. Promoter issues are not common, however, in relation to private companies incorporated as investment vehicles on behalf of a single person or small group of HNWI's.

The promotion and incorporation of offshore private companies is usually undertaken by the same persons who become the registered shareholders or the beneficial owners of the shares (or are the trustees of a trust for which the company serves as the underlying asset-holding company). Accordingly, there is little scope for fraud, and indeed little point, as the promoters would, in effect, be doing no more than defrauding themselves. Even so, the opportunity for abuse, and therefore potential problems, may arise where promoters either do not take shares in the company (in their own names or through a nominee on their behalf), or sell their shares shortly after incorporation to third parties.

In such circumstances a situation may arise whereby the promoters must be advised to disclose details of any profit made by them in the incorporation process.

1.4 Promoter's fees and recovery of expenses

Is a promoter entitled to recover the preliminary expenses and registration fees incurred in the incorporation process? May a professional promoter be paid a fee by the company for services rendered?

31. *Gluckstein v Barnes* [1900] AC 240.

32. *Re Leeds & Hanley Theatres of Varieties Ltd* [1902] 2 Ch 809. The compensation being the difference between the market value of the property and the contract price: a useful remedy where restitution is impossible.

Prima facie, a promoter is not entitled to be paid a fee or be reimbursed for expenses unless the company has agreed to pay. As a company cannot enter into a binding agreement until incorporated, it is difficult to envisage any situation whereby it would be conceivably possible for a company to enter into an agreement to reimburse or remunerate a promoter (a director yes, but not a promoter).

In practice, however, the reimbursement of fees and expenses is usually covered in the articles. A typical provision,³³ such as the one below, authorises the directors to repay expenses properly incurred by the promoter in incorporating the company.

'The business of the company shall be managed by the directors, who may pay all expenses properly incurred in promoting and registering the company ... '

An actual fee or remuneration paid to a promoter is unusual. Nowadays, in the onshore environment, promoters are often compensated for their efforts by being given options, entitling them to purchase shares in the public or private companies that they has been instrumental in forming, at a stated price and within a specified time – if the shares have, in that time, gone up in value the option constitutes a recompense for the initial services of the promoters.



Task 3.1

Obtain a copy of the standard articles of association adopted by private limited companies incorporated by your organisation on behalf of clients. (This is an important document and you will be referring to it on occasions throughout this course). As an alternative, review the model articles found in Appendices 1B and 1C of the online Study Resources.

Peruse the powers of the directors. Do they include a provision permitting the company to reimburse its promoter? If so, is the power ever used? If not, why do you think this is? Why is reimbursement of expenses far more important in relation to companies incorporated onshore in high-tax jurisdictions? (Hint: it relates to tax deductibles.)

2. Pre-incorporation contracts

In certain circumstances a promoter may purport to enter into a contract on behalf of a company before the company has been incorporated. These contracts are often referred to as pre-incorporation contracts.

This may occur, for instance, where the promoter is concerned that a delay in signing the contract may jeopardise the proposed deal, or may not have been aware that the company had not yet been incorporated; or it may be desirable (for lawful or, unfortunately, unlawful reasons) for a contract to be back-dated or to bear a specific date.

2.1 The position at common law

According to common law principles, until it has been incorporated, a company cannot enter into any binding agreement. It cannot, therefore, enforce a pre-incorporation

33. See model art.19.1, Appendix 1B.

contract, nor can it be held liable thereunder. A pre-incorporation contract is unenforceable by or against the company.

Furthermore, at common law, a company cannot, after its incorporation, ratify a contract made on its behalf before the date of incorporation.

So, for example, in the case of *Kelner v Baxter*,³⁴ A, B and C decided to incorporate a company in order to acquire a hotel. Before the company was incorporated A, B and C negotiated a contract to buy a substantial amount of wine to stock the cellar, and executed the contract 'on behalf of [proposed name of company] by A, B and C'. The company was later formed, the wine delivered to the hotel and most of it was consumed by guests. Unfortunately, the company soon went into liquidation with the price of the wine still outstanding. It was held by the court:

- that the company was not liable to pay for the wine as it had been ordered pursuant to a pre-incorporation contract which was not enforceable against the company
- that the company could not, after incorporation, ratify the agreement and thus become liable under its terms
- that A, B and C were personally liable under the contract in these circumstances, not the company.

Accordingly, at common law, a promoter who cannot wait for the incorporation process to be completed is well advised either:

- simply to seek a **letter of intent** or non-binding agreement from the other contracting party or
- to enter into the agreement in a personal capacity, and rely upon the fact that the company and the other contracting party will, after incorporation, enter into a new contract in similar terms and discharge the promoter from the original liability. This is called 'novation', whereby the original contracting parties and the new company agree to enter into a completely new contract. The consent of all parties, especially the original contracting parties, is therefore required for a novation.

2.2 The position under modern statutory provisions

The provisions set out above represent the position at common law. The companies legislation of a number of offshore jurisdictions, however, now contains modern provisions, whereby a newly formed company may adopt a pre-incorporation contract by way of ratification, without the need to obtain the consent of the other contracting party.

Accordingly, on the facts of *Kelner v Baxter*, the new company, upon adopting the contract entered into on its behalf by A, B and C, would become liable under its terms to pay for the wine, rather than A, B and C in their personal capacities. A novation (or new contract) requiring the consent of the other contracting party (the supplier of the wine) is not necessary before the company becomes liable.

34. *Kelner v Baxter* (1866) LR 2 CP 174.

The statutory provisions may also state that, following the adoption of a pre-incorporation contract by the newly incorporated company, the personal liability of the promoter (A, B and C, who originally entered into the contract on behalf of the company) ceases.

Whether a newly formed company adopts a pre-incorporation contract is a matter for the company's board of directors to decide. A simple board resolution to do so is sufficient, similar to the one illustrated in Appendix 4 of the online Study Resources.



Task 3.2

Research the enforceability of pre-incorporation contracts (purported to have been made by a company before incorporation) in the companies legislation of the jurisdiction where you work or have some connection.³⁵ Does it make provision for a company to adopt a pre-incorporation contract? If a pre-incorporation contract is adopted by a newly formed company, is the personal liability of the promoter discharged?

3. Process of incorporation

The legal registration process required to incorporate a company may vary slightly from jurisdiction to jurisdiction, but any variations are to a common theme.

We cannot summarise the incorporation procedures that apply in every major offshore centre, but we are able to outline the broad steps required. We shall leave it to you to acquire a detailed knowledge of the process of incorporation applicable to the jurisdiction where you work. It is also important to have an understanding of the process required in the jurisdiction where most of the companies formed on behalf of your clients are incorporated (if different).

3.1 Take instructions

A corporate service provider must initially take instructions to incorporate a company from the client (the promoter) or the client's advisers. This may involve a face-to-face meeting, or instructions may be received in writing or by phone. The purpose of the initial 'meeting' is to obtain all the requisite information at this early stage to incorporate the company and to comply with anti money laundering (AML), Foreign Account Tax Compliance Act (FATCA) and Common Reporting Standard (CRS) due diligence.

3.1.1 Corporate information

The service provider must obtain full and detailed particulars relating to the proposed company. This often involves completing a 'New Company Questionnaire' (basically an aide-memoire to ensure that you obtain all the necessary information to enable you to proceed). It is also an opportunity to give preliminary advice about basic corporate principles and to agree fees.

35. Bahamas – s.70 of the IBCA 2000 as amended/s.22 of the Companies Act 1992; Bermuda – s.21(5) of the Companies Act 1981 as amended; BVI – s.104 of the Business Companies Act, 2004; Cayman Islands – s.81(2) and (3) of the Companies Law 2020 Rev; Guernsey – s.119 of the Companies (Guernsey) Law 2008; Hong Kong – s.122 of the Companies Ord Cap 622, 2014 Rev; Jersey – art.21 of the Companies (Jersey) Law 2019 Revision; Isle of Man – s.87 of the Companies Act 2006; Mauritius – s.183–5 of the Companies Act 2001; Gibraltar s.69 of the Companies Act 2014, Singapore – s.41 of the Companies Act Cap 50, 2017 Revision; Turks and Caicos Islands – s.79(5) of the Companies Ord codifies the common law.



Task 3.3

Review the 'New Company Questionnaire' found in Appendix 5 of the online Study Resources. Does your organisation require you to complete a similar in-house document when taking instructions to form a new company? If so, obtain a copy and compare its provisions with those of our precedent. Could either document be improved in any way?

3.1.2 AML requirements

Applicable AML legislation imposes new statutory duties upon service providers to carry out proper due diligence and establish (a) the identity and bona fides of the client; (b) the provenance of the funds introduced to the structure; and (c) the purpose for which the company is to be used and anticipated activity.³⁶

3.1.3 FATCA requirements

FATCA is a US Act of Congress that applies and is given statutory effect in non-US jurisdictions, including the common law financial centres, by way of a series of inter-governmental agreements. These FATCA Regulations require foreign (non-US) financial institutions (FFIs) to disclose to a new competent authority prescribed account information:

- (i) the identities of holders of an account who are US persons; and
- (ii) the identities of the 'controlling persons' of a passive non-financial foreign (non-US) entity (NFFE) who are US Persons.

As a preliminary requirement, the FATCA Regulations require the FFI to obtain from the 'account holder' or 'controlling person of an entity account holder', a self-certifying tax status disclosure document: Internal Revenue Service (IRS) Form W-9 if the holder of a personal account or controlling person is a US Person; or IRS Form W-8BEN if the holder of a personal account is not a US person; or IRS Form W-8BEN.E when the holder of an entity account has a controlling person who is not a US Person.

FATCA Regulations then require FFIs to verify their clients' self-certification of their tax status by searching for facts that suggest 'US Indicia'.³⁷

3.1.4 CRS requirements

The success of FATCA in obtaining tax-related information on US taxpayers from foreign banks and financial institutions caused the Organisation for Economic Co-operation and Development (OECD) to roll-out a global version, i.e. the CRS. The OECD drafted its model Competent Authority Agreements (CAAs) and then exerted pressure to persuade governments to give them statutory effect. Over 100 jurisdictions, including the major offshore financial centres, have signed up to comply with CRS by entering into a CAA, and more jurisdictions are expected to follow.

36. All the issues relating to the criminal offence of money laundering and civil liability for 'dishonest assistance' apply to the incorporation of an offshore company in the same manner as they apply to the creation of a trust: this is covered in more detail in the STEP Advanced Certificate in Principles of International Taxation, Compliance and AML.

37. For example, the client beneficial owner: has a US passport; resides in the US; has a current residential or mailing address in the US; has a US telephone number; or wishes to transfer funds from, or transfer funds to, a US bank or a branch located in the US.

CRS requires a 'reporting financial institution' (RFI) located in a participating jurisdiction that has signed up to CRS, to disclose to a new competent authority prescribed account information, namely the identity of:

- a. holders of an account who are 'reportable persons' (who reside in a participating jurisdiction that has signed up to CRS); and
- b. the controlling person of a passive non-financial entity (NFE) that are reportable persons insofar as they reside in a participating jurisdiction.

As a preliminary requirement, the RFI must ascertain tax-related particulars of account holders and controlling persons of entity account holders, such as their name, address, date of birth, jurisdiction of tax residence and their Taxpayer Identification Number (TIN) or equivalent. The starting point for establishing such particulars is for the RFI to solicit from its client beneficial owner a self-certification of tax residency. As CRS is a global initiative there are no prescribed forms, just prescribed particulars. The RFI is then required to verify the accuracy of the self-certification by obtaining a written confirmation of tax residency, or equivalent and looking for alternative 'Indicia'.

3.1.5 Economic substance analysis

New so-called 'economic substance' requirements implemented in 2019 establish a test by which companies must demonstrate that they are properly tax-resident in the offshore jurisdiction of their incorporation:

- a. the company must be 'directed and managed' in the offshore jurisdiction; and
- b. its 'core income-generating activities' must be undertaken in such jurisdiction.

This requires an analysis of the type of business the company is to undertake upon incorporation and how it is to be managed and controlled.

3.2 Decide upon type of company

The first decision that a promoter has to make is the type of company they wish to incorporate, as this affects the contents of its constitutive documents. A company may be formed:

- as a private or public company
- with unlimited liability or with the liability of its members for company debts limited by shares or, sometimes, by guarantee
- for onshore/resident/local/domestic purposes or for offshore/non-resident/international purposes
- as a special type of company.

3.2.1 Private or public (and listed)?

This text will not review the requirements for incorporating a public company or a company whose shares are to be listed on a stock exchange. Instead, we shall concentrate on the requirements for incorporating a private company, as this is the type of entity that you are likely to be asked to incorporate as an asset-holding vehicle for a client.

A public company is generally any limited company that does not specifically qualify as a private company. The companies legislation of some jurisdictions still follows the English template and states, for example, that:

- (i) a private company must have fewer than 50 shareholders; and
- (ii) the right of such shareholders to transfer their shares must be restricted; and
- (iii) the private company cannot invite investment from the public.

A public company on the other hand, has multiple shareholders and can offer securities (stocks and shares or debt instruments such as bonds) to the wider investing public and is therefore more tightly regulated. The two kinds of company are used for completely different purposes, the public company being designed to raise capital from the public to finance its business, while the private company is designed to obtain a separate legal personality and confer limited liability upon its owner.

In practice the choice is obvious. A sole beneficial owner consisting of a family who wish to hold family wealth in a company will require a private company. For the same reasons, a corporate trustee that wishes to hold the trust fund in a self-contained special purpose vehicle will require a private company.

A significant number of offshore jurisdictions have modernised their laws and no longer distinguish between public and private companies.³⁸ In these jurisdictions, organisational and internal rules of management can be made in the constitutive documents to cater for companies that do, or do not, propose to offer securities to the public.

Finally, we should consider listed companies. A listed company is one whose shares are listed on an exchange. A listing on an exchange is generally sought to facilitate trading and make the securities more liquid and marketable. A number of offshore financial centres have developed local stock exchanges with their own regulations and listing requirements. Companies can apply for a listing provided they satisfy the prescribed listing requirements. The vast majority of companies listed on one of the offshore exchanges are investment companies or 'hedge funds'. The advantage of obtaining a listing has nothing to do with liquidity and everything to do with regulation avoidance. A number of sophisticated onshore jurisdictions, such as the US and Western European countries, restrict the investment powers of institutional investors (such as insurance companies, pension funds and retail investment funds) to marketable or listed securities. This means that investment in an offshore hedge fund is prohibited. But when the offshore hedge fund obtains a listing on a recognised exchange it becomes

38. This template is based upon s.28 of the Companies Act 1948. The BVI BCA 2004, as amended, does not distinguish between public or private companies; a company can be incorporated in the Bahamas either as a public or a private company under the provisions of the traditional local Companies Act 1992 (where, under s.2, a private company is one that is not a public company, and a public company is one whose shares are intended for distribution to the public), whereas the Bahamian IBCA does not distinguish between public and private companies; Bermuda does not distinguish between public and private companies under the Companies Act 1981 as consolidated 2017; although the Cayman Islands' companies legislation, the Companies Law 2020 Rev., is based upon the 1948 Act, it no longer distinguishes between public and private entities; the Gibraltar Companies Act 2014 is based upon the English model and distinguishes between a public and private company, where under s.4 of the Companies Act 2014 a private company is any company that is not a public company under the former Companies Ordinance; the Companies (Guernsey) Law 2008 no longer distinguishes between a private and public company; under the traditional Manx companies legislation based upon the English 1948 Act, namely the Companies Act 1931 as amended, a public company is a limited company that is not a private company as defined by s.26, must have 'plc' in its title and have at least two shareholders, whereas a private company in the Isle of Man is defined in s.26 of the 1931 Act – but the Companies Act 2006 creates a new company, aptly named the 'New Manx Vehicle' (NMV) which does not distinguish between public and private entities; the Companies (Jersey) Law 1991, 2019 Revision follows the English 1948 Act by essentially stating that a private company under s.3B is any company that is not a public company as defined in s.3A; a public company in Hong Kong is any limited company that is not a private company, as defined in ss.11 and 12 of the Companies Ord. Cap 622; The Companies Act 1984 in Mauritius was based on the English 1948 Act but has been substantially modified by the Companies Act 2001, although s.21(4) of the 2001 Act retains the distinction between public and private companies, to which Pt 21 applies; in Singapore a public company is any limited company that is not a private company as defined in s.18 of the Companies Act Cap 50.

lawful for one of the big institutional investors to invest in the fund. Thus it increases the marketing base and allows the investment company to promote its shares to these large institutional investors, which are happy to invest because of the potential for superior returns. Those offshore investment companies that obtain a listing on one of the offshore exchanges are regulated not only by the more familiar companies legislation and their constitutive documents, but also by investment fund regulations and the exchange's listing rules.³⁹

3.2.2 Unlimited or limited liability?

A company may be incorporated so that its shareholders incur unlimited liability for the company's debts. Such a company is, in the first instance, liable for its own debts but, if it cannot pay, the shareholders are liable. So if a company is insolvent and unable to pay a creditor in full, the creditor may seek payment from the shareholders without any restriction on the amount of their liability.

Why might a client require a company with unlimited liability? It is most unusual, and very few are formed, but there are a couple of logical reasons.

- To obtain a corporate vehicle with all the features identified in Module 2 save for the limited liability of its members. If the company is to have a number of non-director shareholders and carry on a trade or business with inherent risk, clear disadvantages accrue to the shareholders who bear unlimited liability.
- Certain professions, notably lawyers and accountants, permit their members to practise as an incorporated company, but only if the directors and shareholders accept unlimited personal liability (to protect clients and put the professionals on a level playing field with their colleagues who have associated under a traditional partnership structure). Most of these professional partnerships nowadays elect to structure themselves as a limited liability partnership.

3.2.3 Limited by shares or guarantee?

As discussed in Module 2 section 4.2, the liability of shareholders for the debts of a company may, by the memorandum of association, be limited by shares or guarantee.

Companies that are limited by shares are, by far, the more popular type of company. They are the usual corporate structure used for trading purposes (both onshore and offshore) where members invest in a business for profit and require the protection of limited liability. They are also used offshore as a vehicle to hold income-producing assets, i.e., when the passive assets of the company are expected to generate an income such as rent, dividends, interest, royalty payments, licence fees, etc. Ownership of the company and, moreover, the distribution of its earned profits are divided between the shareholders of the company according to the number of shares owned of the company is merely to hold real estate or other assets, rather than to trade, however, it is unlikely to incur liabilities and become insolvent. The disadvantage of unlimited liability is therefore negligible. On the other hand, why not simply incorporate with limited liability, just in case?

39. The Bahamas International Securities Exchange (BISX – see <https://bisxbahamas.com>); the Bermuda Stock Exchange (BSX – see www.bsx.com); the Cayman Islands Stock Exchange (CSX – see www.cimoney.com.ky); the Channel Islands Stock Exchange (CISX – see www.csx.ky); in 2000 the Hong Kong Stock Exchange and the Futures Exchange merged to form the Hong Kong Exchanges and Clearing (HKEx – see www.hkex.com.hk) alongside the Growth Enterprise Market (GEM) and is a major exchange for Chinese and Asian as well as Hong Kong Companies; and the Singapore Exchange (SGX) was formed in 1999 following the merger of the Stock Exchange of Singapore and the Singapore International Monetary Exchange (SIMEX) – see www.sgx.com.

Companies limited by guarantee are structured, by their memorandum, so that each member promises to guarantee to pay the debts of the company up to a certain amount. A typical provision found in a memorandum of a company limited by guarantee is that each member agrees to contribute, upon a winding up, 'such amount as may be required, not exceeding \$100'.

A guarantee company does not have shares. This is therefore an appropriate corporate structure to be used wherever there is no intention of distributing the profits of the company but rather of ploughing the profits back into the business. If there is to be no distribution of profits there does not have to be a division of the company into shares. Each member is simply entitled to a portion of the capital upon winding up.

This type of corporate structure is widely used for not-for-profit associations, such as educational establishments, hospitals and charities, where profit-sharing does not occur. For example, s.5(3) of the Companies Act 1981 of Bermuda provides that a company limited by guarantee can be used only if:

- '(a) its purpose is to promote art, science, religion, charity, sport, education or any other social or useful purpose, and its profits, if any, and other income is to be used in promoting its purposes and no dividends are to be paid to its members, or
- (b) it is a mutual company' [defined in Pt 12 of the Act as a company authorised to carry on insurance on the mutual principle, i.e. for the sole benefit of its policyholders].

The members of a guarantee company are under no liability to pay the company's debts so long as the company remains solvent. They only become liable, to the extent of their guarantee (which is usually a fairly nominal sum such as \$100), if the company is wound up.

3.2.4 Resident/local/domestic (for trading purposes) or offshore (for asset holding purposes)?

It is important to establish the purposes for which the company is intended, as this may influence its type and structure.

In some jurisdictions, only certain types of company are permitted to carry on business within the geographical territory of the offshore centre where they are incorporated. In other words, only local companies can trade within the domestic economy. These are known by various names in different jurisdictions, as the following examples illustrate.

- A 'domestic company' in the Bahamas, incorporated under the provisions of the Companies Act 1992 as amended, may conduct business within the Bahamas and hold land in the Bahamas, but must have majority Bahamian ownership.
- An 'ordinary resident company' in the Cayman Islands, incorporated under the provisions of the Companies Law, 2020 Revision where at least 60% of the share capital must be owned by Caymanian nationals or the company must be licensed to trade locally under the Local Companies (Control) Law – for this reason they are also known colloquially as 'local companies'.

- A 'local company' in Bermuda, incorporated under the Companies Act 1981, as amended, the shares of which must be predominantly owned by Bermudian nationals.
- Before the BVI Business Companies Act 2004, a 'CAP 285 Company' incorporated under the Companies Act, Chapter 285, was used for companies carrying on business or owning real estate within the BVI. Post-2004, they no longer exist.
- Before the abolition of exempt companies in Jersey, Guernsey and the Isle of Man over recent years, these jurisdictions permitted the so-called 'resident company' to trade within the domestic economy.

These local, resident and domestic companies are distinguished from a different type of non-resident corporate vehicle that is **not** permitted to carry on business within the local economy. The alternative type of company is the one typically used by foreign clients for offshore asset-holding purposes. Such companies go by different names in different jurisdictions, but are usually known as 'exempt companies' or 'international business companies' (IBCs).

The attraction of the exempt company and IBC for the typical international high-net-worth or institutional investor is that they are not subject to corporation tax (or corporate income tax) in the jurisdiction of incorporation. This is fair enough in the nil-tax jurisdictions that do not impose corporation tax upon either the local resident company or the non-resident, tax-exempt IBC. But when a so-called low-tax jurisdiction imposes corporation tax on the local resident company that carries on business in the local economy, but confers tax exemption upon the non-resident exempt company that carries on business abroad, outside the jurisdiction of incorporation, the dichotomy of tax treatment is considered abusive or 'unfair tax competition' by the OECD. The nature of the abuse is that these low-tax jurisdictions have one set of company and tax laws for locals (to protect their local tax base) and another more favourable set of corporate and tax rules for foreigners (designed to attract foreign capital while completely disregarding the protection of the tax base in the foreign jurisdiction where such capital originates). The term adopted to describe this dichotomy is 'ring-fencing'. Having these two parallel systems of corporate tax liability within the same jurisdiction is regarded as harmful to global economic development as it is bound to attract capital from the high-tax onshore developed jurisdictions of the world.

Accordingly, around the turn of the millennium, the OECD and EU launched a series of initiatives aimed at 'tax havens' in order to curb abusive 'unfair tax competition'. Both nil-tax and low-tax jurisdictions were in the firing line, but it was the low-tax jurisdictions that held the untenable position. At least the nil-tax jurisdictions could argue that their tax laws did not discriminate between locals and foreigners.

In order to placate the international community and the OECD in particular, a number of offshore financial centres repealed these parallel, ring-fenced corporate tax regimes. A selection of both nil-tax jurisdictions (that do not impose corporate taxes) and low-tax jurisdictions (that hitherto had conferred tax exemption upon companies that did not carry on business within the jurisdiction of incorporation) harmonised the tax treatment of companies irrespective of whether they carried on business

locally or abroad, within or outside the jurisdiction of incorporation, as the instances in Example 3A illustrate.⁴⁰



Example 3A

Historically, before 2004, the hugely popular BVI IBC, incorporated under the old International Business Companies Act 1984 (IBCA) could not carry on business within the BVI, whereas the Cap 285 company, incorporated under the Companies Act (Cap 285), could carry on business locally. To harmonise the company law and regulation of all BVI corporate entities, the legislature enacted the BVI Business Companies Act 2004 (BVI BCA), replacing the IBCA and the Companies Act (Cap 285). This single statute provides for the incorporation of a single type of company which can carry on business locally within the BVI or elsewhere. In other words, the new BVI BC is subject to the same corporate and regulatory requirements, irrespective of whether it conducts business in the domestic economy or simply holds foreign assets offshore.

Low-tax centres, such as Jersey, Guernsey and the Isle of Man, suffered the most international criticism. This was because their exempt companies were subject to a tax regime that was completely different to the regime they applied to their local resident companies: resident companies were subject to corporation tax (or corporate income tax) at the local rate, whereas exempt companies enjoyed a nil rate. The international community demanded that these jurisdictions harmonise the tax treatment of all types of entity. These jurisdictions, therefore, abolished the exempt company and its tax exempt status. Clearly OECD expected that they would then impose corporation tax at the local rate upon those companies that had hitherto qualified for tax exemption on the grounds that they did not carry on business locally and had no local source profits. In a twist, however, and in order to preserve their offshore financial services industry, the low-tax jurisdictions of Jersey,⁴¹ Guernsey⁴² and the Isle of Man⁴³ became quasi nil-tax jurisdictions (or, more accurately, nil-corporate-tax jurisdictions) insofar as they replaced the local rate of corporation tax with a non-discriminatory nil rate of corporate tax for all companies (except banks). This became known as the 'Zero/10' tax regime.⁴⁴ It refers to the fact that the new tax regime introduces a zero rate of tax for all corporate entities incorporated in those jurisdictions and a 10% rate of tax for banks and other financial service providers. In view of the lost tax revenues, and in order to protect their tax base, these jurisdictions continue to levy income tax on individuals and some have introduced a type of sales tax.

40. Section 5(1) of the International Business Companies Act 1984 (the old, repealed BVI companies legislation).

41. Jersey followed the lead of Guernsey and the Isle of Man by reforming its tax-exempt company regime and introducing a nil corporate tax rate, with a 10% rate for banks, etc., which came into force on 1 January 2009: see Appendix 6B of the online Study Resources section 9.

42. In 2008, Guernsey introduced a zero rate of corporate tax for all Guernsey companies from the 2008 tax year, save for banks and other financial services providers regulated by the Guernsey FSC, which are charged at the rate of 10% p.a. – see Appendix 6B section 6.

43. Manx companies now have a zero corporate tax rate with effect from 2006 (other than banks and other financial services companies) – see Appendix 6B section 8.

44. The 'Zero/10' tax regime in Jersey, Guernsey and Isle of Man is explained further in Appendix 6B, where types of companies are reviewed on a jurisdiction-by-jurisdiction basis.

Gibraltar⁴⁵ has an even more interesting story to tell of its efforts to comply with the EU's concept of fair taxation principles and yet at the same time protect its offshore financial sector and flourishing gambling business.

The low-tax centres of Hong Kong⁴⁶ and Singapore⁴⁷ are in a different league to Jersey, Guernsey and the Isle of Man. They were not under the same pressure to curb their 'unfair tax competition' as they were not responsible for 'ring-fencing'. This is because these jurisdictions do not confer tax exemption upon non-resident companies that carry on business outside the geographic territory of the state of incorporation. Instead, these jurisdictions impose tax on the territorial principle, i.e. taxes are only levied upon income or profits arising or derived from the conduct of business within the jurisdiction, and not on income or profits generated from a source located outside the jurisdiction. Accordingly, Hong Kong and Singapore did not follow other low-tax jurisdictions by introducing a qualified nil-tax regime.

3.2.5 Any special type of company?

A number of different types of company may be incorporated in, and managed from, offshore financial centres. Although these entities generally possess the same basic characteristics and qualities associated with a private limited company, each contains its own features that distinguish it from what would otherwise appear to be a similar vehicle.

A special purpose vehicle may simply be structured as an ordinary private company but with special articles that cater for a specific transaction or asset-holding purpose. In addition, there are some innovative types of company that may be incorporated in the more liberal offshore jurisdictions under specific statutory provisions, including the protected cell/segregated portfolio company, the limited liability company (LLC), the limited duration company and international company.

Protected cell/segregated portfolio company

This type of company has the characteristics of a typical company: in particular, it is a single and separate legal entity. Its defining feature is that it can segregate assets and liabilities into different 'protected cells' (sometimes known as 'segregated portfolios').

45. In 2002, under OECD pressure, Gibraltar announced its intended abolition of the tax-exempt company and the introduction of a new corporate taxation policy setting a zero rate of corporation tax for all companies but introducing new taxes on company personnel and property occupation which would be capped at 15% of profits. However, in 2004, the EU challenged such a regime on the basis, inter alia, that since the taxes were based on payroll and the occupation of business premises, offshore companies registered in Gibraltar would be unlikely to incur any tax liability. The issue rumbled on, however, since the Income Tax Act 2010, a Gibraltarian 'ordinarily resident company' pays corporate income tax at 10% on worldwide income; whereas a 'non-resident company' pays at a nil rate. An ordinary resident company is defined as:
- i. a company the management and control of whose business is exercised in Gibraltar; or
 - ii. a company which carries on business in Gibraltar and the management and control of which is exercised outside Gibraltar; or
 - iii. an investment company which is domiciled anywhere outside Gibraltar, where control of the company, through shares or voting powers, is exercised by persons ordinarily resident in Gibraltar.
- A non-resident company is defined as a company that is incorporated in Gibraltar and does not trade or earn income in Gibraltar. The dichotomy persists.
46. Many commentators consider Hong Kong to be an offshore tax haven. While its tax rates are low by OECD standards, and a number of the taxes that are imposed by most onshore jurisdictions do not exist in Hong Kong (so there is no CGT, withholding tax, sales tax and no accumulated earning taxes on companies that retain earnings rather than distributing them), it is not a 'tax haven' in the traditional sense in that it does not confer tax exemption upon non-resident companies. Instead, it imposes taxes according to the territorial principle, i.e. taxes are only levied upon income derived from or arising within Hong Kong and not on income generated from a source located outside the Territory. While unsophisticated, this does not offend the international community by ring fencing – a tax regime which is considered to be improper and unfair in a global context. See Appendix 6B section 7.
47. Singaporean tax rates are pretty low by OECD standards. Corporation tax rate for resident companies (managed and controlled from within Singapore) and non-resident Singaporean companies are now taxed at 20% on all income derived from sources within Singapore as well as income derived from outside but received in Singapore. See Appendix 6B section 10.

Each cell or portfolio is insulated from the others. Assets of one cell or portfolio are not available to meet liabilities of another cell or portfolio. For example, creditors of Cell/Portfolio A cannot attach assets of the company that are held in, or constitute Cell/Portfolio B. These structures are typically used by the offshore investment funds industry when an asset management firm offers a family of different funds, each with different investment strategies and associated risks within the 'umbrella' of a single entity. They are available, among other places, in the Bahamas, Bermuda, BVI, the Cayman Islands, Guernsey, Isle of Man and Jersey – see Appendix 6B.

Limited liability company (LLC)

The defining feature of the LLC is the way in which it is managed (and often the way it is taxed). An LLC does not have a board of directors. The company is managed by its shareholders, called **members**, of which there are two types: the members and the managing member. The managing member is appointed by the members and is given all powers of management of the business of the company on a day-to-day basis. The LLC has Articles of Organisation but, in addition, it is typical for the members and managing member to enter into an Operating or LLC Agreement – this is an agreement that sets out internal rules governing matters such as membership rights, management powers and duties, operating procedures, matters relating to distribution of profits, etc. These companies are not usually liable to pay corporation tax (for example, if they are managed and controlled in a high-tax onshore jurisdiction, such as the US). Instead, profits are treated as **pass-through** so that the company's members become liable to income tax on their share of the profits in much the same way as partners of a partnership. The Delaware LLC is a popular type of company (see Appendix 6B section 10.3) and they are also available in the Isle of Man and the Cayman Islands (see Appendix 6B sections 4.8 and 8.6).

Limited duration company (LDC)

As the name suggests, these are companies that have a limited duration, usually up to 30 years. The exact duration must be specified in the company's memorandum. On the termination date, the company is automatically dissolved, its assets sold and reduced into money, liabilities paid and the surplus distributed among its shareholders. These companies are designed for holding assets on behalf of beneficial owners who are subject to specific tax regimes. In particular, under the Internal Revenue Code of the US, an LDC is treated as an LLC and the company does not become liable to corporation tax at the corporate level. Instead, its annual profits **flow-through** to the shareholders, where they are subject to income tax. LDCs are available in the Bahamas and the Cayman Islands (see Appendix 6B sections 1.5 and 4.4).

International company

The defining feature of an international company (not to be confused with the IBC) did not relate to its corporate structure, but to the fact that it could elect to become subject to a 'designer rate' of corporation tax (or corporate income tax). In other words it could agree the rate of tax it paid to the revenue authorities of the jurisdiction of its incorporation, anywhere between zero and 30%. In practice, the international

company would agree to pay such rate of tax that would be just enough to avoid any tax-avoidance rules that applied in the state in which it carried on its main business. The international company was available in Gibraltar, where it was known as a Qualifying Company, Guernsey, Isle of Man and Jersey, where it was confusingly known as an international business company. However, under OECD and EU pressure the international company has been abolished (see Appendix 6B sections 5.5, 6.6, 8.9 and 9.9).



Task 3.4

List the different types of company that are available in the jurisdiction where you work or have a substantial connection, and which you may have encountered during your career to date. Set out and describe their distinguishing features. Then review Appendix 6B, which describes some of the features and characteristics of a number of different types of offshore company on a jurisdiction-by-jurisdiction basis.

3.3 Obtain name approval

3.3.1 Name approval

The promoter must choose an appropriate name for the proposed company as it must be stated in the company's memorandum of association or, in the more progressive jurisdictions that have essentially abandoned the memorandum, in the application for incorporation.

The name of a company must distinguish it from all other companies incorporated in that jurisdiction. No two companies may have the same or similar name unless they are part of the same group.

In addition, no name may generally be used which, in the opinion of the registrar, could cause offence or mislead the public.

The company's name must as a general rule appear in its memorandum, on its company seal, be affixed outside the registered office and appear on company stationery. There is no point in making these preparations until name approval has been obtained. Accordingly, once a service provider has received instructions to proceed with the incorporation of a company, the next step is to check whether the required name is available. This usually involves contacting the local registrar of companies and asking whether the name is available (and, in some cases, suitable) and obtaining prior approval to use it. Names can often be reserved for up to 90 days.

In some centres it is possible to check name availability with the registrar online. Accordingly, in those jurisdictions a service provider must search the index of company names and decide whether a proposed name is suitable. If it is not, the application to incorporate will, of course, be rejected.

3.3.2 Words that must be used

Companies legislation usually specifies that the name of a company must contain the word 'Limited' if the company affords its members limited liability.⁴⁸ Other words that may be used instead of 'Limited', depending on the centre concerned and the type of company include: 'Corporation', 'Incorporated', 'Société Anonyme', 'Sociedad Anonima' or 'avec responsabilité limitée' or their abbreviations 'Corp', 'Inc', 'SA' or 's.a.r.l'.

3.3.3 Words that must not be used

The companies legislation of the major offshore centres imposes restrictions on, or controls the use of, certain words in the names of companies. Controlled words (as opposed to prohibited words) require the consent of the registrar of companies or of other local government authorities, such as the Financial Services Supervision Commission/Authority (or equivalent), as they often signify a particular activity which is subject to regulatory controls, or a connection with government or a public entity. Examples of controlled words include 'National', 'Council', 'Ministry', 'Royal', 'Insurance', 'Assurance', 'Bank', 'Chartered', 'Investment', 'Trust' or 'Trust Company', 'Cooperative', 'Financial' and 'Municipal', 'Charity' or 'Charitable'.

Guidelines published in Hong Kong⁴⁹ provide some interesting and helpful criteria. The registrar is likely to reject:

- names that are substantially the same, e.g. Cameron Realty Pty Ltd and Cameron Real Estate Pty Ltd⁵⁰
- names that are phonetically identical, e.g. Lifecity (Birmingham) Ltd and Lyfeciti (Bermingum) Ltd
- names where a slight variation in spelling does not make a significant difference, e.g. Consulair Ltd and Consuler Ltd
- grammatical variations that do not make a significant difference, e.g. Advance Travel Ltd and Advanced Travel Ltd
- names with the same distinctive element, e.g. Factomatic Computers Ltd and Factomatic Printing Ltd.

The registrar is often given power to make a company change its name if it is the same as or similar to another, or is otherwise inappropriate.

3.4 Decide upon an appropriate constitution

One of the most important preliminary decisions that a promoter must make relates to the company's constitution, in particular the content of its articles of association. The articles contain the rules dealing with the internal administration of the company. These internal rules are not prescribed by companies legislation but are matter for the promoter to consider, draft and adopt. Examples are illustrated in Appendix 1B and 1C and the issue is discussed further in Module 5.

48. Bahamas – s.12 of the IBCA 2000 as amended 2013, cf. s.13 of the Companies Act 1992; Bermuda – subss.7–10A of the Companies Act 1981 as amended and consolidated 2017; BVI – subss.17–26 of the BVI BCA 2004 as amended which allow Ltd, Corp, Inc, or SA or, by s.19, the company number; Cayman Islands – ss.30 and 31 of the Companies Law Rev 2020; Guernsey – subss.21–29 of the Companies (Guernsey) Law 2008 which also allow the words '*avec responsabilité limitée*'; Hong Kong – s.81 and ss.100–103 of the Companies Ord Cap 622; Jersey – art.13(2) ss.13–15 of the Companies (Jersey) Law 1991; Isle of Man – ss.17–19 of the Companies Act 1931 as amended 2004 but for the new Manx vehicle refer to ss.11–19 of the Companies Act 2006; Turks and Caicos Islands – ss.29–30 of the Companies Ord 1981 Revised 2014; Gibraltar – ss.27–32 of the Companies Act 2014; Singapore – ss.27–29 of the Companies Act Cap 50, 2006 Revision (which permits the word 'Berhad' or BHD meaning 'private' in Malay).

49. *Company Names Guidelines*, published by the Hong Kong Registrar of Companies, 1 February 1991.

50. *Cameron Real Estate Pty Ltd v Cameron* [1985] 3 ACLC 83.

3.5 Submission of documents

A regulated service provider is required to prepare and deliver prescribed documents on behalf of the promoter to the registrar of companies, usually in paper form. A number of the more sophisticated jurisdictions allow applications for incorporation to be made online. These documents usually comprise the following.

3.5.1 An application form

In England, s.9 of the Companies Act 2006 requires a formal application form (Form IN01) to be prepared, signed and delivered, either in paper form or electronically, to the registrar. It contains information that used to be found in the company's memorandum, namely: the company's name, registered office, liability of members, whether public or private and statement of proposed officers. Some other offshore jurisdictions have a similar statutory requirement, most notably Hong Kong and Singapore.⁵¹ Other jurisdictions require the submission of a form that has been approved by the registrar, often containing similar details.

In those jurisdictions where online applications for incorporation are catered for, it is typical for the service provider to populate a form prescribed by the software designed by, or on behalf of, the registrar.⁵²

3.5.2 The memorandum of association

According to the 1948 Act model, a company is required to have a memorandum of association containing prescribed information such as the company's name, registered office, objects, a statement that the liability of its members is limited, and details of the share capital. Following the prescribed information, usually set out in numbered paragraphs, the memorandum typically states that the person or persons whose names are subscribed to the memorandum wish to form a company and, upon formation, become its first shareholders.⁵³ In those jurisdictions that use the 1948 Act model, as well as the IBC jurisdictions, the memorandum must be signed by at least one subscriber and delivered to the registrar upon incorporation. An example is illustrated in Appendix 1A of the online Study Resources.

When the registered office clause of the memorandum does not give the precise physical street location of the registered office but merely states that it is situated within the jurisdiction of incorporation, it is usual for the incorporator to deliver a statement of the location of the registered office.

The 2006 Companies Act in England has essentially made the memorandum redundant as the prescribed information is now set out in the application form. Certain jurisdictions, such as Hong Kong and Singapore, have followed this modern approach and abandoned the memorandum.

51. In Hong Kong an incorporation form is required according to Pt 3, Div 1 of the Companies Ordinance Cap 622; in Singapore, see the requirements for electronic applications to incorporate on the Singaporean government's website *Bizfile+*.

52. For example, see the 'Company Incorporation Submission' in Guernsey – www.guernseyregistry.com.

53. The subscriber is usually the regulated service provider engaged to incorporate the company. For IBCs the subscriber must be the proposed registered agent of the company.

3.5.3 The articles of association (or by-laws)

The articles contain the internal administrative regulations affecting the management of the company. They are generally drafted with the assistance of precedents, i.e., in-house forms generally in use for certain types of company, which may be altered or re-drafted to reflect a client's particular requirements. Examples are set out in Appendices 1B and 1C. Alternatively, companies in some jurisdictions may simply adopt a standard set of articles published as a schedule to, or according to regulations made under, the appropriate companies legislation.⁵⁴

3.5.4 Payment of the fee

The appropriate fee payable to the registrar of companies covers the cost of local registration and any incorporation duty payable. The aggregate fee may be calculated on an *ad valorem* basis upon the authorised capital of the company. For instance, in Hong Kong duty is payable at the rate of HK\$6 per \$1,000 of authorised capital. In most jurisdictions, however, it is often the case that companies with an authorised capital below a certain level are required to pay a flat fee regardless of the amount of capital involved. Alternatively, the fee may be calculated on the basis of the number of shares the company can issue. For example, a BVI BC that is authorised to issue 50,000 shares or fewer pays an incorporation fee of \$350, whereas if it is authorised to issue more than 50,000 shares the incorporation fee increases to \$1,100. This is why most offshore companies have an authorised capital or maximum number of available shares that is far in excess of the issued share capital. It is cost effective to incorporate a company with the maximum amount of capital permitted or maximum number of permitted shares for the minimum fee payable.

3.5.5 Declaration or certificate of compliance

Local legislation or practice require some sort of declaration or certificate of compliance to be filed by the licensed service provider engaged to incorporate the company (or, in jurisdictions such as Hong Kong and Singapore, by the founding member or initial directors of the company). The purpose of the so-called declaration of compliance is to confirm compliance with all the statutory requirements for the incorporation process laid down by applicable companies legislation. It is an example of a modern trend whereby the regulator delegates *prima facie* responsibility for enforcement of the legal requirements to licensed service providers.⁵⁵ An example of a declaration of compliance is illustrated in Appendix 8 of the online Study Resources.

54. Bahamas – First Schedule to the Companies Act 1992 (there are no statutory model articles for IBCs under IBCA 2000); Bermuda – none published save for standard powers and objects – Schs 1 and 2 to the Companies Act 1981; BVI – there are no model articles for BVI BCs; Cayman Islands – Schedule Table A to Companies Law Rev 2020; Guernsey – s.16 of the Companies (Guernsey) Law 2008 authorises the States Commerce and Employment Dept to publish a Standard Table which can be periodically amended; Hong Kong – Pt 3, Division 2, Subdivisions 1 and 2, ss.78–80 and Table A Companies Ord Cap 622 and Companies (Model Articles) Notice (Cap 622H); Jersey – art.6 of the Companies (Jersey) Law 1991 authorises the publication of model articles contained in the Companies (Standard Table) Revised 2009; Turks and Caicos Islands – s.21 of the Companies Ordinance 1981 as amended and Table A and B; Gibraltar – ss.22–24 of the Companies Act 2014 and Table A; Isle of Man – s.8 of the Companies Act 1931 as amended 2004 and Table A and for the New Manx Vehicle, see s.6 of the Companies Act 2006. Singapore – ss.35–37 and Table A in Schedule of the Companies Act Cap 50.

55. The IBC legislation in the Bahamas and the BVI BCA requires a certificate of compliance to be executed by the registered agent named in the memorandum. In other jurisdictions, such as the Cayman Islands (for exempted companies only – s.165 of the Companies Law 2016 Revision) Hong Kong (s.70 of the Companies Ordinance, Cap 622, 2014 version), Singapore and Gibraltar, a declaration of compliance is required, that is, a statutory declaration in the prescribed form from the lawyer or agent forming the company, or a director or its secretary, confirming compliance with the requirements of the local companies legislation. Certain jurisdictions, such as Jersey (s.7(1) of the Companies (Jersey) Law Revised 2017), require a notification of the company's registered office if it has not already been given, for example in the statement on incorporation or declaration of compliance. In Guernsey see s.19 of the Companies (Guernsey) 2008 Law. In Hong Kong an incorporation form is required by ss.68–70 of the Companies Ord, Cap 622, which includes a 'statement of compliance'.

3.5.6 Other filing requirements

To comply with modern OECD and Financial Action Task Force (FATF) recommendations, a number of jurisdictions have introduced additional filing requirements for particulars of directors and beneficial owners of companies, i.e. the natural persons who ultimately own or control 25% or more of the shares, or exercise control of the management, of the company. Regulated service providers that incorporate and manage companies, and the registered agents for IBCs, are therefore nowadays required to enter particulars of the company's beneficial owners in a database maintained either by the registrar or by the relevant competent authority upon, or shortly after, incorporation.

See section 4.1.5 below for a discussion of the evolution of this requirement and how it has been complied with as a compromise of the tension between the public interest of increased transparency and the private interests of client confidentiality.

3.6 Review of documents and grant of certificate of incorporation

The registrar of companies reviews the papers that have been submitted (to fulfil an administrative requirement only, rather than as a judicial act). Assuming that there are no errors or omissions and that no further details are required, the registrar proceeds to register the company, allocates it a number, enters its name upon the register of companies and issues a certificate of incorporation.

The certificate of incorporation provides conclusive evidence that the company has complied with all matters relating to the process of incorporation and that the company has been registered under, and exists pursuant to, local companies legislation. Thereupon, the subscriber(s) become the holder(s) of the so-called subscriber share(s) and appoint the first board of directors; then the company is ready to commence business.

4. Practical matters following incorporation

Once a company has been incorporated it can commence its business and operations.

The exact nature of a company's activities after it has been incorporated depends on the purpose of the company concerned. A company may enter into contracts, acquire assets, employ staff. Regardless of the specific business to be undertaken, certain organisational actions must be taken immediately upon the incorporation of an offshore company. The following is an outline of the acts that are commonly performed by service providers upon incorporation.

4.1 Creation of the corporate records

It is a requirement of applicable companies legislation in the major common law offshore centres that a company must maintain proper corporate records. These records, sometimes known as 'statutory registers', may have to be kept at the company's registered office. Specimen registers are illustrated in Appendix 7. Registers usually comprise the following documents:

4.1.1 A register of directors⁵⁶

The register of directors must contain prescribed information, generally the names, addresses and occupations of the directors (perhaps also with a note of their nationality) and the date on which they were appointed to the board, together with the date of resignation, if applicable; in the case of corporate directors, the register must contain its corporate name and registered office. In most jurisdictions, the register or particulars of directors must be filed with the registrar (see Module 7 section 3.3), where it remains private rather than open to public inspection.

4.1.2 A register of the other officers⁵⁷

The register of other officers is usually restricted to details of the company secretary; it includes that individual's name, address, nature of the role held, and the date appointed, together with the date of resignation, if applicable. For IBCs this is called a register of registered agents and, guess what?, it must contain particulars of the identity of the company's registered agent and, as for directors, particulars of the registered agent must be filed with the registrar.

4.1.3 A register of members⁵⁸

The register of members contains the names and addresses of all the shareholders, the date on which they became members and also ceased to be members, if applicable, together with details of the shares subscribed and allotted and the class of shares involved. Typical legislation enacted across the jurisdictions states that trusts or, moreover, the beneficial interests under a trust, should not be entered in the register of members, just particulars of the legal holder(s) of the share(s).

Bearer shares were permitted in some jurisdictions provided they were immobilised, most notably the BVI and Cayman Islands. However, they have now been completely abolished – see s.10 of the BVI Business Companies (Amendment) Act 2022, which repeals ss.67–77 of the original BVI Business Companies Act 2004; and s.229 of the Companies Act 2022 Revision, which was amended in 2022 to prohibit a company incorporated in the Cayman Islands from issuing bearer shares.

56. Bahamas – s.44 of the IBCA 2000 as amended; BVI – s.118, 118A and 118B of the BVI BCA 2004 as amended 2022. Until 2022 BVI companies were required to file their register of directors with their registered agent but since the 2022 amendments the register of directors is filed with the Registrar where it remains private but particulars are available to lawful searchers of the VIRRGIN database such as law enforcement and regulators; Bermuda – s.92A of the Companies Act 1981 consolidated 2013; Cayman Islands – s.55 of the Companies Law 2016 Rev; Guernsey – s.143 of the Companies (Guernsey) Law 2008; Hong Kong – s.641 of the Companies Ord Cap 622, 2014 version; Jersey – art.83 of the Companies (Jersey) Law 1991; Isle of Man – s.143 of the Companies Act 1931 as amended or for New Manx Vehicle, s.101 of the Companies Act 2006; Gibraltar – s.222 of the Companies Act 2014; Turks and Caicos Islands – s.53 of the Companies Ord; Singapore – s.173 of the Companies Act 2017.
57. Bahamas – s.44 of the IBCA 2000 as amended – in addition, under s.39 a Bahamian IBC must maintain a register of registered agents; BVI – there is no requirement for a BVI BC to keep a register of officers, but under s.91 of the BVI BCA the name and address of the registered agent must be notified to the registrar of companies, who maintains a public register of registered agents; Bermuda – s.92A of the Companies Act 1981 as amended 2004; Cayman Islands – s.55 of the Companies Law 2016 Rev; Guernsey – s.143 of the Companies (Guernsey) Law 2008; Jersey – art.83 of the Companies (Jersey) Law 1991; Isle of Man – s.143 of the Companies Act 1931 and s.101 of the Companies Act 2006 for the New Manx Vehicle; Gibraltar – s.223 of the Companies Act; Turks and Caicos Islands – s.53 of the Companies Ord.; Singapore – s.173 of the Companies Act 2017 Rev; Hong Kong – s.648 of the Companies Ord. Cap 622, 2014 version.
58. Bahamas – s.29 IBCA 2000; BVI – ss.41 and 96(1)(b) of the BVI BCA 2004; Bermuda – subss.65–68 of the Companies Act 1981; Cayman Islands – s.40 of the CL 2013 Rev; Guernsey – subss.123 and 124 of the Companies (Guernsey) Law 2008; Hong Kong – s.112 of the Companies Ord., Cap 622, 2014 version; Jersey – art. 41 Companies (Jersey) Law 1991 as amended and Part 9 generally; Isle of Man – s. 96 Companies Act 1931 and s.62 of the Companies Act 2006; Gibraltar – subss.182–187 of the Companies Act 2014; Turks and Caicos Islands – s.38 of the Companies Ord. Singapore – subss.190–196 of the Companies Act Cap 50, 2017 Rev.

4.1.4 A register of charges

The register of charges contains details of any mortgages that the company has created over its assets. The 1948 Act model made this mandatory, but it is no longer a statutory requirement under current English legislation,⁵⁹ nor in the majority of the offshore financial centres.⁶⁰ When applicable, it should record details of all mortgages and floating charges over or affecting the whole or part of the assets of the company.

4.1.5 A register of beneficial ownership (or equivalent)

There is a history to this new requirement. Its starting point is the famous 'Forty Recommendations' relating to AML policies propounded by the FATF. The Forty Recommendations include Recommendation 24, calling for increased transparency to enable outsiders to ascertain the true owners of corporate entities. The FATF subsequently issued *Guidance on Transparency and Beneficial Ownership* in October 2014,⁶¹ recommending that jurisdictions ensure that information relating to the beneficial ownership of corporate entities be readily available to law enforcement agencies and revenue authorities. This could be achieved by either:

- i. requiring each jurisdiction to maintain a central public register of prescribed information on the beneficial owners of companies incorporated in such jurisdiction, or
- ii. requiring that similar prescribed information be held in a register maintained by each company incorporated in such jurisdiction, with such information being available to the law enforcement and other authorities of such jurisdiction when a lawful request is made.

The EU made this FATF Recommendation a part of the Fourth Money Laundering Directive, which was implemented in the UK in 2016, whereby UK companies are now required to maintain a Register of Persons with Significant Control, a copy of which must be submitted to the registrar upon incorporation and which is publicly accessible online via the registrar at Companies House.

The UK government exerted significant pressure upon Her Majesties Crown Dependencies and British Overseas Territories to create similar centrally held, fully public registers of beneficial ownership. Most offshore financial centres were reluctant to do so. Instead, the progressive jurisdictions sought to develop the means of centralising beneficial ownership information in a way that balances client confidentiality with enabling law enforcement agencies to have access to information when criminals abuse the corporate veil. Accordingly, at the date of publication of this edition of the study text, beneficial ownership registers are not open to the public, but maintained by a competent authority in each jurisdiction in a confidential manner where only law enforcement and regulators can obtain access. The footnotes provide

59. On 6 April 2013 a new regime for registration of charges was introduced by the Companies Act 2006 (Amendment of Part 25) Regulations 2013, which means that new English companies are not required to maintain a register of charges for charges created after 2013. However, existing companies must keep their existing registers up to date.

60. Bahamas – not required for an IBC but is optional, s.36C of the IBCA, 2000 Cap 622, 2014 version; BVI – Part 8, subss.160–168 of the BVI BCA, in particular s.162 which makes a register of charges compulsory; Bermuda – subss.55–61 of the Companies Act 1981 as amended; Cayman Islands – s.54 of the Companies Law 2022 Rev; Guernsey – no requirement; Hong Kong – Pt 8 ss.333–356 of the Companies Ord Cap.622; Singapore – s.93 and subss.131–141 of the Companies Act Cap 50; Jersey – no requirement; Turks and Caicos Islands – s.52 of the Companies Ord; Gibraltar – Pt V subss.168–177 of the Companies Act 2014; Isle of Man – Pt 3 ss.79–86 of the Companies Act 1931 amended 2004 which imposes a duty to register charges with FSC and see ss.136–142 of the Companies Act 2006 for the New Manx Vehicle.

61. FATF, *Guidance on Transparency and Beneficial Ownership* (2014), <https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Transparency-and-beneficial-ownership.html>.

an overview of a sample of jurisdictions, namely the BVI,⁶² the Cayman Islands,⁶³ Guernsey⁶⁴ and Singapore.⁶⁵ In respect of beneficial ownership registers required in other financial centres, you are referred to Task 3.5.



Task 3.5

Research the companies legislation that governs companies under your management and ascertain which, if any, methodology has been enacted to require a company to maintain a register of beneficial ownership, or something similar.⁶⁶

A specimen register of beneficial ownership (or equivalent) is illustrated in Appendix 7D of the online Study Resources. Note the final entry in the register where the condition(s) of the statutory definition that the beneficial owner meets must be stated. The definition of 'beneficial owners' (in the UK, 'persons with significant control' or PSCs) is set out in applicable local companies legislation and must satisfy the FATF recommendations. In England the statutory provisions are found in a new Pt 21A Companies Act 2006 (inserted by the Small Business Enterprise and Employment Act (SBEEA)) which states that a PSC meets one or more of the following conditions:

- a. directly, or indirectly, holds more than 25% of the shares of the company;
- b. directly, or indirectly, holds more than 25% of the voting rights;
- c. directly, or indirectly, holds the right to appoint and remove directors; or
- d. has the right to exercise, or actually exercises, significant influence or control.

It is the final condition that is the killer. 'Control' means that the PSC can direct the company's activities; 'influence' means that the PSC can ensure, in fact, if not in law, that the company adopts the activities the PSC desires. When a company is a free-standing company with standard model articles, the beneficial owner of the shares is the PSC according to all four conditions; when the company underlies a fully discretionary trust with no settlor-reserved powers, the PSC is the corporate trustee according to all four conditions, and the settlor is not a PSC; when the company underlies a settlor-reserved

62. The BVI Beneficial Secure Search Act 2017 ('BOSS') requires the registered agent of a BVI company to upload prescribed information about the beneficial owner of the company onto a database maintained by the competent authority, the regulator. The database is not open to the public, but merely law enforcement and regulators upon receipt of a proper request. However, the BVI Business Companies (Amendment) Act 2022 has created a legislative framework for a public beneficial owner register. The BVI government have stated they will introduce the public register when there is a level playing field; namely, when other jurisdictions do so and it becomes the accepted international standard.
63. According to Pt XVIII of the Companies Act 2022 Rev, companies incorporated in the Cayman Islands (save for those listed on the Cayman Islands stock exchange and regulated investment funds) are now required to maintain a register of beneficial ownership at the company's registered office. The prescribed information in the register is not open to the public, but the government can get access to it when the need arises. In particular, information in the register must be provided electronically by a regulated service provider managing the company to the Cayman Islands' competent authority. The database maintained by the Cayman Islands' competent authority may then only be searched upon a lawful request being made by the Cayman Islands' or the UK's law enforcement authorities.
64. Companies (Guernsey) Law 2008 as amended by the Beneficial Ownership of Legal Persons (Guernsey) Law 2017 requires a Guernsey company to have a resident (registered?) agent located in Guernsey (s.484) who is required to ascertain the identity and prescribed details of the beneficial owner of the company (s.486) and enter such particulars on a 'record of beneficial owners' (s.487) at the company's registered office. The registered agent shall then, upon receipt of a properly certified request, make such information available to the prosecutor's office, the regulator or the police, as the case may be (s.490).
65. According to the Companies (Register of Controllers and Nominee Directors) Regulations 2017, the Singaporean 'register of registrable controllers' is similar, insofar as it is maintained at the company level by regulated service providers, who must make the information available to Singapore's public agencies upon request.
66. Statutory provisions regarding registers on beneficial ownership: Bahamas – Register of Beneficial Ownership Act 2018; BVI – Beneficial Ownership Secure Search Act 2017 as amended by the BVI Business Companies (Amendment) Act 2022; Bermuda – Pt VI A, ss.99A–99U Companies Act 1981 as inserted by the Companies and Limited Liability Companies (Beneficial Ownership) Act 2017; Cayman Islands – Pt XVIII ss.244–281 Companies Act 2022 Rev; Jersey – Financial Services (Disclosure and Provision of Information) (Jersey) Law 2020 and the 2020 Regulations; Guernsey – ss.483–494 Companies (Guernsey) Law as inserted by the Beneficial Ownership of Legal Persons (Guernsey) Law 2017; Isle of Man – the Beneficial Ownership Act 2017; Hong Kong – ss.653A–653ZK Companies Ord as inserted by the Companies (Amendment) Act 2018, where the register is known as a 'Significant Controller Register'; Singapore – Companies (Register of Controllers and Nominee Directors) Regulations 2017, where the register is known as a Register of Registrable Controllers.

powers trust the corporate trustee is again a PSC but it will be necessary to analyse the reserved powers in order to establish whether the settlor is also a PSC according to Condition (d).

4.1.6 Miscellaneous files

In addition to the above, it is common practice for service providers to create the following files after incorporation:

- a file containing the minutes of the meetings of the directors and shareholders⁶⁷
- a file containing copies of documents submitted to the registrar of companies
- a general correspondence file
- a file containing the accounting records of the company⁶⁸
- a due diligence AML file containing information about the identity and *bona fides* of the client and the proposed affairs of the company, which usually includes the account-opening paperwork and documentation signed by the client⁶⁹
- a FATCA/CRS file containing tax-related information.

An increasing number of registrars in offshore centres allow companies to maintain their corporate records and registers in computerised format. Furthermore, many registrars allow filings and returns to be made electronically.

4.2 Display of the company name at the registered office

According to traditional companies legislation based upon the 1929 and 1948 Acts in England, a company is required to affix its name outside its registered office in a conspicuous position and in easily legible letters. Company management agents who provide registered office services from their premises must therefore list the names of all the companies that share the same registered office address. Nowadays, this list is electronic and is located in the reception area and thus is accessible to the general public. Each time a company is incorporated, or an existing company changes its registered address to the offices of the service provider, the electronic board must be updated. Names are usually recorded in alphabetical order.

This statutory requirement is increasingly being diluted in the interests of ease and expense of administration by modern companies legislation.⁷⁰

67. Bahamas – s.67 of the IBCA 2000 obliges an IBC to keep such records as the minister may prescribe which includes minutes of meetings; BVI – s. 102 of the BVI BCA, 2004 as amended 2012; Bermuda – s. 81 of the Companies Act 1981; Cayman Islands – s. 73 of the Companies Law 2016 Rev; Guernsey – subss.228–231 of the Companies (Guernsey) Law 2008; Jersey – art.98 of the Companies (Jersey) Law 1991 and consolidated 2017; Turks and Caicos Islands – subs.71 of the Companies Ord; Gibraltar – ss.208–210 of the Companies Act 2014 as amended; Isle of Man – ss.111–120 of the Companies Act 1931 and subss.66–79 of the Companies Act 2006; Hong Kong ss.481–483 and ss.617–622 of the Companies Ordinance Cap 622, 2014 version; Singapore s.188 of the Companies Ord, Cap 50, 2017 Rev.

68. Company legislation obliges a company to maintain accounting records that give a fair and reasonably accurate reflection of the financial position of the company; Bahamas – s.67(1) of the IBCA 2000 amended 2004; BVI – s.98(2) of the BVI BCA 2004 as amended 2012; Bermuda – s. 83 of the CA 1981; Cayman Islands – s. 59 of the Companies Law 2020 Rev; Guernsey – s.238 of the Companies (Guernsey) Law 2008; Jersey – arts 102–113 of the Companies (Jersey) Law 1991 as amended; Isle of Man – s.127 of the Companies Act and s.80 of the Companies Act 2006; Turks and Caicos Islands – s.57 of the Companies Ord; Gibraltar – ss.239–248 of the Companies Act 2014 and Cos (Accounts) Ord 1999; Hong Kong – Pt 9 Divs 4–7 of the Companies Ord Cap 622; Singapore – subss.199–208, Pt 16 of the Companies Ord Cap.50.

69. The due diligence practices to prevent money laundering and reduce the risk that a service provider will incur civil liability that were reviewed in connection with the provision of trust services apply equally to the provision of corporate services. See generally the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

70. Section 108(1)(c) of the Companies Act 1948; Bahamas – no requirement; BVI – no requirement; Bermuda – no requirement although: see subss.62 and 63 of the Companies Act 1981 for local companies; Cayman Islands – s.52 of the Companies Law Revised 2020; Guernsey – s.34 of the Companies (Guernsey) Law 2008; Jersey – art.68 of the Companies (Jersey) Law 1991 now repealed 2005, so no longer a requirement; Turks and Caicos Islands – s.50 of the Companies Ord; Isle of Man – ss.90/90A of the Companies Ord, although no requirement under the Companies Act 2006; Hong Kong – s.659 of the Companies Ord Cap 622; Singapore – s.144 of the Companies Act Cap 50; Gibraltar – ss.179 and 180 of the Companies Act 2014.

4.3 Creation of corporate stationery

According to the 1948 Act model, following incorporation, all business letters, written communications, bills of exchange, cheques, payment orders, invoices, receipts and letters of credit issued by a company are expected to state the name of the company in legible characters. Once more, this statutory requirement has been diluted by most offshore companies legislation, even though it is complied with in practice.⁷¹

4.4 Appointment of directors

The first directors of a company are usually appointed by majority vote at a meeting of the subscribers, or most often, by subscribers' written resolution as part of the incorporation process. For more detail, see Module 7 section 3.3.

4.5 Organisation and activation of the company – the first meeting of the board of directors

A company assumes the features and characteristics of a company, which we covered in Module 2 of this course, immediately upon incorporation. Nonetheless, the company still needs to organise itself, commence its operations and activate its affairs. Usually, a company is organised and activated by its directors and the first meeting of the board of directors is where this process begins.



Task 3.6

As you review the type of business undertaken at the first meeting of the directors of a company, turn to Appendix 9 of the online Study Resources, which contains precedent resolutions of such a meeting. Note how the resolutions have been drafted. There are no prescribed requirements as to style and format of minutes or resolutions, provided they accurately state the type of meeting, its date and those present, and reflect all decisions reached. Note how decisions are made (by resolution) and recorded (usually by being introduced with the words: 'It was resolved that ...' or simply 'resolved...'). You are no doubt required to draft minutes in practice; you may be called upon to draft them in the examination. A further review is undertaken in Module 9 section 1.3.2. (viii) of this text.

The following list (corresponding with the resolutions set out in Appendix 9) shows the type of business usually undertaken at the first meeting of the board of directors.

4.5.1 Confirmation of incorporation

It is usual to mention that the company has been incorporated (and sometimes to produce a copy of the memorandum and articles and a copy of the certificate of incorporation as evidence that the company is in existence and can now be organised and activated). This is not actually a resolution, but a recital or note. See note (A) of Appendix 9.

71. Section 108(1)(c) of the Companies Act 1948; Bahamas – no requirement save for pro-notes and bills of exchange: s.71 of the IBCA 2000 amended 2004; BVI – no requirement save for pro-notes and bills of exchange: s.105 of the BVI BCA, 2004; Bermuda – s.63 of the Companies Act 1981; Cayman Islands – s.52 of the Companies Law 2020 Rev; Guernsey – s.35 of the Companies (Guernsey) Law 2008; Jersey – art.69 of the Companies (Jersey) Law 1991; Turks and Caicos Islands – s.50 of the Companies Ord; Isle of Man – s.94A of the Companies Act and s.19 of the Companies Act 2006; Gibraltar – s.180 of the Companies Act 2014. Hong Kong – s.659 of the Companies Ord Cap 622; Singapore – s.144 of the Companies Act Cap 50.

4.5.2 Confirmation of issue of subscriber shares

The subscribers who sign the memorandum of association agree to take up a stated number of shares, typically one. You will probably see a preliminary note to this effect in the minutes of the initial board meeting. See section 4.5.12 below and Note (B) and Resolution 9 of Appendix 9.

4.5.3 Confirmation of appointment of directors

The appointment of directors is dealt with in Module 7 section 3.3 but, in a nutshell, the subscriber(s) are typically required to appoint the directors. Accordingly, reference is often made to the subscriber's resolution to appoint the director(s) and to whether it is anticipated that the company and directors will enter into directors' service agreements (DSAs). See Note (C) of Appendix 9. When there are multiple directors on the board, as opposed to a sole director, one of the board members is often also appointed as chairman.

4.5.4 Confirmation of consent to the appointment of registered agent

IBCs require a local registered agent, who must also sign the memorandum as subscriber. For IBCs, therefore, as well as the New Manx Vehicle, you may see a preliminary note confirming the agent's consent to such appointment. See Note (D) of Appendix 9.

4.5.5 Approval of the DSA

When a service provider agrees to provide directorships for the managed company, it may be the provider's policy for the director(s) to enter into a DSA with the managed company. In these circumstances, the terms of the draft DSA will be approved on behalf of the managed company and instructions given for its execution. See Resolution 1 in Appendix 9, and note the disclosure and management of the conflicts of interests in the final paragraph of Note (C) in Appendix 9.

4.5.6 Appointment of the company secretary and other corporate officers

The directors may appoint officers, particularly a company secretary, during their first meeting (see Resolution 2 of Appendix 9). Whereas the 1948 Act makes it mandatory for a company to have a secretary, modern companies legislation, including the current legislation in England, relaxes the requirement and makes it optional. When a secretary is appointed, consequential administrative powers may be delegated. These are set out in the Secretary's Role and Responsibilities document illustrated in Appendix 24C and discussed further in Module 9 section 1.

4.5.7 Registered agent

In those jurisdictions where a company is required to have a local registered agent, the board should confirm the appointment. See section 4.5.4 above, the third resolution of Appendix 9 and, for a further discussion of registered agents, see Module 9 section 2.

4.5.8 Company seal

Historically, companies would have a 'common seal', which would be used by the company to execute formal documents such as deeds, transfers, loans and debentures and some contracts that are required to be executed under seal as deeds.

In these circumstances, the articles should specify who is empowered to use the seal and execute deeds and other formal documents on behalf of the company. Usually it is any two directors or any one director, provided the lone director impresses the seal in the presence of the company secretary.⁷² Each use of the company seal should be authorised by a resolution of the board.

It is usual for the directors to 'adopt' the common seal of the company at their first meeting and, as evidence thereof, to make an impression of the seal in the margin of the minutes.

Modern companies legislation makes it optional for a company to have a seal to execute deeds.⁷³ For example, modern legislation typically follows s.44 of the Companies Act 2006 in England, which states that a document can be executed by a company by affixing its common seal or by signature of a director in the presence of a witness to attest the signature. A document signed in accordance with these provisions and expressed to be executed by the company as a deed, has the same effect as if executed under the common seal of the company.

4.5.9 Appointment of bankers, brokers, custodians

Most companies, from a practical point of view, require a bank account. The board of directors must therefore appoint bankers to the company as soon as possible. Often one bank is sufficient but in some cases a variety of banks may be appointed, usually if the funds involved are substantial.

The directors must decide which bank(s) to appoint and record their decision in writing. To save time, the directors often obtain each bank's standard account-opening documentation (a mandate form giving specimen signatures, specifying who can sign cheques and whether there is a limit). These papers are often produced to the meeting for completion and signature, and a copy is attached to the minutes and deemed part thereof. If the papers are not available, it is usual for the directors to decide who is empowered to complete and sign the papers on behalf of the board at a future date. See Resolution 5 of Appendix 9.

A similar resolution is required to open and operate a brokerage and custody account (in order to buy and sell securities such as stocks and shares). See Resolution 6 of Appendix 9.

4.5.10 Appointment of agents

If agents, such as an investment manager or tax attorney, are required, the directors may discuss these appointments and make their decision at the time of their

72. See model art.22, Appendix 1B.

73. Bahamas – s.67 of the IBCA Cap.309; Bermuda – s.24 of the Companies Act 1981 as amended; BVI – s.103 of the BCA 2004 as amended; Cayman Islands – s.84 of the Companies Law 2020 Rev.; Gibraltar – s.74 of the Companies Ord 2014; Guernsey – s.36 of the Companies (Guernsey) Law 2008; Isle of Man – s.84 of the Companies Act 2006; Jersey – Art.22 of the Companies (Jersey) Law 1991; Hong Kong – s.124 of the Companies Ord Cap.22; Singapore – s.41A of the Companies Act Cap.50.

first meeting. More than one agent may be required and, if this is the case, each appointment should be minuted in turn. The fees of the agent(s) and terms of their engagement are often left to be decided by the directors at some future date. See Resolution 7 of Appendix 9.

4.5.11 Financial year end

If the directors intend to produce formal management accounts or financial statements for the company, it is usual to fix an accounting reference date. This is the date to which the company must make up its accounts each year, i.e. the final day of the company's accounting year. See Resolution 8 of Appendix 9.

4.5.12 Subscriber shares

When a company limited by shares is incorporated, the subscribers agree to take at least one share in the company. On incorporation, the subscriber(s) become(s) the first member(s) of the company (save for (I)BCs). Nothing further is required to complete the issue of the subscriber shares as they are issued by operation of law when incorporation occurs. It is the usual practice, however, for the directors to arrange for the share certificate(s) to be completed, sealed if necessary and delivered to the subscriber(s) or held on file. (If the subscribers do not intend to retain their share ownership, the subscriber shares will be transferred to nominees.)

Most offshore corporate service providers use nominee companies to act as the subscribers for new companies. In such cases the shares are issued in the name of the nominee(s) who become(s) the registered shareholder(s). The name(s) and address(es) of the subscriber(s) and details of the share(s) taken by them must be entered in the register of members.

In some cases, however, employees of the service provider may act as the subscribers. In these circumstances the shares issued to the subscribers will probably, upon the issue of the Certificate of Incorporation, be transferred into the name of a nominee company. The provisions found in the articles in relation to the transfer of shares must therefore be complied with, including any provision relating to rights of pre-emption.

4.5.13 Allotment of shares

It may have been the intention of the promoters to issue additional shares to third parties, following incorporation, in exchange for capital. This is often done (particularly in the onshore corporate model structure used for trading, as opposed to asset holding, purposes) to raise money for the company and give it some working capital. The issue of shares in this way, in exchange for cash or other monetary consideration, is called the **allotment** (when the company enters into a binding contract to issue shares at an agreed price) and an **issue** of shares (when the ownership in new shares passes to the new shareholder).

The procedures and documentation involved in the issue of new shares are reviewed in Module 6 section 1. In a nutshell, directors must:

- be authorised, either by legislation or by the articles, to allot shares (see Appendix 1B model arts 2.1 and 2.3)

- comply with any pre-emption rights (see Appendix 1B alternative art.8.3, which confers pre-emption rights upon the shareholders)
- follow the procedure, if any, for allotment set out in the articles, which usually involves a directors' resolution to allot and issue shares to those persons who have applied for them, and requires them to complete, sign and seal (or execute) the appropriate share certificates
- update the register of members
- update the register of beneficial ownership, if affected by the new issue of shares.

New shareholders normally pay for their shares in cash (although they may provide non-cash consideration) in full upon allotment in exchange for their shares. So, for example, a prospective member who buys $100 \times \$100$ shares for \$100 each must pay the company \$10,000. The directors may, however, agree to let the prospective member take partly paid shares. In these circumstances, the whole price must be paid eventually, but does not have to be paid immediately.

Whether the shares are fully, or partly paid-up, should usually be recorded in the minutes. The articles illustrated in Appendix 1C of the online Study Resources state in art.21 that all shares must be fully paid-up.

4.5.14 Any other business

The first meeting of the directors may also include other business dealing with the future management or operation of the company that has not been referred to above. Furthermore, it may include the approval of the costs of formation so that the costs of incorporating the company come out of company funds, or the adoption of any pre-incorporation contracts.



Learning outcomes

By the end of this module you should:

- understand the role of promoters, both offshore and onshore, their duties to the company upon incorporation and how they may be paid and recover their expenses
- understand the issues, at common law, affecting enforceability of pre-incorporation contracts and be able to indicate how problems are solved by modern offshore legislation
- be able to analyse the theoretical and practical aspects of incorporation of a private limited company in the offshore jurisdiction where you work
- know how to incorporate a company in the jurisdiction where you work or have some other substantial connection
- know how to draft certain key documents, in particular minutes of the first meeting of directors
- be able to describe some of the distinguishing features of a number of different types of company and, in particular, the types of company that you tend to manage in the office, in practice.

Module 3:

Self-assessment questions

1.
 - i. Which tasks are typically undertaken by a promoter of a company?
 - ii. In order to prevent an abuse of the position of promoter, the common law imposes upon them a fiduciary duty. What is the main aspect of that duty?
 - iii. A, who owns land which they purchased for \$1 million, establishes a company (ABCD Ltd) on behalf of themselves and colleagues B, C and D. A then sells the land to the company for \$2 million. Is this proper? Discuss requirements, and whether B, C and D have any lawful remedy.
 - iv. Is a promoter entitled to be reimbursed the expenses incurred in incorporating the company?
2. A promoter of a company purports to enter into a contract on behalf of the company with a third party (X), at a stage before the company has been incorporated.
 - i. What is the legal position in relation to that contract at common law? May X enforce such contract against the company? May the company adopt the contract so that it becomes binding on the company upon its incorporation?
 - ii. What is the legal position in relation to that contact under modern companies legislation?
3. In which situations(s) may a client promoter require the use of:
 - (a) a public company?
 - (b) a company with unlimited liability?
 - (c) a company limited by guarantee?
 - (d) a local or domestic or resident company?
 - (e) an (I)BC/exempt/non-resident tax exempt company?
 - (f) a limited liability company (LLC)?
4. Which documents should be filed with the Registrar to incorporate a company?
5. What restrictions are there in relation to the choice of name for a new company?
6. Immediately following incorporation, a service provider invariably has to perform a number of tasks. List the 'statutory registers' that ought to be prepared for a new company and describe the broad content of each.
7. Define the conditions to be met to become a 'beneficial owner' of shares to comply with modern disclosure requirements that require particulars to be entered into the register of beneficial owners (or equivalent).
8. What resolutions are typically passed at the first meeting of directors upon incorporation?

9. Identify some of the unique and significant features of: (a) an International Business Company (IBC) based on the BVI model; (b) a limited liability company (LLC) based upon the Delaware model; and (c) a limited duration company (LDC).
10. Outline the characteristics, uses and potential benefits of protected cell companies (PCCs).

Module 4:

Registration and Migration of Foreign Companies



Module 4:

Registration and Migration of Foreign Companies



Learning objectives

The purpose of this module is to:

- review the requirements that must be complied with when a foreign company wishes to establish a place of business in, and operate such business from, a typical offshore financial centre
- review the requirements that must be complied with when a foreign company wishes to migrate to, and re-domicile in, a typical offshore financial centre.

Introduction

A topic related to the incorporation of a new company is the registration or continuation of an existing foreign company in an offshore centre.

A foreign company (incorporated for instance in State A, say, America) may wish to **establish a place of business** in an offshore jurisdiction (State B, say, the Bahamas). The companies legislation of a number of common law offshore jurisdictions permits this under what is known as a **registration** procedure applicable to foreign (or overseas) companies.

Alternatively, a foreign company (incorporated in State A) may wish to **migrate** from State A and become **re-domiciled** as a company in another jurisdiction (say, State B, the Bahamas). The companies legislation of a number of offshore jurisdictions permits this under what is known as a **continuation** procedure applicable to foreign (overseas) companies.

1. Registration of a foreign company

An established trading company incorporated in one jurisdiction (State A) may wish to carry on business in a jurisdiction other than the one in which it was incorporated (say, State B). In these circumstances the usual procedure adopted is for the company to do so through a subsidiary, specifically incorporated in State B for the purpose of carrying on its business in State B.

The registration procedure is an alternative to the incorporation of a subsidiary. Rather than an established foreign company forming a new company in State B, wholly owned by its State A parent, it may, as an alternative, simply register itself as a foreign company in State B. The theory underpinning the registration requirement is that it will prevent a foreign company avoiding the compliance and regulatory regime that exists (in State B) by operating overseas otherwise than through a subsidiary.

Typical companies legislation based upon Pt X ss.406–423 of the English 1948 Act requires a foreign company, before or within a specified period of establishing a place of business in an offshore jurisdiction, to become registered as a foreign company with the registrar of companies in that jurisdiction.

1.1 Establishing a place of business

Whether a company incorporated in State A has established a place of business in an alternative jurisdiction (State B, and therefore must comply with the registration requirements of State B) is a question of fact. A place of business means something more than simply doing business. It requires a degree of permanence. There must be a specific place of business and identifiable persons conducting it.

In *Artemis v Artemis Transportation Corp*⁷⁴ it was held that for a company to establish a place of business in a particular place it required:

- some fixed place of business (such as an office)
- human agents who reside in the jurisdiction for the purposes of carrying on the business of the company
- the conduct of business should endure for a sufficiently substantial period of time.

Other jurisdictions have endeavoured to provide a statutory definition of the term ‘establishing a place of business’.

For example, the Bermudian legislation⁷⁵ provides that:

‘a company shall be deemed to ... carry on a business in Bermuda if it occupies premises in Bermuda, or if it makes known by way of advertisement or in a directory or by means of its letterheads that it may be contacted at a particular address in Bermuda or is otherwise seen to be ... carrying on any trade or business within Bermuda on a continuing basis; provided that it shall not be deemed to carry on business by reason only that:

- (i) a travelling salesman representing the company has been permitted to land in Bermuda and as such establishes a temporary place of business
- (ii) meetings of its officers or members are held in Bermuda
- (iii) the company is buying or selling or otherwise dealing in shares, bonds, stock or other securities issued by an exempted undertaking.’

You will appreciate that the registration of a foreign company with the registrar of companies in an offshore jurisdiction in these circumstances may qualify the foreign company as a local/domestic/resident company in so far as it is permitted to establish a place of business and carry on its operations within the geographical territory of the offshore centre. In these circumstances it is not possible to register a foreign company as an IBC in one of the IBC jurisdictions (save for the BVI), as IBCs are prohibited from conducting the operations of a business in or from the jurisdiction of incorporation.

74. *Artemis v Artemis Transportation Corp* [1983] HKLR 364, followed in principle in the UK in *South India Shipping Corp Ltd v Export-Import Bank of Korea* [1985] 2 All ER 219, and *Re Oriel* [1986] 1 WLR 180.

75. Section 133(4) of the Companies Act 1981, as amended. A similar definition is found in the BVI legislation – s.185 of the BVI BCA 2004.

1.2 The registration procedure

The registration procedure is set out in the companies legislation of the jurisdiction where the foreign company wishes to establish and operate a place of business.⁷⁶

Before or within a specified number of months (usually one) of establishing a place of business in an offshore jurisdiction, a foreign company must apply to become registered in that jurisdiction. The application requires the foreign company to file the following documents with the registrar of companies:

- a certified copy of its memorandum and articles, charter and by-laws or other documents setting out its constitution and internal regulations
- a certified copy of its certificate of incorporation, or other evidence of incorporation
- particulars of the directors and other officers of the company, including names, addresses and nationalities
- the name and address of at least one person, resident within the offshore jurisdiction where the foreign company intends to operate, who is authorised to accept service of process (legal or formal communications) on behalf of the company; this person is usually called the 'authorised representative' or 'authorised agent' of the company
- the appropriate registration fee.

If content that the application is proper and in order, the registrar will enter the name of the company on the Register of Foreign Companies (or equivalent) and issue a certificate of registration.

1.3 Authorised representative/agent

The foreign company must, upon registration, appoint an authorised agent (sometimes known as an 'authorised representative'). The authorised agent/representative has two functions.

Firstly, the authorised agent/representative is designated to accept service of legal process on behalf of the company so that it thereby submits to the authority of the court of the offshore centre. For example, a writ (complaint or similar legal process) issued by the court of the offshore centre is deemed sufficiently served upon the foreign company if it is properly addressed and delivered to the authorised agent/representative. The foreign company will not then be able to ignore the proceedings by, claiming that the court has no jurisdiction over it by arguing that it is only subject to the laws and the courts of its jurisdiction of incorporation.

Secondly, the authorised agent/representative ensures that, so far as is possible, the company complies with applicable local laws and regulations.

76. For the registration procedure in the model English companies legislation, see Pt X of the Companies Act 1948. See also in other jurisdictions: Bahamas – ss 179–191, Pt 6 of the Companies Act 1992 (not IBCA as IBCs cannot carry on business within the jurisdiction of the commonwealth of the Bahamas); BVI – originally dealt with in s.235A of the Companies Act, not IBCA as IBCs could not conduct business in the BVI, now dealt with in Pt 11 subss.185–196 of the BVI BCA 2004 as amended 2012; Bermuda – Pt 11 of the Companies Act 1981 as amended, known as 'overseas companies'; Cayman Islands – subss.183–195, Pt 9 of the Companies Law 2020 Revision plus the provisions of the Local Companies (Control) Law; Guernsey – Pt 7 of the Companies (Guernsey) Law 2008; Jersey – art.195 of the Companies (Jersey) Law 1991 Revised 2019 confers power to make regulations for the registration of 'external companies', defined in art.1 as companies incorporated outside the Island of Jersey; Turks and Caicos Islands – Pt 10 ss 207–217 of the Companies Ord; Gibraltar – Part XII subss.431–441 of the Companies Act 2014; Isle of Man – Pt 11 of the Companies Act 1931 as amended and Pt 9 of the Companies Act 2006; Hong Kong – Pt 16, ss.774–795 of the Companies Ord, Cap 622; Singapore – Pt 11 Division 2 of the Companies Act Cap 50.

2. Migration (sometimes referred to as re-domiciliation)

2.1 Introduction to migration issues

Clearly, however, not all foreign companies may wish to carry on business in the offshore jurisdiction in the traditional sense of conducting business operations. A company may wish merely to change its state of incorporation, the state of location of its registered office and its governing law and thereby obtain the advantages of an offshore vehicle simply to own and manage income-producing assets on behalf of the beneficial owner of its shares in a tax-efficient manner. A foreign company may, therefore, prefer to **migrate**, i.e. to de-register in the foreign jurisdiction of its incorporation, and re-register in an offshore jurisdiction so as to convert to an offshore entity. In these circumstances, **continuance** is the appropriate statutory procedure, reviewed below.

According to English law, the promoters of a company can choose to incorporate in any jurisdiction of the world and then, by being registered as a foreign company as described above, carry on business entirely in the UK. In other words, English conflict of laws rules recognises the validity of a company that has been incorporated elsewhere. Furthermore, if that foreign company wishes to migrate to another jurisdiction, that is a matter for the laws of the two jurisdictions involved: the law of the state of incorporation and the law of the jurisdiction to which the company intends to migrate. But English law does not permit a company to migrate from or to England. A company formed in England cannot migrate to Scotland, nor to another EU member state, nor to any other jurisdiction; nor will England accept an incoming company.

Some jurisdictions have, however, extended the international dimension of the registration requirement and made provision for a foreign company to migrate to the offshore jurisdiction. While English companies legislation does not allow migration, a number of the progressive offshore financial centres now provide for it by modern migration (or re-domiciliation) provisions enacted to promote and attract international business.

The procedure involves de-registration of the company in the jurisdiction where it was originally incorporated and re-registration (or **continuance**) in the offshore centre. Accordingly, for instance, a company incorporated in State A may remove itself from the register of companies there, and migrate from State A and continue as, for instance, an IBC in State B (without the need to wind up its affairs in State A and incorporate an entirely new entity in State B).

2.2 The continuation procedure

A foreign company may apply to be re-registered (or continued) as an offshore entity, provided that the companies legislation of the offshore centre concerned contains modern company migration provisions.

It is therefore possible for a company incorporated and existing under the provisions of the company laws of State A to migrate to and re-register or continue as:

- an IBC in the Bahamas, or BC in the BVI⁷⁷
- an exempt company limited by shares in Bermuda, Turks and Caicos Islands or the Cayman Islands⁷⁸
- a private company in Guernsey, Jersey or Isle of Man⁷⁹
- a Gibraltarian private company⁸⁰
- a Hong Kong or Singaporean company.⁸¹

The application for continuation typically requires the service provider to file the following documents with the registrar:

- a copy of an appropriate (often, special) resolution of the shareholders of the company confirming the company's intention to migrate (an appropriate board resolution being illustrated in Appendix 10A and a shareholders' resolution in Appendix 10B of the online Study Resources)⁸²
- a certified copy of the memorandum and articles of association (and translations, if appropriate)
- articles of continuation, if necessary, containing amendments to the memorandum and articles that are to be effective upon re-registration and that will leave the company compliant with local companies legislation requirements
- satisfactory evidence that the company is in good standing in the jurisdiction of incorporation
- satisfactory evidence that the company is solvent (a requirement that exists to ensure that the company is not trying to run away from payment of its debts and liabilities).

Most jurisdictions state that the foreign company must be authorised to migrate and transfer its domicile according to the law of the state of incorporation (or at least is not prohibited from doing so), and has complied with the requirements of the laws of the state of incorporation for de-registering in such jurisdiction. In the BVI, a company wishing to migrate out of the BVI must now advertise their intention to do so and give 14 days' notice to all members and creditors – see s.21 of the 2022 amendments which amend s.184 of the BVI BCA 2020 Rev.

The 'satisfactory evidence' referred to above is typically an affidavit by the sole director, or one of the board members, of the company, which confirms compliance with each of the statutory requirements and, where necessary, exhibits verifying documentation. A sample affidavit is illustrated in Appendix 10C of the online Study Resources.

77. Bahamas – Pt 8 subss.84–88A of the IBCA 2000 as amended 2013; BVI – Pt 10 subss.180–84 of the BVI BCA, 2004 as amended 2007 and 2012 and s.21 of the 2022 amendment legislation which amends s.184.

78. Bermuda – Pt 10A ss.132C–132M of the Companies Act 1981, as amended by Companies (Amendment) Act 1992; Cayman Islands – Pt 12 subss.201–209 of the Companies Law 2020 Revision; Turks and Caicos Islands – Pt 9 subss.205–6 of the Companies Ord.

79. Guernsey – Migration of Companies Ordinance 1997, now Pt 7 subss.75–104 of the Companies (Guernsey) Law 2008; Jersey Pt 18C arts 127H–127Y of the Companies (Jersey) Law 1991 as amended 2009; Isle of Man – Companies (Transfer of Domicile) Act 1998 amended 2005; for the New Manx Vehicle, see Pt 11 subss.162–172 of the Companies Act 2006.

80. In Gibraltar, see Pt XIII, XIV and XV ss.442–460 of the Companies Act 2014 and Companies (Re-domiciliation) Regulations 1996.

81. In Hong Kong see Pt 17 ss.806–820 of the Companies Ord., Cap 622; Singapore – see the Companies (Amendment) Act 2017, now found in Pt XA ss.355–364 of the Companies Act Cap.50, which introduced an inward re-domiciliation regime similar to other jurisdictions.

82. A resolution of the members is typically required save for IBCs where, subject to the articles, a directors' resolution will suffice. See s.181 of the BVI BCA; s.84(1) of the IBCA of the Bahamas.

If the application is proper and in order, the registrar will issue a 'certificate of continuation'.

2.3 Legal effect of continuation

Upon the issue of the certificate of continuation the (former foreign) company is deemed to be a company incorporated under the offshore companies legislation, and in particular:

- its memorandum and articles, as amended by the certificate of continuation, continue to apply
- all property, including the benefit of contracts, remains vested in the company
- the company continues to be liable for all its existing debts, claims and liabilities
- all shares owned by shareholders are deemed issued in conformity with local companies legislation and continue to be held by the registered shareholders.

In a nutshell, the company continues to exist but has simply migrated to another jurisdiction.

Having regard to the consequences set out above, if a client wishes to 'offshore' corporate assets, it is clearly easier to apply for an onshore asset-holding company to be continued in an offshore jurisdiction than to wind-up the onshore company and transfer each individual asset, corporate contract or item of property to a new company formed offshore. As the name suggests, continuation has the advantage of continuity.



Task 4.1

Review relevant legislation and continuation provisions for companies wishing to commence business in or migrate to the jurisdiction where you work. You are referred to the relevant jurisdiction-specific statutory provisions in the footnotes to section 2.2 above.

2.4 Reasons for migrating

Statutory migration provides a much sleeker mechanism for the transfer of a business from one jurisdiction to another than by starting a new business. It avoids winding-up the company in the first jurisdiction and transferring each and every asset to a new company incorporated in the second jurisdiction. But why do so? The reasons may be manifold:

- to take advantage of a more favourable regulatory or tax regime or more conducive business environment
- to cut costs and streamline administration of the company
- to consolidate or merge with existing group structures
- to obtain access to new business opportunities
- to access specialist capital markets.



Learning outcomes

By the end of this module you should:

- understand how the continuation procedure can allow companies to migrate from one jurisdiction to another, and why they might want to do so
- understand what is meant by 'establishing a place of business' in a particular state
- know the kind of information that a company established in one state is likely to need when registering in another
- appreciate the role of the authorised agent/representative
- know what is involved in an application for continuation and the legal effect of continuation
- be able to comply with statutory requirements when a foreign company wishes to establish a place of business, and to operate such business, in the jurisdiction where you work
- be able to comply with statutory requirements when a foreign company wishes to migrate to, and re-domicile in, the jurisdiction where you work.

Module 4:

Self-assessment questions

1. Distinguish between:
 - (i) the registration of a foreign ('overseas') company (such as one incorporated in State A) in State B; and
 - (ii) the migration of a foreign company (such as one incorporated in State A) to State B by way of the re-domiciliation 'continuance' process.
2. For the purposes of the registration of a foreign company, when and in what circumstances does a foreign company 'establish a place of business' in an offshore financial centre?
3. Describe the statutory requirements that must be complied with in a jurisdiction of choice to register a foreign company, thereby permitting it to establish a place of business, and operate the business, in and from such jurisdiction.
4. Discuss the rationale behind the requirement for a registered foreign company to have a local registered agent/representative.
5. When and in what circumstances may a company wish to migrate (or become re-domiciled) in the jurisdiction where you work?
6. Describe the continuation procedure that must be followed to migrate a company incorporated in State A so that it is re-domiciled in the jurisdiction where you work.
7. What are the legal consequences of migration by way of continuance?
8. Draft a special resolution of the members of AB Inc. to authorise the migration of the company to the jurisdiction where you work.

Module 5: The Company's Constitution



Module 5:

The Company's Constitution



Learning objectives

The purpose of this module is to:

- review the historical development of the corporate constitution
- discuss the principles behind modern rules and their original basis
- examine the functions and typical content of the memorandum and articles of association and determine how they can be changed to meet the requirements of the client
- analyse corporate capacity and trace the evolution of the *ultra vires* doctrine
- examine whether, and if so how, the memorandum may be altered
- examine how the articles may be altered.

Historical introduction

We have already established that the legal structure of a limited company is a product of the needs of industry and commerce. Rules were developed from the 16th century to regulate the constitution of business undertakings at common law in England. But the common law concepts were considered to be somewhat inadequate and unsatisfactory. Accordingly, the legislature intervened to create statutory rules to encourage enterprise and stimulate a laissez-faire economy.

The initial companies legislation enacted in England was the Joint Stock Companies Act 1844, followed by the introduction of limited liability by the Limited Liability Act 1855, with each statute being consolidated into the Joint Stock Companies Act of 1856.

The basic principles underlying the traditional corporate structure are found in these statutes. The 1856 Act introduced the current English model company, used throughout the common law offshore jurisdictions.⁸³ The 1856 Act, for example, introduced the procedure for the incorporation of corporate entities by simple registration with the registrar of companies. The procedure involved the filing of a memorandum of association setting out the constitution of the company, which, in 1856, had to be signed by seven subscribers.⁸⁴

The internal rules and regulations of the new form of registered company were, by the mid-19th century, a matter for the company itself, and therefore did not have to be registered. The constitution of the company consisted of two documents: the memorandum and the articles.

83. Including Antigua, the Bahamas, Barbados, Bermuda, BVI, Cayman Islands, Gibraltar, Guernsey, Hong Kong, Isle of Man, Jersey, Mauritius, Singapore, Turks and Caicos Islands. The following civil law jurisdictions follow a similar, but not identical model: Liechtenstein, Luxembourg, Monaco, Netherlands Antilles, Switzerland.

84. See the facts of *Salomon v A Salomon and Company Ltd* [1897] AC 22 – Module 2 section 4.1.

In most jurisdictions of the world, the constitution of a company still follows this model, comprising:

- **a memorandum** (which must be filed with the registrar upon incorporation), and
- **the articles** (which may be filed upon incorporation or at a later date).

Having said that, England has modernised matters in the current Companies Act 2006 by transferring much of what would traditionally have been set out in the memorandum to a prescribed application form, IN01, leaving the memorandum merely to identify the promoters and state that they agree, upon incorporation, to take a stated number of shares in the company. Hong Kong and Singapore have also essentially abandoned the memorandum.

1. The constitution of a company

‘Constitution’ is a word generally used to indicate a form of supreme government. Where this is established by a written document (as, for example, in the US) the written document is called ‘The Constitution’.⁸⁵

In the context of company law it means the documents and rules that govern a company. Historically, the constitution of a company comprises two documents.

- the function of the memorandum** (occasionally known as its **charter** or, in Delaware, its **certificate of incorporation**) is to govern the relationship between the company and third parties in the outside world; and
- the function of the articles** (occasionally known as the **by-laws**) is to govern the internal organisation and affairs of the company.

In summary, the corporate constitution regulates the distribution of profit, risk and control within a company.⁸⁶ The memorandum and articles generally state:

- that the profits of the company are to be distributed in accordance with the rights conferred upon shareholders
- that the liability of members for corporate acts, defaults and liabilities is limited (by shares or by guarantee)
- that the responsibility for the conduct of the business of the company is allocated between the shareholders (in general meeting) and the directors (by democratic board resolution) in accordance with detailed provisions set out in the articles.

It cannot have escaped your attention that, over recent years, there has been considerable public debate in relation to the constitution of a traditional company. Much discussion has concentrated upon what is now termed ‘corporate governance’. This has arisen because of the separation of ownership from control in large, public, often multinational companies where the directors and executives who manage the company do so on behalf of and for the exclusive benefit of a large and widely diverse body of shareholders.

It is often said that the board of directors is accountable to the shareholders. In other words, the board manages the business of the company in order to maximise

85. The word ‘constitutional’ means in conformity with the constitution: ‘unconstitutional’ means in violation thereof.
86. JH Farrar and BM Hanningan, *Farrar’s Company Law* (4th edn, Butterworths, London, 1998).

the profits enjoyed by shareholders (to the exclusion of others involved in the undertaking). Yet as the Labour Party⁸⁷ in England has recognised, and the US author Brian Cheffins⁸⁸ points out, the typical constitution of a company totally ignores the interests and expectations of other key participants in a corporate undertaking, namely its employees, creditors and customers, and the public at large.

Directors and corporate executives owe a duty of care to the company, which effectively means the shareholders. They owe no such duty, under the Anglo-American model company structure, to the company's employees, customers and the community. This may have serious implications in the onshore jurisdictions but, as we shall see, little impact offshore.

The broad corporate constitution, comprising the memorandum and articles, is used for all forms of company, incorporated for many different purposes: public/private ownership, onshore/offshore, large/small, trading/passive asset-holding. Nonetheless, corporate regulation permits considerable flexibility. You would not expect the constitution of a large, publicly owned, onshore trading company to be the same as that of a small, private, single-member offshore asset-holding company. For example, BVI, Cayman Islands and Jersey companies law is flexible enough to permit, on the one hand, promoters of a company to structure its constitution to satisfy the most stringent corporate governance and onerous listing requirements of the world's largest and most prestigious stock exchanges and, on the other hand, to cater for a single shareholder, sole director, one-person, asset-holding vehicle.⁸⁹

We are clearly concerned with the latter. We therefore concentrate in this text upon the requirements of a typical private company incorporated offshore. As with most aspects of company law, however, it will help you to develop an understanding of the subject if you can appreciate the principles behind the current rules. You need to bear in mind that the constitution of an offshore company is based upon the corporate model developed in England, to cater principally for an actively trading, publicly owned operating company, rather than one that exists merely to hold assets for a single investor.

2. The memorandum

The memorandum was originally drafted as a deed, executed by each of the subscribers who, upon incorporation, went on to become the members of the company. Essentially, it contained promises by each subscriber/member to observe its provisions. A deed is no longer used, but the memorandum's legal effect is the same.

Typical companies legislation provides that the memorandum and articles:

'binds the company and its members ... as if each member had subscribed his name and fixed his seal thereto and as if there were contained therein ... a covenant [i.e. a promise] by each member (and his heirs) to observe the same.'⁹⁰

87. See the Jenkins Committee Report 1962 Cmnd 1749.

88. B. Cheffins, *Company Law: Theory, Structure & Operation* (Clarendon Press, Oxford, 1997).

89. There are hundreds of BVI, Cayman Islands and Jersey companies listed on the world's largest exchanges: NYSE, NASDAQ, LSE, AIM, HKSE, etc. See, for example, the number of such companies listed on the NYSE by consulting <https://www.sec.gov/divisions/corpfin/internatl/foreignalpha2014.pdf>.

90. Based upon s.13 of the Companies Act 1948. Bahamas – s.13(4) of the IBCA 2000 as amended 2013; Bermuda – s.16 of the Companies Act 1981 as amended; BVI – s.11 of the BVI BCA 2004; Cayman Islands – s.12 of the Companies Law 2020 Revision; Gibraltar – s.33 of the Companies Act 2014; Guernsey – s.15 of the Companies (Guernsey) Law 2008; Hong Kong – s.87 of the Companies Ord Cap 622, which applies to the constitutive documents generally as the memorandum has essentially been abandoned as a separate document; Isle of Man – s.7 of the Companies Act 2006; Jersey – art.10 of the Companies (Jersey) Law 1991 Revised 2019; Singapore – s.22 of the Companies Act, Cap 50.

The memorandum must be signed by each subscriber, and their signatures witnessed (but in the case of (I)BCs, signed by the registered agent). Each subscriber must take at least one share in the company (except (I)BCs). The minimum number of subscribers differs between jurisdictions and types of company. It used to be two, but most jurisdictions have modernised their laws to permit a sole subscriber.

The content of the memorandum depends upon:

- the minimum requirements of the companies legislation in the jurisdiction of incorporation
- the individual needs and requirements of the client, i.e., the promoter, who must clearly comply with the above minimum requirements, but who is given considerable scope to mould the company into the type of structure that best suits its purpose.

In most common law offshore jurisdictions, the minimum requirement for a private limited company is for the memorandum to contain five or six basic clauses dealing with:

- the name of the company
- its registered office
- the liability of its members
- the objects of the company
- the capital of the company and its division into shares
- other jurisdiction-specific requirements.

The new companies legislation in Hong Kong (Cap 622, 2014) and Singapore (Cap 20, 2017) has essentially abandoned the memorandum as a separate document, and so the provisions listed above are found at the beginning of the articles. As stated above, in England under the Companies Act 2006, the above information is now stated in the prescribed application to incorporate, Form IN01, so that the memorandum merely states that: 'Each subscriber to this memorandum of association wishes to form a company under the Act and agrees to become a member of the company and to take at least one share'. The exact number and type of shares and the amount paid is set out in the application form.



Task 5.1

1. Obtain and review a copy of the memorandum of a company incorporated by (or for) your organisation in the jurisdiction where you work or have some other connection.
2. Compare your memorandum to the one we have drafted, shown in Appendix 1A of the online Study Resources.
3. As you review the matters set out later in this section, dealing with the statutory requirements for the memorandum (for the name, registered office, liability of members, objects and capital), turn to Appendix 1A. Note its required content and how the memorandum has been drafted.

There are no prescribed requirements as to style or form, provided the memorandum contains the statutory minimum information. Having said that, it is standard practice to rely upon precedents that invariably originate from English publishers⁹¹ and that have proved acceptable to registrars of companies around the common law jurisdictions.

2.1 Name

The first clause of the memorandum generally states the name of the company. See Appendix 1A cl.1. There are statutory restrictions and requirements in respect of the choice of name, which were reviewed in Module 3 section 3.3.

2.2 Registered office

The second clause generally states the jurisdiction (seldom the street address within the jurisdiction) of the company's registered office. See cl.2 of Appendix 1A. In these circumstances the registrar has to be notified separately upon incorporation of the precise location of the company's registered office.

A company is required to have a physical address for a number of reasons:

- to facilitate formal communications with the company
- to establish the nationality of the company
- to maintain its corporate records (and allow inspection thereof by members, and of its public records by the public).

A registered office is required to enable the outside world to have a means of contacting the company. This is particularly important for creditors of the company, as they must have an address to send payment requests and, if there is any subsequent conflict, final demands or legal process. Documents are deemed properly served upon a company if delivered to or sent by post to the address of its registered office.

A statement in the memorandum that the company's registered office is situated in State A establishes the nationality of the company. A company formed under the companies legislation of State A with a registered office in State A has State A nationality. Under traditional principles, a company retains this nationality throughout its life. As we saw in Module 4, however, modern offshore statutory provisions entitle a company to migrate from one jurisdiction to another, provided it complies with certain conditions.

The nationality of a company is not the same thing as its residence for tax purposes. A company incorporated and having its registered office in State A may be deemed to be resident in State B for tax purposes if its central management and control abide in State B. These international conflict of laws rules are dealt with in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

The registered office is also the place where certain company records must be kept.

91. Such as LexisNexis Butterworths (now part of the Elsevier group), or Sweet & Maxwell (now part of Thomson Reuters).

For example:

- the register of members
- the register of beneficial ownership, or equivalent
- the register of directors
- the register of company secretary and other officers such as the registered agent
- the register of charges
- the accounting records
- the common seal, if applicable
- the minute book containing a record of the meetings of the members, and meetings of its directors.

2.3 Liability of members

The memorandum must state whether the liability of the company's shareholders is limited. See cl.3 of Appendix 1A.

If it is, the memorandum must state whether such liability is limited by shares or by guarantee. If limited by shares, the capital clause (often cl.5 – see section 2.5) must state the company's authorised capital, etc. If limited by guarantee, the capital clause must state the amount of the guarantee, i.e. a specified sum that each member promises to pay to discharge the company's debts on winding up. If the company is of unlimited liability, cl.3 and 5 are omitted.

This clause serves, at least in theory, as a warning to persons doing business with the company. They are forewarned to be careful as the liability of the members is limited!

2.4 The objects

The fourth clause deals with the capacity of the company to transact business by stating its objects. See cl.4 of Appendix 1A.

2.4.1 Introduction to corporate capacity

The doctrine of capacity relates to whether a person has the lawful power or authority to carry out an act or enter into a transaction or, for instance, is suffering from some kind of legal disability, e.g. is a minor, or mentally incompetent, or a bankrupt.

In the context of company law, 'capacity' relates to whether a company has power or authority to carry out an act or enter into a particular transaction – a transaction, moreover, that is intended to achieve an end result, i.e. an object: hence the name of this clause – the objects clause.

The concept of corporate capacity has now been largely reformed by modern companies legislation, but some vestiges remain. Once again, in order to understand the current rules, it is necessary to trace their origins.

2.4.2 The *ultra vires* doctrine

'*Ultra vires*' is essentially an expression meaning that a person has exceeded their legal authority. In the context of company law it means that a company has acted in a manner that is outside or has exceeded its lawful objects. The act is therefore *ultra vires*, and void.

A company may exercise its powers to transact business only for a lawful object, i.e., one set out as an objective of the company in its objects clause.

The often quoted case of *Ashbury Railway Carriage Co. Ltd v Riche*⁹² illustrates the application of the old rule (and how it can result in unfairness or loss to third parties who have entered into transactions with the company). Ashbury Railway Carriage Co. Ltd was incorporated in accordance with applicable companies legislation. Its objects, as stated in its memorandum, were to 'make, sell, lend on hire and repair railway carriages and wagons'. The directors then decided to expand the company's business and they entered into a contract with a third party to build a railway system in Belgium. The court held that the contract was void as the company had capacity only to carry out acts in pursuit of the objects specified in its objects clause. The company had acted *ultra vires*. The contract was therefore void and of no legal effect and was unenforceable, either by the company or by the third party. Neither party could sue in the event of the other's breach.

What is the rationale behind the rule?

Under the traditional onshore Anglo-American corporate model, the shareholders invest money in a company (in exchange for shares) for the directors and executives of the company to use the capital raised in a certain manner, i.e. to pursue the company's objectives. You will recall that corporate assets belong to the company, but are managed by the directors. The directors ought not to be able to use the capital raised by the issue of shares in whatever way they feel is appropriate. There are constraints: the directors must use the capital only in pursuit of the stated objectives of the company. Accordingly, the *ultra vires* doctrine developed as a form of investor protection – to prevent directors going off on a frolic of their own and using corporate assets for purposes wholly different from those intended and contemplated by the shareholders when they invested in the company.

Notwithstanding the worthy principles behind the *ultra vires* doctrine, however, it subsequently became (as Gower puts it⁹³) 'a nuisance to the company and a trap for unwary third parties'.

It was a nuisance to the company as the subscribers (and their advisers) had to think of every conceivable object that the company might wish to undertake during its lifetime and ensure that it was included in the objects clause. If they were not included, the company could not enforce contracts entered into in pursuit of an *ultra vires* object.

The objects clause of the memorandum therefore became exceedingly long, cumbersome and vague. Instead of specifying the main objective of the company, it became buried in verbose draftership containing every conceivable type of activity

92. *Ashbury Railway Carriage Co. Ltd v Riche* (1875) LR 7 HL 653..

93. PL Davies, Gower: *Principles of Modern Company Law* (7th edn, Sweet & Maxwell, London, 2003), p.133.

that any company might wish to undertake. This was frowned upon by the courts,⁹⁴ which would interpret an objects clause by trying to discover the company's main objects and relegate all others as ancillary to these.

The *ultra vires* doctrine was a trap for unwary third parties because an apparently valid contract, voluntarily negotiated and entered into by a company and third party, might turn out to be unenforceable and of no legal effect if it was found that the company had acted *ultra vires*. This meant that neither the company nor the third party could sue the other for breach. This was a particular problem when companies, in their haste to enter into new lines of business, inadvertently failed to check their objects first; or when third parties, eager to obtain new business, failed to ensure, by checking the memorandum of the other contracting party, that it was indeed acting *intra vires*.

2.4.3 Reform of the *ultra vires* doctrine

The *ultra vires* doctrine was clearly unsatisfactory. It has therefore been reformed by modern companies legislation. The extent of the reform varies between jurisdictions, but the way in which it has been tackled follows one or more of three English templates or its complete abolition. When the English templates are followed, an *ultra vires* transaction which falls outside one of the company's lawful objects is valid and enforceable; however, the doctrine still exists to enable the company, through its shareholders, to sue the directors either to prevent them entering into an *ultra vires* transaction or, alternatively, for compensation for consequential loss. When the doctrine has been abolished it simply no longer applies insofar as a company has unrestricted capacity to conduct any type of business activity. The reform statutory templates are identified below.

- Section 35 Companies Act 1985 states that: 'In favour of a person dealing with a company in good faith, any transaction shall be deemed to be within the capacity of the company and ... free from any limitations in the company's [objects clause in its] memorandum'. Note the proviso: a transaction that is not covered by the objects clause is nonetheless enforceable provided the other contracting party acted in 'good faith', namely did not know that the company had entered into an *ultra vires* transaction.
- Section 35 was subsequently amended in 1989, so that the new s.35 reads:

'The validity of an act done by the company shall not be called into question on the grounds of lack of capacity by reason of anything in the company's [objects clause in its] memorandum.'

This removes the requirement of good faith, so that neither the company nor the other contracting party can invoke the *ultra vires* doctrine to wriggle out of a transaction entered into by the company but which was outside the company's objects. Nevertheless, it still exists to protect shareholders, who can bring proceedings against the directors who use or deal with corporate assets for purposes that are not covered by the objects clause.

94. *Re Haven Gold Mining Co* (1882) 20 Ch D 151.

- Section 31 of the Companies Act 2006 states: 'Unless a company's [constitution] restricts the objects of a company, its objects are unrestricted.' This makes the objects clause optional. If the company adopts an objects clause the doctrine still applies as in para.(ii) above; if the company does not have an objects clause then it has full capacity to conduct any business activity. Most jurisdictions have reformed the doctrine in this way. In these jurisdictions very few companies elect to have a restrictive objects clause. Instead, they have an unrestricted objects clause similar to the one illustrated in cl.4 of Appendix 1A, which states that:

'The Company may engage in any act, activity of business that is not contrary to law.'

- Some jurisdictions have simply repealed the *ultra vires* doctrine altogether, so all companies automatically have capacity to conduct any business activity. An objects clause is therefore completely redundant.



Task 5.2

Research the companies legislation enacted in the jurisdiction where you work or have some connection.⁹⁵ Identify the method by which the *ultra vires* doctrine of corporate capacity has been reformed.

2.5 Share capital

The capital clause is often the fifth clause found in a company's memorandum. When the company is limited by shares and has a share capital, the clause states:

- the authorised (or nominal) capital of the company, i.e. the maximum amount of capital that the company is authorised to raise by issuing shares
- how the capital is divided up into shares
- the nominal (or par) value of each share (except for (I)BCs and other companies that are permitted to issue shares without a par value).

For example, as in cl.5 of Appendix 1A, the share capital clause may state that:

'The share capital of the company is \$50,000 divided into 5,000 shares of \$10 each.'

The company may then issue up to a maximum of 5,000 shares and thus raise \$50,000 by way of share capital. The nominal (or par) value of each share is \$10. Under traditional company law theory, a shareholder must pay at least \$10 for each share allotted to him, otherwise the shares are sold at a 'discount' (in the US this is described as 'watered stock'). The company may sell its shares at any price **above** \$10 that the market for those shares may determine. The actual price at which the share is sold is the 'issue price', and the difference between par and the issue price is known as the 'premium'.

95. BVI – s.10 of the BVI BCA permits a BVI company to be a 'restricted purposes company', in which case the restricted purposes must be stated in the memorandum. Section 28 states that, subject to its memorandum, a company has full unrestricted capacity to undertake any business or activity (Options 2 and 3); Bahamas – s.11 of the IBCA (Options 2 and 3); Bermuda – s.11 of the Companies Act 1981 (Options 2 and 3); Cayman Islands – s.28 of the Companies Act 2022 Rev (Options 2 and 3); Jersey – s.18 of the Companies (Jersey) Law (Option 4, *ultra vires* doctrine abolished); Guernsey – s.113 of the Companies (Guernsey) Law (Options 2 and 3); Isle of Man – s.21 of the Companies Act 2006 (Option 4, *ultra vires* doctrine abolished); Hong Kong – ss.116 and 117 of the Companies Ord Cap 622 (Option 1); Singapore – s.25 of the Companies Act Cap 50 (Option 2).

The figures set out in the capital clause are critical when determining the treatment of capital in the books and financial statements of the company and in establishing which funds can be distributed to shareholders in the future. The capital clause is designed as part of a package of measures that exists for the protection of persons who transact business with, and become creditors of, the company. The share capital, as set out in the memorandum (or at least that part of the share capital that has been issued), constitutes a separate fund that the company must keep intact in the balance sheet and not, under any circumstances, except on a winding-up, return to the shareholders. In theory, the capital fund should always be available to pay creditors upon the winding-up of the company. This is the so-called capital maintenance doctrine, to which we shall return in Module 6.

Alternatively, the capital clause may state that:

‘The company’s capital is divided into 10,000 ordinary shares [of common stock] of \$10 each and 5,000 preference shares [preferred stock] of \$25 each.’

The authorised capital of such a company is therefore $(100,000 + 125,000 =) \$225,000$. The memorandum does not, however, describe the various rights that attach to the different classes of shares. The rights of holders of the ordinary shares and rights of holders of the preference shares are usually set out in the articles, or in the terms of the issue of the shares: for example, in the prospectus that the company may be required to publish and make available to prospective investors before the issue of new shares.

Private companies do not have a statutory minimum share capital, but public companies usually do.

The concept of share capital and the capital maintenance rules have been liberalised and simplified over recent years in a number of offshore financial centres. Companies incorporated in these jurisdictions may now elect not to have an authorised share capital and par value for their shares. Instead, the capital clause simply states that the company may issue up to a maximum number of shares that have no par value. This affects the company’s capital structure, which is reviewed in the next module.

By way of example, the BVI BCA 2004 has essentially abolished the concept of authorised share capital and par value shares and these do not have to be referred to in the memorandum. Instead, the memorandum of a BVI BC must simply state the maximum number of shares it is authorised to issue, or that the company is authorised to issue an unrestricted number of shares.⁹⁶

2.6 Other jurisdiction-specific requirements

The company legislation of certain offshore centres may have additional jurisdiction-specific requirements.

96. Section 9(1)(e)(i) of the BVI BCA 2004, cf. s.12(1) of the old IBCA.



Task 5.3

Research the companies legislation of the jurisdiction where you work or have some other connection, and establish whether it requires any further matters to be stated in the memorandum.

3. Alteration of the memorandum

The constitution of a company is imposed upon the company on incorporation, within the legislative framework, by its promoters and subscribers, the latter becoming its first members. It is therefore logical that the members of a company have the right to alter its constitution.

Historically, once incorporated, the constitution of a company could not be changed. If, for instance, a company wished to expand into a line of business not covered by the objects clause, it could not seek to amend its objects – it would have to act as a promoter and incorporate a subsidiary with a new and appropriate objects clause.

It has been possible, for over a century, however, to change the constitution of a company after incorporation. The procedure, according to the 1948 Act model, requires a supermajority vote for a special resolution of the members of the company in general meeting.⁹⁷ Some offshore jurisdictions do not distinguish between an ordinary and a special resolution of shareholders and in these circumstances a simple majority is sufficient. Those jurisdictions with IBC legislation allow the directors to pass the resolution provided it is authorised in the articles.

The following is a summary of how changes to the memorandum may usually be made, although before making any alterations one should refer to the applicable companies legislation and also to the articles of the company, as these may set out specific requirements.

Note that any changes made to the memorandum must be notified to the registrar of companies in the offshore centre where the company is incorporated. Notification must be given within a certain period of time, usually 14 days or one month, from the date of the resolution.

3.1 Company name

According to the 1948 Act model, the name of a company may be changed by a special resolution of the members. Most jurisdictions follow suit, save for the IBC jurisdictions that do not differentiate between an ordinary and a special resolution to change the name of the company.⁹⁸ Section 12(1) of the BVI BCA, as amended 2005, states that the shareholders, by majority vote, may resolve to change the name of the company,

97. Sections 4, 5 and 10 of the Companies Act 1948. A two-thirds or three-quarters majority is typically required, depending upon the articles concerned – see Module 9 section 2.8.

98. Section 18 of the Companies Act 1948. In the Bahamas – s.12(4) of the IBCA 2000 as amended 2013 states that the name is changed by amending the memorandum which can be carried out by members or, where the articles permit, by directors' resolution; Bermuda – s.10 of the Companies Act 1981 as amended; BVI – subss.12 and 21 of the BVI BCA 2004 amended; Cayman Islands – s.31(1) of the Companies Law 2020 Revision; Gibraltar – s.29 of the Companies Act 2014 as amended; Guernsey – s.25 of the Companies (Guernsey) Law 2008; Hong Kong – s.107 of the Companies Ord Cap 622; Isle of Man – s.14 of the Companies Act 2006; Jersey – art.14 of the Companies (Jersey) Law 1991 amended; Singapore – s.28 of the Companies Act Cap 50.

although s.12(4) states that the memorandum may authorise the directors to do so. A specimen resolution to change the name of the company is illustrated in Appendix 11 of the online Study Resources.

Any new name must undergo the same checks and be subjected to the same criteria as the original name selected on incorporation (see Module 3 section 3.3).

Notification of the change of name must be filed with the registrar together with payment of the prescribed fee. The registrar will then amend the register of companies and issue an amended certificate of incorporation to reflect the change of name. Section 18(4) confirms that a change of name 'shall not affect any rights or obligations of the company nor render defective any legal proceedings brought by, or against, the company'.

Post change of name matters to attend to include such things as: an alteration to the name displayed at the registered office, on websites and notepaper; a new seal (if the company has adopted one) will be required; and interested persons, such as bankers, brokers, insurers, customers and other third parties, should be notified.

3.2 Registered office

The 1948 Act model does not contain any specific statutory procedure for moving the registered office of a company within the state of incorporation. Section 107 merely states that when it is moved the company must notify the registrar within 14 days. In these circumstances, it is widely accepted that a decision to change the location of the registered office is a matter for the directors.⁹⁹ Other jurisdictions follow this model; some, such as the IBC jurisdictions, specifically state that the directors may change the registered office by board resolution; the BVI BCA states that the directors may change it when the power to do so is conferred upon them by the articles.¹⁰⁰

The change of location of the company's registered office is not an alteration to the memorandum, which typically only states in the second clause that the registered office is located within the state of incorporation; there is therefore no legal or practical requirement to re-print the memorandum. The corporate procedure is to:

- a. pass an appropriate board resolution (a specimen of which is illustrated in Appendix 12 of the online Study Resources), and
- b. notify the registrar within 14 days (there may be a prescribed form as in England,¹⁰¹ but otherwise a letter enclosing the board resolution will suffice, together with payment of the prescribed fee).

Note that the nationality (country of incorporation, and jurisdiction of the registered office) cannot be altered in this manner, save by formal migration. This is dealt with in Module 4 section 2 and typically requires a special resolution of the shareholders of the company in general meeting.

99. C Gillard, D Farman, A Cotton and H Goose, *Jordans Company Secretarial Precedents* (8th edn, Jordan Publishing, Bristol, 2016).

100. Section 107 of the Companies Act 1948; Bahamas – s.37(3) of the IBCA 2000 as amended; Bermuda – subss.12 and 62 of the Companies Act 1981 as amended; BVI – subss.12 and 92 of the BVI BCA 2004, amended 2012; Cayman Islands – s.11(1) of the Companies Law 2020 Revision; Gibraltar – ss.8(7) and 178 of the Companies Act 2014 as amended; Guernsey – s.30 of the Companies (Guernsey) Law 2008; Hong Kong – s.658 of the Companies Ord Cap 622; Isle of Man – s.75 of the Companies Act 2006; Jersey – art.67(3) of the Companies (Jersey) Law 1991 Rev 2019; Singapore – s.142 of the Companies Act Cap 50.

101. Form AD01.

3.3 Nature of the company

The members can usually resolve by special resolution to alter a public company to a private company, and vice versa; a limited company to an unlimited company and vice versa; an ordinary company to a protected cell/segregated portfolio company and vice versa.

Any re-registration will require an overhaul of the constitutive documents of the company. In these circumstances it may be easier simply to incorporate a new company. But if it is decided to, for example, re-register a public company as a private company, the following steps are required. A board resolution should be passed to approve and confirm the re-registration, recommend a revision of the articles and convene a meeting of shareholders to consider the matter; a special resolution of shareholders should be passed to re-register the company and make consequential alterations to the articles; the special resolution and new articles must be filed with the registrar together with a statement of compliance and prescribed fee. Specimen resolutions are illustrated in Appendix 13 of the online Study Resources; note, however, that the specimen resolutions illustrate a re-registration from a public to a private company, and that this procedure is redundant in those jurisdictions that have abolished the distinction – see Module 3 section 3.2.1.

If the application is granted, the registrar will issue a certificate of incorporation on re-registration. Post re-registration matters to attend to include things such as: an alteration to the name displayed at the registered office, on websites and notepaper; a new seal may be required; and interested persons, including bankers, brokers, insurers and other third parties, should be notified, as for a change of name (section 3.1 above).

3.4 Liability of the members

The members can usually resolve by special resolution to alter their liability from unlimited to limited, but all members must unanimously consent to a change from limited to unlimited.

3.5 Share capital

Shares may usually be issued by resolution of the directors although, if the authorised capital has to be altered, the members must resolve to make such a change.¹⁰² Typical companies legislation states that, subject to any contrary provision in the articles, this must be carried out by special resolution of the shareholders in general meeting.

3.6 Objects

In old companies incorporated some time ago, or in the unusual event that a modern company has elected to have restrictive objects, whilst such objects tend to be drafted quite widely, it may become necessary to amend the objects clause. In these

102. Section 61 of the Companies Act 1948; Bahamas – s.25 of the IBCA 2000 (permits directors to alter capital); Bermuda – s.45 of the Companies Act 1981 as amended; BVI – ss.12 and 40 of the BVI BCA 2004 amended 2012; Cayman Islands – s.13 and 14 of the Companies Law 2016 Revision; Gibraltar – ss.130, 132 and 136 of the Companies Act 2014; Guernsey – s.287 of the Companies (Guernsey) Law 2008; Hong Kong – s.170 of the Companies Ord Cap 622, 2014 revision; Isle of Man – s.32 of the Companies Act 2006; Jersey – art.38 of the Companies (Jersey) Law 1991 amended 2009; Singapore – ss.71 and 78A etc. of the Companies Act Cap 50, consolidated 2017.

circumstances the amendment can be made in accordance with the general power for companies to amend their constitutive documents. In those jurisdictions that follow the 1948 Act model, this requires a special resolution of shareholders, whereas the IBC jurisdictions permit an amendment to be made by the board of directors, provided such a power is conferred upon them by either of the constitutive documents.¹⁰³

Once more, notification of the amendment to the objects clause must be given to the registrar and a prescribed fee is payable. An example of a members' resolution is illustrated in Appendix 14 of the online Study Resources.

4. The articles of association

4.1 Purpose of articles

The articles are the regulations of the company, governing its internal organisation, management and administration. Whereas the purpose of the memorandum is to set out the external or public aspects of the company for the benefit of third parties and creditors, the purpose of the articles is to regulate internal administration: to govern the directors, officers, shareholders and other insiders.

Upon incorporation, the promoters, or the subscriber(s), who become(s) the first member(s), may make such regulations for the internal governance of the company as they think fit, provided they comply with the broad statutory requirements prescribed by applicable companies legislation.

4.2 Model articles

The content of the articles depends upon the requirements of the client promoter and the preferences of their advisers. The form of the articles is not prescribed by statute. That said, in most jurisdictions model articles are provided, which may be adopted by the company, either in whole or in part.

Model articles in the basic form that we still find today were initially published as Schedules to the Joint Stock Companies Act of 1856. These model articles were still found in English companies legislation, albeit with modified language; they included:

- **Table A**, containing model articles for a company limited by shares
- **Table B**, containing further model articles for a company limited by shares (now repealed)
- **Table C**, containing model articles for a company limited by guarantee without share capital
- **Table D**, containing model articles for a company limited by guarantee with share capital
- **Table E**, containing model articles for an unlimited liability company.

103. Section 5 of the Companies Act 1948; Bahamas – s.18(1) of the IBCA 2000 as amended 2008; Bermuda – ss.11 and 12 of the Companies Act 1981 as amended; BVI – ss.10, 12 and 14 of the BVI BCA 2004; Cayman Islands – s.10 of the Companies Law 2020 Revision; Gibraltar – ss.16(4) and 25 of the Companies Act 2014; Guernsey – unrestrictive objects by s.116 of the Companies (Guernsey) Law 2008; Hong Kong – ss.82 and 87 of the Companies Ord Cap 622; Isle of Man – subss.8 and 21 of the Companies Act 2006; Jersey – arts 11 and 18 of the Companies (Jersey) Law 1991 amended; Singapore – ss.26 and 33 of the Companies Act Cap 50.

The current English Companies Act 2006 has three forms of 'model articles' (rather than 'tables'), which are found in the Companies (Model Articles) Regulations 2008: the first is designed for a private company limited by shares (Sch.1); the second for a private company limited by guarantee (Sch.2); and the last for a public company (Sch.3).

In the common law offshore financial centres the promoters of a company may elect:

- to prepare their own, tailor-made articles
- to adopt a standard set of articles made available by the local companies legislation, where these exist, either wholly or making amendments to them as they see fit.¹⁰⁴

A number of trust companies and offshore corporate service providers use the statutory model articles (which typically still go by the name of 'Table A') as the basis for the articles of companies that they incorporate and manage on behalf of clients. Others have found, by trial and error, that certain alterations to the standard articles serve their clients' needs. Where possible, however, all providers try to adopt uniform articles for all their managed companies, so that the 'coal-face' company manager is comfortable and intimately familiar with their terms and can conduct day-to-day administration without (m)any surprises.

4.3 Usual contents

Rules and regulations found in standard articles endeavour to cover all aspects of internal organisation, management and administration, including the following points.

4.3.1 Share capital

Standard articles, as well as the model articles found in Appendix 1B paras 2–9 of the online Study Resources, set out:

- the power to issue shares and the rights attaching to different classes of share
- the right to issue share certificates and a procedure for doing so
- the procedure for modifying shareholder's rights
- matters involving a company's lien on shares (when shares have been issued to shareholders but not fully paid for)
- the provisions for calls on shares (whereby a company may call on a shareholder to pay the amount still outstanding on the issue price of his or her shares)
- the provisions for forfeiture of shares (when a shareholder fails to pay a call)
- procedures for transferring shares (by sale or gift) and on transmission (on the death of a shareholder)
- restrictions on the transfer of shares and rights of pre-emption
- matters relating to the alteration of the company's share capital.

104. Section 8 of the Companies Act 1948; Bahamas: model articles for a domestic company limited by shares found in Sch.1 to the Companies Act 1992. There are no model articles in the IBCA 2000 although see s.14; Bermuda – the Companies Act 1981 does not have model articles although 'model' powers and objects exist in Schs 1 and 2; BVI – there are no model articles in the BVI BCA 2004; Cayman Islands – model articles are found in the Schedule to the Companies Law 2022 Revision for a company limited by shares, called Table A; Guernsey – s.16(2) of the Companies (Guernsey) Law 2008 confers upon the Commerce and Employment Department power to draft a standard table of articles; Jersey – art.6 of the Companies (Jersey) Law 1991 is similar to Guernsey, and standard articles are found in the Companies (Standard Table) (Jersey) Order 1992; Isle of Man – s.6 of the Companies Act 2006 confers a power to prescribe model articles; Gibraltar – s.23 of the Companies Act 2014 confers upon the Minister of Finance a power to prescribe model articles; Turks and Caicos Islands – Tables A and B of Sch.2 to the Companies Ord 1981; Hong Kong – ss.79 and 80 of the Companies Ord Cap 622, 2014 version; Singapore – s.36 of and Sch.4 to the Companies Act Cap 50, repealed – model constitution now found in the Companies (Amendment) Act 2014 and Sch.1 to the Companies (Model Constitution) Regulations 2015.

4.3.2 Shareholders

In relation to shareholders, typical articles (including the model articles in Appendix 1B of the online Study Resources, paras 10–14) set out:

- requirements for holding the first and subsequent (annual) general meetings of the shareholders of the company
- procedure for calling a general (shareholders') meeting
- rules for the conduct of general meetings
- how votes are taken and resolutions recorded
- rules for the appointment of proxies.

4.3.3 Officers

Typical articles (as well as the model articles in Appendix 1B paras 15–22) give the following details about the officers of the company:

- the number of directors
- the powers and duties of directors
- rules for the appointment, rotation and removal of directors
- rules for the disqualification of directors
- the remuneration of directors
- the procedure for calling, and the conduct of, directors' meetings
- the appointment of a managing director
- the delegation of powers to a committee of directors
- the appointment of alternate directors
- the appointment of secretary and other officers
- rules for the use of the company seal.

4.3.4 Distributions

Typical articles (including those set out in Appendix 1B paras 23 and 24) set out how profits may be distributed, including such matters as:

- procedures and other matters relating to the distribution of dividends to shareholders
- the setting aside of reserves to meet contingencies
- the capitalisation of profits that are not distributed.

4.3.5 Miscellaneous provisions

Typical articles (including those set out in Appendix 1B paras 23 and 24) set out how profits may be distributed, including such matters as:

- the requirements for the keeping of accounts
- any audit requirements
- procedures dealing with how notices should be served by the company upon shareholders
- procedures relating to the voluntary winding-up of the company

- exemption and exclusion of liability clauses that may exonerate directors and other officers from liability for negligent acts or omissions
- indemnities.



Task 5.4

Review the statutory model articles, if any, found in the companies legislation enacted in the jurisdiction where you work or have some connection. Alternatively, review the standard precedent articles used by the organisation where you work.

Compare these with the specimen articles found in Appendix 1B. Tick the rules appearing in your articles that relate to the aspects of internal procedures and management identified in section 4.3 above. Are there any significant matters contained in your articles that we have omitted from the list?

Appendix 1C of the online Study Resources contains the current English model articles for a private company limited by shares, which have been included to demonstrate alternative forms of articles. Comparing and contrasting the articles in Appendix 1B with 1C should show that they are not too different, save for the order of contents, drafting style and use of language.

5. Alteration of the articles

In those jurisdictions that follow the 1948 Act model, a company may, by special resolution of its shareholders, amend, restate, or add to its articles. The IBC jurisdictions, including the BVI, require a simple majority of shareholders to pass a resolution to amend the articles and the memo or articles may authorise the directors to do so.¹⁰⁵ It is unlawful to include a provision in the articles to the effect that they cannot be altered.¹⁰⁶

The procedure to follow in circumstances where the company has multiple shareholders is shown below. The procedure can be streamlined in the case of a company with a sole shareholder, when a written resolution can be passed and, for IBCs, note that an amendment can be made by resolution of the board when such power is conferred by the articles.

- The directors resolve to recommend an alteration to, or adopt new, articles (referred to in the US as a re-statement) and to convene a general meeting to consider a motion to pass a special resolution: see Appendix 15A of the online Study Resources.
- A general meeting is held and the shareholders pass a special resolution by super-majority vote to alter, or adopt new, articles (Appendix 15B of the online Study Resources).

105. Section 10 of the Companies Act 1948 (s.21 of the Companies Act 2006); Bahamas – s.18 of the IBCA 2000 as amended; Bermuda – s.13 of the Companies Act 1981 as amended; BVI – s.12 of the BVI BCA 2004 amended; Cayman Islands – s.24 of the Companies Law 2020 Revision; Gibraltar – s.25 of the Companies Act 2014 as amended; Guernsey – s.42 of the Companies (Guernsey) Law 2008; Hong Kong – ss.87 and 88 of the Companies Ord Cap 622; Isle of Man – s.8 of the Companies Act 2006; Jersey – art.11(1) of the Companies (Jersey) Law 1991 amended; Singapore – ss.26 and 37 of the Companies Act Cap 50.

106. *Malleon v National Insurance & Guarantee Corp* [1894] 1 Ch 200; *Russell v Northern Bank Development Corp Ltd* [1992] BCLC 1016. However, s.12(2) of the BVI BCA states that the memorandum may include a provision whereby specified provisions in the articles may not be amended.

- Where the amendments are significant it is often simpler to adopt a complete new set of articles by way of re-statement, rather than amend the existing articles piecemeal. In any case, it is the industry practice to prepare and print a new and complete copy of the articles as altered (see Appendix 15C of the online Study Resources).
- The secretary/registered agent/corporate service provider must notify the registrar, within a specified number of days, by forwarding a copy of the special resolution together with a copy of the new articles, and pay the prescribed fee, if any.

The general rule that the articles can be amended by a supermajority of the members is, however, subject to an implied provision that the power must be exercised by the shareholders in a *bona fide* manner for the benefit of the company as a whole. This condition is implied as a protective measure to prevent the majority shareholders from exercising their voting power to change the articles in some manner in their favour or for their advantage, to the detriment of the minority.

If an alteration to the articles is proposed by the majority shareholder(s) that:

- is oppressive or prejudicial to the minority
- would give the majority an advantage not available to the minority

the minority shareholder(s) may complain to the court, and a judge who finds the change contrary to the interests of the company as a whole has power to prevent the alteration from proceeding.

So, for example, in *Greenhalgh v Arderne Cinemas Ltd*¹⁰⁷ the broad facts were that a company had two shareholders: A with 67% of the shares and B with 33%. A, the majority shareholder, wanted to sell his shares to a third party, X. The articles contained a pre-emption clause which gave B the right to buy A's shares if he decided to sell them but A wanted to sell to X as he would get a better price. He therefore convened a meeting of shareholders and proposed a resolution to alter the articles by removing the pre-emption clause. B complained to the court to prevent the proposed alteration, on the grounds that the majority shareholder was acting in a manner that was oppressive and prejudicial to the minority.¹⁰⁸

In *Dafen Tinplate Co. Ltd v Llanelly Steel Co.*,¹⁰⁹ the majority shareholder proposed a resolution to change the articles to enable a shareholder with a certain proportion of shares to buy the shares of the minority 'at a fair price'. The court held that this was not a *bona fide* exercise of the shareholders' powers in the interests of the company as a whole. The result would probably be the same if the majority shareholder had promised to inject further capital into the company provided he was allowed to buy out the minority,¹¹⁰ or offered a price for the minority shares above their market value.¹¹¹

107. *Greenhalgh v Arderne Cinemas Ltd* [1951] Ch 286.

108. The judge permitted the alteration on a technical basis, but the facts illustrate the circumstances in which a majority shareholder may be prevented from altering the articles in a manner that is oppressive and prejudicial to the minority.

109. *Dafen Tinplate Co. Ltd v Llanelly Steel Co.* [1920] 2 Ch 124.

110. *Brown v British Abrasive Wheel Co* [1919] 1 Ch 290.

111. *Gambotto v WCP Ltd* [1995] 182 CLR 432.



Learning outcomes

By the end of this module you should:

- appreciate the historical development and current theories relating to the constitution of a company
- understand the typical content of the memorandum of association, and be able to determine how it can be moulded, within the legislative framework, to meet the requirements of the client
- analyse the capacity of a company to transact business under modern companies legislation that repeals the *ultra vires* doctrine
- amend the memorandum to meet the client's requirements
- understand the functions and typical content of the articles of a company, and to determine how they can be moulded, within the legislative framework, to meet the client's requirements
- determine the rights, powers of and procedures affecting the shareholders, directors and officers of a company
- be able to amend, or re-state, the articles.

Module 5:

Self-assessment questions

1. What is meant by a company's 'constitution'? Is it a requirement for all companies incorporated in the same jurisdiction to have a similar constitution?
2. 'The internal rules, powers and corporate procedures of a company are a matter for the company to decide for itself in its articles.' Explain the above statement. Contrast this statement with the corporate regulations that affect third parties or creditors of a company.
3. List five clauses found in a typical memorandum of association.
4. A company must have a physical address. Why? What is this address known as?
5. Consider the historical requirement in the 1948 Act that a company must set out its purposes in the objects clause of its memorandum. In the leading case of *Ashbury Railway Carriage Co. Ltd v Riche*:
 - i. What were the objects of the company as set out in its memorandum?
 - ii. What were the terms of the contract the company purported to enter into?
 - iii. Why was the contract not binding, and incapable of being enforced either by or against the company?
 - iv. What is the rationale behind the *ultra vires* rule?
6. Why was the *ultra vires* doctrine considered unsatisfactory and what is its current status in a jurisdiction of your choice?
7. A company's share capital is \$100,000, divided into 1,000 shares of \$100 each. The company issues 500 shares at a price of \$150 each.
 - i. What is the company's authorised and issued share capital?
 - ii. What is the par value of each share, its issue price, and its premium?
8. As a general rule, how, if at all, may the memorandum be altered?
9. Model articles were originally annexed to the English Joint Stock Companies Act 1856 and this practice has been repeated in subsequent Acts. What are model articles?
10. Consider the broad content of a company's articles of association.
11. As a general rule, how, if at all, may a company's articles be altered?
12. Describe the implied restriction on a company's right to alter its articles if such alteration is prejudicial to the minority shareholders.

Module 6: Equity, Capital and Distributions



Module 6:

Equity, Capital and Distributions



Learning objectives

The purpose of this module is to:

- introduce the concept of equity finance and 'capital' in different contexts
- explain how a company may issue shares to raise capital, and is required to allocate and preserve the consideration received
- review how the capital maintenance rules restrict the funds that can be used to distribute as dividends to shareholders
- investigate how such restrictions are circumnavigated.

Introduction

On incorporation, a company acquires its own legal personality and corporate structure: the subscribers become the initial shareholders who appoint the directors, who, in turn, organise the company into a commercial unit ready to operate a business. At this stage it does not have any money – it does not have '**capital**'.

The word 'capital' has many different meanings. In a colloquial context, used in business, it is the sum of money or other property that is used in a business to earn profits.

It is sometimes used in the context of the net amount belonging to a business, after deducting the debts it owes. For instance, in the case of a sole proprietor, it is usual for the owner to invest money or other property into the business as **initial capital** with a view to putting that capital to work to make a profit. Historically, it was practical to place a value on the proprietor's capital in the business accounts in order to establish the annual trading profit and loss. At the start-up of the business, the value of any property invested is entered in the accounts as the initial capital. Money subsequently borrowed, or any liability owed, by the business is deducted to arrive at a figure of **net capital** (or **equity**). At the end of the first year of trading the annual net profit can be calculated. Assuming there have been no withdrawals, the proprietor calculates existing capital and deducts the initial capital and liabilities. The profit can be taken out of the business to be enjoyed by the proprietor, or retained and ploughed back into the business. To the extent that profits are not distributed, the proprietor starts year two with a larger capital base.

The word **capital** also has a narrower, more technical historical meaning when used in the context of company law. It is the sum of money shown in the balance sheet as **capital** in respect of which certain rules have developed called the **capital maintenance** doctrine.¹ It is calculated by the formula: number of issued shares multiplied by the par value per share.

1. *Re Exchange Banking Co., Flitcroft's Case* (1882) LR 21 Ch D 519; *Trevor v Whitworth* (1887) LR 12 App Cas 409 (HL).

This module reviews the concept of equity finance. In particular it reviews how capital is introduced, and the rules that require the company to maintain its capital. Later in the module we identify how these rules inhibit an asset-holding investment company from making distributions and we explore ways of getting around such rules.

1. Equity finance

A business conducted as a partnership can acquire **working capital** from contributions made by the individual partners, as well as by borrowing from creditors. But there is a limit to the amount that can be borrowed. Lenders often require collateral. So the working capital of a partnership is limited to the combined wealth of the individual partners together with the extent of their borrowing power.

It was because of this limitation upon the amount of money that could be raised to conduct business as a partnership that the corporate entity emerged in the 17th century. As discussed in Module 2, an increase in international trade, and the Industrial Revolution in particular, saw the development of the company as a separate entity and trading structure that could raise significant amounts of capital by equity finance – i.e., by selling shares to the investing public.

The process by which a company raises equity finance and finds a willing buyer to purchase new shares is called an offering. An **offering** can be made to an identified individual or small group of individuals on a **private basis**, or it can be made to the general public as a **public offering** of new shares.

A public offering can be made by a public company and is essentially an invitation to the public at large to buy shares in the company on what is now described as the 'primary market'. Investors are more willing to buy shares on the primary market if there exists an available and liquid 'secondary market' on which they may subsequently trade the securities. Accordingly, new shares issued by public companies are often, but not necessarily, listed on a stock exchange. An initial public offering of new securities therefore involves an offer for sale (or subscription) on the primary market together with an application for a listing on the secondary market.²

Company law says very little about a private placement of new shares whereas a public offering is heavily regulated. The procedure can be complex, but essentially involves the following three stages: underwriting, promotion and issuing the new securities. We shall review concisely the issue of shares via public offering in section 1.1 and the issue of shares by a private company via a private placement in section 1.2 below.

1.1 A public offering

1.1.1 Engagement of investment bank and underwriting

At the outset, the issuing company retains an investment bank to advise upon and underwrite the issue. Underwriting is arranged in order to guarantee a successful issue.

2. Terminology can be confusing. A 'public company' may issue shares to the general public by way of a public offering, but it is not required to do so; accordingly, a public company may sell shares on a private basis or at a public offering. A 'publicly traded company' has actually issued shares to the public. A 'listed company' is a public company that has issued shares to the public, and these shares are listed, and can therefore be traded, on a stock exchange. A 'private company', on the other hand, cannot make an offer to sell its shares to the public by way of public offering: it can only offer to sell its shares to an identified individual or small group on a private basis. Just to make matters even more confusing, a number of offshore jurisdictions have now abandoned the distinction between private and public companies – see Module 3 section 3.2.1.

Essentially the investment bank, in exchange for an underwriting fee, promises to buy all the shares that are not subscribed for by the investing public.³

1.1.2 Promotion

The investment bank markets the new securities to the public. A critical part of the promotion involves the publication of a prospectus (or offering document) which discloses the precise terms of the offer, including the **issue price**. The issue price for the new shares is fixed by the issuing company upon the advice of its investment bankers. It's a tricky decision. If set too low, the issue will be over-subscribed and the company will not receive as much as it should, as a result of it selling some of its business at too low a price. If set too high, the price may discourage investors and the offer will be under-subscribed. Although the underwriters are obliged to buy the unsold new issue of shares, it will reduce the value of the company's shares in the market (as the underwriters generally dump the shares for a loss) and affect the ability of the company to raise further capital in the future.

1.1.3 Issue of the new securities

Prospective investors are invited to scrutinise the prospectus and, if they decide to invest, are asked to make a written application to subscribe. Applications are made to the investment bank that manages the new issue on behalf of the issuing company. The investment bank processes the applications and sends out allotment letters, thereby agreeing on behalf of the company to issue shares at the offer price. Allotment is a contract that confers a right upon the prospective investor to buy the shares at the agreed price. In due course that contract is completed by the company by issuing the shares in consideration for the payment of the issue price, at which time the investor becomes legal owner of the new shares, and is recorded as a shareholder.

1.2 Equity finance on a private basis

The whole process of raising equity finance is simplified for a company that issues shares on a private basis. A large public company may wish to sell new shares by private placement, usually to institutional investors. There is, in these circumstances, no need for underwriting. Nor is there a requirement to publish a detailed prospectus. The company still engages the services of an investment bank to put the deal together, negotiating the terms of the new issue on behalf of the company with prospective institutional investors.

A private company, of course, may also issue shares on a private basis with little formality. There is no need for the private company to retain an investment bank, underwriting is unnecessary and there are no disclosure requirements for the publication of a detailed prospectus. Essentially, if someone wants to invest in a private company, and the company wants that investment, the terms are agreed without fuss and the investor is issued with a share certificate in exchange for payment of the agreed consideration.

A private company issues shares in the following manner.

3. Underwriting can also be achieved by a 'bought deal' whereby the investment bank agrees to subscribe for all the shares being offered and the investment bank, rather than the company, makes the public offer. In these circumstances, the underwriting fee is waived, but the bank retains the difference between the initial offer price for shares and the re-offer price, in lieu of its fee.

1.2.1 Subscriber shares

When a company limited by shares is formed, one or more persons (or entities) must subscribe to the company by signing the memorandum. The subscriber(s) agree to take at least one share in the company upon incorporation. Accordingly, once incorporated, the subscriber(s) automatically become the first shareholder(s). This occurs by operation of law and is not a true issue of shares on a private basis by way of private placement. The subscriber(s) pay the agreed consideration, which is likely to be nominal, or may leave it outstanding, and details of their identity/ies and the number, class, par value and amount paid for the shares are entered in the company's register of members and usually noted at the first board meeting.

In offshore company management practice, however, the subscribers are usually **nominee subscribers**, namely employees or corporate nominees of the service provider engaged to incorporate the company. The subscriber shares are therefore retained by the service provider as nominee for the beneficial owner. The subscribers do not, therefore, provide capital (in the wider sense of the word) or finance to a typical offshore company. They act in an administrative capacity to get the company incorporated. For example, the promoter, who becomes the sole beneficial owner of the shares of the company, may agree for a nominee to take one (or two) shares in consideration of a capital contribution made to the company of \$1 million (or, alternatively, in consideration for a nominal capital contribution together with an interest-free loan of \$1 million, repayable upon demand). In these circumstances, the subscriber(s), acting as agent for the beneficial owner, provide(s) capital funding in exchange for the issue of the subscriber shares. As the company is to remain a one person company, the number of shares issued is of little importance as long as the beneficial owner owns all of them. The company could issue a further 1 million shares to 1 million nominees, but if the principal of each nominee is the beneficial owner, then the beneficial owner still beneficially owns and controls all the issued shares.

Accordingly, it is not unusual for an offshore asset-holding company simply to issue the subscriber shares and no more. If the sole subscriber takes up a single share and holds it for the beneficial owner, then the beneficial owner essentially owns 100% of the issued shares of the company. However, if the company is designed to have multiple (beneficial) owners, it will allot and issue additional shares soon, or some time, after incorporation.

1.2.2 Share allotment and issue

When a company is to issue additional shares, beyond those issued to the subscriber(s), the following procedure should be followed.

Stage 1: Ascertain who has the power to allot and issue new shares.

The power to allot and issue new shares is typically conferred upon the board of directors of the company by legislation, or by the company's articles or by resolution of its shareholders.

- Companies legislation: the 1948 Act does not confer a statutory power to issue shares upon the board; a statutory power was first introduced in England by s.80 of the Companies Act 1985, which states: 'The directors of a company shall

not exercise any power of the company to allot relevant securities, unless they are ... authorised to do so by (a) the company in general meeting; or (b) the company's articles'. More authoritative provisions are enacted by IBC legislation. For example, s.45 of the BVI BCA states: 'Subject to contrary provisions in the memorandum and articles, shares in a company may be issued ... at such times, to such persons, for such consideration and on such terms as the directors may determine'.⁴ Similar statutory powers to issue shares are conferred upon the board by modern legislation enacted in the Crown Dependencies of Guernsey and Isle of Man.⁵

- In those jurisdictions where no statutory power to issue shares is conferred upon the board, the company's articles will generally confer such a power.⁶ Article 2.3 of the specimen articles illustrated in Appendix 1B of the online Study Resources confers upon the directors a general power to issue ordinary shares of the company. The authority of the directors to issue shares is also recited in the board resolution to actually issue shares; see Note (B) of the board resolution illustrated in Appendix 16C of the online Study Resources.
- As a final alternative, the shareholders may confer upon the board a general or specific authority to allot and issue shares by ordinary resolution. A specimen written resolution of a sole shareholder is illustrated in Appendix 16A of the online Study Resources.

Stage 2: Directors seek expressions of interest

The directors of a private company in need of equity finance and/or wishing to expand its body of shareholders, use informal means to seek outside investment from third parties. When prospective investors express an interest, negotiations take place between the company's board and the third party about, e.g., the number of shares to be taken up and at what price. For a private, one-person, asset-holding company, the beneficial owner may wish simply to donate new shares, without consideration, to other members of their family.

Stage 3: Application to subscribe

When terms have been agreed, it is good practice for the third party to apply informally by letter to buy shares, called an application to subscribe. A specimen application is illustrated in Appendix 16B of the online Study Resources. If new shares are being issued without consideration, this stage can be dispensed with.

Stage 4: Allotment

The directors convene a board meeting to resolve to make the allotment, or pass a written resolution, which records: the name of the prospective shareholder (the 'allottee'), the number of shares to be issued and agreed consideration. This is technically when shares are 'allotted'. A specimen written resolution of a sole director is illustrated in Appendix 16C.

4. Note that this is a presumptive provision insofar as it may be over-ridden by special articles of a particular company. Similar provisions exist for other companies. Section 21 of the IBCA of the Bahamas states: 'Subject to the memorandum or articles, the shares in a company may be issued for such amount as determined by the directors...'

5. Section 291 of the Companies (Guernsey) Law; Isle of Man – s.34 of the Companies Act 2006.

6. For example, the companies legislation of the Cayman Islands, Bermuda, Gibraltar and the Crown Protectorates, Hong Kong and Singapore.

Stage 5: Issue shares

The allottee pays, the company receives the agreed consideration, if any, and the corporate service provider should update the register of members. This is technically when shares are 'issued' as the new shareholder becomes legal owner of the shares. The service provider may also prepare and deliver a new share certificate to the new member, if required by the company's articles. A specimen share certificate is illustrated in Appendix 16D of the online Study Resources and is *prima facie* evidence of the holder's ownership of the shares stated therein. Historically, a share certificate would be issued to shareholders in accordance with the terms of model articles (see arts 3.1 and 3.2 of Appendix 1B), and the company's seal was affixed to it, but nowadays the certificate may simply be executed without using a seal. As share certificates may be lost, damaged or destroyed it is not unusual for special articles of a private asset-holding company to state that shareholders are not entitled to a share certificate, in which case this last requirement can be dispensed with.⁷

Stage 6: Return of allotment

In England, a return of allotment must be filed with the registrar. This is not generally necessary in the offshore financial centres, save for public companies and companies incorporated in Hong Kong and Singapore.

Finally, a private asset-holding investment company does not typically attract outside investors. The vast majority of offshore companies are private companies, limited by shares, where the whole issued capital is beneficially owned by a single individual (namely, the service provider's client) or a corporate trustee (if the company underlies a trust). The company's sole purpose is to hold assets for a single shareholder. Accordingly, the initial capital and any additional capital is simply provided from time to time by the (beneficial) owner. The introduction of capital is dressed up by the corporate administrator to look like a private placement and/or shareholder loan as the case may be (depending upon the distribution flexibility afforded by the governing companies legislation: see section 4 below).

2. Classes of shares

A company does not have to issue just one type or class of share (the ordinary share of common stock). A company may, if authorised in its articles, issue different classes of shares. A class of share is a group of shares that have the same rights as each other. Accordingly, a company with an article similar to art.2.1 of the model articles illustrated in Appendix 1B may issue different classes of shares, each class conferring different rights upon holders of shares of such class (for instance, for voting, receipt of dividends, return of capital on the dissolution of the company or other special rights).

Thus the capital of a company may be divided into any number of different classes of shares. Where a class of share does not confer upon holders of such share any right to vote at shareholders' meetings, the disenfranchised shares are often referred to as **non-voting shares**. Where a class confers economic superiority over the ordinary shares of common stock (such as priority payment of a dividend, or return of capital upon a winding-up) they are referred to as **preference shares** (known as **preferred stock** in the US).

7. When share certificates are issued, the articles should contain a provision that applies if a holder loses it or it is damaged or destroyed: see art. 3.3 of Appendix 1B. Essentially, a replacement can be issued, but only when the shareholder pays a fee and gives an indemnity to the company in terms similar to Appendix 16E of the online Study Resources.

For example, a company with articles that contain article 2.1 referred to above may, by a resolution of its members, issue, say, four classes of shares: Class A may be ordinary voting shares, Class B may be non-voting preference shares, Class C shares may confer a dividend preference, Class D shares may confer some sort of priority if the company is wound up. An assortment of typical class rights are found in Appendix 17A of the online Study Resources.

There is often no reason to issue different classes of shares of a private company that has a sole shareholder, or beneficial owner. The sole beneficial owner owns all the shares, can vote them as they think fit, is entitled to the entire dividend, and has sole right to any surplus assets, once all creditors have been paid in full upon a winding-up. What would be the point in distinguishing ordinary and preference shares divided into different classes that confer different rights upon the holders, when all the shares are held by one and the same person?

3. Borrowing, the creation of debt

A company can finance its operations by two methods: by raising share capital when shares are issued and sold; and by borrowing.

As private companies do not generally seek outside investment, their only source of finance is the share capital provided by shareholders together with any borrowing from creditors. Credit may be obtained from lending institutions at commercial rates. Or alternatively, by borrowing from shareholders, so that the shareholders also become creditors of the company. In these circumstances the borrowing from shareholders is referred to as a **shareholder loan**, which may be at commercial rates but, in the case of a one-person-company, is usually interest-free, repayable upon demand.⁸

When a company finances its operations by borrowing (from banks or by shareholder loan) the value of such a loan is a liability of the company rather than classified as capital and, as such, is not subject to the capital maintenance rules. This is because the rules purport to protect creditors. As will be discussed in Module 12 section 4, creditors must always be paid before the return of capital to shareholders, in the event of a company's insolvency. Accordingly, only assets contributed by shareholders can fully satisfy claims brought by creditors. Loans made to a company fall outside the capital maintenance rules and are repayable according to their agreed terms.

4. The introduction and allocation of capital when shares are issued

It was noted in Module 2 section 2.2.3 that the concept of limited liability was introduced in England by the Limited Liability Act 1855. The potential unlimited liability of shareholders for paying corporate debts in the event of the insolvency of the company acted as a chill to deter investment. Accordingly, in order to address the problem and encourage investment, the English legislature permitted a company to incorporate with limited liability. In these circumstances, from the Limited Liability Act 1855 onwards, the shareholders of a limited company were not liable to pay corporate debts.

8. As covered in Module 2 section 4.1, in the 19th century Mr Solomon lent money to his company, A Solomon & Co. Ltd. This type of lending was held not to offend the concept of the separate legal personality of the company nor affect limited shareholder liability.

Limited liability transfers risk of corporate failure from shareholders to the creditors of the company. Persons who have extended credit to, or are otherwise lawfully owed money by, a limited company may be left without redress if the company is rendered insolvent and unable to pay them. In order to address this prejudice to creditors as a *quid pro quo* the courts devised (and later the legislature codified) protective rules that became known as the **capital maintenance** doctrine.⁹ This is essentially a package of measures designed to ensure that the capital of a company is preserved within the company as a separate account to pay its creditors. It affects a company at two stages: firstly when the company is formed and issues shares to raise share capital (reviewed in this section); and secondly when the company makes distributions to shareholders (reviewed in sections 6 and 7 below).

4.1 Capital structure of a company

The preliminary part of the capital maintenance doctrine states that a company must receive proper value when it issues shares, so that its share capital is a real and meaningful amount. Capital is thus the monetary value of cash and assets contributed to a company by those who acquire its shares. This monetary value of the issued share capital must be credited to an account called the company's **share capital account**. The share capital account must be maintained and cannot be reduced by, for instance, being used to finance distributions to shareholders or redeem shares. Accordingly, at least in theory, the sum of share capital must be maintained within the company to ensure that monies are available to pay creditors if necessary. In these circumstances the creditors ought not to be prejudiced by the fact that shareholders are not responsible for payment of the money due to them.¹⁰

Share capital is the amount raised by the company on the issue of shares.¹¹ When a company is governed by traditional English companies legislation the capital clause in its memorandum must state:¹²

- the **authorised** share capital, namely the maximum amount the company is authorised to raise by issuing shares¹³
- how the capital is divided into shares
- the **par value** of each share.

So, for example, the memorandum of AB Inc. may state:

'The share capital of the company shall be \$50,000 divided into 5,000 shares each with a par value of \$10.00.'

9. *Trevor v Whitworth* (1887) 12 App Cas 409; and see also *Re Exchange Banking Co., Flitcroft's Case* (1882) LR 21 Ch D 519.

10. Unfortunately there are serious flaws in the theory. The authorised share capital of a company is a meaningless figure. The authorised share capital may be shown in the memorandum as \$1 million, but if only two \$1 shares are issued the actual capital, namely the critical figure representing the amount available for creditors, is only \$2! A more meaningful requirement to adequately protect creditors would be for a company to be obliged to have a minimum share capital before it can commence business. But there is no such requirement. And if there were, the minimum capital requirement would operate when the company is formed, not when it is needed by creditors, namely when the company ceases to trade because it is insolvent. At that time it would be nice for there to be a minimum capital available to pay the creditors. But the doctrine does not require the company to keep its capital separate and insulated from other assets, merely to identify an amount in the balance sheet.

11. For example, if AB Inc. sells 1,000 shares to X, this is an issue of shares where the issue price is paid by X to AB Inc; when X sells the shares to Y this is a sale or trade when the transfer price is paid by Y to X.

12. The capital maintenance rule in *Flitcroft's Case* and *Trevor v Whitworth* as codified by the Companies Act 1948, as amended by s.2(5)(9)(a) of the Companies Act 1985 and then by s.10 of the Companies Act 2006.

13. But, interestingly, there is no minimum share capital requirement, which one would have thought necessary if these rules are to achieve what they are designed to do, namely protect creditors.

A company does not have to issue its entire share capital. It can issue just part. But when it does issue shares it must get proper value, either in the form of cash or by the transfer of property of adequate value to the company. The requirement is for a company to issue shares in consideration for the payment of a price equal to their par value or above.¹⁴ A company is prohibited from issuing shares at a discount for less than their par value. If a company issues shares for less than their par value it is said to have issued 'watered' stock. This is because it dilutes the value of its share capital fund and prejudices creditors. It is also a criminal offence contrary to typical companies legislation for a company to issue shares below their par value: it renders the recipient shareholder liable to pay the balance to creditors, in the event that the company becomes insolvent and is unable to pay creditors in full.

4.2 Allocation of capital between share capital and share premium (or between capital and capital surplus)

The actual price that a company sells its shares for is the **issue price**. It is a matter for the company's directors to decide the price the company asks for its shares. The price must not be below the par value, but it may be above it. Shares can therefore be issued at any price above par that the market will bear. The difference between par and the issue price is called the '**premium**' (British terminology) or the '**surplus**' (historically, US terminology). The amount of share capital raised by issuing shares at or up to their par value is credited to '**share capital**' in the balance sheet of the company (simply '**capital**' in US terminology). Whereas, the amount of capital raised by issuing shares above their par value attributable to the premium is credited to the '**share premium**' account in the balance sheet ('**capital surplus**' in US terminology). The distinction between share capital and share premium (or the distinction between capital and capital surplus) is critical when it comes to what such funds can be used for, and in particular whether they can be used to distribute to shareholders to finance a dividend – reviewed in sections 6 and 7 below.

In order to illustrate these provisions, assume that AB Inc., whose capital clause in its memorandum is reproduced in section 2.1 above, issues 1,000 shares to X for \$40 per share, and a further 500 shares to Y for a similar amount per share.

The company's capital position is summarised in its balance sheet, illustrated in Appendix 17B of the online Study Resources and explained below:

- the **authorised** share capital of the company is \$50,000 (per the memorandum)
- each share has a (nominal) par value of \$10 (per the memorandum)
- the company's **issued share capital** is \$15,000, namely the par value of all the shares that have been issued i.e. 1,500 x \$10.

If AB Inc wishes to issue more shares to raise further share capital it may issue an additional 3,500 shares to shareholders but no more (without first increasing the authorised share capital of the company, usually by special resolution).

The consideration paid by the shareholders X and Y for their shares is credited to different accounts of the company which are then subject to different rules: the issued share capital of \$15,000 is credited to share capital in the balance sheet (or just 'capital'); the premium of \$45,000 (i.e. 1,500 multiplied by (\$40 minus \$10)) is credited

14. *Ooregum Gold Mining Co of India v Roper* [1892] AC 125, HL; s.56 and Pt 2 generally of the Companies Act 1948.

to share premium (or capital surplus). The share premium (capital surplus) may or may not be available to distribute to shareholders depending upon applicable company law, a topic reviewed in sections 6 and 7 below.

5. Transfer of shares

5.1 Transfers

Once shares have been issued, a shareholder who wishes to liquidate his or her investment has to sell the shares to a willing buyer at the market price. If the company is a public listed company, then the shares are freely tradable on an exchange without restriction. If the company is a private company, the articles usually impose some kind of restriction. Shareholders' rights to transfer their shares to a willing buyer may be subject to either:

- a. the approval of the board of directors, as prescribed by art.8.3 of the model articles illustrated in Appendix 1B; or
- b. pre-emption rights conferred upon existing shareholders, so that the shares of any shareholder wishing to sell must first be offered to the other shareholders before they can be sold to any third party, as prescribed in the alternative article to art.8.3 in Appendix 1B.

A transfer of shares in a private company is carried out in accordance with the articles, typically in the following manner.

Stage 1: Shareholder finds a willing buyer

A seller of shares in a private company makes it known, sometimes with the help and assistance of brokers, that the shareholder's shares are for sale. A potential buyer expresses an interest and they negotiate terms of the sale, in particular the consideration. When the shares represent all, the majority or a significant minority of the shares of the company, the agreed terms are reduced into writing in a share purchase agreement containing all sorts of warranties. When the shareholder intends to transfer the shares by way of gift for nil consideration this stage is dispensed with as the transferor and transferee are clearly intimately known to one another. Note that AML and CTF requirements should be complied with, to ensure the purchaser transferee is neither a criminal nor a terrorist.

Stage 2: Share transfer form

The methodology by which shares are transferred is set out in the articles of the company. Article 8 of Appendix 1B is typical insofar that it requires the transferor and transferee to sign a prescribed share transfer form. An example of a share transfer form is provided in Appendix 18A of the online Study Resources, and also in art.8.2 of Appendix 1B. The executed share transfer form is delivered to the transferee together with the relevant share certificate(s) in consideration for the transferee's payment of the agreed price to the transferor. If there are joint holders of the share(s) being transferred, both should sign the share transfer form. If one joint holder has died then the deceased's death certificate should be produced as evidence of death so that the rights of the deceased holder vest automatically in the survivor in accordance with art.8.6 of Appendix 1B.

In the UK and certain other jurisdictions there is stamp duty to pay unless the transaction is exempt, but this is unusual offshore.

Stage 3: Delivery of executed share transfer form to the company for registration

Upon receipt by the company of the executed share transfer form and share certificate(s) the company secretary/registered agent/corporate service provider should firstly ascertain whether any pre-emption rights exist, have been complied with or waived.

Stage 4: board approval

If there are no restrictions upon transfers of shares in the articles then the shares are freely transferable by a shareholder to whomsoever they wish. In these circumstances, the transferee is entitled as of right to become the new shareholder and have their name inserted into the company's register of members. In practice, according to fairly standard articles such as art.8.3 of Appendix 1B, the transfer must be approved by resolution of the board. A specimen resolution approving the transfer is illustrated in Appendix 18B of the online Study Resources. Nonetheless, the directors may decide by resolution to refuse to register the proposed transfer. In these circumstances the directors must give notice of such refusal as soon as possible and in any event within two months of such refusal in order to comply with art.8.5 of Appendix 1B. A specimen director's resolution refusing to register a share transfer is illustrated in Appendix 18C and a notice of refusal in 18D. There is a debate about whether the board should record reasons for their refusal to register the transfer in (a) the minutes of the meeting at which it was considered or the written resolution; and (b) the notification to the proposed transferee. In *Berry and Stewart v Tottenham Hotspur Football Co*, a case decided in accordance with the Companies Act 1929 (a predecessor to the 1948 Act but similar in relation to this issue), it was held that directors are not required to give reasons for their refusal to register a transfer,¹⁵ whereas s.771 of the 2006 Act now states that reasons must be given. It is anyone's guess whether the offshore jurisdictions would follow the *Tottenham Hotspur* principle; but it is the author's view that if reasons are not given, or if the reasons are not factually correct or are frivolous, the decision could be challenged as unreasonable.

Stage 5: registration

When board approval is given, the service provider:

- a. makes the required entries in the register of members (illustrated in Appendix 7A of the online Study Resources, i.e. by inserting the date of the transfer in the column for the existing shareholder, entering particulars of the transferee and, under the heading 'Remarks', inserting 'Transfer');
- b. makes the required entries, if necessary, in the register of beneficial ownership, and files particulars with the competent authority;
- c. cancels the old share certificate by writing 'cancelled' across it and filing it away; and
- d. prepares and delivers a new share certificate to the transferee (if the transferee is entitled to one: see section 1.2.2, stage 5).

15. *Berry and Stewart v Tottenham Hotspur Football Co* [1935] Ch 718.

Finally, before leaving the topic of share transfers, we should observe that it is unusual for a holder of shares in a single-owner, offshore asset-holding company to transfer his or her shares to a third party. A transfer will occur, however, in the following circumstances. Firstly, if shares are held by a nominee on behalf of the beneficial owner and the beneficial owner changes service providers; in these circumstances the nominee shareholder is required to transfer the shares to a new nominee owned and controlled by the new service provider. Secondly, if shares of an underlying company are owned by a corporate trustee and the trustee is removed and replaced by a new trustee: in these circumstances the outgoing trustee is required to transfer the shares to the incoming trustee. Thirdly, if a company owns a single asset, such as a piece of real estate, a yacht or private jet, and sells the asset to a willing buyer, it is sometimes easier to transfer the shares in the company to the buyer rather than the asset itself.

5.2 Transmission

A transmission of shares occurs by operation of law when a shareholder dies or is declared bankrupt.

When a person dies, the deceased's personal representative will apply to the probate court of the jurisdiction of the state where the deceased was domiciled (or a citizen) at the time of his or her death, for a grant of probate. The grant of probate is evidence of the identity of the person entitled lawfully to represent the heirs and estate of the deceased.

Accordingly, on the death of a registered shareholder of a private company the personal representative of the deceased should deliver the deceased's death certificate and the grant of probate to the registered office of the company. Typical articles, similar to art.8.7 of Appendix 1B, provide that the personal representative may then elect either:

- a. to become registered as the shareholder in place of the deceased by delivering to the company a written request similar to Appendix 18E of the online Study Resources; or
- b. to bypass the personal representative's own registration and have the person(s) entitled to the share, namely the deceased's heirs, registered as the new shareholder(s). In these circumstances the personal representative should deliver to the company at its registered office a share transfer form in the manner discussed in section 5.1 above and sign it as transferor of the deceased shareholder.

Upon receipt of the letter envisaged by sub-para.(a) above, or the share transfer form envisaged by sub-para.(b), the company secretary/registered agent/corporate service provider should update the register of members of the company under administration, update the beneficial owner register, cancel the old share certificate and issue a new one, if necessary.

Similar provisions apply if a registered shareholder is declared bankrupt, save that the service provider will be contacted by the court-appointed trustee-in-bankruptcy of the bankrupt shareholder who will produce the court order as the trustee-in-bankruptcy's authority to become registered as shareholder in place of the bankrupt.

Finally, once more, before leaving the topic of share transmissions, we emphasise that it is unusual for a registered holder of shares in a single-owner, offshore asset-holding company to die or be made bankrupt. This is because the registered holder of the shares is likely to be a corporate nominee that holds the shares on behalf of the principal, the beneficial owner of the shares or, alternatively, a corporate trustee. The beneficial owner may, however, die or be made bankrupt.

If the beneficial owner dies, the personal representative of the estate of the deceased will still deliver the deceased's death certificate and grant of probate to the registered office of the company. However, pursuant to their inherited powers that derive from a standard nominee shareholder agreement, the deceased's personal representative can either:

- a. become registered as shareholder;
- b. ask that the deceased's heir(s) be registered as shareholder(s); or
- c. re-engage the services of the nominee and ask the nominee to acknowledge that the nominee holds the shares for and on behalf of the new beneficial owner, namely the heirs of the deceased's estate, by executing a new nominee shareholder agreement.

Similar provisions will apply when the beneficial owner is declared bankrupt, save that the court-appointed trustee-in-bankruptcy assumes all of the rights of the beneficial owner.

6. Distributions to shareholders: the traditional approach

Having reviewed the first stage of the capital maintenance doctrine in relation to the introduction of capital into a company in section 4, we shall now examine the second stage of the doctrine, which prevents such capital being used to finance any distributions to shareholders by way of dividend. Before we review those rules, let us look at some basics.

6.1 The power to distribute dividends

The provisions that empower a company to declare a dividend are set out in the articles and are also subject to restrictions found in companies legislation. A traditional article (found in the English 1948 Act Table A model articles, and reproduced in art.23.1 of Appendix 1B) states:

'The company in general meeting [i.e. the shareholders] may declare a dividend, but no dividend shall exceed the amount recommended by the directors.'

This article therefore requires two resolutions to be passed in order for the company lawfully to pay a dividend to its shareholders:

- a. a directors' resolution to recommend the payment of a dividend, similar to the one illustrated in Appendix 19A of the online Study Resources; and
- b. an ordinary resolution of the shareholders to declare and pay the dividend of an amount that cannot exceed the amount recommended by the directors;
a specimen resolution of a sole member to declare a dividend recommended

by the board is illustrated in Appendix 19B of the online Study Resources. In real-world onshore companies the shareholders' resolution to declare a dividend is typically passed at the company's AGM.¹⁶

Alternatively, the articles of an offshore company may be drafted to permit distributions to be made in a streamlined manner by a resolution of just one of the two decision-making organs: either by resolution of the shareholders or by resolution of the board, but not both. The alternative article to art.23.1 of Appendix 1B authorises the board of directors to declare a dividend without the need for a second resolution of members; in these circumstances a written resolution of the directors similar to the one illustrated in Appendix 19C of the online Study Resources will suffice.

In practice, of course, it is usual for a commercial operating and trading company to hold back some of its profits rather than distribute its entire annual earnings to shareholders. If some or all of a company's profits are retained they are transferred to a reserve, typically referred to as **retained earnings** in the balance sheet (see Appendix 17B).

Retained earnings are still treated as profits. They are essentially a pot of money that can be used at any time in the future to pay current debts in the normal course of business, or used to fund distributions to shareholders on a future date, or converted into capital. Conversion of profits into capital occurs when, instead of using profits to pay a dividend in the form of cash, the directors decide to use the profits to pay for further shares that are then issued to shareholders free-of-charge in the form of fully paid bonus shares (or stock dividend). In these circumstances the issued share capital of the company is increased by the par value of the free bonus shares issued, and the retained earnings account is reduced by a similar amount.

6.2 Distributions of dividends

The capital maintenance doctrine in *Re Flitcroft's Case* prohibit the payment of dividends or other distributions to shareholders out of a company's capital.¹⁷ This is because the capital must not be depleted by using such funds to reward shareholders. Such distributions would reduce the company's capital, prejudice creditors and defeat the objective of the capital maintenance doctrine.

Put another way, dividends must only be paid out of a company's profits. What is considered as 'profits' for this purpose was the subject of much litigation under common law principles.¹⁸ Nonetheless, basically, profits for the purposes of justifying a distribution to shareholders mean trading profits earned by a company in the current financial year or earned and accumulated in a reserve of retained earnings in prior

16. The first matter on the agenda at a typical AGM is the approval of the company's financial statements. If the financials reveal a profit, the second matter on the agenda is whether to distribute such profit as a dividend to shareholders, or retain it to expand the business. The third matter is whether to re-appoint the board of directors; if the business has flourished and the company has made substantial profits, it is likely that the shareholders will re-appoint the board; if it hasn't and losses have been incurred, this is an opportunity for the shareholders to appoint fresh faces to the board.

17. *Re Exchange Banking Co., Flitcroft's Case* (1882) 21 Ch D 519.

18. At common law, distributions to shareholders by way of dividends, may be paid:

- a. out of trading profits earned in a financial year, (even though the company may have made losses in previous years (*Ammonia Soda Co Ltd v Chamberlain* [1918] 1 Ch 266, i.e. so-called 'nimble dividends'));)
- b. out of profits earned and accumulated in a reserve of retained earnings in prior financial years, unless those profits have been capitalised by a bonus issue of shares or stock dividend;
- c. out of a profit made on the sale of a capital asset (such as land, buildings, machinery, and/or plant belonging to the company) or, indeed, out of an unrealised 'profit' made when, for instance, a capital asset appreciates in value and is simply revalued in the records of the company for accounting purposes (*Dimbula Valley (Ceylon) Tea Co Ltd v Laurie* [1961] Ch 353); and/or
- d. out of the monies received by the company when it issues shares at a premium, i.e. at a price above their par value (in other words the monies received in excess of par that would, under modern onshore companies legislation, be allocated to capital surplus or the share premium account) (*Drown v Gaumont-British Picture Corp Ltd* [1937] Ch 402).

financial years. This is because the common law rules were tightened by companies legislation enacted in the UK by the Companies Act 1948 which, you will recall, has been used as a template by a number of offshore jurisdictions.¹⁹ We review some of the onshore provisions enacted in the UK, not because you need to know the onshore requirements, but because it provides a convenient basis with which to compare the more liberal provisions that exist in most offshore jurisdictions.

The following broad principles can be distilled from the English companies legislation.

- The figures that represent profits, capital and such like must be based upon those set out in the company's accounts, which must have been prepared in accordance with generally accepted accounting principles and professionally audited.
- Dividends cannot be distributed out of profits earned in an isolated year if the company has made losses in previous years.
- Unrealised profits cannot be used to pay a dividend, only actual realised profits.
- Profits cannot be paid out of that part of the capital of the company attributable to the premium paid on the issue of shares, i.e. a dividend cannot be paid out of the share premium account, which must be treated so far as distributions are concerned, just like share capital.²⁰
- A company must not pay a dividend if by doing so the value of its net assets would fall below the value of its issued share capital plus undistributed reserves such as the share premium account and any other reserves it is prohibited, by its articles, from distributing.

These provisions are succinctly summarised by the following formula: dividends may be paid from a company's earnings only, that is, net realised trading profits made by a company over its lifetime minus total dividends already paid.

You will appreciate that these restrictive distribution provisions impede the typical requirements of a beneficial owner of an offshore asset-holding investment vehicle. The essential prerequisites of a holding company are to enable the beneficial owner to make unrestricted capital contributions to the company from time to time as and when desired. The holding vehicle must also allow the owner to make unrestricted withdrawals from the company of varying amounts from time to time as and when cash is required for personal use. The same prerequisites are required of a company underlying a trust; the trustee may receive additions to the trust fund from time to time that are often added to the assets of the underlying company, and the trustee also requires unrestricted access to those same assets when making capital distributions to beneficiaries. The capital structure of an offshore company, or its governing legislation, has to facilitate these prerequisites lawfully. We shall examine how this is achieved in the next section.

7. Distributions to shareholders: an offshore perspective

As discussed above, offshore companies legislation tends to follow the English 1948 Act as a model. This model legislation has a restrictive distribution regime, where distributions of capital are prohibited unless the company is wound-up and the only

19. The provisions of the 1948 Act have since been repeated in its repealing legislation, namely Pt 8 of the Companies Act 1985, and now codified into the Companies Act 2006. However, as covered in section 7 of this Module, these provisions have not been followed by the companies legislation enacted in the majority of offshore financial centres.

20. Section 56 of the Companies Act 1948, replaced by s.130 of the Companies Act 1985, itself subsequently replaced by s.610 of the Companies Act 2006.

distributions that may be made to shareholders are dividends payable from profits, i.e. realised earned surplus. Accordingly, nimble profits in any one year, which ignore prior losses, cannot be distributed; nor can unrealised profits be distributed; nor can capital surplus in the share premium account be used to finance a dividend. These restrictions curtail the use of a company as an asset-holding vehicle, either as a one-person investment vehicle or as a holding entity underlying a trust.

In order to accommodate the prerequisites of a holding structure that permits unrestricted, unlimited withdrawals, the company's capital structure and/or applicable companies legislation must be modified. This section reviews the modifications necessary to facilitate liberal distributions.

7.1 Nominal capital and shareholder loan

Back in the days before amendments were made that modify companies legislation to permit flexible and liberal distributions, offshore asset-holding companies were structured so that only a nominal sum was introduced as share capital, with the bulk of the funding being introduced by the beneficial owner as a shareholder loan.

In fact, the nominee subscribers agree to take just one (or two) shares in the company for a consideration equal to their par value, usually for \$1 (or \$2, which may not actually be transferred but left partly paid and uncalled). The beneficial owner of the company then transfers money or other assets to the company by way of loan. The loan is documented by a loan agreement or promissory note executed on behalf of the company by the directors. Some offshore professionals prefer the loan to carry a market rate of interest and be repayable on a specific agreed future date. It is usual, however, for loans to be made interest-free and repayable upon demand. A typical promissory note in favour of the beneficial owner is illustrated in Appendix 20A of the online Study Resources.

The advantage of financing an asset-holding company in this way is distribution flexibility. A company that has borrowed money must comply with the agreed terms of the borrowing. Accordingly, if the lender (namely the beneficial owner, wearing the hat not of the beneficial owner of the shares of the company, but of a creditor) makes a written demand for payment, in whole or in part of the outstanding balance of the loan, in accordance with the terms of the original lending, the company must comply. A simple demand for partial repayment is illustrated in Appendix 20B.

Assume, therefore, that AB Inc. issues just two shares: one to Nominee No.1 and the other to Nominee No.2, both of whom hold the shares as agents for the beneficial owner. The beneficial owner then lends the company \$1 million. A board resolution is required to acknowledge that the company has received the funds and to authorise the directors to execute a loan document or promissory note, an example of which is illustrated in Appendix 20C of the online Study Resources.

The loan is recorded in the financial statements of the company as a liability, usually in the form of a current liability, as opposed to a long-term liability, whenever it is repayable upon demand. If the loan is repayable on an identified future date it is recorded as a long-term liability.

From time to time, the beneficial owner may wish to add to the funds under the management of the company, and can do so by making further loans. Equally, the beneficial owner may wish to withdraw funds from the company for personal use, and can do so by making a demand for repayment, in whole or in part, of such loan. In these circumstances, all distributions are treated as loan repayments, and must be recorded as such. For example, the beneficial owner's request ought to be in writing, expressed as a demand for repayment of a fixed sum, and the directors of the company should resolve to make the payment as a repayment of the shareholder loan in the manner illustrated in Appendix 20D of the online Study Resources. A running account must be maintained in order to record the company's indebtedness to the beneficial owner at any one time.

This method of financing asset-holding companies was prevalent throughout most of the offshore centres until modern companies legislation was enacted to permit a more flexible distribution regime. It is still an option under modern legislation. It is essential, however, in those jurisdictions that restrict the ability of a company to pay dividends from earned profits only, such as Hong Kong,²¹ Gibraltar²² and Singapore.²³

7.2 Amendment of the capital maintenance doctrine to permit distributions from share premium

In order to cater for the demands of the typical HNWI or corporate trustee, both of whom wish to use an offshore corporate structure for asset-holding purposes but without the restrictions and complexity of the capital maintenance rules, a number of offshore jurisdictions have amended the rules or repealed them altogether.

Some offshore jurisdictions preserve the distinction between share capital and share premium (referred to in IBC legislation as capital and capital surplus), but simply allow the company to distribute dividends from the share premium (capital surplus) account.

Accordingly, when the share capital account of a typical asset-holding company is a nominal or modest amount (\$2 in the example in section 7.1), and the share premium (capital surplus) account is of a far greater realistic figure such as \$1 million, the directors are able lawfully to make distributions of dividends of an amount up to the value of the share premium account (of up to \$1 million) without offending the capital maintenance rule.

There is, however, one important proviso: the company cannot make any distributions from the share premium account unless, immediately following the distribution, the company satisfies a statutory 'solvency test'; namely, that it is:

- a. solvent (assets exceed liabilities); and
- b. able to pay its debts as they fall due (has adequate cash-flow).

21. Section 297 of the Companies Ord, Cap 622 states '(1) A company may only make a distribution out of profits available for distribution. (2) ... a company's profits for distribution are its accumulated, realised profits [as defined in s.291, namely those profits shown in its annual financial statements produced according to recognised accounting principles]'.

22. Companies Act 1930, 2007 Revision s.96 provides for the allocation of the consideration received on the issue of shares to be allocated between share capital and share premium and, in relation to public companies only, prohibits the distribution of dividends from the share premium account.

23. Originally s.69 of the Companies Act Revised 2006, but this has been repealed – the current position found in s.403 of the Companies Act Cap 50, which states that 'No dividend shall be payable to shareholders of a company except out of profits'.

This simple rule is clearly designed to achieve a similar objective to the capital maintenance rules and operates as a satisfactory protection to creditors to prevent a company from denuding itself of assets while leaving lawful creditors without payment or redress.

Distributions are allowed from the share premium account of exempt companies incorporated in the Cayman Islands,²⁴ Bermuda,²⁵ private companies incorporated in Jersey²⁶ and in those jurisdictions that have companies legislation based upon the old BVI IBCA, such as the Bahamas²⁷ and others²⁸ (where the share premium account is, of course, referred to as 'capital surplus' and is distributable provided the company is and remains solvent).

For example, consider the flexible statutory distribution regime adopted by a couple of jurisdictions; firstly, the Bahamas (to illustrate typical IBC provisions) and, secondly, the Crown Dependency of Jersey.



Extracts from the International Business Companies Act of the Bahamas, Cap 309

'23. Capital and surplus accounts

Upon the issue, by a company incorporated under this Act, of a share with a par value, the consideration in respect of the share constitutes capital to the extent of the par value, and the excess constitutes surplus.

35. Dividends

1. Subject to any limitations or provisions to the contrary in the memorandum or articles, a company incorporated under this Act may, by resolution of directors, declare and pay dividends in money, shares or other property.
2. [Dividends shall only be paid out of surplus]²⁹
3. No dividends shall be declared and paid unless the directors determine that immediately after the payment of the dividend
 - a. the company will be able to satisfy its liabilities as they become due in the ordinary course of business, and
 - b. the realisable value of the assets of the company will not be less than the sum of its total liabilities (other than deferred taxes) as shown in the books of account, and its capital, and

24. Subsection 34(2) of the Companies Law 2020 Revision.

25. Companies Act 1981 as amended: ss.40–41 provide for an allocation of the consideration received by a Bermudian company when it issues shares between share capital and share premium and s.40(2) prohibits distributions of dividends from share capital or share premium, but s.54(2) acknowledges the concept of 'capital contributions' that must be credited to a 'contributed surplus' account, which is then distributable provided the company is solvent.

26. Companies (Jersey) Law 1991 s.39 provides for the share premium account of par value companies and s.39A calls it 'stated capital' for no par value companies, and Pt 17 ss.114–115B deal with distributions. In particular, ss.114(4) and (7) state that distributions can be made by debiting the share premium accounts, provided the company is, and remains, solvent.

27. Section 35 of the IBCA 2000, amended 2008.

28. Including IBCs incorporated in Anguilla (IBCA Ch.120, 2000, ss.19, 20 and 32, but not companies incorporated under the Companies Act Ch.65); Antigua (IBCA 1982 amended 2006 ss.30, 31, 51 and 52, but not companies incorporated under the Companies Act); Barbados (IBCA 1991 amended 2007, but not companies incorporated under the Companies Act 2002); St Vincent and the Grenadines (IBCA Consolidated Version 2007 ss.32, 46 and 47); St Lucia (IBCA 1999, amended 2006).

29. This subsection was included in the old BVI IBCA, upon which the Bahamian legislation is based, but never found its way into the Bahamian IBCA 2000.

- c. in the absence of fraud, the decision of the directors as to the realisable value of the assets of the company is conclusive unless a question of law is involved.

36. Appreciation of assets

... a company may, by resolution of directors, include in its computation of surplus ... the net unrealised appreciation of assets of the company, and in the absence of fraud, the decision of the directors as to the value of the assets is conclusive, unless a question of law is involved.



Extracts from the Companies (Jersey) Law 1991, Revised Edition 2019

'39. Share premium accounts for par value companies

- (1) If a par value company allots shares at a premium (whether for cash or otherwise) ... a sum equal to the aggregate amount or value of those premiums shall be transferred, as and when those premiums are paid up, to a separate share premium account for that class.
- (2) A share premium account may be expressed in any currency.
- (3) A share premium account may be applied by the company ... in the making of a distribution in accordance with Part 17 (section 114 and 115).

114. Meaning of 'distribution' in this Part

- (1) In this Part, 'distribution', in respect of a company, means every description of distribution of the company's assets to its members as members, whether in cash or otherwise.

115. Restrictions on distributions

- (1) A company may make a distribution at any time.
- (2) A company shall not make a distribution except in accordance with this Article if the distribution ... reduces the net assets of the company ...
- (3) A company ... may make a distribution only if the directors who are to authorize the distribution make a statement in accordance with paragraph (4).
- (4) The statement shall state that the directors of the company who are to authorize the distribution have formed the opinion:
 - (a) that, immediately following the date on which the distribution is proposed to be made, the company will be able to discharge its liabilities as they fall due; and

(b) that, having regard to:

- (i) the prospects of the company and to the intentions of the directors with respect to the management of the company's business, and
- (ii) the amount and character of the financial resources that will in their view be available to the company,

the company will be able to –

- (a) continue to carry on business, and
- (b) discharge its liabilities as they fall due, until the expiry of the period of 12 months immediately following the date on which the distribution is proposed to be made or until the company is dissolved under Article 150, whichever first occurs.

(5) A director who makes a statement under paragraph (4) without having reasonable grounds for the opinion expressed in the statement is guilty of an offence.

(6) ...

(7) A distribution made in accordance with this Article shall be debited by the company to:

- (a) a share premium account ... of the company; or
- (b) any other account of the company, other than the capital account.

Summary of amendments to the capital maintenance doctrine

Accordingly, distributions of dividends can be made from IBCs or from Cayman Islands and Bermudian exempt companies or Jersey private companies in the form of cash, shares or other property (irrespective of whether earned or realised or not) out of the share premium (capital surplus) account provided that, at the time it declares the dividend and immediately thereafter, the directors reasonably believe the company is solvent. There are slightly different versions of the solvency test across the jurisdictions, but, basically, the company must be:

- **strategically solvent**, namely, the realisable value of its assets must exceed total liabilities and issued share capital
- **cash-flow solvent**, namely, able to pay its debts as they fall due.

There is also a typical statutory duty imposed upon the board to establish the company's solvency before a distribution is made and to record a statement that it satisfies the solvency test in the resolution that declares, or recommends the payment of, a dividend. A specimen resolution of a sole director of a company to declare a dividend when subject to a pre-condition of solvency is illustrated in Appendix 20E of the online Study Resources. Note that the director's declaration of solvency should follow the statutory definition enacted in the jurisdiction of incorporation of the company.

7.3 Complete repeal of the capital maintenance doctrine

It could be argued that the BVI have made things even more flexible and straightforward than other jurisdictions.

There is no longer a distinction between share capital and share premium (capital and surplus) under the BVI Business Companies Act 2004 insofar as BVI companies do not have to allocate the introduction of funds between the two accounts. Instead BVI companies are authorised, in the discretion of their directors,³⁰ to issue a maximum number of shares, and the consideration received is simply credited to a capital account.³¹ BVI BCs are not required to state in their memorandum an authorised share capital, nor the par value of the shares or even their currency.³²

So far as distributions are concerned, under the old BVI IBCA, upon which the Bahamian IBCA is based, dividends could be declared and paid out of surplus.³³ Under the more recent BVI BCA 2004, the concept of a dividend being declared no longer applies. Instead, 'distributions' can be made by the company to its shareholders by resolution of the directors and there are no complex restrictions relating to the source of such distributions. The only limitation is that before the distribution the directors must be satisfied on reasonable grounds that the company will, immediately after the distribution, satisfy the statutory solvency test.³⁴ This must be stated in the resolution authorising the distribution.³⁵ A draft resolution of a sole director to make a distribution from a BVI BC can be found in Appendix 20E.

These liberal distribution provisions are not confined to the distribution of dividends, but apply to any 'distribution' to a shareholder. The definition of distribution is extremely wide, encompassing the direct and indirect transfer of cash or any asset to or for the benefit of a shareholder, and includes the purchase of an asset and the redemption or acquisition of shares, as well as the payment of a dividend from profits.³⁶



Extracts from the BVI Business Companies Act 2004, as amended

'45. Issue of shares

Subject to this Act and to the memorandum and articles, shares in a company may be issued, and options to acquire shares in a company granted, at such times, to such persons, for such consideration and on such terms as the directors may determine.

47. Consideration for Shares

(1) Subject to subsection (2), a share may be issued for consideration in any form, including money, a promissory note, or other written

30. Section 44(1) of the BVI BCA, 2004.

31. Section 9(1)(e)(i) of the BVI BCA, 2004.

32. cf ss.12(1)(f) and (e) of the IBCA.

33. Section 36(2) of the IBCA – see section 4.5.2.

34. As under the old IBCA, the solvency test must satisfy two criteria:

- i. cash flow, i.e. the company must be able to pay its debts as they fall due; and
- ii. strategic, i.e. the value of the company's assets must exceed its liabilities.

See s.57 of the BVI BCA, 2004.

35. Section 57(2) of the BVI BCA, 2004.

36. Section 57(2) of the BVI BCA, 2004.

obligation to contribute money or property, real property, personal property (including goodwill and know-how), services rendered or a contract for future services.

- (2) The consideration for a share with par value shall not be less than the par value of the share.

56. Meaning of solvency and distribution

For the purposes of this Division,

- (a) a company satisfies the solvency test if:
- (i) the value of the company's assets exceeds its liabilities, and
 - (ii) the company is able to pay its debts as they fall due; and
- (b) "distribution", in relation to a distribution by a company to a member, means
- (i) the direct or indirect transfer of an asset ... to or for the benefit of the member ...

57. Distributions

- (1) Subject to ... the memorandum and articles of the company, the directors of a company may, by resolution, authorise a distribution by the company to members at such time and of such an amount, as they think fit if they are satisfied, on reasonable grounds, that the company will, immediately after the distribution, satisfy the solvency test.
- (2) A resolution of directors passed under subsection (1) shall contain a statement that, in the opinion of the directors, the company will, immediately after the distribution, satisfy the solvency test.

A similar type of complete repeal of the concept of the traditional capital maintenance doctrine based on the BVI reforms has also been enacted in Guernsey³⁷ and the Isle of Man.³⁸



Task 6.1

Research the statutory provisions relevant to distributions to shareholders by companies incorporated in the jurisdiction where you work or with which you frequently have dealings.

1. May distributions be made by a company in any one financial year without regard to previous losses?
2. May a distribution be made out of unrealised 'profits'?

37. Companies (Guernsey) Law 2008, in particular see ss.278, 294 and 301–305.

38. Companies Act 2006 which applies to the New Manx Vehicle Pt 11 ss.49–58; in particular, see s.50. But the repeal of the capital maintenance rule does not apply to the traditional Manx company incorporated under the Companies Act 1931 as amended from time to time to 2009.

3. May a distribution be made from the share premium account, or from surplus?
4. What is the overriding criterion that determines whether a company may make a distribution?
5. What mental element must the directors have (if any) when revaluing assets to avoid contravention of the provisions of the statute?



Learning outcomes

By the end of this module you should:

- appreciate what is meant by 'capital' in the context of a business, company law generally and the doctrine of capital maintenance
- be able to issue shares in a private company under your administration
- be able to transfer shares that have been issued by a company under your administration
- understand the capital structure of a company and how capital is allocated between the share capital and the share premium
- understand the principles of, and justification for, the capital maintenance rules and how these can be circumnavigated by:
 - funding the company by a nominal share capital and substantial shareholder loan
 - the amendment or total repeal of the capital maintenance doctrine by modern offshore companies legislation.
- compare typical onshore regulations with the liberal and flexible distributions provisions that exist in most offshore jurisdictions
- be able to make a distribution from a typical offshore company, either
 - under flexible IBC and similar legislation
 - under less flexible legislation by repayment, in whole or part, of the shareholder loan.

Module 6:

Self-assessment questions

1. What does **capital** mean in the colloquial, business sense? What is **equity finance**?
2. Describe the ways in which a public company incorporated onshore may raise capital. Distinguish a public offer and a private placement of shares.
3. What are the subscriber's shares?
4. Describe the usual corporate procedures that a private company must follow to issue additional shares.
5. Why was the doctrine of capital maintenance introduced in *Re Flitcroft's Case* [1882]? What is the rationale behind the doctrine?
6. The capital maintenance doctrine affect two different stages of the life of a company: firstly, when funds are introduced to the company at the stage when shares are issued and, secondly, when funds are distributed from it. Describe the requirements to comply with the capital maintenance doctrine at each stage.
7. XYZ Ltd (a company incorporated say, in England) offers to sell 500 x £10 par value shares to AB for a total consideration of:
 - (a) £1,000; or
 - (b) £100,000.

Discuss the key points relating to the capital maintenance doctrine in respect of the issue of shares at these prices.

8. What is the difference between share capital and share premium?
9. How does the capital maintenance doctrine affect whether a company may make distributions of a dividend to shareholders, and if so, how much can be distributed?
10. Did the capital maintenance doctrine in *Re Flitcroft's Case* ever really achieve its objectives of protecting creditors? If not, why not?
11. Does the capital maintenance doctrine prevent companies becoming insolvent, leaving creditors unpaid?
12. Describe why the capital maintenance doctrine does not satisfy the requirements of the owners of a typical offshore asset-holding company.

13. Summarise how a typical asset-holding company incorporated in an offshore jurisdiction that has retained the capital maintenance rules may be financed. How are funds typically introduced to such an asset-holding company?
14. Why are a number of asset-holding companies financed, not by equity, but by borrowing?
15. How are loans made to a private company, incorporated offshore, by its beneficial owner typically documented and recorded in its records?
16. Your organisation forms a company, AB Ltd, on behalf of AB. The single share issued is held by you as nominee for AB. AB lends the company \$1 million to invest in the stock market. When and how, if at all, may all or part of the funds of up to \$1 million be returned to AB?
17. How has the common law capital maintenance doctrine been relaxed in a number of onshore jurisdictions? Which funds are available to finance the distribution of a dividend from an IBC incorporated in an IBC jurisdiction such as the Bahamas.
18. Describe the regime in the BVI in respect of capital and distributions from a BVI BC.
19. How do the rights of a holder of an ordinary share differ from the holder of:
 - (a) a typical preference share; and
 - (b) the holder of a debt instrument such as a promissory note?
20. Describe the usual corporate procedures that holder of shares in a private company must follow:
 - (a) to transfer their shares to a third party, either gratuitously by way of gift or to a willing buyer; and
 - (b) when a registered holder of shares dies.

Module 7:

Directors Part I – Role, Appointment and Removal of Directors



Module 7:

Directors Part I – Role, Appointment and Removal of Directors



Learning objectives

The purpose of this module is to:

- carry out an initial review of corporate governance under the traditional onshore corporate model
- illustrate how the traditional Anglo-American corporate model has been used as a template by legislators and service providers offshore
- examine the provisions conferring powers of management upon the directors
- analyse the different methods of appointing the initial directors during the incorporation process
- review typical provisions dealing with the removal of directors and the appointment of subsequent directors.

Introduction

This is the first of two modules about directors. It begins with an analysis of corporate governance generally and the shortfalls of the traditional company structure (section 1). It then moves on, in section 2, to review the division of power between the shareholders in general meeting and the board of directors, and how this is largely determined by the articles (which may, of course, be altered by resolution of the shareholders) rather than prescribed by statute. Section 3 deals with typical rules relating to the appointment of directors, followed by rules relating to their vacation of office, removal and disqualification in section 4. Module 8 continues with an in-depth analysis of the powers conferred upon, and duties owed by, directors.

1. The traditional corporate model and corporate governance

The structure of a traditional company was developed as an efficient means of conducting business. It resembles a structured partnership between entrepreneurs and capitalists. The capitalists invest capital in the company, becoming shareholders, and the company delegates the management of its business to the entrepreneurs, who together comprise the board of directors.

A large, public, widely held company usually has many shareholders, and its shares may be listed on a stock exchange so they can be traded conveniently. The shareholders do not involve themselves in the day-to-day business of the company. Business is typically conducted by executives who are full-time officers and who may own none, or only a small percentage, of the shares of the company. There is, therefore, a distinct separation between ownership of the company, on the one hand, and the power to run the company, on the other.

The provisions that regulate the relationship of the shareholders and directors, the formalities that must be observed and provisions defining the distribution of power between the two groups are often complicated and cumbersome, particularly in relation to a private, closely held company. Such companies usually have their shareholding concentrated in the hands of one or two shareholders. The shares are typically subject to pre-emption rights and are not freely transferable. The shareholders not only own the company, they also run it, insofar as they are also its directors. There is therefore a blurring of the boundary between ownership and control. Ownership and control of a private company is often vested in one and the same person.

The traditional corporate model is nevertheless based upon the separation of ownership from the power to control the business of the company. This gives rise to two important questions.

- i. How is the power to control and manage the company supervised?
- ii. How is a company governed?

In brief, the promoters initially set up the company and establish its constitution. Thereafter it is the shareholders who, by passing resolutions in general meetings of the company, may alter the memorandum and articles, and thereby re-allocate responsibility for running the company. The shareholders appoint the directors and exercise a supervisory function over their performance. Shareholders have power to remove the directors if their performance is unsatisfactory. The shareholders may vote at general meetings to pass appropriate resolutions to implement major decisions affecting the company, such as:

- an amendment of its constitution
- the appointment and removal of directors
- in many cases, the approval of accounts, appointment of auditors and declaration of the dividend
- the voluntary winding-up of the company.

Beyond these key matters, however, shareholders usually delegate the power to manage the business of the company to the directors.

The board of directors, acting as a unit, typically controls the company, directs company affairs, and makes and implements key strategic decisions affecting the business, such as the organisational structure of the workforce, and employment of its capital, machinery and inventory, and the development and marketing of its products and services. There are a number of logical reasons for allowing the directors to control the business.

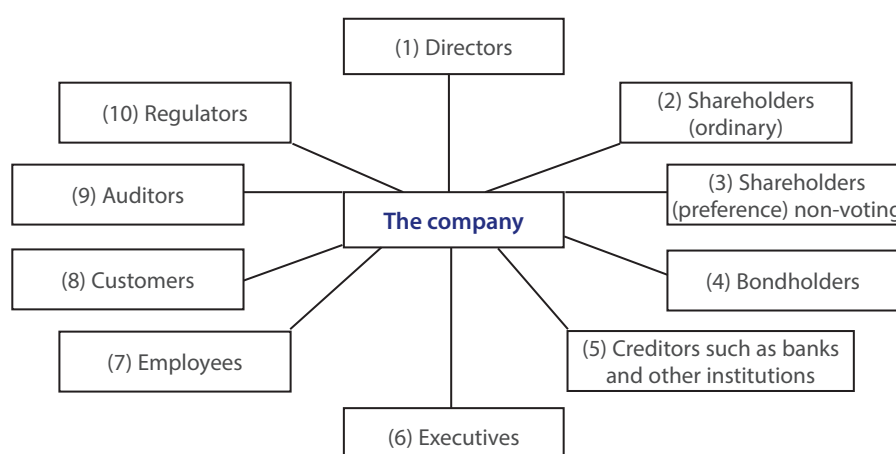
- **Expertise** – shareholders, being numerous, and often without specialist knowledge, are unlikely to be equipped to manage the business. Corporate executives are therefore chosen because they are experts in their field, and well qualified to run the business.
- **Capital** – the separation of ownership and control enables entrepreneurs to obtain the required capital for their enterprises by raising funds from the public.
- **Continuity** – a shareholder's investment, although open-ended in duration, is nevertheless considered to be liquid in so far as shares in publicly listed companies can easily be sold. A shareholder who wishes to influence the

business of a company will generally do so by voting to shape the board, but not take a more active role than that. A shareholder who does not like the way the company is being run may seek to remove a director and restructure the board, but will in practice be far more likely to sell the shares. If the shares of the company are sold, it is important that the change of membership should not disrupt the management of the company.

- **Liability** – the shareholders enjoy limited liability for payment of the debts incurred by the company and, therefore, although they may lose their initial investment if the company fails, there is no risk that they will incur any further, open-ended liability caused, for example, by incompetent management.

The directors, in exercising their powers of control and management, owe an equitable fiduciary duty and common law duty of care to the company. It is sometimes said that the directors are accountable to the company. Basically, this means that the company is effectively run for the benefit of the shareholders. The directors must please the shareholders, otherwise they may be removed from office. The traditional capitalist shareholder is an investor who is predominantly interested in profits. All other interests within the traditional corporate structure are subordinate.

This model, involving as it does a separation of ownership from control, was devised for clear economic reasons in the 19th century.³⁹ Since then, the needs of commerce and the interests of others in society have developed and grown in sophistication. It is now widely recognised⁴⁰ that the legal principles and rules determining corporate governance have been left behind by developments in the real world of economics and market forces. The legal structure of a company is still based on the notion that the only two participants of merit in the company are the (ordinary) shareholders (of common stock) and the directors. The latter are accountable to and owe their duties to the former. In reality, other persons and entities have an interest in the proper government of a company, but their interests are not represented by the traditional corporate model. A dynamic tension exists within a company involving some or all of the following participants, only two of which ((1) and (2) in the diagram below) have significant rights and duties under a traditional corporate structure. This is why the rules of corporate governance were modified in England in 2006 by the introduction of s.171 of the Companies Act 2006, which we shall return to at the end of this section.



39. See Module 2 sections 2.2.3 and 2.2.4.

40. BR Cheffins, *Company Law, Theory, Structure and Operation* (Clarendon Press, Oxford, 1997). The post-Enron reviews of corporate governance in both the US and UK have recognised the shortfalls of the traditional corporate structure and have led to changes in the law relating to non-executive directors and board structure, as well as the regulation of auditors

1.1 Preference shareholders (holders of preferred stock)

The right to vote at general meetings of a company (and thus the ability to appoint, monitor and supervise the performance of the directors) is usually conferred only upon ordinary shareholders, i.e. the holders of common stock. This is justified on the grounds that the return enjoyed by the ordinary/common shareholders is linked to the success of the company, since they receive their share of the profits (and return of capital upon winding-up) only after all other shareholders, creditors and claims have been satisfied. Preference non-voting shareholders are a body of equity owners of a company who have no voice or vote to affect the course of the company. In the US and the EU this has led to changes in the law relating to the board structure, non-executive directors and the role of auditors.

1.2 Bondholders, long-term and short-term creditors

Creditors, in this context, include investors who have lent money to a company in exchange for corporate bonds, notes or other securities that carry the right to receive a fixed rate of interest and for the principal to be repaid upon maturity. They are referred to as bondholders and, for short-term lending, holders of commercial paper. Creditors also include long-term institutional lenders and banks that lend to a company via short-term loan or overdraft. Trade creditors who supply goods and/or services to a company on credit are excluded from this category of creditor.

Bondholders and other creditors have a significant interest in the well-being of the company but have no right to vote at its meetings. In theory they cannot, therefore, influence corporate decision making to ensure that the company is being governed competently. The justification for this is that creditors are not equity owners of the company. They, therefore, assume little risk, as the return to lenders/bondholders must be paid to them before the company calculates its net profits for distribution to shareholders. Accordingly, creditors have no rights to influence the affairs of a debtor company. Now, however, onshore corporate governance is changing. Institutional lenders, such as banks, pension funds and investment companies, monitor the financial position of their debtor companies very carefully. Banks, in particular, can intervene or influence business decision making under threat of calling in the loan (if it is repayable on demand). In the event of poor performance, default or business collapse, an institutional lender often retains the right to appoint specialist consultants to investigate the financial affairs of the company or, as a last resort, appoint a receiver to take over from the board and run the company, not on behalf of the shareholders but on behalf of the secured lender.

1.3 The workforce

There are very few ways in which the employees of a company can influence management, take part in the affairs of the company or ensure that it is being governed correctly. They cannot vote at shareholders' meetings (unless they also own shares). The directors do not owe the workforce specific duties, nor do they consult them (unless they are represented on the board) in relation to business matters. The company workforce is an integral part of the economic well-being of the company and yet its interests are largely ignored by the onshore corporate model structure.

1.4 Executives

Corporate decisions are made by the board of directors as a whole. In a large company, especially, however, there are inevitably an infinite number of decisions made each working day about numerous matters such as marketing, production, organising staff and assigning work. These day-to-day decisions are not made inside the boardroom. They are often made by the company's team of executives. Senior executives may also be directors, but not necessarily as they often operate at a level below the formal structure of the board. Only the chief executive officer (CEO) may have a place on the board. The role of the CEO is to implement the strategic long-term policy decisions of the board: to coordinate, manage and control the company on a practical, hands-on, day-to-day basis. The position of non-director executives within the company is contractual in nature – they are often employed on a fixed-term contract. Their legal standing flows from the fact that the board of directors may delegate its powers to manage the company to a team of managers and vice presidents. If executives under-perform or are regarded as incompetent, they can be fired. They exist, however, on the edge, if not outside, the traditional corporate model. They owe contractual duties to the **company**. Yet the highest level of management, the directors, owe their duties solely to the **shareholders** as a body, to the exclusion of the company's workforce and executive management team.

1.5 Others

Persons (and external factors), other than the shareholders and directors, may influence corporate decision making in a modern context, to ensure proper governance. These include auditors, regulators and the company's customers. Public companies incorporated onshore must have their annual accounts audited. The auditors are thus able to monitor and exert influence over corporate policy, particularly in relation to the financial organisation of the company. The management of a business is also subject to considerable regulation, particularly onshore, where significant mandatory and public regulation and self-regulation exists alongside the companies legislation.⁴¹ Finally, the company's customers ought not to be ignored in the established structure: the persons who transact business with the company and buy goods and/or services from it. The laws of supply and demand determine that there is little point in producing products unless there is a demand for them at a price that provides a satisfactory return. Customers are therefore a major influence in laissez-faire commerce. They do not, however, exercise any direct influence upon the organisation and proper operation of a company.

1.6 Summary of corporate governance

Notwithstanding the notional rights and interests of the persons and other factors identified above, the traditional corporate model that developed in 19th-century England recognises just two organs of corporate governance, namely:

- the shareholders, who supply the share capital to the enterprise and act by taking part in the company's general meetings

41. Propounded in the UK by such bodies as: the Department of Trade and Industry (DTI) which, since 2007, is now known as the Department of Business, Enterprise and Regulatory Reform; the Monopolies and Mergers Commission, which became known as the Competition Commission and since 2004 has been known as the Competition and Markets Authority; the Office of Fair Trading, whose function was superseded in 2014 by the Competition and Markets Authority; the Stock Exchange (which requires listed companies to comply with the UK Code on Corporate Governance); the Panel of Takeovers and Mergers, and the Securities and Investments Board, which became the Financial Services Authority, whose responsibilities were split, after the financial crisis, between the Financial Conduct Authority and the Prudential Regulation Authority of the Bank of England.

- the board of directors, who are appointed by the company – i.e., by the shareholders in general meeting – and are empowered to run the business as a committee for the ultimate benefit of the shareholders.

The law relating to corporate governance has been modernised in the US and UK. For instance, in England, see s.171 of the current Companies Act 2006.⁴² But this type of duty is not imposed upon directors of offshore companies. Legislators in offshore jurisdictions have used the traditional corporate model as a template when drafting and enacting their companies legislation, as have professionals engaged in offshore company management when drafting and registering articles of association for companies incorporated in those jurisdictions. The modern corporate model may reflect the needs and requirements of a large, public, widely held, operating company. But for a private, closely held, asset-holding company that follows the traditional model, there are only two (or three) main participants that matter, namely the shareholders and board of directors (as well as the regulator).

2. The division of power between directors and shareholders

The division of power between the board of directors and the shareholders is essentially governed by the articles of the company rather than prescribed by legislation.

The articles are originally drafted by (or on the instructions of) the promoter/ subscriber(s) who invariably become(s) the shareholder(s). They may be changed by a resolution of the shareholders in general meeting. Hence the division of power is effectively controlled by the shareholders.

Having said that, it is standard practice to provide that the business of a company shall be conducted by the directors, who may (subject to any articles or legislation to the contrary) exercise all the powers of the company. This type of provision is found:

- in applicable **permissive** companies legislation, or
- in model articles that may be adopted by a company from a schedule to, or regulations made under, the companies legislation, or
- typically, in an express, tailor-made article of a company incorporated for offshore asset-holding purposes.

2.1 Companies legislation

Companies legislation anticipates that the power to manage the business of a company will be conferred upon the board of directors, although this is subject to any provisions in the articles to the contrary.

Section 109 of the BVI BCA 2004 states:

‘The business and affairs of a company shall be managed by, or under the direction or supervision of, the directors of the company.’

42. In England, s.171(1) of the Companies Act 2006 imposes a new statutory duty upon directors to act ‘in a way they consider, in good faith, would promote the success of the company ... and, in so doing [must] have regard to:

- (a) The likely consequences of any decision in the long term
- (b) The interests of the company’s employees
- (c) The need to foster the company’s business relationships with suppliers, customers and others
- (d) The impact of the company’s operations on the community and the environment
- (e) The desirability of the company maintaining a reputation for high standards of business and
- (f) The need to act fairly as between members of the company’.

Section 91 of the Manx Companies Act 2006 and s.134 of the Companies (Guernsey) Law 2008 are identical to the BVI legislation.

Section 40 IBCA 2000 of the Bahamas is typical of the IBC legislation, which states:

‘Subject to the limitations or provisions to the contrary in its memorandum or articles, the business and affairs of a company incorporated under this Act shall be managed by a board of directors that consists of one or more persons who may be individuals or companies.’⁴³

2.2 Model articles

Model articles set out as a schedule to, or regulations made under, the companies legislation of a number of offshore jurisdictions – including the Cayman Islands,⁴⁴ the Bahamas,⁴⁵ Hong Kong,⁴⁶ and Singapore⁴⁷ – contain a specimen article based upon art.80 of the model articles found in Table A of the UK’s Companies Act 1948. The latter provides that:

the business of the company shall be managed by the directors who may... exercise all such powers of the company as are not by the [companies legislation] or by these articles, required to be exercised by the company in general meeting.

The specimen articles reproduced in Appendix 1B of the online Study Resources contain a similar provision at para.19.1. It essentially says that the directors have a general residual power to manage the business of the company on a day-to-day basis and exercise the various powers of the company unless either:

- a. the companies legislation specifically confers a particular power upon the shareholders in general meeting; or
- b. the company’s articles contain a contrary provision.

The interpretation of this particular article has been the subject of much debate and litigation in England. It has been held that, where art.80 (or an equivalent provision) has been adopted by a company in its articles, the power to manage the company vests in the directors. The directors cannot be made to obey a resolution of the shareholders if it is contrary to their own decision. In other words, the shareholders cannot make the directors do something they do not want to do (except by formally changing the articles).

In *Quin & Axtens Ltd v Salmon*,⁴⁸ a company appointed five directors to its board (Directors A–E). The company adopted articles that contained a provision similar to art.80 above, but which went on to state that any resolution of the directors to acquire property for the company was not valid if either one of Directors A or B dissented. The directors passed a resolution by four votes to one to acquire certain property; however, A was the dissenting director. Accordingly, the shareholders convened a general

43. Similar legislation exists in other jurisdictions with IBC legislation, such as Antigua, Anguilla, Barbados, St Vincent and St Lucia.

44. Article 66, Table A of the Schedule to the Companies Law 2022 Rev.

45. Article 68 of Sch.1 to the Companies Act 1992.

46. Article 3(1) of the Sample B Model article prescribed by Sch.2 to the Companies (Model Articles) Notice (Cap 622H) for private companies limited by shares.

47. Article 73, Table A of the Fourth Schedule to the Companies Act 2006 Revision has been repealed, and instead a Singapore company may adopt a Model Constitution: see art.77, which states that ‘The business of a company is managed by ... the directors’.

48. *Quin & Axtens Ltd v Salmon* [1909] 1 Ch 311.

meeting of the company, and passed a resolution instructing the board to acquire the property and authorised the directors to proceed with the transaction. The transaction was challenged and the judge observed that the general power to run a company should be exercised by the directors, and other identified powers may be exercised by the shareholders in general meeting, but when a power is expressly conferred upon the directors in the articles, then only the directors may exercise that power. The shareholders could control the directors in the exercise of their powers only by altering the articles. It was held that the shareholders cannot usurp the powers given to the directors by the articles by, for example, giving them binding instructions.

As a result of this interpretation of art.80, Table A of the Companies Act 1948 (or, rather, its predecessor, which was in similar terms) was replaced in the UK by a new model article found in art.70 of a new Table A in the Companies Act 1985,⁴⁹ which provides:

‘Subject to the provisions of the [Companies] Act, the memorandum and the articles, **and to any directions given by special resolution**, the business of the company shall be managed by the directors who may exercise all the powers of the company.’

Article 64 of the model articles published in Jersey in the Companies (Standard Table) (Jersey) Order 1992 contains an identical provision.⁵⁰

This new, alternative article, therefore, authorises shareholders (in particular, those who control a large enough percentage of votes to pass a special resolution) to give instructions to the board and thereby manage the company through the directors. The shareholders may, by special resolution under this article, give the directors binding directions on an ad hoc basis: for instance, to enter into or refrain from entering into a particular deal, contract or transaction.

The current model articles in England are set out in the Companies (Model Articles) Regulations 2008, and have been reproduced in Appendix 1C of the online Study Resources. Articles 3 and 4 essentially replicate art.70 of Table A of the Companies Act 1985, but in plainer style.

An example of the exercise by the shareholders of their indirect powers of management conferred by articles similar to the alternative art.19.1 of Appendix 1B, or art.4.1 of Appendix 1C, is illustrated in Appendix 21G of the online Study Resources.

Company management service providers must therefore analyse the particular article that confers a general power of management on the directors in order to ascertain whether it is absolute or can be compromised by directions given by a special resolution of the shareholders. The issue may be regarded as academic if the shareholders and directors are one and the same person, or are controlled by one and the same person. But the issue of beneficial owner control is of the utmost importance to beneficial owners who have appointed independent directors to the boards of their managed companies. Which article would you prefer if you were the beneficial owner? No doubt the modern one which gives beneficial owners, through their nominee shareholders, a right to instruct the board to act, or refrain from acting, in a particular manner. But this so-called reserved power to manage the company does have

49. Sections 1 and 20 of the Companies Act 2006 allow for new model articles to be introduced by Statutory Instrument, about which the Model Articles for Private Companies (the old Table A) state in art.3 that ‘subject to the Articles, the directors are responsible for the management of the company’s business’.

50. Rather unusually, the Guernsey equivalent does not confer a general power of management upon the directors; see the Companies (Standard Articles of Incorporation) Regulations 2015.

consequences. In particular, it may render the company tax-resident in the jurisdiction where the beneficial owner resides, rendering it liable to pay corporation tax to the revenue authorities of such jurisdiction. This is something we shall return to when we explore beneficial owner control in Module 11 section 3.



Task 7.1

Peruse the standard articles of companies under the management of your organisation. Is there an article dealing with the general division of power between the directors and the shareholders of the company? If so, is it based upon art.80 of Table A of the Companies Act 1948, or art.70 of Table A of the Companies Act 1985, or on something else?

The standard article based upon art.80 of the 1948 Act referred to above, giving the directors all the powers to manage the company that are not required to be exercised by the company in general meeting, begs the question: precisely which decisions must be made by the shareholders at general meetings of the company?

The answer depends upon the provisions of the articles concerned and applicable companies legislation.

As a general rule (which does not always apply to IBCs, BVI BCs and other special purpose vehicles), the following matters may be resolved only by the shareholders in general meeting, rather than by the directors:

- matters affecting the constitution of the company, such as an alteration to the memorandum (name, domicile address, objects or capital clause) or articles
- matters affecting the company's capital, such as a reduction of capital, a redemption or buy-back of its shares out of capital, a variation of the rights conferred upon holders of a particular class of shares, reconstructions and company arrangements
- matters relating to the removal and appointment of directors
- in many cases, the approval of accounts, appointment of auditors and the declaration of dividends
- matters relating to the voluntary winding-up of the company.

3. Appointment of directors

3.1 Eligibility

Usually, any person who has the legal and mental capacity to own property may be appointed as a director of a company. Children, persons of unsound mind, undischarged bankrupts and those who have been disqualified⁵¹ from acting are not, generally, eligible for appointment.

The residence of a person may have a bearing on whether he or she can be appointed as a director. Some jurisdictions, such as Bermuda and Singapore,⁵² require at least one of the directors to reside in the local centre.

51. As to disqualification, see section 4.2 below.

52. Bermuda – s.130 of the Companies Act 1981 as amended 2009; Singapore – s.145(1) of the Companies Act Cap.50.

According to model Table A articles in the 1948 Act, the directors are required to hold a minimum number of shares in the company. Failure to comply can mean that the director has to vacate office. A director's shareholding qualification is, however, not usual in offshore companies.⁵³

Corporate directors are permitted in most offshore jurisdictions provided the corporate director is licensed by the local regulator to conduct 'company management business'.⁵⁴

In order to ensure minimum standards of competence and integrity, notwithstanding concerns about cost and 'level playing fields', a number of international initiatives around the new millennium recommended that offshore financial centres introduce a licensing requirement for firms that carry out company management business.⁵⁵ The wide definition of 'company management business' includes not only the administration of asset-holding companies, but also the provision of directorships. These recommendations led to the introduction of a wide-ranging licence requirement for firms that provide directorships as well as incorporations and corporate administration. Following the recommendations in the Edwards Report, the Crown Dependencies introduced a new regulatory environment for both trustees and company management service providers.

- Guernsey enacted the Fiduciary and Administration Business Law 2000, amended 2003, requiring trust and corporate services providers to be licensed.
- Jersey enacted the Financial Services (Jersey) Law 1998 and the Financial Services (Extension) (Jersey) Law 2000, requiring trust and corporate service providers to be licensed.
- The Isle of Man enacted the Corporate Service Providers Act 2000, requiring corporate service providers to be licensed, with similar regulation for trust services, the Fiduciary Services Act 2005.

As a result of the recommendations in the KPMG Report, the following legislation has been passed by the British Overseas Territories.

- The Bahamas enacted the Financial and Corporate Service Providers Act 2000, which regulates anyone engaged in the provision of financial or corporate services for profit. The Banks and Trust Companies Regulation Act 2000 relates to the provision of banking and trust services.
- In the BVI the licensing and supervision of company management business is regulated by the Company Management Act 1990, amended 2004. Fiduciaries are regulated by the Banks and Trust Companies Act 1990.

53. Although it is found in model articles in some jurisdictions such as the Cayman Islands – see art.65, Table A of the Schedule to the Companies Law 2020 Rev. – these are model articles used for resident, local companies carrying on business within the Cayman Islands rather than for international use.

54. Corporate directors are permitted in the IBC jurisdictions such as the Bahamas and BVI, as well as Bermuda, the Cayman Islands, Gibraltar, Guernsey, Hong Kong, Isle of Man, Jersey, and Turks and Caicos Islands. Previous editions of this study text have indicated that corporate directors are not allowed in Jersey, Guernsey, the Isle of Man, Bermuda and Singapore, but they are now allowed under modern provisions: art.73(4) of the Companies (Jersey) Law 1991 amended; ss.131 and 143(5) of the Companies (Guernsey) Law 2008 and, for the New Manx Vehicle, s.91(7) of the Companies Act 2006; Bermuda – s.92B(2)(b) of the Companies Act as amended.

55. In 1997, the British government commissioned a team of Treasury officials, headed by Anthony Edwards, to provide a detailed analysis of the financial business carried on in Jersey, Guernsey and the Isle of Man (Edwards Report, 1998). In 1999 the British government retained the accountancy firm, KPMG, to carry out a similar (but not identical) review of six overseas territories in the Caribbean in order to establish whether the provision of financial services, in particular trust and company management services, met acceptable international standards (KPMG Report, 2000). Each report found identical issues and contained similar recommendations to the *OECD Report on the Misuse of Corporate Vehicles* (2001).

- The Cayman Islands enacted the Companies Management Law 1999, now 2018 Revision, and enlarged the powers of the regulator, the Cayman Islands Monetary Authority (CIMA).
- Bermuda enacted the Trusts (Regulation of Trust Business) Act 2001, amended 2005, the Corporate Service Providers Business Act 2012, and strengthened the supervisory role of its regulator, the Bermuda Monetary Authority.
- In the Turks and Caicos Islands a professional trustee must be licensed under the Trustee Licensing Ordinance, and company management service providers similarly under the Company Management (Licensing) Ordinance 1999 as amended. In addition, a Financial Services Commission was established to regulate the provision of financial services, including company management services.

Other offshore jurisdictions not covered by either the Edwards or the KPMG Reports have passed similar regulation.

- In Gibraltar, the Financial Services Ordinance established a commission, giving licensing and supervisory powers for the control of financial services, including trust and company management services.
- In Mauritius, trustees and corporate service providers must be licensed by the Financial Services Commission under the Financial Services Development Act 2001, as amended.
- In Singapore, trustees must be licensed by the Monetary Authority of Singapore (MAS) under the Trust Companies Act, 2005, and corporate services must be licensed as 'filing agents' under the Accounting and Corporate Regulatory Authority (Amendment) Act 2015.
- In Hong Kong, legislation came later, but in accordance with the Anti-Money Laundering and Counter-Terrorist Financing Ordinance with effect from 2018, a person or firm that carries out trust or company services business in or from Hong Kong is required to hold a licence from the registrar of companies.

3.2 Number of directors

Companies legislation usually prescribes that a company must have a minimum number of directors. For instance, in the UK the minimum used to be two but is now one, in line with EU practice. Most, if not all, offshore jurisdictions allow companies incorporated therein to have a sole director.⁵⁶

While there is a minimum number prescribed by statute, the **actual** number of directors required for any particular company, together with the quorum required to transact business, is set out in the articles. A traditional Table A 1948 Act article allows the number to be increased or reduced, but not below the statutory minimum, by the shareholders passing an ordinary resolution in general meeting – see art.15.2 of Appendix 1B. It has not been thought necessary to reproduce art.15.2 in the modern articles reproduced in Appendix 1C.

56. Bermuda – s.91 of the Companies Act 1981 as amended; Bahamas – s.43 of the IBCA 2000; BVI – s.109(4) of the BVI BCA 2004; Cayman Islands – s.55 of the Companies Law 2020 Revision; Gibraltar – s.215 of the Companies Act 2014 as amended; Guernsey – s.135 of the Companies (Guernsey) Law 2008; Hong Kong – s.454 of the Companies Ord Cap 622, 2014 version; Isle of Man – s.91(4) of the Companies Act 2006; Jersey – art.73(1) of the Companies (Jersey) Law 1991 amended 2009; Singapore – ss.145 and 157B of the Companies Act, Cap.50.



Task 7.2

1. Review the model articles reproduced in Appendix 1B. What is the minimum number of directors required? What is the quorum?
2. Peruse the standard articles adopted by companies under the management of your organisation. Find the article dealing with the number of directors, and the article allowing that number to be varied. Compare with the above. Is there a shareholding requirement?

3.3 Method of appointing the directors

3.3.1 Initial director(s)

The first directors are those persons who consent to act as directors upon incorporation and appointed as part of the incorporation process. The actual mechanics of the appointment of the initial board varies between jurisdictions, but most companies legislation states that the subscribers to the memorandum must appoint the first directors. For example, the IBC legislation such as that enacted in the Bahamas (s.42(1) of the IBCA 2000) states:

‘The first directors of a company incorporated under this Act shall be elected by the subscribers to the memorandum ...’

In these circumstances, an organisational meeting of the subscribers may be held to nominate candidates, discuss and vote on their appointment to the board and record the resolution as a minute of a meeting. Alternatively, as the subscribers are service providers, it is much more likely that a formal meeting is dispensed with and the directors are appointed by a written resolution.

In jurisdictions where the companies legislation says nothing about the method of appointing the first directors, it is usual for the articles to set out the method of appointment. For example, the Companies Law 2022 Revision of the Cayman Islands is silent about the method of appointing the first directors; however, art.63 of Table A (and para.15.1 of Appendix 1B) provides that:

‘The number of the directors and the names of the first directors shall be determined in writing by a majority of the subscribers of the memorandum.’

Accordingly, in the same manner as for an IBC, the subscribers must hold an organisational meeting, or pass a written resolution, to appoint the first directors.

For BVI BCs, the registered agent must appoint the first director(s) within six months of incorporation. Alternatively, a more roundabout statutory procedure may have to be followed. By way of example, ss.69 and 70 Companies Act, 1981 of Bermuda provide that:

‘Section 69

1. The persons whose names are subscribed to the memorandum shall be the provisional directors of the company ...

2. The provisional directors ... shall hold office until the first board of directors is elected ...

Section 70

1. As soon as convenient after the minimum share capital set out in the memorandum has been subscribed, the provisional directors shall convene ... a general meeting of the members of the company for the purpose of electing the first board of directors.

Having been appointed as a corporate director, some firms prefer to record detailed terms and conditions in a directors' service agreement (DSA). A specimen DSA is illustrated in Appendix 21C of the online Study Resources. One of the main reasons for a DSA is to include exoneration, indemnity and insurance provisions in order to reduce the service provider's risk, a topic explained further in Module 8 section 5.2 – see cll.9 and 12 of the sample DSA in Appendix 21C.

Finally, in most jurisdictions, the company must file the register of directors, or particulars of the board members, with the registrar, usually within a specified number of days of incorporation.⁵⁷

Whatever precise method is followed to appoint the initial director(s) of a company, typical requirements are:

- a. to obtain the prior written agreement of the director(s) to act, by a simple document similar to Appendix 21A of the online Study Resources;
- b. to pass a written resolution of the subscriber(s), similar to the resolution illustrated in Appendix 21B of the online Study Resources;
- c. the company may enter into a directors' service agreement (DSA) with the newly appointed director to record the relevant terms of their relationship, including exoneration and indemnities – see the example in Appendix 21C;
- d. for the corporate services provider engaged in the incorporation to send notice to the registrar of companies giving the director(s) name(s) and other prescribed particulars; there may be a prescribed form of notice for this purpose; and
- e. for the names of the directors to be entered in the company's register of directors.



Task 7.3

Research the prescribed requirements (both under applicable companies legislation,⁵⁸ if any, and under typical articles of companies under the management of your organisation) for appointing the first directors of a company incorporated in the jurisdiction where you work or have some other connection.

57. The Bahamas – s.44(4) of the IBCA Cap.309; Bermuda – s.92(B)(1) of the Companies Act 1981 as amended; BVI – s.118B of the BVI BCA, introduced by BVI BCA (Amendment) Act 2015; Cayman Islands – s.55(1) of the Companies Law 2020 Revision; Gibraltar – s.194(2) of the Companies Act 2014; Guernsey – s.145 of the Companies (Guernsey) Law 2008; Hong Kong – s.645(1) of the Companies Ord Cap.622; Singapore – s.173(1) of the Companies Act Cap.50. Surprisingly, there is no requirement in Jersey (although the registrar can inspect the register maintained at the registered office) or Isle of Man (although there is a requirement to file particulars of the registered agent for New Manx Vehicles under ss.74 and 75 of the Companies Act 2006).

58. Bahamas – s.42(1) of the IBCA 2000; Bermuda – ss.69 and 70 of the Companies Act 1981; BVI – s.113(1) of the BVI BCA 2004 amended 2012; Cayman Islands – silent, but see Table A; Gibraltar ss.215–222 of the Companies Act 2014 as amended; Guernsey – s.139 of the Companies (Guernsey) Law 2008; Hong Kong – ss.459–461 of the Companies Ord Cap 622; Isle of Man – s.95 of the Companies Act 2006; Jersey – art.73 of the Companies (Jersey) Law 1991 amended 2009; Singapore – ss.145, 150 of the Companies Act Cap 50. See also the statutory references in the preceding footnote.

3.3.2 Subsequent directors

Typical legislation states that subsequent directors, i.e., those other than the first directors appointed upon incorporation, may be appointed by ordinary resolution of the members in general meeting or, where permitted by the articles, by the directors.

This creates a default position that, when the articles are silent, the power to appoint subsequent directors is conferred upon, and therefore requires a resolution of, the shareholders. This default is, however, subject to any other provision contained in the articles. A power to appoint new or replacement directors will, almost always, be dealt with in the articles. Generally, the rules on appointment of the directors are dealt with in a company's articles.

Unfortunately, here lies a dichotomy. On the one hand, old-fashioned articles (i.e., those based upon the 1948 or 1985 Table A, such as those illustrated in Appendix 1B) assume that a company will hold an AGM of shareholders following the retirement of board members by rotation. On the other hand, more modern articles (such as those illustrated in Appendix 1C) permit the appointment of new or replacement directors by resolution of existing board members; this avoids having to convene and hold a general meeting of shareholders of a company. Let us examine these different approaches in a little detail.

a. **Traditional articles:** Appendix 1B (references to articles in this subsection are to Appendix 1B)

- Articles 16.1 and 16.2 require one third of the directors to retire each year, but, if their number is not three or a multiple of three, then the number nearest one third should retire from the board each year, starting with those who have been longest in office; if they so wish, the directors who have retired may offer themselves for re-election at the AGM.
- Article 16.4 provides that in the event of an unexpected vacancy on the board, for example if a director dies, retires or suffers an unexpected disability, the remaining directors can appoint a new board member. But such new director only serves until the next AGM, when a permanent board member can be appointed by the shareholders.
- Article 15.4 confers a power to appoint new or replacement directors upon shareholders in general meeting. This power would typically be exercised at the company's AGM, convened and held in accordance with arts 10.1 and 10.2.

An example of minutes of a general meeting of a company at which a single resolution is passed to appoint a new director is illustrated in Appendix 21D of the online Study Resources.

b. **Modern articles:** Appendix 1C (references to articles in this sub-paragraph are to Appendix 1C)

- There is no provision for retirement by rotation and re-selection every third year. Instead, directors are appointed for an indefinite term until they are removed, retire or otherwise vacate office.

- Article 17(1)(a) confers a power to appoint new or replacement directors upon the shareholders by ordinary resolution but, importantly, cl.17(1)(b) also confers the power upon the directors. This is typical for an offshore, one-person, asset-holding company. In these circumstances, the beneficial owner can instruct the registered nominee shareholder to exercise the power to appoint a new or replacement director. Or, if the change in composition of the board is by consent, or the outgoing director is cooperative, it can be done by board resolution. Here, neither a general meeting nor even a board meeting is required as a unanimous written board resolution can be passed in accordance with art.8.
- An example of a written resolution whereby a sole director appoints a new director and then resigns is illustrated in Appendix 21E of the online Study Resources.



Task 7.4

1. Review the specimen articles reproduced in Appendices 1B and 1C and establish the provisions relating to the appointment of directors and rotation. Peruse the standard articles adopted by companies under your management. Find the articles dealing with appointment and removal of directors and compare them with the above.
2. It is likely that the directors of your managed companies do not have to retire by rotation. It may also be the case that new directors may be appointed by a resolution of the directors (rather than by the shareholders in general meeting). Consider reasons to justify this departure from the traditional, onshore practice.

Note that, when a new or replacement board member is appointed, there is a requirement to update the register of directors and notify the registrar.

In conclusion, the directors of a typical private company are, therefore, appointed by either an ordinary resolution of the shareholders or by board resolution. This means that a shareholder controlling 50% plus one of the voting shares can control the composition of the entire board. England and the bulk of the common law jurisdictions have retained what is known as a statutory straight voting system, rather than adopting the US concept of cumulative voting, which ensures that the minority shareholders are guaranteed at least one seat on the board. Straight and cumulative voting are easier to explain by way of an example.

Assume that a company has issued 100 shares: X owns 51, Y owns 49. Three directors must be appointed. Typically, in England, there is a straight vote for each appointment. Therefore, for Director 1, if X votes for Candidate A, and Y votes for Candidate B, X wins and A is appointed. For Director 2, if X votes for Candidate C, and Y votes for Candidate D, X wins again and C is appointed. Ditto for Candidate 3; X will always outvote Y, so none of Y's choices of candidate may ever be elected to the board.

Cumulative voting protects the interests of a minority shareholder. In the straight voting procedure, X had 3×51 votes, i.e. 153 votes, and Y had $49 \times 3 = 147$ votes. Under cumulative voting a shareholder is allowed to accumulate their votes, so Y can decide how to divide these 147 votes. Also, instead of each appointment being voted

on individually, all candidates run together and the three candidates with the highest number of votes are elected. Accordingly, to guarantee at least one director on the board, Y can vote all 147 votes for one candidate. So, for instance, the ballot consists of all candidates, A, B, C, D, E and F to fill three vacancies. The result could be:

- **Candidate A:** 148 votes cast by X – X wins
- **Candidate B:** 147 votes cast by Y – Y wins
- **Candidate C:** five remaining votes cast by X – X wins
- **Candidates D, E, F:** no votes – not appointed.

4. Resignation, removal and disqualification of directors

A director cannot hold office for ever. Statutory provisions and express articles allow a director to:

- **resign or retire**, by rotation or otherwise
- **vacate office** (with cause)
- **be removed** (with or without cause)
- **be disqualified** from holding office.

For example, s.113(6) of the BVI BCA 2004 states:

‘A director holds office until his successor takes office, or until his earlier death, resignation or removal.’

As with many aspects of corporate governance, the source of the regulations that apply in relation to the vacation of office by a director, by resignation, removal or disqualification, can be found in two places. Companies legislation usually provides rules of general application that are subject to any contrary provision in the articles of a particular company. Detailed provisions may then be found in the company’s articles.

4.1 Resignation

The articles logically permit a director to resign voluntarily. The typical procedure is that a director’s resignation must be in writing and served upon the board at the registered office of the company, subject to reasonable or fixed notice. The procedure is set out in art.17.3 of Appendix 1B and art.18(e) of Appendix 1C, a sample letter of resignation is illustrated in Appendix 21F, and a shareholder’s resolution accepting such resignation is illustrated at Resolution 1 of Appendix 21D and a similar resolution of the board is illustrated at Resolution 2 of Appendix 21E of the Online Study Resources.

4.2 Vacating office

The articles of a company may also contain more detailed provision to the effect that a director shall cease to hold office on giving cause, for instance, if the director:

- i. becomes prohibited from being a director by a disqualification order made by a court of law under applicable companies legislation;⁵⁹

59. Disqualification provisions exist in a number of offshore centres – see section 4.3 below. Similar customer protection exists by virtue of the licensing requirements for company management business.

- ii. is adjudicated bankrupt (or makes a formal arrangement with creditors on the basis of insolvency and inability to pay all personal debts in full);
- iii. becomes of unsound mind or mentally incapable of performing the functions of a director
- iv. shall, for more than, say, six months, have been absent from board meetings held within that period, without the consent of the other directors;
- v. is convicted of an indictable offence (and/or is imprisoned); or
- vi. receives a request in writing from the other directors, being not fewer than, say, three in number.

This type of provision is illustrated in art.17.2 of Appendix 1B, and art.18 of Appendix 1C. In some jurisdictions, these provisions are referred to as disqualifying conditions. It may be preferable to describe them as conditions that provide for the mandatory vacation of office, in order to distinguish them from disqualification orders made by a court of law in the circumstances set out in section 4.4 of this module.

4.3 Removal

A director may usually be removed from the board by resolution of the shareholders, who are not obliged to give reasons or show any just cause. The shareholders can simply vote a director out of office.

The current UK statutory provisions⁶⁰ provide that the company in general meeting may, by ordinary resolution, remove a director from the board. This provision did not exist in English law until s.184 of the Companies Act 1948. Until 1948, any power to remove a director without cause (or justification) had to be contained in the articles, otherwise it did not exist. Accordingly, it became standard practice to include express provision in the articles, similar to art.17.1 of Appendix 1B:

- 'i. The company may by ordinary [or special] resolution remove any director before the expiration of his period of office notwithstanding anything in these articles or in any agreement between the company and such director.
- ii. The company may by ordinary resolution appoint another person in place of the director removed from office under the preceding article ... '

As with the statutory provisions for the appointment of directors, some jurisdictions have included a statutory provision similar to that contained in the 1948 Act, allowing the company, by its shareholders in general meeting, to remove directors without cause. Other jurisdictions have elected not to follow the 1948 Act in this regard, and therefore leave it to the articles to provide for the removal of directors without cause, if it is considered appropriate. It is not unusual for the articles of offshore, one-person, asset-holding companies such as IBCs and BVI BCs to state that directors can be removed and new ones appointed by resolution of shareholders or by a resolution of directors.

60. Section 168 of the Companies Act 2006, formerly part of the 1948 and 1985 Acts.



Task 7.5

1. Review the specimen articles reproduced in Appendices 1B and 1C and the standard articles adopted by companies under the management of the organisation for which you work. Find the articles dealing with the voluntary vacation of, and removal from, the board of directors. Compare with the provisions described in sections 4.1 and 4.2 above.
2. Research the companies legislation in the jurisdiction where you work or have a connection.⁶¹ Does it contain a provision permitting the shareholders to remove a director similar to that contained in the UK's Companies Act 1948? Or is the power to remove directors found in the articles of the company? Or both?
3. Does the relevant legislation allow directors to be appointed by resolution of the directors?

4.4 Disqualification

In order to protect the public from the actions of a rogue director, modern companies legislation, as found in some jurisdictions, contains provisions that enable a court to make a disqualification order against a person, who is thereby prevented from becoming a director or being otherwise involved in the formation or management of companies.

If a person is considered to be unfit to act as a director owing to general (or specific) misconduct, the court may disqualify that person from acting as a director, on the grounds that it is in the public interest. For example, the person might have been providing corporate services in a manner that is considered to be in serious contravention of accepted standards of 'best practice', or might have been involved in an arrangement that has been ruled to be dishonest or in contravention of local regulations (such as those relating to investment business).

Some jurisdictions do not confer statutory power upon the court to make a disqualification order against a director. Nonetheless, the issue is moot because the financial services regulator can prevent a person from becoming a director of a managed company by rejecting their application for a company management licence or, if such licence has already been issued, revoking the same.



Task 7.6

Research the company legislation in the jurisdiction where you work or have some connection. Is the court empowered to make a disqualification order against a rogue director or service provider? If so, on what grounds? Alternatively, is the financial services regulator in your jurisdiction empowered to suspend or revoke a company management licence, thereby disqualifying a service provider from carrying out company management business for clients, including the provision of directors?

61. Bahamas – s.42 of the IBCA 2000; Bermuda – s.93 of the Companies Act 1981 as amended; BVI – s.114 of the BVI BCA 2004 amended 2012; Cayman Islands – silent, but see Table A; Gibraltar – Companies Act 2014 is silent on appointment and removal by shareholders; Guernsey – ss.139, 140 of the Companies (Guernsey) Law 2008; Hong Kong – s.462 of the Companies Ord Cap 622, 2014 version; Isle of Man – s.96 of the Companies Act 2006; Jersey – silent other than disqualification under art.78 of the Companies (Jersey) Law 1991 amended 2009; Singapore – s.152 of the Companies Act Cap 50, consolidated 2017.



Learning outcomes

By the end of this module you should:

- be able to explain what is meant by the 'traditional corporate model' and the term 'corporate governance' and their relevance to companies registered offshore
- appreciate how the traditional corporate model is used by legislators and by corporate service providers when drafting standard articles and the differences commonly found offshore
- be able to construe the following standard articles conferring powers of management upon the directors:
 - art.80, Table A of the Companies Act 1948
 - art.70, Table A of the Companies Act 1985
 - art.3 of the Model Articles for Private Companies, Companies Act 2006
- know how to appoint the initial directors upon incorporation of a company and understand the factors affecting the choice of directors
- appreciate why it might be necessary to remove directors and appoint new ones, how these processes are governed, and know how to remove directors and appoint replacements.

Module 7:

Self-assessment questions

1. The traditional corporate model is based upon a separation of ownership and control.
 - i. What is meant by this statement?
 - ii. State the reasons that justify the separation.
 - iii. Is the statement wholly correct? Is there an absolute separation of ownership and control, or do shareholders have powers that they may exercise in order to influence the business of the company?
 - iv. Do any other persons have an interest in the proper government of a company? Are their interests represented in the traditional corporate model?
 - v. Why is the traditional onshore corporate model structure of interest to those who manage companies offshore?
2. Corporate power is shared by the shareholders and the directors of a company.
 - i. Who and what governs the division of power between shareholders and directors of a company?
 - ii. Under typical provisions, what is the role of the board of directors of a company?
 - iii. XYZ Ltd has two directors, A and B, and 10 equal shareholders, A–J. Its articles of association include an article similar in terms to art.80 of Table A of the UK's Companies Act 1948. The shareholders D–J want the company to enter into a particular business venture. A, B and C do not think the venture would be good for business. May D through J pass a resolution in general meeting instructing the directors A and B to enter into the deal on behalf of the company? If not, what may they do, if anything?
 - iv. Would your answer differ if the company XYZ Ltd had adopted an article similar in terms to art.70 of Table A of the UK's Companies Act 1985?
 - v. Which powers can the shareholders of a company expect to have under typical articles?
3. Comment on the articles of association of XYZ Ltd, a private company designed for offshore asset-holding purposes, which contain the following provisions:
 - **Article 20.** The shareholding qualification for directors shall be 100 ordinary shares.
 - **Article 21.** The minimum number of directors shall be five, and the quorum necessary for the transaction of business shall be three.
 - **Article 22.** At the AGM, one third of the directors for the time being, or the number nearest one third, shall retire. A retiring director shall be eligible for re-election.
 - **Article 23.** The remuneration of the directors shall be \$5,000 p.a.

4. Appointment of directors.
 - i. How are the first directors typically appointed to the board of a company incorporated offshore?
 - ii. How are subsequent directors typically appointed?
 - iii. Distinguish cumulative voting from straight voting when electing directors to the board. Which method is used in the jurisdiction where you work or have some other connection?
5. Explain the distinguishing features of:
 - i. resignation and retirement of directors
 - ii. mandatory vacation from office
 - iii. removal from office without cause
 - iv. disqualification.
6. XYZ Ltd is incorporated offshore to pursue worldwide investment opportunities. It has three directors who are also the shareholders, namely X, Y and Z. Each shareholder owns 33.33% of the issued share capital. The shareholders have a fundamental disagreement. X and Y wish to continue in business as before but want to remove Z as director and as shareholder. Discuss the issues raised and offer solutions.

Module 8:

Directors Part II – Directors’ Powers and Duties



Module 8:

Directors Part II – Directors' Powers and Duties



Learning objectives

The purpose of this module is to:

- review the powers usually conferred upon directors
- introduce the mechanics of board meetings and the directors' decision-making process
- analyse the legal effect of a transaction purportedly entered into on behalf of a company, but which was beyond the powers conferred upon the directors
- outline the duties owed by the directors to their company
- examine a director's fiduciary duty
- examine a director's duty to exercise his powers of management with appropriate care and skill
- consider what is expected of a director of an offshore company
- explain the circumstances in which a director may become liable to the company and to creditors of the company.

1. Powers of directors

1.1 Typical powers

The powers enjoyed by the directors are conferred upon them by the articles of a company. The directors are usually given a general power to manage the company,⁶² often with additional specific powers conferred by the articles. For instance, they may be specifically empowered:

- to allot and issue shares in exchange for capital introduced to a company by investors⁶³
- to borrow money, to issue promissory notes or bonds, and to enter into loan agreements with lenders on behalf of the company, and to mortgage company property as security for such borrowing⁶⁴
- to make calls on unpaid or partly paid shares and procure shares to be forfeited when calls are not paid⁶⁵

62. See Module 7 section 2 and cross-refer to art.19.1 of the specimen articles in Appendix 1B of the online Study Resources, and art.3 of Appendix 1C of the online Study Resources.

63. See arts 2.1 and 2.3, Appendix 1B; compare to art.22(1), Appendix 1C.

64. See art 19.3, Appendix 1B; power conferred by art.3, Appendix 1C.

65. See arts 6.1 and 7.1, Appendix 1B; not applicable to the company with articles similar to Appendix 1C where, by art.21, all shares must be fully paid-up.

- to convene general meetings of the shareholders of the company and meetings of directors⁶⁶
- to pay interim dividends, recommend the payment of a final dividend, or actually decide upon whether to make a distribution⁶⁷
- to manage the affairs of the company generally, a power that includes a multitude of collateral powers, for instance:
 - to buy and sell goods and services
 - to hire and fire staff
 - to appoint agents and officers⁶⁸
 - to open and operate bank accounts
 - to keep accounts⁶⁹
 - to bind the company by entering into deals and contracts
 - to execute deeds and documents on behalf of the company⁷⁰
 - to do what is generally necessary to run the company.⁷¹



Task 8.1

Review the standard articles adopted by companies under the management of your organisation and establish the powers conferred upon the directors of those companies. Compare these powers to those enjoyed by the directors of the companies whose articles are reproduced in Appendices 1B and 1C.

1.2 Exercise of the powers conferred upon directors

When a company's board consists of more than a sole director, the board makes business decisions collectively. In other words, the directors exercise their powers and function generally at meetings. The powers set out above for managing the business of the company are given to the board as a whole rather than to any one individual director (unless, of course, there is only a sole director). Accordingly, the directors traditionally make a decision on behalf of the company only by discussion of a motion at a properly convened board meeting, of which proper notice has been given and which is quorate, by then voting on the motion and passing an appropriate resolution.

The specific requirements for corporate decision making are determined by the articles⁷² and are reviewed in Module 10. The general rule is that each director may attend meetings of the board and is given a single vote to cast on each issue. Resolutions are passed by a simple majority of the directors who attend and vote. Nowadays, however, if all the directors are in unanimous agreement on an issue, a written resolution may be passed, thereby dispensing with the need for a formal meeting.⁷³

66. See arts 10.4 and 20.1, Appendix 1B; arts 9(1) and 37(1A) of Appendix 1C.

67. See arts 23.1 and 23.2, Appendix 1B; art.30(1) and (2), Appendix 1C.

68. See arts 19.2, 20.16 and 21.1, Appendix 1B; power conferred by art.3, Appendix 1C.

69. See art.25.1, Appendix 1B; power conferred by art.3, Appendix 1C.

70. See art.22, Appendix 1B; art.49, Appendix 1C.

71. See art.19.1, Appendix 1B; art.3, Appendix 1C.

72. See arts 20.1; 20.2; 20.4 and 20.9, Appendix 1B; art.7(1), Appendix 1C.

73. See art.20.15, Appendix 1B; art.8, Appendix 1C.

1.3 The effect of actions beyond the powers conferred upon directors

A starting point of the following analysis is this: when the articles confer a general power to manage the business of a company on its board, and the board properly exercises such power by entering into a contract on behalf of the company with a third party, that contract must be valid and enforceable by each party according to its terms. This is clear and obvious because:

- a. the board had the requisite power to enter into the contract on behalf of the company; and
- b. the directors exercised such power properly.

A couple of linked questions arise, however, about the validity of the contract. What would be the legal effect upon the contract if:

- a. the articles did not in fact confer the power of management upon the board; or
- b. the articles did indeed confer the power of management upon the directors, but the board did not exercise such power correctly by following the required corporate procedures?

Would these matters cause the contract to be invalid and unenforceable against the company?

Prima facie, decisions made on behalf of a company can be made only by the board of directors acting in accordance with, and pursuant to, the terms of their powers as set out in the articles. If a specific power has not been expressly or impliedly conferred, a director does not have power to act. But how does this affect the legality of a transaction purportedly entered into by the directors on behalf of a company but where either:

- a. the transaction was outside or beyond the powers conferred on them; or
- b. the board's decision-making process suffered from some irregularity in the company's internal procedures?

Is this contract invalid (so that the company can wriggle out of liability) or can it still be enforced by the third party? Surely there is a need to protect third parties dealing with the company in these circumstances?

For example, assume that the directors of AB Ltd are given a general power to manage the company and purport to purchase a quantity of iron and steel on credit from CD in order to build a railway in Belgium. In fact, the lawful objects of AB Ltd are restricted to building railway carriages.⁷⁴ Logically, the contract would be void. It could not therefore be enforced by either AB Ltd (if CD failed to deliver the goods) or CD (if AB Ltd failed to pay for them). This conclusion is justified on the basis that the transaction was entered into by the exercise of powers that the directors did not have. The directors could exercise their powers only in pursuance of proper objectives. The directors therefore lacked the authority to enter into a contract for a purpose that was outside or beyond their powers.

74. Facts loosely based upon the case of *Ashbury Railway Carriage Co. Ltd v Riche* (1875) LR 7 HL 653, reviewed in Module 5 section 2.4.2.

Such an outcome is harsh for the third party. It would mean that a third party could not safely assume that the person with whom they are dealing is, in fact, a director and is acting in accordance with the powers conferred by the company's articles.

The common law and modern companies legislation have actually come to the rescue of third parties in these circumstances. The contract between the company and third party is deemed valid provided certain identified pre-conditions are satisfied. Note, however, that the rules we are about to review apply only to the external liability of a company to third parties. They do not affect the internal liability of the directors to their company – a director who purports to act on behalf of the company (by entering into a transaction with another) but who does not have the authority to do so, and who thereby causes loss to the company, may be held liable to compensate the company on the grounds of a breach of duty (see section 4 below). The company is nevertheless bound by the terms of the contract entered into on its behalf, even though the directors had acted beyond their powers and authority, i.e. in a manner that was *ultra vires*.

1.3.1 The common law position, the rule in *Royal British Bank*

Whenever a director purports to enter into a contract on behalf of a company (AB Ltd) with a third party (CD) but in fact has not been given the necessary power or authority to do so by the articles, the other contracting party (CD) may nevertheless enforce the contract, provided:

- a. the third party acted honestly and in good faith; and
- b. did not know, or could not reasonably have known, that the company's internal management requirements had not been met.

The facts of *Royal British Bank v Turquand*⁷⁵ were these: it was provided in the articles that the company could borrow money from third parties provided such borrowing was authorised by the shareholders of the company in general meeting. Notwithstanding this provision, the directors of the company borrowed significant funds from Royal British Bank, issuing the bank with a mortgage document executed by the company's common seal, but did not first obtain a resolution of the company's shareholders to authorise the borrowing. The company subsequently collapsed and went into liquidation. During the winding-up process, the liquidator of the company argued that the company was not liable to repay the bank loan, as the funds had been borrowed by the directors without the necessary authority being obtained under the terms of the articles. This argument was rejected. It was held that a third party dealing with a company through its directors is not adversely affected by any irregularities in the internal procedures of the company, provided the third party acted in good faith and did not have notice of the irregularity. The loan agreement, as evidenced by the mortgage document, was therefore binding. A third party, such as Royal British Bank, may therefore successfully bring a lawsuit against the company for breach of contract. The company cannot assert that the transaction does not bind the company because the directors had exceeded their powers or had failed to comply with the company's procedures as set out in the articles.

75. *Royal British Bank v Turquand* [1856] 6 E&B 327 gave rise to the so-called 'rule in *Royal British Bank and Turquand*' or, as it is sometimes referred to, the 'indoor management rule'.

Some jurisdictions have not enacted provision in their companies legislation dealing with this matter. In those jurisdictions where the legislation is silent, the common law rule in *Royal British Bank* applies.

1.3.2 Modern statutory provision

Modern companies legislation enacted in a number of common law jurisdictions has codified the rule in *Royal British Bank* to make it abundantly clear that a third party may assume that a director with whom they are dealing is acting within his or her powers. Accordingly, whenever a director enters into a transaction on behalf of a company, the company becomes bound by the transaction, notwithstanding anything in the memorandum or articles, or in any resolution of the shareholders of the company, which purports to restrict the director's ability to enter into the transaction.

The companies legislation of the major offshore centres that codify the rule in *Royal British Bank* tends to do so by broadly following the English template which is now found in s.40 of the Companies Act 2006, and states:

'In favour of a person dealing with a company in good faith, the power of the company's directors to bind it, or to authorise others to do so, is deemed free from any limitation imposed under the company's constitution.'

It may be seen from the above extract that not only is a contract entered into by the directors binding upon the company, but so is a contract entered into by other persons duly authorised to act for the company, such as an executive to whom the directors have delegated all or some of their authority. Nonetheless, as *Gower*⁷⁶ points out, notwithstanding this type of protection afforded to third parties dealing with a company, it would be absurd for a third party to assume that the company's directors had authorised the check-out operator to sell the supermarket. In such circumstances, whenever the third party is dealing with someone other than the directors of the company, it must be reasonable for that person to be given authority to bind the company. If it is not reasonable, the third party will not be able to satisfy the good faith criterion, and the transaction will be void and unenforceable.

The BVI companies legislation follows the essential principles of the English legislation, but goes a little further and is more explicit. Section 31(1) of the BVI BCA 2004 states:

'A [BVI BC] ... may not assert against a person dealing with the company, or with a person who has acquired assets, rights or interests from the company, that

- (a) ... the articles of the company have not been complied with, or
- (b) a person named as a director in the company's register of directors
 - (i) is not a director of the company,
 - (ii) has not been duly appointed as a director of the company, or
 - (iii) does not have authority to exercise a power which a director of a company ... customarily has authority to exercise,

76. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016).

- (c) a person held out by the company as a director, employee or agent of the company
 - (i) has not been duly appointed, or
 - (ii) does not have authority to exercise a power which a director, employee or agent of a company ... customarily has authority to exercise,
- (d) a person held out by the company as a director, employee or agent of the company with authority to exercise a power which a director, employee or agent of a company ... customarily has authority to exercise, does not have authority to exercise that power,

unless the person has, or ought to have, by virtue of his relationship to the company, knowledge of the matters referred to in any of paragraphs (a) to (d).'

The statutory provisions that codify the rule in *Royal British Bank* are reproduced in the BVI, Guernsey, Hong Kong and the Isle of Man.⁷⁷ In these circumstances, the common law continues to apply in jurisdictions where the companies legislation is silent, such as the Bahamas, Bermuda, the Cayman Islands, Jersey and Singapore.

In summary, therefore, it is the board of directors that negotiate, and then enter into deals, contracts and other transactions, on behalf of the company. This subject matter bleeds into the law of contract and, in particular, two supplemental topics, namely the formalities required for a company to enter into contracts and transactions and their execution and authentication.

1.4 Entering into contracts and transactions, execution and authentication

1.4.1 Entering into contracts and transactions

The 1948 template deals with how corporate contracts and transactions should be entered into. Section 32 of the Companies Act 1948 states that transactions and contracts entered into by a company may be made as follows:

- a. a transaction that, if entered into between persons, would be required to be in writing and sealed (such as to buy or sell an interest in real estate or confer a power of attorney), shall be made in writing and lawfully sealed with the common seal of the company or, more modernly, by a director, or person acting under his lawful authority, executing the deed and expressing an intention that it be regarded as executed as a deed and under seal;
- b. a transaction that, if entered into between persons, would be required to be in writing and sealed (such as to buy or sell an interest in real estate or confer a power of attorney), shall be made in writing and lawfully sealed with the common seal of the company or, more modernly, by a director, or person acting under his lawful authority, executing the deed and expressing an intention that it be regarded as executed as a deed and under seal; and
- c. a contract that, if made between persons, would be valid if made verbally, may be made verbally by a director or person acting under his lawful authority.

77. BVI – s.31(1) of the BVI BCA; Guernsey – s.115 of the Companies (Guernsey) Law 2008; Isle of Man – s.22 of the Companies Act 2006; Hong Kong – s.117 of the Companies Ord Cap 622.

These statutory provisions based upon the 1948 Act are reproduced across the offshore jurisdictions.⁷⁸

1.4.2 Execution and authentication of documentation

The 1948 template deals with how corporate contracts should be executed. Section 36 of the Companies Act 1948 states that: 'A document ... requiring authentication by a company may be signed by a director, secretary or other authorised officer of the company.'

This provision was reproduced in s.41 of the Companies Act 1985, but not the 2006 Act, which states that a document is validly executed by a company if it is signed on behalf of the company by two directors, or a director and secretary, or by a single director in the presence of a witness.

It is generally the 1948 Act template that is reproduced across the offshore jurisdictions.⁷⁹

Where there is no statutory provision, it is submitted that, as a matter of general principle, the propositions in the 1948 Act will nonetheless be followed. Accordingly, when the board of directors (or a sole director) enters into a deal, contract or transaction on behalf of the company, the directors should *prima facie* execute the documentation, or authorise others to do so on their behalf by, for instance, board resolution or power of attorney.

2. Duties of directors

The articles confer wide powers upon the directors. They may, for instance, raise capital (by share issue or by borrowing) and use that capital in an infinite number of ways to earn a profit for the company and its shareholders. The directors possess most of the power to run the company, subject only to a limited role played by the shareholders.

Are the directors free to exercise their powers in any way they wish? Are their powers unfettered and free from any sort of implied restriction or limitation?

No (to both questions). The directors are subject to two broad duties that they owe to the company:

- i. the fiduciary duty to act honestly and in good faith; and
- ii. the duty to exercise reasonable and appropriate care and skill in the exercise of their powers.

The former is an equitable duty in so far as it developed in the Court of Chancery in medieval England to ensure that persons in a position of trust, who may affect the legal position of others (e.g. trustees), behaved with impeccable honesty and integrity towards their principals (e.g. the beneficiaries of the trust).

78. BVI – s.103 of the BVI BCA; Bahamas – s.69 of the IBCA; Bermuda – s.21 of the Companies Act 1981; Cayman Islands – s.81 of the Companies Act 2022 Rev; Jersey – art.20 of the Companies (Jersey) Law 1991; Guernsey – s.116 of the Companies (Guernsey) Law 2008; Isle of Man – s.86 of the Companies Act 2006; Hong Kong – s.121 of the Companies Ord Cap 622. The current statutory equivalent in England is s.43 of the Companies Act 2006.

79. BVI – s.107 of the BVI BCA; Bahamas – ss.69A, B and C (inserted by the IBC (Amendment) Act 2020) and s.73 of the IBCA 2000; Bermuda – s.24 of the Companies Act 1981; Cayman Islands – s.85 of the Companies Act 2022 Rev; Jersey – silent; Guernsey – ss.117 and 118 of the Companies (Guernsey) Law 2008; Isle of Man – s.86 of the Companies Act 2006; Hong Kong – ss.127–129 of the Companies Ord Cap 622; Singapore – silent.

The latter is a common law duty of care in so far as it developed to ensure that, in circumstances where it is reasonably foreseeable that the actions of one person may affect another (their neighbour), that person must act with reasonable care and skill to prevent loss or injury to the neighbour.

These implied equitable and common law duties are imposed upon the directors of a company by judge-made law that developed alongside the evolution of companies in the manner described in Module 2 sections 2.1 and 2.2. In some jurisdictions these duties have been reiterated by modern company legislation. For instance, the BVI BCA 2004 states:

'Section 120

1. A director of a company in exercising his powers or in performing his duties shall act honestly and in good faith and in what the director believes to be in the best interests of the company

Section 122

... exercise the care, diligence and skill that a reasonable director would exercise in the same circumstances, taking into account the nature of the company, the nature of the decision and the position of the director and nature of the responsibilities undertaken.'



Task 8.2

Research the companies legislation⁸⁰ in the jurisdiction where you work or have some connection. Are the implied equitable and common law duties of care owed by directors given statutory effect? If so, note the formulation of each duty.

2.1 The fiduciary duty

Directors stand in a fiduciary position of trust. A trustee owes fiduciary duties to the beneficiaries of a trust, whereas a director owes similar fiduciary duties to the company.

The current companies legislation in England codifies the various components of the fiduciary duty in ss.170–177 of the Companies Act 2006.⁸¹ The companies legislation of the offshore financial centres has not followed suit. Instead, the elements of the fiduciary duty have been identified piecemeal as common law and equitable principles. These following two components of the directors' duties are distilled from case law: essentially directors must always:

- exercise their powers on behalf of the company in good faith and in the best interests of the company

80. Bahamas – s.55 of the IBCA 2000; Bermuda – s.97 of the Companies Act 1981 as amended; BVI – ss.120 and 122 of the BVI BCA 2004 amended 2007; Jersey – art.74 of the Companies (Jersey) Law 1991 Revised 2014; Singapore – s.157 of the Companies Act Cap 50, consolidated 2017; Hong Kong – s.465 of the Companies Ord., Cap 622, 2014 version. Those jurisdictions without statutory codification of the duties of directors, such as Cayman Islands, Gibraltar, Guernsey and the Isle of Man, revert to common law principles.

81. The statutory components of a director's fiduciary duty are:
a. to act within the scope of the powers that have been conferred upon them (s.171 of the Companies Act 2006)
b. to act in good faith and promote the success of the company (s.172)
c. to exercise independent judgement (s.173)
d. to avoid conflicts of interests (s.175)
e. to not accept benefits from third parties (s.176)
f. to be transparent and declare interests in proposed transactions (s.177)
(The statutory duty of care, which we shall address in section 2.2, is codified in s.174 of the CA 2006.)

- be loyal to the company and not allow their own self-interest, or duties that they may owe to others, to conflict with their duty to the company.

The statutory codification in England is a modern interpretation of the common law and equitable principles that apply elsewhere and there is, of course, overlap between the two aspects of the directors' fiduciary duty.

2.1.1 Duty to act in good faith in the best interests of the company

Directors must act honestly. This is the basic, core element of the fiduciary duty insofar as it applies to every decision a director makes. Whatever action directors take, whatever power they exercise, they must honestly believe that such action benefits the company. This common law rule differs from what is now found in s.171 of the Companies Act 2006 of England, which requires directors to 'promote the success of the company' by having regard not only to the interests of shareholders, but also to the interests of employees, business relationships with suppliers, customers and others, the community and the environment and the desirability of maintaining a reputation for high standards of business.

The common law rule essentially means that when a director makes a decision, carries out an act or enters into a transaction, it must benefit the body of shareholders. It involves a balancing exercise between the short-term interests of the shareholders (to make a quick buck) and the long-term interests of the company as a whole. The common law duty is not owed to individual shareholders, nor to employees, customers, creditors or indeed regulators. It is owed to the company as a whole. Naturally, however, actions designed to attract customers, benefit the workforce and keep the regulator happy are also likely to be beneficial to the company as well as to the company's shareholders.

These duties continue even after a director has ceased to be a director. For example, former directors may not use for their personal advantage any information that came to them when and because they were directors. A summary of directors' fiduciary duties can be found in the judgment of *Hunter Kane Ltd v Watkins*.⁸²

That directors must exercise the powers conferred upon them in the best interests of the company means, in practice, that they must use their powers for proper purposes. It follows that the directors must not use their powers for an improper or collateral purpose that does not benefit the company.

A classic discussion of the rule that the powers of management of directors must be exercised for proper purposes is found in the old case of *Hutton v West Cork Railway Co.*⁸³

'[Corporate funds are] not theirs but the company's. [It is fine] if they are spending it for purposes which are reasonably incidental to the carrying on of the business of the company. Bona fides cannot be the sole test, otherwise you might have a lunatic conducting the affairs of the company, and paying away its money with both hands in a manner perfectly bona fide yet perfectly irrational ... It is for the directors to judge, provided it is a matter which is reasonably incidental to the carrying on of the business of the company ... The law does not say that there are to be no cakes and ale,

82. *Hunter Kane Ltd v Watkins* [2003] EWHC 186 (Ch).

83. *Hutton v West Cork Railway Co.* (1883) 23 Ch D 654.

but there are to be no cakes and ale except such as are required for the benefit of the company.'

Examples of breach of this component of the fiduciary duty are numerous.

- Directors are in breach of fiduciary duty if they exercise their powers for their own purposes. The landmark decision in *Regal (Hastings) Ltd v Gulliver*⁸⁴ was based upon complex facts, but essentially Company A owned a cinema and the directors resolved for Company A to incorporate a subsidiary, Company B, and for Company B to acquire more cinemas so the group could be sold at a profit. Before the initial transaction was complete the terms were changed. Instead of the shares of Company B being issued to Company A, they were issued to the directors in their personal name. Later, all three cinemas were sold at a considerable profit. Had the original resolution been implemented the profit would have been earned by Company A; instead it was shared with Company B. Company A successfully brought a lawsuit against its directors for breach of their fiduciary duty by exercising powers for an improper purpose that benefited themselves rather than the company.
- Directors are in breach of fiduciary duty if they use corporate assets for purposes that benefit their friends, families or associates rather than the company. In *Lee Panavision Ltd v Lee Lighting Ltd*,⁸⁵ a director of Company A negotiated, on behalf of Company A, a management agreement with Company B, of which he was the controlling shareholder, on terms most beneficial to Company B. The court held that the director was in breach of his fiduciary duty to Company A: he had used his powers as director of Company A for a collateral purpose that did not benefit the company.
- A decision by directors to give the company's assets away is a clear example of a decision that is not in the interests of the company. This is the case even though companies frequently make political donations or give money to support various causes. The problem is that the directors may wish to promote the political party or cause, but is it in the interests of the company to do so? It has been held, in the case of *Re Lee*⁸⁶, that this type of donation can only be made when there is a *bona fide* belief that it could actually promote the prosperity of the company in some way.
- In *Item Software (UK) Ltd v Fassihi*⁸⁷ a director was held in breach for attempting to persuade a client of the company to renew a contract with himself personally, rather than the company.
- Other examples of a breach of this aspect of a director's duty have arisen in relation to the exercise of a director's powers to make calls on shares, to refuse to register a transfer of shares and to expel a member.

2.1.2 The duty of loyalty

The director's duty of loyalty to the company may overlap with the above duty to act in the best interests of the company. The duty of loyalty can itself be broken down into three parts:

- i. a duty to avoid self-dealing and conflicts of interests (the so-called 'no-conflicts rule')

84. *Regal (Hastings) Ltd v Gulliver* [1942] 1 All ER 378.

85. *Lee Panavision Ltd v Lee Lighting Ltd* [1992] BCLC 22.

86. *Re Lee, Behrens and Co Ltd* [1932] 2 Ch 46.

87. *Item Software (UK) Ltd v Fassihi* [2005] 2 BCLC 91.

- ii. a duty to avoid making a personal profit unless authorised (the so-called 'no-profits rule')
- iii. a duty not to accept benefits from third parties (the so-called 'no-benefits (or bribes) rule'.

i. The 'no -conflicts rule': to avoid self-dealing and conflicts of interests

Directors must not allow their own self-interest, or the interests of others, to conflict with their duty to the company. Directors can be in breach of this duty even though the company does not suffer loss. Breach occurs by allowing themselves to be cornered in a conflict situation.

The broad 'self-dealing rule' is that if a director buys property from, or sells property to, the company, that transaction may be set aside by the company no matter how fair it is.⁸⁸

The 'no-conflicts rule' extends this principle to any transaction with the company that a director is remotely interested in, such as:

- a loan made by the company to a director, or a director's friends or associates
- a payment made by the company on behalf of a director to the director's creditors (either with or without an understanding that the director will reimburse the company)
- an arrangement whereby the company guarantees a liability of a director to a creditor, or gives security on the director's behalf
- an assumption by the company of a debt owed by a director to a third party
- the provision of goods or services by the company to its director or their associate (at a discount or otherwise).

How, if at all, may directors enter into a personal contract with their company without being in breach of duty and risking that the contract will subsequently be set aside?

In answering this question it is necessary to look at three sources of law. Each offers an answer that is a slight variation on the same theme. The broad rule is that, before entering into the transaction, a director must make full disclosure in writing and obtain the prior informed consent of the company.

At common law it has been held that a director, before entering into a transaction with the company, should:⁸⁹

- make full disclosure of the facts relating to the proposed transaction to the shareholders of the company
- obtain the prior approval or ratification of the transaction by a resolution of the company in general meeting.

88. *Aberdeen Railway v Blaikie Bros* (1854) 1 Macq 461. In this case a contract between a company and a partnership of which one of the directors was a partner was set aside.

89. *Imperial Mercantile Credit Association v Coleman* (1871) LR 6 Ch 558. The common position applies in those jurisdictions that have not made specific statutory provisions, such as the Cayman Islands.

Modern companies legislation often creates a statutory requirement for directors to follow when contemplating entering into a transaction or contract with the company. In some legislation, the director must disclose full particulars to the shareholders and obtain the prior approval of the company in general meeting. Alternatively, the requirement may be slightly more relaxed, requiring the directors to disclose full particulars to a disinterested quorum of directors and obtain their approval before proceeding.⁹⁰ A specimen resolution of a disinterested quorum of directors passed at a meeting where the interested director did not vote or count in the quorum on a particular transaction is illustrated in Appendix 23A of the online Study Resources. A specimen written resolution of the sole shareholder of a company approving a transaction in which a director has an interest is illustrated in Appendix 23B of the online Study Resources.

A typical express article found in the company's articles of association may also deal with the issue, requiring directors to declare their interest in a proposed transaction with the company to a disinterested quorum of directors, i.e., the director concerned shall not vote on the issue.⁹¹ If there is no disinterested quorum then the board is required to obtain the approval of the shareholders by ordinary resolution in general meeting. A specimen written resolution of the sole shareholder of a company approving a transaction in which a director has an interest is illustrated in Appendix 23B.

If a director fails to disclose an interest or fails to obtain the company's approval before entering into the proposed transaction with the company, the transaction may be set aside and any profits or benefits that accrue to the director under the transaction must be turned over to the company.

Where corporate service providers are a firm of accountants or attorneys who provide directors for the company and, in addition, offer other professional (accounting or legal) services, there is a *prima facie* conflict. Accordingly, it is usual for a company under their management to have an article in the following, or similar, terms:⁹²

'Any director may act (by him/herself or his/her firm or an associated firm or entity) in a professional capacity for the company, and he/she (or his/her firm etc.) shall be entitled to remuneration for professional services as if he/she were not a director [provided that the director may not also act as auditor of the company].'



Task 8.3

Review the requirements that must be fulfilled by a director who wishes to enter into a contract or transaction with their company in the jurisdiction where you work or have some connection. This will involve:

1. research of applicable companies legislation and

90. Directors must make disclosures of conflicts under statutory provisions in these jurisdictions: Bahamas – s.57(2) of the IBCA 2000 as amended 2008; Bermuda – ss.96 and 97(4) of the Companies Act 1981 as amended; BVI – s.124 of the BVI BCA 2004; Cayman Islands – silent, but see Table A; Gibraltar – s.227 of the Companies Act 2014 as amended; Guernsey – ss.162–167 of the Companies (Guernsey) Law 2008; Hong Kong – Pt 11 generally; in particular ss.484–546 of the Companies Ord Cap 622, 2014; Isle of Man – ss.103–105 of the Companies Act 2006; Jersey – arts 75 and 76 of the Companies (Jersey) Law 1991 amended 2009; Singapore – s.165 (see also ss.160–170) of the Companies Act Cap 50, consolidated 2017; England – s.182 of the Companies Act 2006, formerly ss.198 and 199 of the Companies Act 1948.

91. See art.18.2, Appendix 1B and art.14 of Appendix 1C.

92. See art 18.3 of Appendix 1B; art 14, Appendix 1C.

2. a review of typical articles of companies under the management of your organisation.

Review Appendix 23B.

ii. The 'no-profits rule': duty to avoid personal profits unless authorised

Fiduciaries must not make a profit from their position unless specifically authorised. Accordingly, directors must not profit from the use of corporate assets for their own benefit. If they do, they must turn over any profit to the company or pay compensation.

Examples include the following situations.

- As fiduciaries, directors have no right to be paid for their services, nor may they be given a gift or bonus out of the company's assets, unless authorised by the articles or by the shareholders of the company in general meeting. It is standard practice, therefore, to include an express article in the following terms:⁹³

'The remuneration of the directors shall from time to time be determined by the company in general meeting...'
- In an onshore trading company, it is usual for an executive director to be employed by the company under a fixed-term contract of service, and receive a salary. By contrast, the remuneration of offshore directors is a matter between the service provider and the client and is usually prescribed in the directors' service agreement (the so-called DSA, for example cl.3 of Appendix 21C of the online Study Resources).
- A director must not usurp a corporate opportunity. This is illustrated by the facts of:
 - a. *Item Software (UK) Ltd v Fassihi*,⁹⁴ referred to in section 2.1.1;
 - b. *O'Donnell v Shanahan*;⁹⁵ and
 - c. a hypothetical situation where directors of a development company find land for sale at a very low price; the directors must not buy that land for themselves in their personal capacity – to do so would usurp a corporate opportunity in breach of their duty to the company.
- Are there any circumstances when a director may use corporate assets in the manner illustrated in option (c) of the above bullet point? For instance, if a company decides not to pursue a particular investment opportunity, may the director do so personally, using personal funds? Yes, provided the director first obtains the consent of the company in general meeting after full disclosure of all the relevant facts.

93. See art.18.1, Appendix 1B; art.19, Appendix 1C.

94. *Item Software (UK) Ltd v Fassihi* [2005] 2 BCLC 91.

95. *Cook v Deeks* [1916] 1 AC 554. See also *O'Donnell v Shanahan* [2009] EWCA Civ 751 where both Ms O'Donnell and Mr Shanahan were directors of AB Ltd, which owned a modest office in London. Mr Shanahan diverted a property investment opportunity – to buy an interest in the fifth floor of the company's office building – to one of his own companies. Ms O'Donnell contended that this diversion was a breach of Mr Shanahan's duty as a director to act without any possibility of a conflict of interest.

- Directors must not use confidential, price-sensitive, information that they acquire as directors for their own benefit. So, for example, if a director acquires information of an imminent take-over bid or adverse trading results that are not in the public domain, and the director uses that information to buy and/or sell shares in the company, the director:
 - a. becomes liable to turn over any profit to the company for breach of fiduciary duty, i.e., for misusing corporate information and making a 'secret' profit; and
 - b. may become liable for the criminal offence of 'insider dealing' by knowingly using inside information to trade in shares of the company on a stock exchange.⁹⁶
- Directors must not compete against their company. A director who does so becomes liable to hand over all the profits made on a personal basis to the company. So, for example, a director of, say, a software company who opens a software store in the same city, or is merely a minority shareholder of a competing software company, becomes liable for breach of the duty of loyalty to the company. This is not to say that directors cannot hold other directorships or indeed own, or hold executive positions in, other companies, or be in business on their own account at the same time as holding office as a director of a company. In each case, the informed consent of the company ought to be obtained first.

iii. **The no benefits (or bribes) rule: not to accept benefits from third parties**

Directors must not keep for their personal benefit or advantage any gift or benefit from a third party conferred:

- a. by reason of being a director, or
- b. in exchange for doing, or not doing, something as director.

The risk of such benefits being, or looking very much like, a bribe, is such a clear conflict of interests, which risks distorting the proper exercise of the directors' powers, that it deserves a separate statement of principle.

If a director receives a bribe to do, or refrain from doing, something such as entering into a particular transaction, it amounts to a clear breach of fiduciary duty.⁹⁷ But it applies to any situation where a third party makes a gift or confers a personal benefit upon the director, irrespective of corrupt motive, or whether the payer intended to influence the director, or whether the director was actually influenced.

As with some other types of breach of duty, the receipt of this type of benefit can be 'whitewashed' by making full disclosure and obtaining shareholder approval. This is covered further in section 5.1.

96. In the UK, contrary to the Company Securities (Insider Dealing) Act 1985, now Criminal Justice Act 1993; in the US, contrary to rr.10(b) and 16(b) of the Securities Exchange Act 1934.

97. It will also amount to a criminal offence contrary to modern anti money laundering (AML) and anti-bribery legislation.

2.2 Duty of care and skill

A director owes a duty to use care, skill and diligence in the management of the company and its business. A director whose management ability falls below that standard becomes liable to compensate the company.

The circumstances in which this duty is often enforced are usually:

- when a public company suffers loss as a result of the acts, or omissions to act, of an errant director
- when a company becomes insolvent and liquidators are appointed to wind up the affairs of the company – the liquidators often investigate the actions of the directors with a fine-tooth comb, and, if they consider that management has lacked the appropriate care and skill, they will issue legal proceedings on behalf of the company for damages; if the lawsuit is successful, any damages payable by an errant director are used by the liquidators to pay the company's creditors.

The nature of the duty to use care, skill and diligence evolved from English common law. We shall review the development of the principle at common law and then analyse how it has been affected by modern companies legislation.

2.2.1 The common law principle

The traditional common law duty of care owed by directors was originally formulated in *Re City Equitable Fire Insurance Co.*⁹⁸ In that case, an insurance company made significant losses, owing mainly to the incompetent investment strategies, and ultimately the outright fraud, of its board chairman. The company was rendered insolvent and it was ordered by the court to be wound up. By this time, the chairman had disappeared and was untraceable. The court-appointed liquidator issued legal proceedings against the chairman's co- (non-executive) directors on the grounds that they were in breach of their duty of care in failing to supervise or exercise any effective control over the chairman.

It was argued by the liquidator that the co-directors should not have blindly accepted the decisions and representations of, and the false financial statements tendered to them by, the chairman. The directors, however, argued that they were entitled to rely on the apparent competence of the chairman, and also to rely upon the auditors to discover if the chairman was up to no good.

The court held that directors must perform their duties with the care and skill that may be reasonably expected of a person **with their knowledge and experience**. The directors in question were honourable but inexperienced amateurs, not versed in the management of an insurance company. They therefore avoided liability!

The decision in *City Equitable* called for a subjective test to be used when assessing the liability of directors – the standard of care expected varied according to the knowledge and experience of the director concerned. A lesser standard was expected of the less intelligent and less experienced director, who could therefore avoid liability for incompetent mistakes. The decision was justified on the basis that, according to the traditional corporate model, the shareholders elected the directors. If they chose

98. *Re City Equitable Fire Insurance Co.* [1925] Ch 407.

stupid, incompetent directors to run their company, it was their own fault. They could not then complain and, through the company, commence legal proceedings against the directors for damages, by alleging breach of duty.

The subjective test propounded in the *City Equitable* case was heavily criticised. It was said that the subjective test protected the bumbling amateur director against liability when this was precisely the type of incompetent director against whom the law ought to protect the company, its creditors and the public. A more onerous, more objective standard of care and skill was called for in order to tighten up corporate governance.

Accordingly, the test has been strengthened. A wholly objective test is now appropriate in the modern context. In the later case of *Dorchester Finance Co. Ltd v Stebbing*⁹⁹ it was held that a director must nowadays exercise such care and skill as might reasonably be expected of an ordinary person. In *Norman v Theodore Goddard*¹⁰⁰ it was held that a director must exercise such care and skill as might reasonably be expected of a person carrying out the functions of a director.

These are subtle but important distinctions. Under *City Equitable* the test was a subjective one – the standard of care expected varies with the competence and experience of the director. In the case of *Dorchester Finance* and in *Norman* the modern test is an objective one. In the former case it was the standard reasonably expected of an ordinarily competent person; in the latter it appears to be a higher standard: that expected of an ordinarily competent director.

2.2.2 Modern offshore statutory provision

The judicial debate about the appropriate standard of care expected of a director under judge-made, common law principles came to a halt in England when the appropriate test was codified by companies legislation. The modern statutory rule in England is found in s.174 of the Companies Act 2006 and is a combination of objectivity and subjectivity.

Directors, under English law, are expected to exercise the care, skill and diligence of a reasonably diligent person (an objective test) with:

- the general knowledge, skill and experience of a person (still objective) carrying out the functions of **that** director (subjective)
- the general knowledge, skill and experience of that particular director (again, subjective).

The statutory standard of care under modern offshore companies legislation, in jurisdictions where it is enacted, is either purely objective or a combination of objective and subjective, tending to follow the *Dorchester Finance* formulation set out above.

For example, in Singaporean companies legislation¹⁰¹ a simple objective test is laid down insofar as it states:

‘A director shall at all times ... use reasonable diligence in the discharge of the duties of his office.’

99. *Dorchester Finance Co. Ltd v Stebbing* [1989] BCLC 498.

100. *Norman v Theodore Goddard* [1991] BCLC 1027.

101. Section 157 of the Companies Act Cap 50, consolidated 2017.

The companies legislation in the Bahamas, Bermuda and Jersey¹⁰² states that a director must 'exercise the care, diligence and skill that a reasonably prudent person would exercise in comparable circumstances'.

These are essentially objective tests. Every director is judged against the same standard. The standard is that expected of a reasonably prudent person (i.e. an ordinarily prudent person but one without the special skills or experience of a **business** person). Nonetheless, the standard retains an element of subjectivity, namely the reasonable standard expected in 'comparable circumstances'. This enables the standard of care required of a director to float up or down, not according to the intelligence or experience of the director, but according to the type, structure, size of company and the act the director is accused of performing negligently (or wrongly omitting to perform at all).

The BVI companies legislation states at s.122 of the BVI BCA that:

'A director of a company, when exercising powers or performing duties as a director, shall exercise the care, skill and diligence that a reasonable director would exercise in the same circumstances taking into account:

- a. the nature of the company
- b. the nature of the decision, and
- c. the position of the director and the nature of the responsibilities undertaken by him.'

The new BVI statutory duty of care is, like its predecessor in the IBCA, part objective and part subjective. The objective test uses a notional 'reasonable director' as opposed to a reasonable person and therefore tends to follow the **Theodore Goddard** test. The subjective element lists specific Criteria (a)–(c), which can raise or lower the bar by influencing the level of care and skill expected in the circumstances.

Furthermore, Criterion (c) is very interesting. Could it be argued that a corporate director of a passive, money-box, asset-holding company owes a lower level of care and skill than a full-time, fully remunerated, executive director of a public or trading company?

2.2.3 The duty of care in practice

A review of some factual circumstances, some hypothetical, some from decided cases, may help to illustrate how the duty of care is applied in practice.

A failure to review corporate records by a director or to enquire into the dealings, or the proposed transactions, of a company may very well fall below the standard of care expected of a prudent person. A prudent person would surely not enter into a deal or transaction on their own behalf unless they were fully aware of all the circumstances and the foreseeable consequences!¹⁰³

102. Bahamas – s.55 of the IBCA 2000; Bermuda – s.97(3) of the Companies Act 1981; Jersey – art.74(1) of the Companies (Jersey) Law 1994. No such provision has been enacted in Cayman Islands, Guernsey, Gibraltar, Isle of Man or Turks and Caicos Islands, and the common law therefore applies. In Hong Kong refer to s.465 of the Companies Ord., Cap 622, 2014.

103. *Bishopsgate Investment Management Ltd v Maxwell (No.2)* [1994] 1 All ER 261.

If a director fails to complete an application for insurance form correctly before submitting it to the insurance company, giving the insurance company grounds to reject a subsequent claim (for example, when company property is damaged by fire), the director is probably negligent for failing to review or understand the form properly before completing it. The director will therefore be in breach of duty and becomes liable to compensate the company for its loss.¹⁰⁴

If the facts of *City Equitable* (see section 2.2.1) were decided today under modern objective statutory provisions, it is probable that the court would hold the non-executive directors negligent for failing to supervise their co-director and thereby falling below the standard of care expected of a reasonably prudent person. A prudent person would surely not unquestioningly follow claims made, or guidance or direction given, by third parties. A prudent person would surely consider the question of the third party's integrity and supervise a fellow director more closely.

In *Dorchester Finance* (see section 2.2.1), a company had three directors, A, B and C. B and C were in the habit of signing cheques in blank whenever A asked them to. As a result, A was able to defraud the company of substantial funds. B and C were held liable and obliged to compensate the company for its loss in failing to pay attention and inquire into corporate dealings, in particular for allowing A to defraud the company in these circumstances.

The signing of blank cheques by a director is clearly negligent. On the other hand, when signing a cheque already made out by the company's bookkeeper in favour of a payee, does a director have to double-check that the moneys are in fact owed by the company to the payee? Probably not, although it depends upon, for instance, the accounting practices, and the size and structure of the company concerned. If, for instance, a cheque has been made out by an otherwise reliable accounts executive, giving no cause for suspicion, a director who fails to make enquiries will arguably not be held liable. If there are grounds for suspicion, however, the director must investigate the circumstances surrounding the proposed payment before signing the cheque, or be in breach of duty.

May directors be held in breach of duty for relying on information given to them by staff, or by company agents such as attorneys or auditors? Probably not, provided the directors have no grounds to suspect that the information is incorrect.

The issue of whether a director may rely upon others has been debated in a long line of cases, but most agree that the judgment in *Re City Equitable* contains an accurate proposition, namely that certain duties in running a company may properly be left to some other executive or official and that 'a director is, in the absence of grounds for suspicion, justified in trusting that official to perform his duties honestly'. This recognises the fact that some companies are big organisations and the directors cannot do everything. Running a company requires a large staff and, although the directors are responsible for monitoring and oversight, as Paul Davies points out in *Gower*,¹⁰⁵ a line has to be drawn between reasonable oversight and operational activity.

104. *Re D'Jan of London Ltd* [1994] 1 BCLC 561.

105. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016).

An interesting application of this rule is found in *Re Barings plc*.¹⁰⁶

In the case of *Lexi Holdings plc v Luqman*, it was held that co-directors ought not to have relied upon information provided by the managing director due to the particular circumstances and relationships.¹⁰⁷ The company's board borrowed £60 million from a consortium of banks, which was then stolen by the managing director (who was therefore clearly in breach of his fiduciary duty to the company). The issue was whether his two sisters and co-directors sitting on the board were liable for breach of their duty of care in relying on the company's financial statements and accounts and failing to adequately supervise the actions of their brother, the managing director. It was found that the state of the company's financial records and accounts were such that it should have aroused a reasonable suspicion and that it was well known within the family that the managing director had previously been imprisoned for deception. Their reliance upon information provided by him and their lack of supervision and oversight in the particular circumstances amounted to a breach of duty.

Lexi Holdings plc is in contrast to *Madoff Securities International Ltd v Raven*, where it was held that some directors were entitled to rely upon the expertise, experience and representations of Mr Madoff, who had held that certain unusual transactions were lawful and in the best interests of the company. These directors were not, therefore, liable for breach of their duty of care in failing to exercise appropriate supervision and oversight. Nonetheless, other directors, the inner circle, were not entitled to such reliance and so were held liable.¹⁰⁸

The propositions of law in *City Equitable* (and applied in *Lexi Holdings plc* and *Madoff Securities*) has been codified by modern companies legislation, essentially in those jurisdictions that have enacted a statutory standard of care.¹⁰⁹

For example s.123 of the BVI BCA 2004 states:

- '(1) A director of a company, when exercising his powers or performing his duties as a director, is entitled to rely upon ... books, records, financial statements and other information prepared or supplied, and on professional or expert advice given, by
 - (a) an employee of the company whom the director believes on reasonable grounds to be reliable and competent in relation to the matters concerned;
 - (b) a professional adviser or expert in relation to matters which the director believes on reasonable grounds to be within the person's professional or expert competence; and

106. *Re Barings plc (No.5)* [2000] 1 BCLC 523. Nick Leeson was a dishonest futures trader in Singapore for Barings Bank. He fraudulently doctored the bank's accounts, and reported large profits, while trading at losses. After an earthquake in Kobe, Japan, the stock market went into a downward spiral, and the truth of his losses was uncovered. Legal proceedings were brought against three directors of Barings for their failure to supervise his activities. They were alleged to be incompetent. It was held that the standard of care should be determined by the objective standard that should ordinarily be expected of people fit to be directors of companies. Directors must inform themselves of company affairs and join in with other directors to supervise those affairs. Having no adequate system of monitoring was therefore a breach of this standard. Directors may delegate functions, but they nevertheless remain responsible for those functions being carried out. Furthermore, the degree of a director's remuneration will be a relevant factor in determining the degree of responsibility with which a director must reckon.

107. *Lexi Holdings plc (In Administration) v Luqman* [2009] EWCA Civ 117.

108. *Madoff Securities International Ltd (In Liquidation) v Raven* [2013] EWHC 3147 (Comm).

109. Bahamas – s.56 of the IBCA 2000; Bermuda – s.97(5A) of the Companies Act 1981 as amended; BVI – s.123 of the BVI BCA 2004; Singapore – s.157C of the Companies Act Cap 50; Hong Kong – Companies Ord., Cap 622, Pt 10, Divisions 2 and 3.

- (c) any other director, or committee of directors upon which the director did not serve, in relation to matters within the director's or committee's designated authority.
- (2) Subsection (1) applies only if the director
 - (i) acts in good faith;
 - (ii) makes proper inquiry where the need for the inquiry is indicated by the circumstances; and
 - (iii) has no knowledge that his reliance on the ... books, records, financial statements and other information or expert advice is not warranted.'

May a director be held in breach of duty for relying on information received from third parties? Again, it depends on the facts, but it is not usually prudent to trust blindly the representations of a third party who is unconnected with the company and who does not owe the company any duty of care (for instance, who is not an employee, attorney or auditor of the company). The case of *Bishopsgate Investment Management (In Liquidation) v Maxwell*¹¹⁰ is relevant here. A director of a company signed, as he was in the habit of doing, certain documents presented to him by his father Mr Maxwell Sr, who was not a director or other executive of the company, but was the **prime mover** behind it. The documents virtually signed away most of the company's assets. The director was held to have acted in breach of duty and became liable for the loss caused to the company by failing to make any enquiry into the documents he was asked to sign and the transactions to which they related.

How far can a director be held liable for bad business decisions made on behalf of the company? At common law, an honest error of business judgement made by a director, even though the company suffers massive losses, does not incur liability for breach of duty. This is justified on the grounds that the carrying on of business involves the taking of **calculated** risks. Calculated (or informed) risk taking is not negligent. For example, assume a director persuades the board to diversify business from textiles to fashion clothing, but the new venture is a complete disaster and suffers massive losses. Provided the director applied their mind in an informed manner, carefully assessing the risks of the new venture, they cannot be held liable if the decision turns out to have been a bad one.¹¹¹

2.2.4 Summary of directors' duties

The following propositions relating to a director's duty of care can be distilled from the cases.

- a. The formulation of the common law and statutory duty of care creates an objective test insofar as, when reaching and implementing business decisions, a director must exercise the care, skill and diligence of a reasonable person (*Dorchester Finance*).
- b. The directors of a company can divide different functions between board members, in which case a breach by one does not necessarily mean a breach by all unless, on the facts, there is a lack of reasonable supervision and oversight in the circumstances (*City Equitable*, *Lexi Holdings plc* and *Madoff Securities*).

110. *Bishopsgate Investment Management (In Liquidation) v Maxwell* [1994] 1 All ER 261.

111. This is known in the US as the 'business judgement rule'.

- c. The directors can also delegate their management of the business to others, such as officers, managers and employees. Accordingly, a disastrous error made by an employee does not necessarily amount to a breach of duty of care owed by the directors unless it can be established that there was a negligent lack of supervision and oversight in the circumstances (*Re Barings*).
- d. Most cases arise when directors have made a terrible business decision which contributes to the insolvency of the company. But, as operating companies are designed for risk and return, the mere fact that the directors made an error of business judgement causing financial loss does not, in itself, amount to a breach of the duty of care. The so-called business judgement rule prevents a company bringing a lawsuit against its board every time it suffers a loss in any one financial period!

3. The position of (nominee?!) directors

It is usual for shareholders (or the beneficial owners of the shares) of a company incorporated offshore to appoint service providers, who carry on business from the offshore jurisdiction, to provide directors for the managed company. This goes some way towards ensuring that the company is managed and controlled offshore for tax purposes.

Such directors have, in the past, been colloquially called '**nominee directors**'.

The term 'nominee directors' is, however, a misnomer. 'Nominee' suggests that the incumbent directors merely have to follow the instructions given to them by their clients/the beneficial owners of the company, in much the same way as a nominee shareholder does. It is of the utmost importance that professionals in offshore company management practice realise that there is no such thing as a nominee director in this sense. Either the individual or corporate entity is a director (in which case they owe the fiduciary and other duties of care reviewed in sections 2.1 and 2.2 above) or they are not. If an individual or corporate entity accepts an appointment as director, in exchange for a fee, they are responsible as, and owe all the duties of, a director. They may therefore be held liable for breach.

Saying 'I was simply following the client's instructions' is no defence to a claim that a director is in breach of fiduciary or other duty of care to the company (save in circumstances where the prior approval or ratification of the shareholders of the company was obtained by resolution at a general meeting of the company – a topic reviewed in section 5.1 below).



Task 8.4

Analyse the factual situations set out in section 2.2.3 above but in the light of offshore company management practice. Assume that you are employed by a service provider and have been appointed as a director of a company incorporated in your jurisdiction for asset-holding purposes on behalf of overseas clients.

For the purposes of this analysis ignore the possibility that your actions may have been approved by the shareholders, or ratified by them in general meeting.

1. Should you enter into deals or transactions on behalf of the company without knowing all the circumstances or the foreseeable consequences?

2. Should you complete complex forms or other documents (such as insurance proposal forms) on behalf of the company without fully understanding them?
3. Should you sign cheques in blank, or without enquiring into the validity of the payment?
4. Should you follow the guidance of, or directions given by, third parties without question?
5. Should you rely on information given by third parties unconnected with the company without verification?

4. Remedies for breach of duty

The remedies available to a company against an errant director depend upon whether the director is in breach of the fiduciary duty or the duty of care and skill.

A company may commence legal proceedings against a director who is in breach of the fiduciary duty by claiming one (or more) of the following remedies. The company may:

- set aside any transaction entered into between the company and the director (or an associate of that director), but not a transaction entered into between the company and a third party acting in good faith without notice¹¹²
- force the errant director to turn over any undisclosed profit to the company
- force the errant director to indemnify the company against any loss suffered or liability incurred by the company as a result of the breach.

A director who is found to have exercised any of his or her powers in a manner that falls below the expected level of care and skill becomes liable to compensate the company for its loss.

In each case, it is a well established common law principle that only the company itself may commence legal proceedings in a court of law against the errant director (the so-called 'proper plaintiff' rule in *Foss v Harbottle*).¹¹³ This requires a resolution of the shareholders in general meeting. If too few shareholders vote in favour of taking legal action against the director, the company may not issue legal proceedings itself or lend its name to the lawsuit. Under common law principles, individual shareholders may not commence the lawsuit. This comes as a great surprise to our American colleagues, who are used to derivative class actions in these circumstances. This does not mean, however, that individual minority shareholders may go without redress in jurisdictions that follow the English practice. There is an exception to the rule in *Foss v Harbottle* that permit individual shareholders to bring an action where it can be established that the alleged wrongdoers are in control of the company so that it is impossible for the company to bring an action in its own name, and a fraud has been committed against the company, or at least against the minority shareholders.

So for example, in *Pavlides v Jensen*,¹¹⁴ the three directors of a company sold its major asset (a mine) to an associated company at an undervalue. The minority shareholder brought a lawsuit against the three directors for compensation on the grounds that

112. See section 1.3 above.

113. *Foss v Harbottle* (1843) 2 Hare 461.

114. *Pavlides v Jensen* [1956] Ch 565.

the price asked for the asset was manifestly too low.. It was held that the minority shareholder had no right to commence the legal proceedings in these circumstances. The judge said:

'On the facts ... the sale of the company's mine was not beyond the powers of the directors in so far as it was not *ultra vires*. There is no allegation of fraud against the directors or appropriation of assets of the company. It was open to the company, by a resolution of the majority of the shareholders, to sell the mine at a price determined by the company. And it was open to the company by a vote of the majority of shareholders to decide that, if the directors by their negligence or error of judgement had sold the mine at an undervalue, proceeding should not be taken by the company against the directors.'

An act of negligence may, however, amount to fraud when the errant directors have received a benefit as a result of their wrongdoing at the company's expense. In *Anglo Eastern v Knutz*,¹¹⁵ the minority shareholders brought a lawsuit against Knutz, a director and holder of 51% of the shares of a company, on the grounds that Knutz had wrongfully used his position as director to divert earnings to another company wholly owned by him. It was held that the derivative action brought by the minority shareholders was lawful as an exception to the 'proper plaintiff' rule in *Foss v Harbottle*, as Knutz had exercised his powers as a director fraudulently (referred to as 'a fraud on a power'). Likewise, in the UK cases of *Daniels v Daniels*¹¹⁶ and *Prudential Assurance Co Ltd v Newman Industries Ltd*¹¹⁷ it was held that minority shareholders could commence a derivative lawsuit against errant directors who had defrauded the company of funds for their own benefit.

In summary, a minority shareholder may only bring what is referred to as a derivative action in their personal name against a director if it is alleged that the director has acted fraudulently. In the *Prudential Assurance* case the court stated that the shareholder/claimant must establish as a preliminary issue that he or she has proper legal standing to commence the lawsuit, referred to as the court's 'gatekeeper role'. In the UK, a modern statutory version of this exception to the **proper plaintiff** rule in *Foss v Harbottle* was introduced by the Companies Act 2006 to bring English law more in line with the US by permitting individual shareholders to sue directors on behalf of the company (derivatively).

Part 11 Companies Act 2006 introduces a new statutory procedure in the UK where individual minority shareholders are permitted to bring legal proceedings against directors subject to conditions designed to constrain frivolous or vexatious claims. Having filed a lawsuit against a director the shareholder/claimant must seek the permission of the court to continue. The court will permit the claim to continue only when it is deemed to be in the best interests of the company as whole. This type of derivative action can be complex and is essentially beyond the syllabus. In any event, no such statutory procedure exists in the offshore financial centres where the so-called **proper plaintiff** rule in *Foss v Harbottle* continues to apply, subject to the exception when fraud is alleged against the director.

115. *Anglo Eastern v Knutz* [1988] 1 HKLR 322.

116. *Daniels v Daniels* [1978] Ch 406 – where the minority shareholders successfully brought an action against two directors (who were also majority shareholders) for selling a parcel of real estate belonging to the company to themselves at an undervalue.

117. *Prudential Assurance Co Ltd v Newman Industries Ltd* [1991] 2 WLR 31 – where it was alleged that the directors had defrauded the company of over £400,000 under a scheme that had been approved by the majority of shareholders but the case was allowed to continue to trial on the strength of the allegation of fraud against the minority.

This leads us on to the subject of whether any defences are available to an otherwise negligent director or one in breach of fiduciary duty, the topic reviewed next.

5. Provisions to protect directors from liability

Directors may be able to protect themselves against incurring liability for acts that would otherwise amount to a breach of their fiduciary duty, or duty to use reasonable care and skill by obtaining:

- approval (or ratification) of those actions that may amount (or have already amounted) to a breach
- exoneration (sometimes called exculpatory or exclusion of liability) provisions in the company's articles and/or under the terms of the directors' service agreement
- an indemnity from the beneficial owner in the company management agreement
- indemnity insurance.

5.1 Approval/ratification by shareholders

Directors may obtain a release of all liability that they may otherwise incur in exercising their powers provided that:

- a. they make full disclosure to the shareholders of the circumstances of the (proposed) breach; and
- b. they obtain the shareholders' prior approval, or the subsequent ratification, of their actions, by ordinary resolution of the company in general meeting (or supermajority if the articles so require).

A prior approval of a director's action is obtained by a shareholders' vote, or written resolution, authorising the director to carry out a proposed action, in advance, before the act is carried out. A specimen written resolution of the sole shareholder of a company to approve a property transaction is illustrated in Appendix 23C.

A ratification occurs after a director has carried out a wrongful act that amounts to a breach, but that the shareholders subsequently adopt.

In each case, the shareholders effectively release the director from all liability incurred to the company for breach of duty. Neither the company, nor the liquidator in the event of an insolvent winding-up of the company, may then commence legal proceedings against the director alleging a breach of duty.

A final issue is whether all breaches of duty can be whitewashed by obtaining the prior approval or ratification of the majority of shareholders. Problems may clearly occur, for instance, when a dishonest director is also a majority shareholder of the company. For example, assume that XYZ Ltd has two directors, A and B, each owning 25.5% of the voting share capital. A and B may, as directors, unlawfully transfer corporate assets to themselves, and then, as majority shareholders, ratify their actions and release themselves from liability by combining their votes and passing an ordinary resolution by a simple majority of 51%.

The so-called common law ‘doctrine of non-ratifiable breaches’ (which, incidentally, also applies to prior approvals)¹¹⁸ states that directors who are also the majority shareholders of a company cannot ratify the expropriation to themselves of corporate property in the manner described above.¹¹⁹

In summary, a director may be released from liability to the company for breach of duty by obtaining the prior approval of, or ratification by, the shareholders for the following actions:

- buying property from, or selling to, the company, in breach of the self-dealing rule
- entering into a contract with the company, in breach of the no-conflicts rule
- receiving a benefit from a third party, in breach of the no-benefits rule
- exercising the management function of the business or over corporate assets in a negligent way, in breach of the duty of care.

But a director who has expropriated assets from the company to the prejudice of its minority shareholders or creditors cannot ratify, and thereby obtain a release from liability for, a fraudulent or dishonest breach of the fiduciary duty of good faith.

5.2 Provisions in the articles and/or terms of the director’s service agreement

Express provisions in the articles may excuse a director from what would otherwise amount to a breach of fiduciary duty.

For example, a typical article similar to art.18.2 of Appendix 1B permits directors to breach the self-dealing and the no-conflicts rule by authorising them to transact business, or enter into a contract with, the company provided that they make full disclosure of their interest to the company and obtain its informed consent in general meeting.¹²⁰ Similarly, a typical article, such as art.18.1 or 18.3 of Appendix 1B, permits directors to breach the no-profits and part of the no-benefits rule by authorising them to make and/or retain a profit made from their directorial position, again provided full disclosure is made to the company in general meeting of the circumstances and amount of the anticipated profit.¹²¹ These types of article are lawful, according to their terms, across all jurisdictions.

Historically, in England, certain articles have tried to go further and exonerate and/or indemnify directors from liability for all breaches of duty. This was considered abusive so, in s.205 of the 1948 Companies Act, the English Parliament introduced a principle that provisions in the articles, or in a contract between the company and the directors, that purport to exonerate a director from liability for breach of duty is void and of no legal effect. The current prohibition of exoneration provisions is extended by s.232 of the Companies Act 2006 to provisions that purport to indemnify a director in respect of similar liabilities. So, have the offshore financial centres followed suit?

118. *Franbar Holdings Ltd v Patel* [2008] EWHC 1534 (Ch).

119. *Cook v Deeks* [1916] 1 AC 554. In this case, the directors dishonestly diverted to themselves contracts that should have been entered into by the company.

120. See section 2.1.2(i) above and art.18.2 of Appendix 1B; see also art.14, Appendix 1C.

121. See section 2.1.2(ii) and (iii), and arts 18.1 and 18.3 of Appendix 1B; see also art.14, Appendix 1C.

Company management service providers in a number of offshore jurisdictions include a standard article in the articles of companies under their management that releases the directors (essentially, the service provider) from liability for negligent breaches of duty.

A typical article, such as art.29.1 of Appendix 1B, provides a general exoneration to the effect that directors and officers of the company are exonerated from liability **to the company** for negligent acts or omissions to act, but can still be held liable to the company for acts or omissions that amount to fraud or dishonesty.

A further article, such as art.29.2 of Appendix 1B, also confers an indemnity upon the directors. By this article the company effectively promises that, if the directors become liable **to third parties** arising from negligent acts or omissions in the performance of their role as directors, the company will indemnify them. In other words, the company will reimburse the directors, or essentially pay any compensation ordered to be paid by them in favour of the third party, unless such liability is grounded upon the directors' fraud or dishonesty. As Paul Davies points out 'the director remains liable but the company picks up the financial consequences of that liability.'¹²²

A similar type of exoneration clause (such as para.9.1 of Appendix 21C) and similar type of indemnity clause (such as para.9.2 of Appendix 21C) may also appear in a DSA with the company.

These types of exoneration and indemnity provisions, whether contained in the company's articles or in the contractual provisions of a DSA, are outlawed in the UK by s.232 of the Companies Act 2006. They are also prohibited by companies legislation in some other common law jurisdictions.¹²³ Companies legislation of such jurisdictions provides that any provision, whether in the articles or in any contract between the directors and the company, which purports to exempt officers of a company from liability (or to indemnify them against liability to a third party) for behaviour that would otherwise amount to negligence, default or breach of their duty to the company, is void and of no effect.

This legislative provision does not exist in the major Caribbean offshore jurisdictions. Exoneration clauses and indemnification provisions in the articles of a company and in a DSA are expressly made lawful by the companies legislation of jurisdictions such as the Bahamas, BVI and Bermuda.¹²⁴ For example, s.98 of the Bermudian Companies Act 1981, as amended 2004, states:

'(1) Subject to subsection (2), a company may in its articles or in any contract between the company and any officer ... exempt such officer or indemnify him in respect of any loss arising or liability attaching to him ... in respect of any negligence, default or breach of duty of which the officer may be guilty in relation to the company.

122. PL Davies and S Worthington, *Gower: Principles of Modern Company Law* (10th edn, Sweet & Maxwell, London, 2016).

123. Such as Hong Kong – s.468 of the Companies Ordinance Cap 622; Guernsey – s.157 of the Companies (Guernsey) Law 2008; the Isle of Man – an exonerating provision in the articles of an ordinary Manx company is void (s.151 of the Companies Act 1931) but appears to be valid in respect of a New Manx Vehicle (s.112 of the Companies Act 2006); Jersey – art.77 of the Companies (Jersey) Law 1991; Singapore – s.172 of the Companies Act Cap. 50; Gibraltar – s.231 of the Companies Act 2014.

124. Bahamas – s.58 of the IBCA 2000, as amended 2008; BVI – s.132 of the BVI BCA, 2004; Bermuda – s.98 of the Companies Act 1981 inserted by Companies Act 1995; Cayman Islands – silent; Turks and Caicos Islands – silent. Where the legislation is silent it is the view of most commentators that express exonerating provisions in the articles are valid and effective provided they do not extend to fraud, dishonesty or wilful, deliberate default.

- (2) Any provision, whether contained in the articles or in a contract between the company and any officer ... exempting such officer from or indemnifying him against any liability which would otherwise attach to him in respect of any fraud or dishonesty of which he may be guilty in relation to the company shall be void.'



Task 8.5

1. Review the companies legislation in the jurisdiction where you work or have some connection. May a company incorporated in your chosen jurisdiction, by appropriate provision in its articles, lawfully exonerate or excuse directors from liability for breach of their fiduciary duties or duty of care and skill? If so, what type of liability is excluded: liability arising as a result of negligence? Gross negligence? Wilful default? Bad faith? Fraud? Dishonesty? If such a provision is void, may a company incorporated in your chosen jurisdiction indemnify the directors in respect of (i.e. pay) their legal costs in successfully defending any action brought against them by a third party?
2. Peruse the standard articles of companies managed by your organisation. Do they contain exoneration provisions to exempt its directors from liability for acts or omissions to act otherwise than those committed in bad faith?
3. Are directors of your managed companies appointed by way of a written DSA? If so, does it contain standard exclusion of liability and indemnity provisions, similar to paras 9.1 and 9.2 of Appendix 21C?

Even in jurisdictions where it is unlawful to exclude the liability of directors for acts of negligence by virtue of provisions in the company's articles or in any contract made between the company and the director, it is still lawful for the beneficial owner, in a personal capacity, to agree to indemnify the service provider (and directors provided by the service provider) against liability incurred both to the company and to third parties by express provision in the company management agreement. This type of provision is illustrated in the specimen Company Management Agreement reproduced in Appendix 22 of the online Study Resources, paras 7.1 and 7.2, and is considered below.

5.3 Company management agreement

A company management agreement is an agreement typically entered into by the client (for whom company management services are being provided) and the service provider. The service provider will often, pursuant to the company management agreement, incorporate and manage the company. It is fairly standard offshore practice to include a provision in the company management agreement that:

- exonerates or excuses the service provider as administrator from liability to the company for breaches of duty
- indemnifies the service provider against liability incurred to third parties.

You are referred to the specimen company management agreement illustrated in Appendix 22, in particular cl.7.1 for the exoneration, and cl.7.2 for the indemnity.

There are still, however, some serious drawbacks to these provisions. They are not watertight, for several reasons.

- The provision in cl.7.1 of Appendix 22 exonerates the corporate service provider as administrator from liability for negligence. It does not exonerate the directors of the company. The company under management and the directors may be made a party to the company management agreement in order to extend the exoneration to the directors, but why bother? In jurisdictions that allow them, the articles and DSA will already contain an exoneration and indemnity; in jurisdictions where they are unlawful, the clauses will be declared to be void.
- The provision in cl.7.2 of Appendix 22 indemnifies the service provider against liability incurred to third parties. It does not indemnify the director of the company. Nor does it prevent a third party from bringing a lawsuit against the service provider as administrator. The client beneficial owner merely provides an indemnity.
- There is always a risk that a court may strike down an exoneration and indemnity clause and declare them to be unenforceable. There is a line of cases¹²⁵ that confirm that these clauses must, firstly, exonerate a service provider from liability for acts of negligence only, and that clauses that are too wide and seek to exclude all liability howsoever caused will be struck down and rendered unenforceable. Secondly, the client is required to have consented to the inclusion of the clause. In other words, the clauses must have been specifically drawn to the client's notice at the time the document is executed, and the client must understand their meaning and consequences. Again, the consequence of default is that the clause will be struck down.



Task 8.6

Peruse the standard company management agreement entered into by your organisation (of the first part) and its client (of the second part). Is there an exoneration of liability provision and an indemnity provision similar to those described above? If so, consider how tightly the clause has been drawn to prevent its falling foul of the *Rae v Meek* principles.

5.4 Indemnity insurance

Many (if not all) service providers on behalf of managed companies take out 'directors' and officers' insurance' policies to protect the directors from liability. These policies provide insurance cover for a company and/or a director in the event that the director is found liable, either to the company for breach of duty, or to a third party.

The precise terms of the insurance cover differ from policy to policy. A standard policy, however, will generally indemnify a company's director against liability incurred in acting as a director, provided the director has acted at all times in good faith. In other words, the director is protected against liability for negligent breaches of duty and inadvertent liability to third parties. Owing to what the insurance industry calls 'moral hazard' this type of insurance does not provide cover against liability incurred by a deliberate default, or a fraudulent or dishonest breach of duty.

125. Starting with *Rae v Meek* (1889) 14 App Cas 558, and being approved offshore in the Jersey case of *West v Lazard Brothers* [1993] JLR 165 and the Bahamian case of *Roywest Trust Corp (Bahamas) Ltd v Savannah NV* Unreported (22 July 1987).

There was a body of opinion in the UK that such insurance was void under the statutory provisions discussed in section 5.2 above. The Companies Act 1989 clarified the point, however, and s.232 of the Companies Act 2006 now confirms that directors' and officers' insurance is lawful. There is often express provision in offshore companies legislation¹²⁶ specifically permitting a company and/or a director to take out this sort of insurance cover. It may also be a contractual term of the director's service agreement (see cl.12 of the DSA illustrated in Appendix 21C of the online Study Resources), and a provision in the articles may confer a power to purchase and maintain indemnity insurance upon the directors (see art.53 of Appendix 1C).

In these times of increased regulation of offshore financial services, this type of insurance cover is made a mandatory requirement for the provision of directors for managed companies in jurisdictions that have regulated company management business.

6. Directors' personal liability to creditors for company debts

Section 2.2 above explains that if a company becomes insolvent and a liquidator is appointed, one of the duties of the liquidator is to investigate the actions of the directors in the period before the liquidation.

None of the provisions reviewed in section 5 above provide any protection for directors who have allowed a company to continue to trade while they knew (or, sometimes, ought reasonably to have known) that the company was technically insolvent. In such circumstances, when a company is being wound-up because of its insolvency, a court can declare that the directors are personally liable for all or part of the outstanding debts and liabilities of the company.

There is an interesting history to this principle which it is necessary to understand in order to determine whether it applies in the offshore financial centres.

Section 332 of the Companies Act 1948 (upon which a great deal of offshore companies legislation is based) created both criminal and civil liability when a person carries on the business of a company with intent to defraud creditors.¹²⁷ This became known as '**fraudulent trading**'. The class of person who may be held liable is any person who carries on the business of the company, and this is likely to be the directors. The director of an insolvent company can only be held liable if it can be established that they were fraudulent. Fraud is difficult to establish, but it is usually inferred when a company continues to carry on its business and incur debts at a time when, to the knowledge of the directors, the company is insolvent and there is no prospect that the creditors will be paid.¹²⁸ In other words, creditors have to establish fraud on the part of the directors on a subjective basis.

126. Bahamas – s.59 of the IBCA 2000; Bermuda – s.98 of the Companies Act 1981 as amended; BVI – s.133 of the BVI BCA, 2004; Jersey – art.77(4) of the Companies (Jersey) Law 1991; Guernsey – s.158 of the Companies (Guernsey) Law 2008; Cayman Islands – silent; Turks and Caicos Islands – silent; Gibraltar – silent; Isle of Man – s.113 of the Companies Act 2006, Hong Kong – s.468 of the Companies Ord Cap 622; Singapore – s.172(2) of the Companies Act Cap 50.

127. Section 332 of the Companies Act 1948 states:

(1) If in the course of winding up a company it appears that the business of the company has been carried on with intent to defraud creditors of the company ...
(2) the court, on the application of the liquidator, may declare that any persons who were knowingly parties to the carrying on of the business in that manner are liable to make such contributions to the company's assets that the court thinks proper.

128. *Re William C Leitch Ltd* [1932] 2 Ch 71, a case based upon a similar provision in the earlier Companies Act 1929.

The fraudulent trading provisions of s.332 of the Companies Act 1948 have found their way into most offshore companies legislation.¹²⁹

Unfortunately, creditors found it difficult to establish fraudulent trading in practice. This is because the fraudulent trading provisions required knowledge in order to establish actual fraudulent intent on the part of the directors on a subjective level. Clearly, many directors were able to wriggle out of liability on the grounds that they did not know that there was no prospect that the creditors would be paid. Accordingly, the provisions of s.332 of the Companies Act 1948 were extended in England by a further remedy, originally called 'reckless trading' but then re-branded '**wrongful trading**'.

The remedy of wrongful trading was introduced not in the companies legislation but in the English insolvency legislation, in s.214 of the Insolvency Act 1986. The remedy is much the same as for fraudulent trading insofar as the court can hold the directors liable to pay corporate debts when they continue to trade whilst the company is insolvent. Subjective fraud does not, however, have to be established before a director becomes liable. A director becomes liable for wrongful trading when they 'knew or ought to have known that there was no prospect that the company could avoid going into insolvent liquidation'. This introduces an objective test. If a reasonably competent director in similar circumstances would have concluded that there was no prospect that creditors would be paid then the director of the insolvent company is liable. Accordingly, it is far easier to prove wrongful trading than it is to prove fraudulent trading.

The question is, has wrongful trading found its way into offshore companies or insolvency legislation? It has in some, but not others.¹³⁰



Task 8.7

Research the companies and insolvency legislation enacted in the jurisdiction where you work (or in the state of incorporation of companies that you provide directorships for) and determine whether liability can be imposed upon directors for wrongful trading.

As discussed in Module 12 section 5, in some jurisdictions companies may be brought back to life after they have been struck off the register and have ceased to exist. Directors of any such resurrected company may become liable for debts that the company is discovered to have, either at the time when it was originally struck off, or if the discovery is made later, before or after the company is brought back to life by reinstatement.

129. Liability for fraudulent trading exists in the following jurisdictions: Bahamas – s.273 of the Companies Act and s.161 of the IBCA 2000 as amended 2008 have liability provisions for directors but these are not based upon the English model; Bermuda – s.246 of the Companies Act 1981 as amended (fraudulent trading); BVI – s.211 of the BVI BCA 2004 amended 2012 incorporates the Insolvency Act 2003 which contains s.55 (fraudulent trading) and s.256 (wrongful trading); Cayman Islands – s.147 of the Companies Law 2022 Revision (fraudulent trading); Gibraltar – s.393 of the Companies Act 2014 incorporates by reference Pt 8 of Gibraltar's Insolvency Act 2011. Section 259 of the Insolvency Act 2011 contains fraudulent trading provisions and s.260 contains insolvent (i.e. wrongful) trading provisions; Guernsey – s.432 of the Companies (Guernsey) Law 2008 (fraudulent trading) and s.434 (wrongful trading); Hong Kong – the provisions of the old Companies Ord., Cap 32 remains in force in relation to insolvency and winding-up and has been re-titled 'The Companies (Winding-up and Miscellaneous Provisions Ord., Cap 32', which was updated in 2016 by the Companies (Winding Up) (Amendment) Ordinances, Cap 32, in force from 13 February 2017. Section 168L and 275 of Cap 32, as amended 2016, contains fraudulent trading provisions, but not wrongful trading. Isle of Man – s.182 of the Companies Act 2006 applies Companies Act 1931 to liquidations, in respect of which see s.259 of the Companies Act 1931 (fraudulent trading); Jersey – art.178 Companies (Jersey) Law 1991 amended 2009 (fraudulent trading) and art.177 (wrongful trading); Singapore – s.340 of the Companies Act Cap 50, now repealed and found in the Insolvency, Restructuring and Dissolution Act 2018.

130. A director's liability to creditors of the company for wrongful trading exists in the following jurisdictions: Bahamas – just for domestic companies that operate and trade within the local economy, but not for IBCs; Bermuda – no; BVI – s.256 of the Insolvency Act 2003; Cayman Islands – no; Gibraltar – s.260 of the Insolvency Act 2011; Guernsey – s.434 of the Companies (Guernsey) Law 2008; Hong Kong – no, see preceding footnote; Isle of Man – no, see preceding footnote; Jersey – s.117 of the Companies (Jersey) Law 1991; Singapore – yes, see the Insolvency, Restructuring and Dissolution Act 2018, in force from 2020.



Learning outcomes

By the end of this module you should:

- be able to construe the usual powers conferred upon the directors by the articles of association
- understand the basic procedures involved in the directors' decision-making process
- be able to advise upon the legal effect of a transaction entered into by the directors but which involved the exercise of powers the directors did not possess
- appreciate the constituent parts of a director's fiduciary duty to the company, and be able to apply the relevant principles to typical factual scenarios encountered in offshore corporate management practice
- understand the directors' duty to use appropriate care and skill in the management of the company, both at common law and under modern companies legislation, and be able to apply the relevant principles to typical factual scenarios encountered offshore
- know how to protect a director from liability for breach of certain duties by obtaining shareholder approval
- appreciate the methods whereby a director may be protected by express provisions in the articles and/or director's service agreement and/or directors' indemnity insurance policy.

Module 8:

Self-assessment questions

1. The power to manage a company is usually conferred upon the board of directors. How should the directors, procedurally, reach decisions on behalf of the company and exercise their powers of management?
2. The articles of XYZ Ltd state that all powers of management are conferred upon the board of directors, save that for any purchase of capital equipment or real estate in excess of \$500,000, when the directors must obtain the prior approval of the company in general meeting. The directors negotiate and enter into a contract on behalf of XYZ Ltd, to buy machinery from AB Ltd for \$5 million payable over five years, but without first obtaining the approval of the company in general meeting as required by the articles. XYZ Ltd pays the first instalment but then defaults.
 - i. What is the legal effect of the transaction?
 - ii. What contractual rights, if any, does AB Ltd have?
 - iii. What is the position of the directors of XYZ Ltd?
3. Identify the two broad duties owed by directors. To whom are they owed?
4. List the constituent parts of the fiduciary duty owed by directors of a company.
5. A is the sole director of AB Ltd. On behalf of AB Ltd, A awards a lucrative management contract (to manage the assets of AB Ltd) to AC Ltd, (of which A is also a director and shareholder).
 - i. What is A's liability, if any?
 - ii. Is the management agreement enforceable?
 - iii. What remedies, if any, does AB Ltd, have?
 - iv. In what circumstances may A lawfully procure AB Ltd to enter into the management contract with AC Ltd without being in breach of their duty to AB Ltd?
6. The directors of XYZ Ltd agree to grant themselves and their spouses a loan from XYZ Ltd of \$100,000 repayable on demand without interest.
 - i. Comment upon the legality of this decision.
 - ii. Would it make any difference if the loan was at a commercial rate of interest?
7. Trace the evolution of the common law duty owed by a director to use appropriate care and skill in managing the affairs of a company. What is the test for the appropriate level of skill and care expected of a director?

8. You work for Corporate Service Provider and are appointed as sole director of AB Ltd, and are sole signatory of its bank account. The entire share capital is beneficially owned by A and B, who each own one of the two issued shares.
 - i. You sign a cheque in blank drawn on the company's account at A's insistence without finding out why it is required. Discuss the advisability of your actions.
 - ii. You are instructed by attorneys for AB Ltd to transfer \$1 million to A in repayment of an informal loan made without your knowledge and not documented. Discuss the advisability of following the instruction.
 - iii. You are instructed by A's spouse to transfer \$1 million to A to repay an informal loan as above. Discuss.
9. Who has legal standing to bring a lawsuit against a director who has committed a breach of duty?
10. List the ways in which a director of an offshore company that has been provided by company management agents, may protect themselves from liability for an error or mistake amounting to a breach of their fiduciary duty or duty to use reasonable care and skill when handling the affairs of the company.
11. A provision found in the articles of XYZ Ltd says:

'The directors shall not, in the absence of fraud or dishonesty, be liable for loss or damage suffered by the company arising out of any error, oversight or mistake in the performance of their duties.'

 - i. Review the validity of such a provision generally.
 - ii. Would it make any difference if the provision were found in the terms of a separate service agreement between the company and the director?
12. In what circumstances can directors be made personally liable for company debts? What is the test to determine whether a company is 'solvent'?
13. What must creditors (or the liquidator on behalf of creditors) establish in order to render directors personally liable for company debts under statutory:
 - (a) **fraudulent** trading provisions; and
 - (b) **wrongful** trading provisions?
14. What is the difference between statutory fraudulent and wrongful trading?

Module 9:

Other Officers of a Company: Secretary and Registered Agent



Module 9:

Other Officers of a Company: Secretary and Registered Agent



Learning objectives

The purpose of this module is to:

- place company officers in context
- explain the procedures for the appointment, removal and retirement of company secretaries
- review the usual duties and functions of a company secretary
- highlight the potential liability of the company secretary
- review the role, powers and duties of a registered agent.

Introduction

A company must have a board of directors and may have other officers (such as a president, vice-presidents, treasurer and secretary). Generally, the board of directors choose officers and assign them specific responsibilities. In the same way, it is usual for the articles to contain a provision whereby officers may be removed by the directors (except where, under specific articles, the officer was appointed by the shareholders). Officers of a company are fiduciaries, just like directors. They therefore owe duties of care and loyalty to the company.

Because our standard offshore private company is used to hold assets rather than to operate a business in the traditional sense, there is little point in forming a company with a complex management structure comprising, say, a president and a battery of vice-presidents to operate as middle-management executives below board level. There are, however, two company officers who may be appointed to private offshore companies: a company secretary and, in those IBC jurisdictions where the appointment is mandatory, a registered agent.

In the first part of this module, we review the statutory requirements for, and the usual functions of, a company secretary in an offshore private limited company, and consider their potential risks and liabilities. We also cover the usual procedure involved in their appointment and retirement. In section 2, we introduce another corporate officer, one peculiar to IBCs and certain other offshore companies and not found in the onshore corporate model: namely the registered agent.

1. The company secretary

1.1 Companies legislation requirements

It was a statutory requirement of the 1948 Act that a private company must have a secretary.¹³¹

131. Section 17 of the Companies Act 1948. 'Every company shall have a secretary, and a sole director shall not also be a secretary.'

The companies legislation of some offshore financial centres follows the 1948 Act model and requires a company to have a secretary. But a number of offshore centres, as in England under current companies legislation, make the appointment of a secretary optional. In these jurisdictions, the articles may, but are not required to, contain provisions for the appointment of a secretary.¹³²

Statutory requirements that specify who may be appointed as a company secretary vary between offshore centres. There is usually no restriction on any individual who is *sui juris* being appointed, although in a couple of jurisdictions it is a requirement that the company secretary must hold a recognised qualification, for example be an advocate (attorney-at-law), chartered or certified accountant, or chartered secretary.¹³³ Whoever is appointed must be considered by the directors to be fit and proper to act in the role of secretary and must possess the knowledge and experience to enable them to fulfil the secretary's duties and responsibilities.

A number of jurisdictions permit corporate secretaries.¹³⁴ In the centres where this is possible, service providers usually create a separate company to perform the secretarial functions for companies that they manage. The service providers must then ensure that the persons who are appointed to represent the corporate secretary are suitably experienced and of an acceptable level of seniority.

Under the provisions of companies legislation of Bermuda, the company secretary must be ordinarily resident within the jurisdiction of incorporation.¹³⁵

It is unlawful for a sole director to act also as company secretary. This is not only a prohibition set out in companies legislation but is also found in typical articles.¹³⁶

In jurisdictions where a company secretary is not mandatory, the articles of a company may, of course, confer a power upon the board of directors to appoint one and impose specific duties upon the secretary so appointed.



Task 9.1

Review the companies legislation in the jurisdiction where you work or have some other connection. Find out whether a company secretary is required and, if so, what qualifications, if any, have to be fulfilled.

132. Bahamas – no mandatory requirements for an IBC: a company secretary is therefore optional, although an IBC must have a registered agent, s.38 of the IBCA 2000; BVI – no mandatory requirement for a BVI BC to have a company secretary so it is therefore optional, although a BVI company must have a registered agent, s 91 of the BVI BCA, 2004; Bermuda – must appoint a company secretary – s.92 of the Companies Act 1981; Cayman Islands – no mandatory requirement for an exempt company, a company secretary is therefore optional; Guernsey – s.168 of the Companies (Guernsey) Law 2008 makes such appointment optional; Jersey – arts 81–85 of the Companies (Jersey) Law 1991 makes it a statutory requirement for a Jersey company to have a secretary; Isle of Man – there is no mandatory requirement to have a secretary of a New Manx Vehicle although it must have a registered agent – s.74 of the Companies Act 2006; Gibraltar – s.126 of the Companies Act 2014 makes a secretary mandatory; Turks and Caicos Islands – s.53 of the Companies Ord; Hong Kong – ss.474 and 475 of the Companies Ord., Cap 622 states that 'A company must have a secretary'; Singapore – s.171 of the Companies Act Cap 50, consolidated 2017, which makes it mandatory for a company to have a secretary.

133. Such as Jersey in relation to public companies – art.82 of the Companies (Jersey) Law 1991; and the Isle of Man and Gibraltar, but again, only in relation to public companies. N.B. there are no qualification requirements for a company secretary in the Bahamas, BVI, Cayman Islands, Gibraltar and Guernsey, although in Bermuda an exempt company must have at least two directors or one director and one secretary who are ordinarily resident in Bermuda.

134. Including the Bahamas, BVI, Cayman Islands, Jersey, Guernsey, Isle of Man and Hong Kong, but not Bermuda or Singapore (s.171).

135. There is no such requirement in the Bahamas, BVI, Cayman Islands, Jersey, Gibraltar, Guernsey, Isle of Man or Turks and Caicos Islands. In Hong Kong, if the secretary is a corporate, it must be incorporated in Hong Kong.

136. See art.21.2(a), Appendix 1B of the online Study Resources.

1.2 Appointment, retirement and removal

1.2.1 Appointment

In jurisdictions where it is mandatory for a company to have a secretary, the first company secretary must consent in writing to act and is appointed at the time of incorporation of the company. The appointment is deemed to be made on incorporation and is confirmed by a note made in the directors' resolution at their inaugural board meeting. The registrar of companies must be notified of such appointment and prescribed particulars entered in the register of directors and officers – see the second entry in Appendix 7B of the online Study Resources.

In jurisdictions where the appointment of a secretary is optional, there may be a mandatory requirement in the articles, such as art.21.1 of Appendix 1B. In these circumstances, the secretary is appointed by the directors at their inaugural board meeting – see Resolution 2 of Appendix 9 of the online Study Resources. There is no need to notify the registrar of the appointment, although particulars of the secretary should be entered in the register of directors and officers.

When companies legislation makes it optional and there is no requirement to have a secretary in the articles, the appointment of a secretary is a matter to be decided by the board – see art.5(1) of Appendix 1C of the online Study Resources. A directors' resolution appointing a secretary is illustrated in Resolution 2 of Appendix 9 and Appendix 24A of the online Study Resources. In the author's experience, where optional, it is most unusual for the board of a private asset-holding company to appoint a secretary. Factors to consider include whether it is felt necessary for a specific person to be in charge of corporate administration and for there to be another layer of corporate governance.

1.2.2 Retirement, removal

The company secretary may, of course resign the position. Subject to the terms of the articles, this is usually achieved by notifying the company, in writing, of the company secretary's wish to resign. A letter of resignation usually has to be delivered to the company's registered office and, depending on the articles, the resignation becomes effective either on receipt of the letter by the company or following the acceptance of the resignation by the directors.

It is also usual for the articles to confer a power upon the directors to be able to remove a company secretary from office, either with or without cause – see art.21.1 of Appendix 1B. A resolution removing a secretary and recording the resignation of the secretary and appointing a new one are illustrated in Appendix 24B of the online Study Resources.

Any changes to the company secretary have to be recorded in the company's register of officers and, in jurisdictions where a secretary is mandatory, the registrar of companies should be notified within a certain period of time.

1.3 The role of the company secretary

For many years it was generally accepted that the function of a company secretary was passive and unimportant. The secretary was expected simply to act in accordance

with instructions received from the directors and was not expected to assume any responsibility for the activities of the company. This perception of the role was evidenced by the case of *Barnett, Hoares & Co. v South London Tramways Co.*,¹³⁷ where it was said that:

‘A secretary is a mere servant. His position is that he is to do what he is told. No person should assume that he has any authority to represent [the company] in anything at all.’

Accordingly, a secretary’s function was formerly solely administrative – to do the bidding of the directors and often to ensure that the company’s paperwork was in order. The secretary did not have any managerial powers to exercise in running the business.

Over the years, however, the role of the secretary expanded. In the case of *Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics Ltd*¹³⁸ it was stated:

‘[T]imes have changed. A company secretary is a much more important person nowadays than he was in 1887 [the date of the *Barnett, Hoares* case]. He is [now] an officer of the company with extensive duties and responsibilities. This appears not only in the modern Companies Acts, but also by the role he plays in the day-to-day business of companies. He is no longer a mere clerk.’

Since the observations of the court in the *Panorama Developments* case in 1977, the requirement for a private company to have a secretary has been debated as an unnecessary layer of corporate governance. The position of secretary has nowadays largely been abandoned. Where a secretary is optional, one is rarely appointed. Indeed, the English model articles published in the 2008 Companies (Model Articles) Regulations, and which are reproduced in Appendix 1C, do not appoint nor mention a secretary.

When a secretary is appointed as an officer of a company, the role is usually that of the company’s chief administrative officer, ensuring that the company is in good standing and in compliance with the requirements of applicable companies legislation and regulation, and of its memorandum and articles. As such, there are certain core duties that a secretary should fulfil, such as maintenance of the company’s statutory registers, making required filings with the registrar, servicing shareholders’ and board meetings and keeping proper minutes and records of resolutions passed. Depending upon the company and requirements of the board, other wider and unusual duties may be imposed upon the secretary, such as AML compliance, health and safety compliance, data protection compliance, insurance, etc.

1.4 Usual duties and powers of a company secretary

1.4.1 Duties

As an officer of the company, the secretary owes similar duties to the company as a director: specifically, the fiduciary duty of good faith, integrity and loyalty, and a common law duty to exercise their powers with appropriate care and skill.

137. *Barnett, Hoares & Co. v South London Tramways Co.* (1887) 18 QBD 815.

138. *Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics Ltd* [1971] 2 QB 711.

1.4.2 Powers

Companies legislation does not confer any specific powers upon the company secretary. Powers may be conferred by the articles of the company, but it is more likely that the responsibilities of a secretary are conferred by the delegation of powers by the directors – see Resolution 2 of Appendix 24A and the role description in Appendix 24C of the online Study Resources.

It is generally accepted that the company secretary is the key administrative officer of a company with responsibilities that extend beyond ensuring that the corporate files are kept up to date and that the company remains in good standing. A summary of the usual responsibilities of the secretary of an offshore company is given below.



Task 9.2

Before you read the rest of this section, write a list of the duties that you believe are generally assigned to a company secretary. Having considered the matter, compare your list with the points that follow.

i. Maintaining corporate records

The company secretary is usually responsible for ensuring that the records of the company are kept up to date and in good order. This usually entails making sure that the corporate registers (directors, members, officers and charges) are current and that the file contains copies of all documents received from or sent to the registrar of companies.

ii. Issuing share certificates

The company secretary is usually empowered to issue share certificates to shareholders. This usually entails executing the certificates (with or without the common seal of the company), together with one of the directors.

iii. Executing deeds and documents

Traditional articles¹³⁹ usually authorise the company secretary to execute deeds and documents on behalf of the company, together with one of the directors.

iv. Fulfilling statutory requirements

If companies legislation¹⁴⁰ requires a company secretary to reside in the jurisdiction of incorporation, the secretary is often considered accountable locally for the activities of the company should problems arise. In these circumstances, the secretary is usually given a statutory responsibility of ensuring that the company complies with all local companies legislation requirements.

139. See art.22, Appendix 1B.

140. Such as that enacted in Bermuda – see s.92 of the Companies Act 1981.

v. Making representations on behalf of the company

If required by the directors, the company secretary often makes representations on behalf of the company. This usually involves providing confirmation of the status or good standing of the company or sending details of the directors or authorised officers to, for example, banks or investment managers.

vi. Corresponding with shareholders

The company secretary is usually the person who contacts the shareholders as and when contact is required. This often involves sending notice of shareholders' meetings to members, as well as copies of the minutes of such meetings.

vii. Submitting returns to registrar of companies

From time to time, information may be required by the registrar of companies. Examples include an annual return, notification of a change of directors, the allotment of shares and details of any special resolutions passed in general meetings of the company.

The company secretary is usually responsible for ensuring that any filing is carried out within the required time frame.



Task 9.3

Research the statutory filing requirements for companies that have been incorporated in the centre where you work or have some connection. Prepare a list of the documents, forms and returns a company secretary may, from time to time, have to file with the registrar.

viii. Taking minutes of meetings

The company secretary usually attends all general meetings as well as meetings of the directors, and takes the minutes. The minutes of meetings are then passed to the chairman, or chairman of the next meeting, for signature. The secretary is also usually responsible for circulating copies of documents that may be required for consideration at meetings, and for circulating copies of the minutes once they have been signed.

ix. Acting as chief administrative officer

Finally, the company secretary is usually responsible for dealing with all other administrative functions that may be required from time to time. This tends to involve acting as the company's main point of contact with the directors, who may from time to time require information held by the company secretary (usually at the registered office). The secretary may also be responsible for organising the payment of dividends.



Task 9.4

Ask the company secretary of your trust company to explain the nature of the role and the types of activity that they are expected to perform.

1.5 Potential liability

The company secretary is an officer of the company and as such owes the company similar duties to those owed by a director, namely:

- the fiduciary duty of honesty, integrity and loyalty
- the common law duty to exercise their powers with appropriate care and skill.

Any breach of duty places the secretary in the same position as a director of the company in relation to liability for their actions.

Under typical company and insolvency law it is possible for a company secretary to be held personally liable, with the directors, for allowing a company to trade while the directors/secretary know that the company is insolvent (generically referred to as **fraudulent trading**): see Module 8 section 6. In *Re Maidstone Buildings Provisions Ltd*¹⁴¹ a company secretary was potentially liable under the Companies Acts for failing to advise the directors that the company was insolvent and that business should cease. A company secretary may often be in a position to be aware of what the directors are doing with the company's assets. Much depends on the factual evidence – to what extent did the company secretary have knowledge of what was going on in the company? And how involved was the secretary in decisions taken by the company's directors?

It is possible to reduce the liability of the company secretary by including suitable provisions in the articles of association or in the company management agreement, in the same way that exoneration provisions may be included for the protection of a director. Look at our analysis of the legality of these provisions in Module 8 section 5. You may recall that any attempt to exempt an officer from liability for deliberate acts of default, dishonesty or bad faith is void. Furthermore, certain jurisdictions follow the English practice and make it unlawful for the articles, or other contractual provision, to limit or exclude the liability of a director, or other **officer of the company** (including secretaries) for acts of negligence or other default.

2. The registered agent (or authorised representative)

2.1 Statutory requirement

There is a statutory requirement found in the (I)BC legislation in jurisdictions such as the BVI,¹⁴² the Bahamas¹⁴³ and the Isle of Man (for the New Manx Vehicle)¹⁴⁴ and in other jurisdictions that follow the IBC model, that every company incorporated under the relevant enactment must have an officer called a registered agent.

141. *Re Maidstone Buildings Provisions Ltd* [1971] 3 All ER 363.

142. BVI – s.91(1) of the BVI BCA, 2004. Section 91(A) states: 'A company that does not have a registered agent shall commit a [criminal] offence'.

143. Bahamas – ss.38 and 39 of the IBCA 2000 as amended 2008.

144. Section 74 of the Companies Act 2006.

A company's registered agent must:

- reside within the jurisdiction¹⁴⁵
- be duly licensed by the relevant regulator to carry out the functions of a registered agent.¹⁴⁶

They are an agent within the jurisdiction who can be apprehended if things go wrong.

2.2 Appointment, removal and retirement of the registered agent

The IBC legislation stipulates that only a licensed registered agent can incorporate an IBC and deal with the registrar.¹⁴⁷

The initial registered agent is selected by the promoter of the company during the incorporation process and their name and address must appear in the company's memorandum. The memorandum must be signed by the registered agent as incorporator (not, technically, as subscriber) and must be filed with the registrar of companies. Upon incorporation, the name of the registered agent is recorded in the company's register of registered agents and with the registrar; it is therefore freely available to the public.

After the initial appointment, the registered agent can be removed and replaced by either:

- a. a resolution of the shareholders of the company; or
- b. if the articles permit, by a resolution of the board of directors.¹⁴⁸

When a registered agent is changed in this manner, notice of the change, in the prescribed form, must be filed by the outgoing registered agent and endorsed by the new registered agent, indicating consent to act.¹⁴⁹

Retirement is also permitted in circumstances when there is a replacement registered agent in the manner described above. In the event that a registered agent wishes to retire or vacate office, for whatever reason, and there is no immediate replacement, the agent must give to the directors not less than 90 days' written notice of the intention to vacate office, and send a copy of such notice to the registrar. If, at the time the notice expires, the company has not appointed a new registered agent, the outgoing registered agent must give notice to the registrar who shall, unless a new agent is appointed within 30 days of publication of notice of the default in the *Gazette*, strike the company from the register. Where a company has been struck off in these circumstances, the liability of the company and its directors, officers and members for all debts, claims and liabilities, if any, shall continue and be unaffected by the striking off.

145. A registered agent who is a natural person must physically reside within the jurisdiction; if a corporate registered agent is appointed, it must be incorporated, managed and controlled within the jurisdiction and duly licensed (so that an authorised and responsible person representing the company must be physically present within the jurisdiction at all material times).

146. In the BVI, under the provisions of the Company Management Act 1990 or the Banks and Trust Companies Act 1990; in the Bahamas under s.9 of the Financial and Corporate Service Providers Act 2000; in the Isle of Man under the Corporate Service Providers Act 2000.

147. Section 6 of the BVI BCA.

148. Section 91(2) of the BVI BCA.

149. Section 92(2), (3) and (4) of the BVI BCA.

2.3 Role and responsibilities of the registered agent

The licensing process means that only responsible persons who reside within the jurisdiction can fulfil the function of a registered agent. So what is that function? Surprisingly, there is little mention of the precise functions of a registered agent in the relevant companies legislation, save for the following.

2.3.1 Keeping of corporates documents

A BVI BC must keep the following documents at the office of its registered agent: the memorandum and articles of the company; the register of members and the register of directors; copies of all notices and other documents filed by the company [with the Registry] in the previous 10 years.¹⁵⁰ IBCs generally keep corporate records at the address of the registered office, which will probably, but does not have to, also be the office of the registered agent.

A BVI BC may keep minutes of meetings and resolutions of members and of directors at the office of the registered agent, or at such other place, within or outside the BVI, as the directors may determine.

Furthermore, the BVI BC may keep at the office of its registered agent or at such other place or places, within or outside the BVI, as the directors may determine, the records and underlying documentation of the company, including accounts and records, such as invoices, contracts, and similar documents, in relation to: all sums of money received and expended by the company; all sales and purchases of goods by the company; the assets and liabilities of the company.

2.3.2 Accepting service of process

Service of a document may be effected on the company by addressing the document to the company and leaving it at or sending it by a prescribed method to either the company's registered office or the office of the company's registered agent.¹⁵¹

2.3.3 Notifying the registrar of changes of directors

Where the company keeps a copy of the register of directors at the office of its registered agent, it shall notify the registrar of any change within a specified number of days.

2.3.4 Keeping the common seal

A BVI BC is required to have a common seal, which should be kept at the office of the registered agent.¹⁵² IBCs generally may have a seal, and if they do, it is kept at the registered office (usually the same address as the location of the registered agent).

2.3.5 Complying with reasonable requests of the board

Subject to the memorandum and articles of the company, the registered agent shall act on the instructions of the directors of the company when such instructions are contained in a resolution passed by the board.

150. Sections 96 and 102 of the BVI BCA. Corporate records for IBCs are kept at the registered office – s.67 of the IBCA of the Bahamas.

151. Section 101 of the BVI BCA; s.66 of the IBCA of the Bahamas.

152. Section 102(2) of the BVI BCA; kept at the registered office of IBCs – s.67(3) of the IBCA of the Bahamas.

2.3.6 Attesting documents

The *ultra vires* doctrine, so far as it affects the powers of the board of directors to enter into contracts, deals and transactions on behalf of the company, is simplified for IBCs. Provided a contract or other legal document is signed by a director whose signature is attested (witnessed) by the registered agent, the contract is deemed to be within the powers of the directors and valid.¹⁵³ But this does not apply to BVI BCs, which have simpler provisions than IBCs – see s.31 of the BVI BCA.

2.4 Summary

In conclusion, the role of a registered agent is not dissimilar to that of a company secretary insofar as they are appointed by the board and are required to comply with lawful instructions issued by board resolution. Nonetheless, a registered agents' main function is to ensure that the company complies with its rules of corporate governance. There is also an element of regulatory control insofar as the company has an officer who resides within the jurisdiction, and is accountable to the regulator, should information be sought during an investigation. The function of a registered agent can therefore be summarised quite succinctly: it is basically to ensure compliance with all the statutory requirements of the companies legislation and associated regulations. In default, the registered agent can be found criminally responsible. For example, s.243 of the BVI BCA 2004 provides:¹⁵⁴

'Where an offence is committed under the BVI BCA and a director or other officer of the company knowingly authorised, permitted or acquiesced in the commission of the offence, the director or officer is also guilty of that offence and shall be liable to the same criminal penalty.'

153. Section 73(2) of the IBCA of the Bahamas.

154. Similar provision exists in the Bahamas – s.178 of the IBCA 2000.



Learning outcomes

By the end of this module you should:

- be able to ascertain whether a company secretary is required for private companies in the jurisdiction where you work or have some other connection
- know the procedures for the appointment, removal and retirement of a company secretary and how these are covered in typical articles
- be able when appointed, to comply with the duties of a secretary
- be able to describe the usual powers conferred upon, and delegated responsibilities of, a company secretary
- be able to demonstrate an understanding of the functions and practice of the company secretary
- be able to advise upon the potential liability of the company secretary
- appreciate the role, powers and duties of a registered agent under jurisdiction-specific, (I)BC, statutory provisions.

Module 9:

Self-assessment questions

1. Is there a requirement for a company to have a secretary? If so, or if one is desired, who may be appointed as company secretary?
2. Highlight the possible problems of a person acting as a sole director as well as company secretary.
3. Explain how the perception of the role of the company secretary has changed over the years.
4. For companies that have appointed a company secretary, describe the usual duties of the secretary in relation to the maintenance of the company in good standing.
5. Suggest why the laws of some offshore centres (such as Bermuda) require certain types of corporate entity to appoint a locally resident company secretary. Why do the laws of the IBC jurisdictions, such as the BVI, Bahamas and Isle of Man (for the New Manx Vehicle) require a registered agent?
6. Describe the items that a company secretary may send to members from time to time.
7. List the type of statutory filings that a company secretary may be required to make.
8. Explain who usually has the power to appoint and remove a company secretary and how this is achieved.
9. Review the potential liability of a company secretary.
10. Suggest ways in which the potential liability of a company secretary may be reduced.
11. The legislation of which jurisdictions make the appointment of a registered agent mandatory?
12. What are the pre-requisites of a registered agent?
13. How is the initial registered agent of an IBC appointed?
14. Is it lawful for a registered agent to retire? If so, describe the required procedure if a new one is not immediately appointed.
15. Describe the role and responsibilities of a registered agent of a BVI BC.

Module 10:

Company Decision-making Procedures



Module 10:

Company Decision-making Procedures



Learning objectives

The purpose of this module is to:

- explain the difference between the decision-making powers of the board of directors and the powers of shareholders of a company in general meetings
- review the procedures for convening and conducting general meetings of shareholders
- review the procedures for convening and conducting board meeting
- summarise and illustrate other decision-making procedures
- develop your drafting skills, with particular emphasis on drafting notices, resolutions and minutes of meetings.

Introduction

A company is unable to make decisions for itself. Instead, it requires the thought processes and actions of its members and directors.

In this module, we consider ways in which the corporate decision-making process is performed. Particular emphasis is placed on practical issues with which those who administer offshore companies should be familiar, such as the preparation of different types of resolution and the drafting of notices and minutes of meetings. After an introduction to the subject of company decision making, in particular a review of the division of power between shareholders and directors (in section 1), we deal with the procedural requirements for meetings of shareholders (section 2) and directors (section 3). In the final section, we consider the procedures for carrying out specific corporate actions.

1. The division of power between the directors and the members

A company has two power bases:

- i. the board of directors, who are generally given decision-making powers to enable them to manage the affairs of the company on a day-to-day basis, and whose collective decisions and actions are binding on the company; and
- ii. the members, who are the owners of the company.

As discussed in Modules 7 and 8, the actions of the board of directors should always benefit the company. In other words, their actions should ultimately benefit all the shareholders. In view of this, the members of a company have certain rights and powers designed for supervision and oversight and to hold the directors to account.

Owing to the division of power within a company, there are certain decisions that can be taken only by the shareholders, and others that should be taken only by the board of directors. Those who administer offshore companies should, therefore, have a sound working knowledge of the division in the decision-making process and understand who can make which decisions on behalf of a company.

Before we look in detail at the decision-making processes of the members and the directors, please note that we can cover only general issues in this section. This is because a company's internal rules and regulations are determined (within the broad framework of applicable companies legislation) by the constitution of the particular company concerned, i.e. its memorandum and articles. There are many variations. Accordingly, before proceeding with any action on behalf of a company, one should first determine whether the proposed action is within the laws of the centre concerned, and then consult the company's memorandum and articles of association in so far as they affect or relate to the proposed action.

2. General meetings of shareholders

2.1 Types of general meeting

A 'general meeting' is the term applied to meetings held by the shareholders of a company whose names are listed in the register of members.¹⁵⁵ When the articles follow the traditional onshore company model, such as Appendix 1B of the online Study Resources, there are two types of general meeting. Note, however, that the statutory requirement to hold an AGM has been abandoned for private companies incorporated in England and in most offshore jurisdictions, where it is optional.

2.1.1 Extraordinary general meetings (EGMs)

An 'EGM' is basically any type of general meeting of the company apart from the annual general meeting.¹⁵⁶ An EGM is often convened to discuss business that cannot be deferred until the next annual meeting. The directors usually have the power to convene an EGM,¹⁵⁷ although the members also have the power to requisition such a meeting, provided that a specified number of shareholders are party to the requisition (see section 2.2.1 below).¹⁵⁸

2.1.2 Annual general meetings (AGMs)

Companies have historically been required to convene and hold a meeting of the shareholders on an annual basis. The AGM is no longer compulsory in most jurisdictions. But traditional articles adopted by old or individual special-purpose companies may impose an obligation to hold one, in which case an AGM must be held. In these circumstances, the timing of the first annual meeting is usually within 18 months of incorporation. Subsequent annual meetings are usually held once every calendar year and not more than 15 months apart.¹⁵⁹

155. If a company has issued preference shares, the holders of non-voting preference shares of a particular class are disenfranchised insofar as they are not entitled to attend general meetings and vote. In these circumstances you should check the terms of issue to establish the rights conferred upon the holders of preference shares.

156. See art.10.3, Appendix 1B.

157. See art.10.4, Appendix 1B.

158. See art.10.4, Appendix 1B, which provides that any members of the company together holding 10% of the shares may convene an EGM.

159. See arts 10.1 and 10.2, Appendix 1B.

The business usually conducted at an AGM includes:¹⁶⁰

- consideration of the annual accounts and reports, if applicable
- the declaration of a dividend, if applicable
- retirement and appointment of directors if retirement is by rotation or otherwise applicable
- appointment and remuneration of the auditors, if applicable.

Depending on the provisions contained in the articles, notice of a general meeting (EGM or AGM) must be sent to every member.¹⁶¹ If there are members who do not have voting rights, suitable wording should be included in the notice, confirming that it is being sent to them for information purposes only. In such cases, it is advisable to state that receipt of the notice does not confer any right to attend and vote.

In view of the nature of the business usually conducted at the AGM, and in order to streamline administration procedures, most offshore jurisdictions allow a company to dispense with the requirement to hold an AGM.¹⁶²

2.2 Convening a general meeting

2.2.1 Who can convene a general meeting?

Each company has its own rules set out in its articles, governing how and when a general meeting should be held and who is able to call such a meeting.

Standard articles provide that the directors have the power to convene a general meeting. This is done simply by passing a board resolution (a specimen is illustrated in Appendix 25A of the online Study Resources) and instructing the secretary or corporate service provider to issue a notice of the intended meeting. The members also often have the right to make the directors call a meeting in certain circumstances, such as when at least 10% of the members with voting rights want an EGM to be held.¹⁶³ A specimen request of shareholders addressed to the board to convene a general meeting is illustrated in Appendix 25B of the online Study Resources.

The articles typically require proper notice of a proposed general meeting to be given to the shareholders.

2.2.2 Length of notice period

The articles usually specify the notice period that is required for certain types of business.¹⁶⁴ For instance, it could be seven, 10, 14 or 21 days. The articles may state that the period of notice must be measured by 'clear days'. In calculating 'clear days', the date of service of the notice and the date of the proposed meeting are not included.

160. See art.12.1, Appendix 1B.

161. See art.11.1, Appendix 1B; art.48(1)(a), Appendix 1C of the online Study Resources.

162. Companies incorporated in the following jurisdictions are required to hold an AGM only if specified in the articles, or they may expressly resolve to dispense with an AGM by resolution: the Bahamas (for IBCs); BVI; Guernsey; Hong Kong; (for dormant companies only, per s.611 of the Companies Ord., Cap 622) Isle of Man (for the New Manx Vehicle); Jersey; Turks and Caicos Islands (for exempt companies); Cayman Islands (for exempt companies); Singapore (for private companies – s.175A of the Companies Act Cap 50, consolidated 2017). AGMs are still required in Bermuda (s.71 of the Companies Act 1981).

163. This has a statutory basis in some jurisdictions and is based upon the provisions of the Companies Act 1948 s.132. See art.10.4, Appendix 1B; art.37(1A), Appendix 1C.

164. See art.11.1, Appendix 1B; art.48(1)(a), Appendix 1C.

2.2.3 Short notice

In practice, most general meetings of offshore companies are held with little or no notice period, because nominee shareholders are usually provided. Even if nominee shareholders are not provided, however, shorter notice than that specified in the articles is often permitted by standard articles that provide that, if all (or a specified proportion of shareholders, such as 95%) agree to waive or shorten the notice period, such notice (and therefore business transacted at the meeting) is valid.¹⁶⁵ A form of consent to short notice is illustrated in Appendix 25C of the online Study Resources.

If short notice is sanctioned, or notice is waived, the minutes of the meeting should refer to the fact that the necessary consents were given for the notice period to be shortened or waived altogether.

2.2.4 Service of notice

A copy of the notice should be sent to all members entitled to attend and vote at the proposed meeting, and in some circumstances, when auditors have been appointed, a copy must also be sent to them.

The notice of a general meeting must be in writing and standard articles specify how notices are to be served.¹⁶⁶

i. Notice by post

Notices may be sent by post to the registered addresses of the members stated in the register. This may create problems if a notice becomes lost in the postal system. Accordingly, to combat this, it is customary for the articles to state that a notice that has been properly addressed, stamped and posted is deemed to have been received by the member.¹⁶⁷ The actual date upon which a member is deemed to have received notice is another issue. The articles of onshore companies often assume that safe delivery is effected within 48 hours of posting, whereas companies located in offshore centres need to take into account overseas postal times, which vary from country to country.¹⁶⁸

ii. Special delivery

To combat arguments caused by posting notices, many service providers prefer to send notices by special delivery, registered post or by a recognised courier agent. Not only will the date of dispatch be recorded but also the date of delivery.

iii. Notice by fax or email

These are popular alternative, modern, methods of service, although the articles must specifically authorise this method to be used¹⁶⁹ (as there may be arguments over whether the fax or email has been safely received in legible format).

165. See art.11.2, Appendix 1B; art.48(1)(a), Appendix 1C.

166. See art.27.2; Appendix 1B; art.48(1)(d), Appendix 1C.

167. See art.27.1, Appendix 1B; art.48(1)(c) and (d), Appendix 1C.

168. See art.27.2, Appendix 1B; art.48(1)(c) and (d), Appendix 1C.

169. See art.27.1(c) and 27.1(d), Appendix 1B; art.48(1)(c) and (d), Appendix 1C.

2.2.5 Contents of a notice

Companies legislation does not prescribe any particular style for the notice of a general meeting. It is common practice, however, for the articles to state that the following must be included:

- the name of the company
- the type of general meeting to be convened, e.g. AGM or EGM
- the place, date and time of the proposed meeting
- a summary of the topics to be discussed at the proposed meeting (a typical article¹⁷⁰ provides that the notice should include ‘... in the case of special business, the general nature of that business’ – ‘special business’ being any business other than the matters usually dealt with at the AGM, and listed in section 2.1.2 above).

The notice should be signed, usually by the company secretary, who has prepared it on the instructions of the directors.

A specimen notice for an AGM is illustrated in Appendix 25D of the online Study Resources, and for a general meeting, other than an AGM, sometimes called an EGM, is illustrated in Appendix 25E of the online Study Resources.

2.2.6 Failure to give notice

Depending on any contrary provisions in the articles, failure to give proper notice to all those who are entitled to receive such notice invalidates the proceedings of the meeting. A standard article¹⁷¹ provides that accidental omission to give notice does not, however, invalidate matters.

Unfortunately, it is not always clear what constitutes ‘accidental’. In addition, it may generally be assumed that a shareholder who attends a meeting, either in person or by proxy, has received valid notice.

Many offshore service providers do not give written notice of general meetings to shareholders of those companies for which they provide the registered shareholders. In such cases, notice is deemed to have been served and received, and paperwork is therefore kept to a minimum. Notice is usually given in all other cases.



Task 10.1

Review the standard articles of companies under your management. Alternatively, review the articles contained in Appendix 1B. Summarise the procedures required to convene and conduct general meetings. In particular, consider the following.

1. Who may convene a general meeting?
2. What period of notice ought to be given (and is it calculated by ‘clear days’)?
3. May proper notice be waived or reduced? If so, how?
4. Which matters should be addressed in the notice?
5. What is the effect of an accidental failure to give proper notice?

170. See art.11.1, Appendix 1B; art.48(1)(a), Appendix 1C.

171. See art.11.3, Appendix 1B; art.48(1)(b), Appendix 1C.

2.3 The agenda

An agenda is basically an aide-memoire for use by the chairman of the meeting, as well as those entitled to attend. The notice summarises the main items of business to be discussed at a general meeting. An agenda provides a list, in correct order, of **all** matters to be covered at the meeting, not just the main business. The order is often determined by the complexity of the matters to be discussed – usually items that require little or no discussion are covered first. The order can be altered, however, and new items added if necessary.

The following items are usually included in an agenda for a general meeting:

- receipt of apologies from those unable to attend
- confirmation of who is present by proxy
- a review of the minutes of the previous meeting, a discussion of any matters arising from those minutes, and the adoption of those minutes, amended if appropriate
- the business covered in the notice
- any other business
- the proposed date of the next meeting.

An agenda is not always considered necessary for members' meetings of offshore companies where the registered shareholders are provided by the offshore service provider.

2.4 Appointment of a proxy

Typical articles provide that a member who is unable to attend and vote at a general meeting may appoint someone to attend and vote on their behalf.¹⁷² This person is called a proxy and may be the chairman of the meeting, another member who can attend or some other person who is not connected with the company.

Usually, proxies have the right to speak at the meeting for which they have been appointed. The articles of some companies provide that a proxy may vote on a poll only; they cannot vote on a show of hands.¹⁷³ Proxies are expected to vote in accordance with the instructions of the registered shareholders they represent, although there may be occasions when a proxy is given discretion to decide what is appropriate. An example of a so-called open proxy is illustrated in Appendix 25F of the online Study Resources, and a specific proxy, instructing the proxy how to vote, in Appendix 25G of the online Study Resources.

If the registered shareholder is a corporate entity owned by a service provider, it is common practice for the corporate entity to appoint an individual to act as its proxy at general meetings of the companies for which it acts. These individuals tend to be senior officers of the service provider. Forms of proxy are required for each company concerned.

Alternatively, a corporate shareholder may appoint a representative to act on its behalf. This circumvents the need for it to appoint proxies for each meeting of client

172. See arts 13.2, 13.3, 13.5–13.9, Appendix 1B; art.45, Appendix 1C. In some jurisdictions, such as England under the Companies Act 2006, this is a statutory right.

173. See arts 13.1, 13.5 and 13.6, Appendix 1B; arts 45 and 46, Appendix 1C.

companies.¹⁷⁴ An example of a resolution of the board of a corporate shareholder appointing a corporate representative to attend a specific shareholders' meeting, or generally, is illustrated in Appendix 25H of the online Study Resources. A notice of the appointment of a representative of the corporate shareholder to the company in which the corporate shareholder holds shares is illustrated in Appendix 25J of the online Study Resources.

2.5 Quorum

In order for the decisions made at a general meeting of the shareholders of a company to be valid, the meeting must be properly convened and constituted. The notice requirements determine whether a meeting has been properly convened. In order for a meeting to be properly constituted, a certain minimum number of people, the quorum, must be present either in person or by proxy. In other words, the meeting must be quorate before any business can be transacted.¹⁷⁵

2.5.1 Usual number

The minimum number of members of a company is prescribed by applicable companies legislation. It used to be two, but a sole shareholder is now allowed in most jurisdictions. Nonetheless, the articles may fix the quorum at a higher number, such as three or more. Whether a person who attends a meeting by telephone or by video conferencing facilities is considered to be 'present' depends on the specific provisions of the articles.¹⁷⁶

A member who attends a meeting on their own behalf while also acting as a proxy for another member counts only as one person present.

2.5.2 Inquorate meetings

If a meeting is held and there are insufficient members present, the meeting is said to be inquorate and should be adjourned. The business, if any, conducted at an inquorate meeting is invalid.¹⁷⁷ If the meeting becomes inquorate during the course of the meeting, perhaps as a result of a member having to leave midway through the proceedings, only those matters addressed after the member's departure are invalid.

2.5.3 Single member companies

Single member companies do not have general meetings. Instead, written resolutions are passed by the single member. Although it is illogical for a single shareholder to have a 'meeting' with only one person being present, for company law purposes, unless the articles provide otherwise, this is a valid 'meeting'.

Some service providers record decisions taken by the single member in the form of minutes of a general meeting. This is acceptable provided the minutes contain details of the resolutions passed and have ideally been signed by the single member. But, arguably, a written resolution is more appropriate, such as the ones illustrated in various Appendices.

174. See art.14, Appendix 1B.

175. See art.12.2, Appendix 1B; art.38, Appendix 1C.

176. See art.37(1), Appendix 1C.

177. See art.12.3, Appendix 1B, art.38, Appendix 1C.

2.6 Role of the chairman

For a meeting to be properly constituted, typical articles provide that a chairman must be appointed.¹⁷⁸ The chairman of a general meeting may be the chairman of the board of directors, although in offshore companies it is usual practice for the members to appoint someone from their ranks to act as chairman.

The usual role undertaken by the chairman is:

- to confirm that the meeting has been properly convened
- to confirm that a quorum is present
- to preserve order
- to ensure that the business as set out in the notice or agenda is covered
- to ensure decisions are taken if required
- to ensure that minutes of the meeting are kept.

2.7 Role of the secretary

When a company has a secretary, the secretary is usually responsible for:

- preparing and circulating the notice and agenda before a meeting
- organising the venue
- collating or preparing any supporting paperwork, such as reports that may be required for the meeting.

The company secretary normally attends the meeting to assist the chairman by taking notes, and may eventually be required to prepare the minutes and circulate copies to those entitled to receive them.

It is not necessary for an appointment of a secretary to be made in order for the meeting to be properly constituted. In jurisdictions that do not require a company to have a secretary, and the board of the company have decided not to have one, the functions of the secretary are delegated to the corporate service provider.

2.8 Motions and resolutions

A motion is essentially a proposal raised at a meeting for consideration. It may be recorded by stating 'It was suggested that ...' or '[name] moves that ...'. Once a motion has been passed, it becomes a resolution. A resolution is, therefore, a decision that has been reached by the company in general meeting.

There are, following traditional English companies legislation, two types of resolution that may be passed in a general meeting: an ordinary resolution or a special resolution.

Whether an ordinary or a special resolution is required depends upon the importance of the motion proposed and is determined by either the provisions of applicable companies legislation or by the provisions of the articles. The rule is this: ordinary business of the type routinely conducted at the AGM requires an ordinary resolution; special business requires a special resolution.

¹⁷⁸. See art.12.4, Appendix 1B; art.39, Appendix 1C.

Ordinary resolutions require a simple majority of votes in favour of the motion.

To be passed, special resolutions require a supermajority in their favour. They are required in order to transact business of significance, other than general business. A special resolution is usually required to deal with major decisions affecting the company, such as an alteration to the memorandum or articles of association, a reduction of share capital or a change of name, to migrate, to place a company into voluntary liquidation or to vary the rights of a class of shareholders. This type of resolution usually requires a two-thirds or three-quarters majority, depending upon the provisions of applicable companies legislation.¹⁷⁹ Copies of special resolutions have to be filed with the registrar of companies.

Note that IBCs, BVI BCs and the New Manx Vehicle do not distinguish between ordinary or special resolutions (unless specifically provided for in a company's articles). A resolution of the shareholders of these companies in general meeting can be passed by a simple majority.¹⁸⁰

2.9 Voting at general meetings

According to typical articles of companies across all jurisdictions, there are two ways in which voting can be conducted and votes counted: either by a show of hands or by a poll.

2.9.1 Show of hands

Those members who are present vote by raising their hands either in support of or against a motion. Typical articles¹⁸¹ state that one vote is allocated to each member present and proxies are not able to vote. A simple majority of votes cast determines the outcome of ordinary resolutions.

If there is a tie, the chair typically will have a casting vote.¹⁸²

The articles usually contain provisions that deal with how voting should be conducted where there are joint holders, in which case it is usually the first-named person on the register of members who is able to vote.¹⁸³

2.9.2 Poll

Typical articles¹⁸⁴ provide that the chair or members commanding a sufficient proportion of votes may request that, instead of a show of hands, a vote may be carried out by a poll. In a poll, each member is allocated a number of votes in accordance with

179. Sections 282 and 283 of the current English Companies Act 2006 require a special resolution to be passed by a majority of not less than 75%. In the offshore jurisdictions it is a supermajority of either two-thirds or three-quarters; Bermuda – s.77(2) of the Companies Act 1981: 'such majority as the articles may prescribe'; Cayman Islands – s.60 of the Companies Law 2020: not fewer than two-thirds; Gibraltar – s.163 of the Companies Ord 2014: not fewer than three-quarters; Guernsey – s.178 of the Companies (Guernsey) Law 2008: not fewer than three-quarters; Hong Kong – s.564 of the Companies Ord Cap 622: not fewer than three-quarters; Jersey – art.90(1A) of the Companies (Jersey) Law 1991: not fewer than two-thirds; Singapore – s.184 of the Companies Act Cap 50: not fewer than three-quarters.
180. Section 2(4) of the IBCA 2000 (Bahamas) and s.81(2) of the BVI BCA 2004 state that a resolution of members means an affirmative vote of a simple majority, or such larger majority as may be specified in the articles, of members present at the meeting and entitled to vote and who did not abstain. Section 67(7) of the Companies Act 2006 of the Isle of Man states that, subject to the requirement for a higher majority specified in the articles, a resolution of the members of a company is passed if it is approved by members holding a majority in excess of 50% of the voting rights.
181. See art.13.1, Appendix 1B; art.42, Appendix 1C.
182. See art.12.9, Appendix 1B; art.13, Appendix 1C.
183. See art.13.2, Appendix 1B; art.31(c), Appendix 1C.
184. See art.12.6, Appendix 1B; art.44(2), Appendix 1C.

the number of shares owned. Voting by a poll is usually undertaken by ballot in writing, and ballot papers are used to record the votes cast. Proxy votes count on a poll.

2.10 Adjournments

It is possible for a meeting to be halted before all the business mentioned in the notice or agenda has been covered. This is called an adjournment and may be required, for example, if order during the meeting has been lost and cannot be restored, or if further information is required to enable discussions to continue. Those present may ask the chair to adjourn the meeting, or in some cases, the chair may have the power to make this decision.¹⁸⁵

If a meeting is adjourned, it should be resumed in due course. The new meeting is considered to be a continuation of the one that was halted. As such, only business that had not been discussed and resolved should be covered at a reconvened meeting following an adjournment. Notice of the resumed meeting is often required.¹⁸⁶

2.11 Format of the minutes of a meeting

A permanent record should be prepared of matters that have been discussed and resolved at a general meeting. This record traditionally takes the form of minutes of the meeting. There is no statutory requirement as to the form of the minutes of a general meeting, although the following matters are often covered:

- The type, date and place of the meeting are generally used as the main heading of the minutes.
- The persons present (either in person or represented by proxy) are listed, as are those persons who have submitted apologies for absence.
- The chair is elected.
- The person taking the minutes, as secretary of the meeting, may be referred to (although this is not necessary).
- It is confirmed that the required period of notice for the meeting has been given (or that a shorter notice period has been accepted).
- It is confirmed that a quorum is present.
- The business, as set out in the notice or agenda, is then dealt with item by item. Once a decision has been reached, the term 'It was resolved' (or 'Resolved') is generally used ahead of an accurate written description of the decision reached.
- Once all the itemised business has been dealt with, the minutes cover any other business raised by those present.
- Once the other business has been covered, if there is any, the chair brings the meeting to a close.
- Finally, the minutes are usually signed by the chairman of the meeting or by the chair of the following general meeting. Signing the minutes in this way signifies that the minutes represent a true record of what was discussed and resolved.

For an example of minutes of a traditional annual general meeting see Appendix 25K of the online Study Resources. For an example of minutes of a general meeting, or extraordinary general meeting, see Appendix 21D of the online Study Resources.

185. See art.12.5, Appendix 1B; art.41, Appendix 1C.

186. Under art.12.5 of Appendix 1B, notice of the resumed meeting is required only if the adjournment is for more than 10 days; see also art.41, Appendix 1C.

For the purposes of this illustration, the resolution in 21D is immaterial, although you should note the top and tail, i.e. how the preliminary matters are recorded and how the chairman brings the meeting to a close.

2.12 Filing

Some types of special resolution should be filed with the registrar, such as a resolution to change the company's name, or alter its constitutive documents, as well as being recorded in the company's minutes. A form of resolution for filing with the registrar is illustrated in Appendix 25L of the online Study Resources.

Ordinary resolutions, where there is no requirement to file with the registrar, should merely be filed in the company's minute book.

3. Directors' meetings

The day-to-day management of a company, in almost all cases, rests with the directors. From time to time, the directors meet to discuss items of business that require a decision. Many of the principles that apply to the conduct of general meetings of shareholders also apply to meetings of the board of directors, but there are a few differences.

3.1 Convening a directors' meeting

The laws of some offshore centres used to stipulate that a directors' meeting must be held at least once a year.¹⁸⁷ This statutory requirement has now been dispensed with and the timing of meetings is generally not stipulated. A meeting is required whenever the directors are faced with a business decision, and therefore the frequency of board meetings tends to be determined by the level of activity of the company.¹⁸⁸ Usually, any single director can call for a board meeting to be held.¹⁸⁹

3.2 Notice

Although the articles prescribe the notice requirements for a members' meeting, in most cases, for the period and method of notice for a directors' meeting, it is left to the directors to decide what is appropriate in the circumstances. The result is often that short or reasonable notice only is required, which may be communicated verbally rather than in writing.¹⁹⁰

3.3 The agenda

Although not a requirement, the preparation and circulation of an agenda can be useful for board meetings if the business to be discussed requires reasoned consideration before the meeting is held.

187. There are no statutory rules as to the location and frequency of a directors' meeting in the Bahamas, Bermuda, the BVI, the Cayman Islands, Gibraltar, Guernsey, Hong Kong, Jersey, Isle of Man, Singapore or Turks and Caicos Islands. Exempted companies incorporated in the Cayman Islands used to be required to hold at least one board meeting in the Cayman Islands each year, but this was repealed in 2002.

188. See art.20.1, Appendix 1B; art.16(2), Appendix 1C.

189. See art.20.3, Appendix 1B; art.9(1), Appendix 1C.

190. See art.20.1, Appendix 1B; art.9(2) and art.48(2), Appendix 1C.

3.4 Appointment of an alternate

A director who is unable to attend and vote at a meeting of the directors may be allowed, by the articles, to appoint someone else to attend instead; this person is called an **alternate director**.¹⁹¹ Once appointed, the alternate director is bound by the same duties and responsibilities as the other directors. An alternate director should only make decisions that they believe to be in the interests of the company and should not act slavishly in accordance with the instructions or wishes of the director for whom they are acting. In England the new Model Articles introduced in 2008 do not contain provisions for the appointment of an alternate director, so special articles are needed when alternate directors are desirable.

3.5 Quorum at a directors' meeting

A quorum of directors is required before they may dispatch business. The actual number depends on the articles. At least two directors or a majority of directors present, or represented by an alternate, usually constitute a quorum,¹⁹² although it may be one if a sole director is appointed.

3.6 Conduct of board meetings

A meeting of the directors can be an informal affair, because most companies allow their directors to hold and conduct meetings as they consider appropriate. Even so, it is usual for every meeting to have a chair.¹⁹³

3.7 Resolutions

There is only one type of resolution that can be passed by the directors. These are decided by majority vote.¹⁹⁴ The articles typically confer upon the chairman a second, casting vote in the event of a tie.¹⁹⁵

3.8 Form of minutes and resolutions

The general form of directors' minutes and resolutions is much the same as that applicable to members' minutes and resolutions.



Task 10.2

Review the standard articles of companies managed by your organisation.

Alternatively, review the articles contained in Appendices 1B and/or 1C. Summarise the procedures you must follow to convene and conduct meetings of the board of directors. In particular, consider the following questions.

1. How often should directors' meetings take place?
2. What notice, if any, is required and how should notice be communicated?

191. See art.20.16, Appendix 1B; art.16(1) Appendix 1C. In England the new model articles do not contain provisions for the appointment of an alternate director, so if this is required, a special article similar to the above should be adopted.

192. See art.20.4, Appendix 1B; art.11, Appendix 1C.

193. See art.20.1 and 20.9, Appendix 1B; art.12, Appendix 1C.

194. See art.20.2, Appendix 1B; art.7, Appendix 1C.

195. See art.20.2, Appendix 1B; art.13, Appendix 1C.

3. May a director appoint an alternate?
4. What is the quorum?
5. Is a majority vote sufficient to pass a resolution?
6. Does the chair have a casting vote?

4. Written resolutions

Instead of holding a meeting to discuss business and pass resolutions, it is nowadays possible for a written resolution to be circulated to the members and/or directors, who may sign it if they are in agreement.¹⁹⁶

A shareholders' written resolution must be circulated to all members who have the right to attend and vote at a general meeting and, in order for the resolution to be passed, it must be signed by all such members. The date the last signature is obtained is usually treated as the date on which the resolution is passed.

Usually, notice of the intention to circulate a written resolution must be given to the auditors (if appointed), who may decide that a meeting, rather than a written resolution, is necessary to cover the business proposed.

Depending on the provisions in the articles, it is usually possible for written resolutions to be passed by the directors along the same lines as for members. Written resolutions, whether they are resolutions of the members or of the directors, are popular ways of transacting business. They are convenient and extremely useful where a decision is required, but it is not possible to convene a meeting owing to the absence or unavailability of one or more of the people required to attend.

5. Corporate procedures

This final section provides concise summaries of some of the more common corporate procedures, sometimes known as corporate actions, which require resolutions to be passed.

5.1 Procedure for annual general meetings

Depending upon the type of business to be transacted and the terms of applicable companies legislation and the articles of the company under scrutiny, it may be necessary to follow the procedure below for a company's AGM.

- Prepare draft financial statements (and director's report, if required or deemed necessary); and obtain the approval of the company's auditors in the unusual circumstances when they have been appointed.
- Convene and hold a meeting of directors to resolve to convene an AGM, approve the financial statements (and directors' report) and recommend the payment of a dividend.
- Convene the AGM and serve proper notice.
- Hold the AGM, obtain forms of appointment of corporate representatives and forms of proxy, and transact the usual business by passing all appropriate resolutions.

196. See arts 13.10, 20.5 and 20.15, Appendix 1B; arts 8 (2) and 42(2), Appendix 1C.

- Draft minutes of the meeting for signature by the chairman and file in the company's minute book.

Clearly not all these steps are necessary for a company under the management of offshore service providers (indeed, an AGM may well be waived altogether). Nonetheless, it is illuminating to realise the hoops that even private companies have to jump through to comply with traditional onshore requirements.

5.2 Change of directors

Subject to the provisos mentioned in the introduction to section 5.1 above, it may be necessary to follow the procedures below to effect a change of directors.

- Check the articles to ascertain the provisions relating to the retirement of directors; for instance, whether a notice period is required, or whether the resignation has to be in writing.
- Obtain the proposed new director's written consent to take up office.
- Convene a meeting of the board of directors, or the shareholders, as appropriate, depending upon who has the power to appoint subsequent directors, and pass an appropriate resolution.
- Prepare minutes for signature by the chair.
- Update the register of directors and officers.
- The new director may enter into a formal DSA with the company.
- File notification with the registrar of companies giving details of the resignation and appointment of a new director.

5.3 Transfer of shares

Subject to the usual provisos and, in particular, on the assumption that all compliance requirements have been met in relation to AML, counter financing of terrorism (CFT), FATCA and CRS, it is necessary to follow the corporate procedures below to transfer shares.

- Check the articles to ascertain whether any pre-emption rights have been observed (or whether the shareholders have waived their rights).
- Company secretary/administrator receives the share transfer form, duly executed by the transferor and transferee, together with the transferee's share certificate, which has to be surrendered.
- Convene and hold a board meeting to resolve to approve the transfer.
- Update the register of members and register of beneficial owner, or equivalent.
- Cancel the old certificate (by writing 'cancelled' across it), prepare and issue a new certificate to the transferee.
- [Make a return to the registrar of companies, if necessary.]

If it is only the beneficial ownership of the shares that is being transferred, all that is necessary is an irrevocable written instruction to be given by the beneficial owner (similar to the one illustrated in Appendix 26 of the online Study Resources) for the service provider to execute a new shareholder nominee agreement (Appendix 27A of the online Study Resources) or declaration (Appendix 27B of the online Study Resources) and update the register of beneficial owners, or equivalent.

5.4 Change of registered office

Subject to the aforesaid provisos, it is usual to follow the procedures below to change the registered office of the company to another address situated within the same jurisdiction.

- The director(s) pass a board resolution to change the address of the company's registered office.
- The secretary/service provider makes a return to the registrar notifying the registrar of the change.
- The secretary/service provider amends company stationery, name plate, etc.
- Secretary/service provider transfers all statutory registers to the new address and notifies the company's bankers, brokers and other interested parties.

5.5 Increase authorised capital

Subject to the usual provisos, typical procedures for increasing the authorised share capital of a company involve the following steps.

- Convene and hold a board meeting to recommend the proposed increase in share capital.
- Convene and hold an [extraordinary] general meeting of shareholders and pass a resolution to increase the authorised capital; in those jurisdictions that follow the 1948 Act model, a special resolution is required.
- File a copy of the [special] resolution with the registrar of companies, notifying the registrar of the resolution.
- Endorse the amendment upon the company's memorandum of association.

5.6 Change of company name

Subject to the usual provisos, typical procedures for changing the company's name involve the following steps.

- Seek approval of the proposed new name from the registrar.
- Convene and hold a meeting of directors to recommend that the company's name be changed.
- Convene and hold a shareholders' meeting to resolve a change of name of the company which, according to the 1948 model, requires a special resolution.
- File a notification with the registrar, advising them of the name change.
- Endorse details of the change of name on the memorandum and articles of association.
- Amend company stationery and name plate at the registered office, etc.
- Notify the company's bankers, brokers, creditors, insurers, customers and other relevant third parties.
- Obtain a new company seal, if necessary.

5.7 Dividends from companies with traditional articles

A company incorporated in jurisdictions that follow the 1948 Act model and that has adopted traditional articles similar to those illustrated in Appendix 1B may declare a dividend for the shareholders at its AGM. When an AGM is dispensed with, or

distributions are to be made otherwise than at the AGM, the following procedure should be followed.

- The directors review the financial condition of the company and establish whether there are distributable profits.
- If so, the directors pass a resolution to convene a general meeting and recommend the payment of a dividend.
- The shareholders meet to consider the recommendation of the board and vote on whether to declare the dividend by ordinary resolution.
- If the resolution is passed, the board instructs the secretary, or service provider, to make the payment by bank transfer. Note that nominee shareholders typically assign all dividends payable to the beneficial owner by terms of a typical nominee shareholder agreement (see para.3 of Appendix 27A).

Streamlined articles may confer on the directors the power to pay not only interim dividends but also a final dividend.

5.8 Distributions from BVI BCs (or Bahamian IBCs)

In practice, transfers of cash to the beneficial owner of asset-holding companies are often made far more frequently than once a year and, accordingly, a streamlined procedure is required. For this reason the old BVI IBCA, mirrored by the Bahamian IBCA, allowed IBCs to declare and pay dividends and distributions by resolution of the directors.¹⁹⁷

The streamlined procedure is carried over into the new BVI BCA 2004, but subject to new requirements and terminology. When the company under management is a BVI BC then '**distributions**' (as defined in s.56(b)) should be '**authorised**' rather than '**dividends declared**'. Under s.57(1), the directors, rather than shareholders, may authorise a distribution and, under s.57(2), the resolution of the directors must contain a statement that, in the opinion of the board, the company satisfies the statutory 'solvency test' (as defined in s.56(b) – see Module 6 section 7.3). In these circumstances, the following procedure is followed.

- The directors review the company's accounting records to ascertain whether there are distributable funds and that the company is solvent and will remain so after the distribution.
- Convene a board meeting or pass a written resolution to:
 - a. confirm the company is solvent and satisfies the statutory solvency test; and
 - b. make the distribution.
- The administrator arranges to make the payment, as directed by the company's nominee shareholder(s), to the beneficial owner by bank transfer.

197. Section 36 of the old BVI IBCA (used as a basis for s.35 of the IBCA 2000 of the Bahamas).

5.9 Procedures for allotting and issuing new shares

According to articles similar to art.2.3 of Appendix 1B, a company should follow these corporate procedures for allotting and issuing new shares.

- The corporate service provider should check the articles to ascertain whether the directors have power to allot and issue shares. (If the directors lack authority, then convene a general meeting (or have the board pass a written resolution), for the purposes of passing a resolution to change the articles to confer authority upon the directors to issue shares.)
- The board of directors negotiates with the prospective investor and, when terms are agreed, the secretary/service provider will typically receive an application to subscribe for shares in accordance with the agreed terms.
- The service provider, on behalf of the board, conducts the required know your client (KYC) procedures for compliance with anti money laundering (AML), combating the financing of terrorism (CFT), Foreign Account Tax Compliance Act (FATCA) and Common Reporting Standard (CRS) requirements.
- Convene a board meeting to pass a resolution (or draft a written resolution) to approve the application to subscribe for shares and resolve to allot and issue the new shares, and seal and deliver a new share certificate.
- The board instructs the company secretary/administrator to prepare and execute a new share certificate and deliver it to the new shareholder in exchange for the receipt of payment of the agreed consideration.
- Secretary/administrator updates the register of members and register of beneficial ownership.
- If necessary, notify the registrar of companies and relevant competent authority [by reporting date].

5.10 Procedures for auditing the company's accounting records and financial statements

According to typical articles such as those illustrated in Appendix 1B, the following procedures should be followed when the shareholders wish to have the company's accounts audited.

- Convene a meeting of shareholders (or the proposal may be made at the company's AGM) to consider whether to have the company's accounting records and financial statements audited.
- Pass ordinary resolutions to:
 - a. have the company's financial statements audited;
 - b. appoint a selected auditing firm; and
 - c. instruct such firm to conduct the desired level of audit.
- iii. Engage the services of the selected auditor and execute an engagement letter.

5.11 Borrowing and security

The articles typically confer upon the board of directors a power to borrow money on behalf of the company. The power may be unrestricted as to amount or be subject to a maximum, beyond which the approval of the shareholders is required.¹⁹⁸

A typical form of borrowing is a bank loan. When the bank allows the company to overdraw its current account, the British refer to this as an overdraft facility; when a company overdraws its checking account the Americans call it a line of credit facility. The borrowing may be unsecured or secured by way of mortgage (often referred to as a 'charge') over the assets of the company. The charge may be fixed and or floating: see the explanation in Module 12 section 1.1.

The corporate procedures for borrowing in this way are as follows.

- The directors resolve to borrow by way of loan agreement (or bank overdraft facility agreement) and to mortgage the company's assets by way of fixed and/or floating charge. A specimen resolution of the board is illustrated in Appendix 25M of the online Study Resources.
- The required documentation is executed and delivered.
- Particulars of the charge must be entered into the company's register of charges. This is a statutory requirement in some jurisdictions, but optional in others: see Module 3 section 4.1.4.

5.12 Complex borrowing transactions

Borrowing from more than one lender can create complexities, particularly when security is given and one lender has priority over the other(s).

The corporate procedures are similar to those described in section 5.11 above, but the resolutions require careful drafting. A further illustration appears in Appendix 25N of the online Study Resources. Clearly, in these circumstances, the company will engage attorneys to act for the company, so it may be a good idea to instruct them not only to approve the mortgage documentation, but also to draft the resolutions.



Task 10.3

Create a precedent file containing examples of minutes and resolutions that you and your organisation have used for different events and actions of managed companies. This file can provide a useful point of reference and may be expanded to contain examples of local notices, resolutions and minutes together with statutory forms and returns that you may be required to draft from time to time.

198. See art. 19.3 of Appendix 1B (unrestricted borrowing) and alternative article illustrated in the footnote (restricting the directors' power to borrow to a maximum amount).



Learning outcomes

By the end of this module you should:

- understand the division of powers between the directors, who manage the business, and the members, who own it and be aware of the legal aspects of this and the importance of the articles in defining some aspects
- be able to take the required steps to convene, hold and conduct a general meeting including:
 - giving notice to members
 - permitting members to appoint proxies
 - determining the quorum for a meeting and the importance of its being quorate
 - appointing the chairman and secretary
 - conducting the vote, counting votes and recording resolutions
- know how to convene, hold and conduct a meeting of the directors, according to correct procedure
- be able to draft appropriate minutes for a variety of meetings, including recording all resolutions passed.

Module 10:

Self-assessment questions

1. Compare and contrast the powers of the members with those of the directors.
2. When a company holds an AGM, list the items of business usually conducted.
3. What length of notice is required to properly convene a general meeting of shareholders of a company?
4. List the ancillary items that are, by convention, usually included in an agenda for a general meeting of shareholders of a company.
5. Explain the difference between a proxy and an alternate.
6. Describe the typical role of the chairman of a meeting.
7. State how votes are counted according to typical articles at:
 - a. a general meeting of a company
 - b. a meeting of the directors.
8. Should a particular format be followed when drafting minutes of a meeting of shareholders or directors?
9. Outline how you would set out the minutes of a meeting of the directors.
10. According to companies incorporated in jurisdictions that follow the 1948 Act model and have adopted traditional Table A articles, which type of resolution is usually required to:
 - a. appoint additional directors to hold office until the next AGM; and additional directors to hold office until automatic retirement in three years' time
 - b. change the name of a company
 - c. convene a general meeting of the company (sometimes referred to as either an AGM or an EGM)
 - d. change the registered office of a company, but not the jurisdiction of domicile thereof?
11. When is a 'minute' appropriate, and when is a 'written resolution' appropriate?

12. Describe the corporate procedures to be followed to:
- a. appoint new directors following a retirement
 - b. transfer shares to a new shareholder
 - c. change the name of a company
 - d. distribute from an IBC
 - e. appoint auditors.

Module 11:

The Provision of Company Management Services and Beneficial Owner Control



Module 11:

The Provision of Company Management Services and Beneficial Owner Control



Learning objectives

The purpose of this module is to:

- describe the range of company services that are provided by corporate service providers from offshore centres
- review potential problems when the beneficial owner of a company wishes to exercise too much control.

Introduction

In this module, after an introduction of service providers (in section 1), we review a range of services provided by corporate service providers from offshore centres (section 2). We then analyse some of the problems faced by service providers when a client wishes to be involved in the management or day-to-day activities of the managed company (section 3). The regulation of company management business is now dealt with in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

1. The nature of service providers

Company management business is performed by a variety of service providers. At one end of the scale is the independent sole proprietor who offers corporate services from a small, local office. At the other end are the large international banks and trust companies that have offices in a number of jurisdictions, employing hundreds of people to service the requirements of their high-net-worth clients. In the middle are the law firms and accountancy firms that offer company management services as an adjunct to their legal and accountancy practices.

Usually, trust companies offer company management services alongside trust services. This is certainly the case for international trust companies, whose core business has traditionally been the administration of trusts. As the sophistication of trust structures has increased and the potential benefits of using companies in financial planning schemes have become apparent, trust company personnel have had little option but to develop new skills in company administration, to keep up with client demand.

Some service providers in offshore jurisdictions provide only company management services. Trust companies, however, will not only hold a licence to carry out trust services, but also a company management licence authorising them to carry out corporate services for their high-net-worth family clients.



Task 10.1

Compile a list of organisations that provide company management services in the offshore centre where you work. Assess how many are:

1. trust companies with global reach and offices in a number of jurisdictions;
2. trust companies that are subsidiaries of, and owned by, international financial conglomerates;
3. independent trust companies, often owned by financial entrepreneurs, that administer trusts in and from just one jurisdiction; and
4. corporate service providers that are owned by legal or accountancy practices.

2. Range of services provided

A wide range of company services are provided from offshore centres. We shall review those that are the most common.

2.1 Incorporation

Service providers are often able to incorporate a company in any offshore centre. If they do not have an office or representation in the centre where incorporation is required, such service providers will generally appoint an agent to act on their behalf. In these circumstances, the fee charged to the client includes not only the fees for the main service provider but also those of the agent who is instructed to assist.

Incorporation services usually include: the preparation of the memorandum and articles of association; the provision of the subscribers; certificates of compliance; and filing the required paperwork with the registrar of companies in the jurisdiction concerned.

Precedent incorporation documents are usually held by the service provider on its computer system. This enables the paperwork to be produced quickly and efficiently. Alternatively, a service provider may hold a handful of ready-made 'shelf' companies and offer them for sale to clients as a package, without having to incorporate from scratch.

2.2 Registration/continuance

In addition to incorporation, a service provider often offers registration and continuation services.

Registration of a foreign company is the process whereby a company incorporated in one jurisdiction may register in another. Registration is required whenever a company wishes to establish a place of business in a new centre. Usually, the service provider must submit copies of the company's memorandum, articles and other paperwork to the registrar of companies, together with a request for registration. Once registered, the company may be deemed, for tax purposes, to be resident in the centre. The registration process is dealt with in Module 4 section 1.

Continuance, on the other hand, involves the migration of the domicile of the company from one jurisdiction to another. This process is dealt with in Module 4 section 2.

2.3 Provision of directors

It is a general rule of international conflict of revenue laws principles, that a company becomes liable to pay corporation taxes upon its worldwide profits to the revenue authority of the jurisdiction where it is deemed to reside for tax purposes. The residence of a company for tax purposes is determined by:

- a. the place of its incorporation;¹⁹⁹ or
- b. the place where its management and control are exercised.²⁰⁰

The place of incorporation test is easy to apply; a company incorporated in State A is liable to pay corporation taxes on profits generated from across the globe to the revenue authority of State A. The management and control test is more difficult to apply in practice. As management and control are usually exercised by the board of directors, a company's place of residence for tax purposes is, superficially at least, the place where the directors reside and meet to transact high-level business.

Accordingly, in order to maintain the favourable tax status of a company and enhance the confidentiality of the arrangement, many service providers provide directors for managed companies incorporated on behalf of their clients. If corporate directors are permitted by the companies legislation of the jurisdiction of incorporation, the service provider will usually incorporate a subsidiary company for this purpose; otherwise, employees of the provider are appointed.

Not all service providers are prepared to offer this facility. Some do not provide directors for companies that are involved in trading activities or for which they do not maintain records and accounts. This is because the duties and responsibilities of directors carry potential liability that is borne by the service providers offering this facility.

Some clients/beneficial owners believe that where directors are provided by corporate agents, these directors act as the client's agents or nominees. There have also been occasions when service providers have described this as a 'nominee director' service. Make no mistake, there is no such thing in law as a 'nominee director'. Those who are appointed to the board of managed companies owe the same fiduciary and other duties of care and skill as their onshore counterparts. Therefore, offshore directors may be held liable for their acts and omissions as well as, in certain circumstances, the acts of the company and their client (see Module 8).

199. Incorporation is the sole decisive factor in: Argentina, Bolivia, Bulgaria, Cameroon, Chile, Colombia, Congo, Costa Rica, Czech Republic, Ecuador, Egypt, Estonia, Finland, France, Greece, Guatemala, Honduras, Hungary, Iran, Ivory Coast, Japan, Lithuania, Nicaragua, Nigeria, Panama, Peru, Philippines, Puerto Rico, Russia, Slovak republic, Slovenia, Sweden, Taiwan, Ukraine, United States, Yugoslavia, Zimbabwe. Incorporation is just one of the criteria in: Australia, Austria, Barbados, Belgium, Belize, Brazil, Brunei, Cambodia, Canada, Cyprus, Denmark, Dominican Republic, Fiji, Germany, Iceland, Indonesia, Ireland, Israel, Italy, Jamaica, Japan, Kenya, Lebanon, Luxembourg, Malta, Mauritius, Mexico, Netherlands, New Zealand, Norway, Pakistan, Poland, Portugal, Romania, Saudi Arabia, Spain, South Africa, Switzerland, Tanzania, Thailand, Turkey, Uganda, United Kingdom, Venezuela, Yemen and Zambia.

200. Location of management is the sole factor in: Barbados, Ghana, Guyana, Hong Kong, Malaysia, Paraguay and Singapore. Management and control are one factor in: Australia, Austria, Belgium, Brunei, Canada, Cyprus, Denmark, Dominican Republic, Egypt, Fiji, France, Germany, Guyana, Honduras, Hong Kong, Ireland, India, Israel, Jamaica, Liechtenstein, Luxembourg, Malaysia, Malta, Mauritius, Mexico, Netherlands, New Zealand, Norway, Pakistan, Paraguay, Poland, Singapore, Spain, South Africa, Switzerland, Tanzania, Trinidad, Turkey, United Kingdom, Yemen, Zambia and Zimbabwe. Head office or main office test is used in: Belgium, Brazil, Greece, Indonesia, Italy, Japan, Luxembourg, Mexico, Netherlands, New Zealand, Norway, Poland, Portugal, Romania, Saudi Arabia, South Korea, Sri Lanka, Spain, Taiwan, Tunisia, Turkey. Nationality or residence of controlling shareholders or directors is used in: Australia, Fiji, Lebanon, New Zealand, Papua New Guinea, Spain and Sweden.

The following is a summary of some common practical issues relating to the provision of directors for companies under management.

2.3.1 Corporate directors

If corporate directors are permitted by the companies legislation of the jurisdiction of incorporation, it is usual for service providers to follow this route rather than to appoint their own employees as directors. This is because of the continuity that a corporate director can provide. A change to the personnel or authorised signatories of the corporate director does not affect the company on whose behalf it acts.

Deciding whom to appoint to the board of a corporate director is an important issue for the service provider, as the structure of the board may affect the status or residence for tax purpose of the underlying company. Similarly, only senior and experienced officers of the service provider should be appointed to the board because of the onerous nature of the duties that are owed by directors.

Those who are appointed as directors of a corporate director may be held liable for the actions of companies for which the corporate director acts. The directors of the corporate director owe a duty of care and act in a fiduciary capacity in relation to the corporate director itself and, in turn, owe similar duties and responsibilities to the companies for which the corporate director acts. This chain of responsibility directly links those who are appointed to the board of a corporate director to the affairs of the companies under management.

2.3.2 Employees

If corporate directors are not permitted (see Module 7 section 3.1), or if the service provider does not wish to use a corporate director, senior employees of the service provider are usually appointed to the boards of managed companies. These employees should be made aware of the duties and responsibilities they owe to each of the companies in which they hold office.

Service providers agree to indemnify employees who act as directors for managed companies in their personal capacity, although such an indemnity does not cover the employees against liability incurred that arises from their own deliberate default, dishonesty, fraud or bad faith. A directors' service agreement between the company and its director will also contain indemnities. In addition, with the rolling programme of global regulation, directors' and officers' insurance is not only available but, in most jurisdictions, is mandatory.

2.4 Provision of company secretary and other officers

If, under applicable companies legislation, a company secretary or other officer, such as a registered agent, is required, the service provider that incorporated the company typically offers to fulfil this role, either through a corporate entity or through its employees.

2.5 Provision of shareholders

The shares issued by a free-standing, asset-holding company (i.e., one that does not underlie a trust) may be held in the name of the client. In these circumstances, the client is known as the sole, or controlling, shareholder. More often than not, the shares of such a company are issued to the service provider, or a subsidiary. Here, the registered shareholder is known as a nominee and the firm's client is the beneficial owner of the shares.

For some companies incorporated in certain centres, the register of members is open to inspection by the public and shareholder details must also be provided to the registrar of companies.²⁰¹ The beneficial owner may, therefore, prefer to maintain an element of confidentiality and instruct the corporate agent to provide registered shareholders to act as nominee shareholders.

The relationship between the registered nominee shareholder and the beneficial owner is contractual in nature and the terms and conditions are set out in a nominee shareholder agreement, an example of which is illustrated in Appendix 27A of the online Study Resources. Alternatively, the document may be a one-party declaration, illustrated in Appendix 27B of the online Study Resources, although the critical terms and conditions remain the same. Clause (1) confirms that the service provider holds the shares registered in their/its name as a nominee or agent. Subsequent clauses confirm that the nominee will not dispose of the shares otherwise than in accordance with instructions, assigns all distributions to the beneficial owner and will vote the shares as instructed. A nominee shareholder agreement is signed by the beneficial owner or, when drafted as a declaration, is sent to the beneficial owner for information purposes.

A practice has developed for some service providers to include a provision in their nominee declaration that purports to transfer the ownership of the shares in the company on the death of the beneficial owner. It is important to note that such a provision is tantamount to a testamentary gift and must therefore comply with the statutory requirements of a valid Will. If the service provider carries out the terms of such a provision without first obtaining a grant of probate issued by a court of competent jurisdiction, there is a real risk that the service provider may be held liable for:

- intermeddling in the estate of the deceased, on the basis that the estate should be administered only by the court-appointed personal representative (executor) of the deceased, following the issue (or re-sealing) of a valid grant of probate
- committing a fraud on the lawful heirs to the estate of the deceased, on the basis that the property of the deceased should pass in accordance with the terms of the deceased's Will or according to the rules of succession in relation to personal moveable property in force in the country of the deceased's domicile or citizenship at the time of death.

To prevent these problems arising, the common practice of creating a simple estate planning trust structure has evolved whereby the shares of the company under management are owned by trustees in accordance with the terms of a standard

201. Not the case for exempt companies incorporated in the Cayman Islands, Turks and Caicos Islands or Bermuda, nor IBCs in Bahamas or BVI BCs. This is precisely why so many HNWI's use exempted companies or (I)BCs to hold their wealth, rather than local or non-resident companies. However, corporate regulation is being tightened.

trust instrument. In this manner, the trustee continues to hold the legal title to the company's shares (and hence the underlying assets) notwithstanding the beneficial owner's death. There is a continuity of ownership of the shares of the underlying company by the trustee. In these circumstances, it is not necessary to transfer the shares on the beneficial owner's death in accordance with the Will of the deceased. Nor is it necessary to include the value of the shares in the application for probate – a procedure that is required under typical onshore regulation for the purposes of any onshore estate tax calculation.

Finally, in instances where the service provider holds shares on behalf of two or more persons jointly, it is essential for the nominee declaration to state expressly whether they are so held for the beneficial owners:

- as joint tenants (in which case the right of survivorship applies, whereby, upon the death of one co-owner, that person's beneficial ownership in the share(s) automatically vests in the surviving co-owner)
- as tenants in common (in which case, upon the death of one co-owner, that person's beneficial interest in the share(s) passes to the heirs of their estate according to their Will or the laws of succession of personal moveable property in force in the country of the deceased's domicile or citizenship at the time of death).

2.6 Provision of a registered office

Every company is required to have a registered office located in the jurisdiction of incorporation. The service provider usually provides this facility for managed companies.

Some clients may wish to have mail relating to the company's affairs sent to the registered office. If mail is received it is usually opened by the service provider and the appropriate action taken. Care should be exercised if the client instructs you to leave unopened mail received at the registered office, as the registered office address may, in these circumstances, be misused for fraudulent purposes.

Some clients may also require a 'hold mail' service, under which mail received for the company, or any mail addressed to the client personally, is to be held at the registered office pending collection at a later date. Although such a service is common, care should still be exercised by the service provider as this facility can also be open to misuse.

2.7 Provision of a registered agent

In centres that have enacted IBC legislation, such as the Bahamas, and for BVI BCs and the New Manx Vehicle, the company must have a local registered agent. The registered agent must be located in the jurisdiction of incorporation and is another service that a service provider typically offers in such centres.

2.8 Maintenance of corporate records

The company legislation in most offshore centres makes the office of company secretary optional, rather than mandatory. But the usual responsibilities of a secretary still have to be fulfilled and the statutory duties imposed upon companies complied with, such as the maintenance of:

- the register of members
- the register of directors
- the register of company secretary and other officers
- the register of charges over the assets of the company
- the register of beneficial ownership, or equivalent
- the minutes of general meetings of the shareholders of the company
- the minutes of the meetings of the board of directors
- the accounting records of the company and preparation of financial statements
- the common seal (if required).

2.9 Corporate filing to the registrar of companies

Part of the general role of the service provider is to ensure that the company under management complies with local filing requirements and remains in good standing.

Examples of situations that may require notification to the registrar include:

- changes to the memorandum of association
- changes to the articles of association
- special resolutions passed by the members (certified copies of such resolutions must be filed)
- changes to the personal details of members of the board of directors, such as a new address, where applicable
- changes to the officers of the company, such as secretary or registered agent, and changes to the personal details of the officers, once more where applicable
- a new issue or allotment of shares
- a change of the company's registered office

In addition, an annual return will have to be filed with the registrar.²⁰² If a return is not submitted the company may be struck from the register of companies. A full annual return usually contains the following details (though a truncated version is permitted for exempt companies – this is essentially a declaration that the company transacts business wholly outside the jurisdiction):

- the share capital of the company
- the directors and officers
- the members

202. Bahamas and BVI: annual returns are not required for IBCs incorporated in the Bahamas and elsewhere nor for BVI BCs, although there is a requirement to pay an annual fee and file any changes to the constitution of the company or change to its directors. Bermuda and Cayman Islands: exempt companies incorporated in Bermuda and the Cayman Islands annually file a truncated return, which is essentially a declaration that the company does not conduct business in or from the local jurisdiction, together with payment of the appropriate annual fee – in Bermuda see s.131 of the Companies Act 1981 and in the Cayman Islands see s.169 of the Companies Law 2016 Revision. Gibraltar: an annual return and fee are required pursuant to s.188 Companies Act 2014. Guernsey: an annual return, called an annual validation, and fee are required pursuant to s.234 of the Companies (Guernsey) Law 2008. Hong Kong: required to file annual return and fee pursuant to Pt 12, Division 5, ss.662–665 of the Companies Ord., Cap 622, 2014. Isle of Man: the New Manx Vehicle must file an annual return and fee pursuant to s.85 of the Companies Act 2006. Jersey: required to file an annual return and fee pursuant to art.71 of the Companies (Jersey) Law 1991. Singapore: required to file annual return and fee pursuant to s.198 of the Companies Act Cap 50, consolidated 2017.

- in the case of the first return, any changes that have been made since incorporation
- for subsequent returns, any changes that have been made since the previous return.

2.10 Accounting services

Companies are required to maintain accurate financial records. For example, s.99 of the BVI BCA 2004 simply states:

'A [BVI BC] shall keep records that

- (a) are sufficient to show and explain the company's transactions, and
- (b) will, at any time, enable the financial position of the company to be determined with reasonable accuracy.'

Section 59 of the Companies Law 2020 Revision of the Cayman Islands has a similar provision, based upon s.147 of the 1948 Act, stating that:

'Every company shall cause to be kept proper books of account with respect to (a) all sums of money received and expended by the company... (b) all sales and purchases of goods by the company, and (c) the assets and liabilities of the company and that they must "give a true and a fair view of the state of the companies affairs and explain its transactions"'

Companies legislation in other jurisdictions may contain more onerous accounting requirements.²⁰³ A number of jurisdictions not only impose a duty to maintain adequate accounting records, but also oblige the directors to prepare prescribed annual financial statements that comply with generally accepted accounting principles (GAAP). There are no accounting standards applicable to most offshore jurisdictions, and accordingly the financial statements can be prepared under the standards of choice of the service provider or the client, usually following GAAP of the US, Canada or the UK. Some offshore jurisdictions also have a default audit requirement for a company's financial statements to be audited by an independent firm of auditors to confirm their accuracy, but this can usually be waived by ordinary resolution of the shareholders in general meeting.

The maintenance of accounting records is a service that many service providers offer, together with the preparation of annual financial statements, if required. If an audit has

203. The statutory requirements for companies to prepare annual financial statements, have them audited and presented to members at the AGM can be categorised into three types.

- i. companies incorporated in jurisdictions where there is no statutory requirement to prepare annual financial statements (therefore no exemption and no waiver required): Bahamian and other IBCs; BVI BCs; Cayman Islands exempt companies; and the New Manx Vehicle in the Isle of Man;
- ii. companies incorporated in jurisdictions where certain companies are exempt from the formal onerous requirements: Gibraltar – where accounts and audit are required by Pt VII, Chs 1 and 2, ss.237–275 of the Companies Act 2014, but certain small companies are exempt under ss.11 and 13 of the Companies (Accounts) Act 1999; and
- iii. companies incorporated in jurisdictions where companies can waive some or all of the requirement (to prepare annual financial statements and/or have them audited) by members' resolution: Bermuda – ss.84–87 of the Companies Act 1981 require the preparation of financial statements but s.88 allows the company to waive the same, and s.90 deals with audit; Guernsey – s.243 of the Companies (Guernsey) Law 2008 requires financial statements to be prepared and presented to members, s.255 requires the accounts to be audited but s.256 allows the company to waive the audit by 'waiver resolution'; Jersey – art.104 of the Companies (Jersey) Law 1991 as amended requires a company to prepare financial statements and s.109 requires an audit, but such requirements can be waived by members under arts 87(4), 104(5) and 109(1); Hong Kong – financial statements are required by Pt 9, Divisions 1–4 of the Companies Ord., Cap 622 and an audit by Division 5, but the strict compliance with the requirements can be waived by members under certain prescribed circumstances; Singapore – financial statements are required by s.199 of the Companies Act Cap 50, together with audit, but the strict requirements can be waived by ss.175A and 201C and for exempt private companies.

to be performed, however, this must be undertaken by an independent firm qualified to act in such matters.

2.11 General corporate secretarial services

The corporate service provider usually handles any other matters that may require attention or action on behalf of companies under its management.

This includes, although it is not restricted to, the issuing of notices of meetings, preparing minutes of meetings, executing documentation as appropriate, dealing with correspondence, managing the assets of the company, and appointing and dealing with other agents, if required, such as attorneys, bankers, brokers, custodians, investment advisers, real estate agents, tax advisers, etc.

3. Involvement of the beneficial owner

In this section we describe some of the ways in which the beneficial owner (the client) may wish to be involved in the management of the company. We then consider the problems that this can create and offer possible solutions.

3.1 Appointment as a director

The client may wish to be appointed to the board of directors to obtain direct control over the affairs of the company, its assets and its business. Such a request may, in theory at least, be granted (subject to any statutory restrictions, such as those that exist in Bermuda, where it is a requirement that directors reside in the jurisdiction of incorporation).

The main issue to be considered is the effect that the appointment may have on the tax status of the company. This is because a company is typically required to pay corporation tax in the jurisdiction where it is tax resident according to the so-called management and control test. If the client effectively manages and controls the company from an onshore jurisdiction it is possible that the company could become liable to pay corporation tax to the revenue authorities of that onshore jurisdiction. Alternatively, the company may be challenged as a 'sham' in the country where the client resides for tax purposes. Clients should therefore be urged to seek advice from tax attorneys in their home jurisdiction before being appointed to the board of an offshore company.

A possible solution is to have a split board, whereby the client and at least two other directors (preferably resident in the offshore centre where the company is incorporated) are appointed. The client would therefore have all the powers of a director but the majority of the board, and therefore management and control, would be maintained offshore.

Furthermore, apart from tax issues, the appointment of the beneficial owner as a director inevitably undermines the level of confidentiality enjoyed by the company. This is because the identity of the directors may have to be provided to the registrar of companies and therefore becomes a matter of public record. A client whose priority is to maintain confidentiality ought not to be appointed to the board. Having said that,

the recent introduction of beneficial owner registers, and the reporting requirements of the Foreign Account Tax Compliance Act (FATCA) and the Common Reporting Standard (CRS), make the concept of confidentiality somewhat illusory.

3.2 Appointment as an agent, such as investment adviser

Instead of being appointed as a director, the client may wish to be appointed as an agent of the company, such as its investment manager or adviser. The precise powers conferred upon the client in these circumstances, by way of delegation of the powers of the directors, must be carefully considered. It is imperative to ensure that the position is not seen to carry with it overall management and control for tax purposes. In these circumstances the board would be well advised to appoint the client/beneficial owner as the company's investment adviser, rather than its investment manager.

Furthermore, the client ought to be appointed as investment adviser or manager only in circumstances where the service provider is sure that the client is an expert in the relevant field. Otherwise, the service provider, as director of the company, could be held in negligent breach of the duty of care to the company, and liable for loss caused to the company arising from the appointment of an agent who was not reasonably qualified.²⁰⁴

If the beneficial owner is appointed as investment or other adviser or agent of the company, the appointment should be properly documented by the directors. Firstly, a shareholders' resolution should be passed to approve the appointment of the beneficial owner as, say, the company's investments manager (thereby releasing the board from liability for breach of their duty of care if, it turns out, the beneficial owner is not sufficiently qualified). Then, contemporaneously, a board resolution should be passed to make the appointment and to enter into a written investment management agreement between the company and the beneficial owner, confirming the nature of the beneficial owner's role and the terms of their appointment. An extract of a specimen investment management agreement is illustrated in Appendix 28 of the online Study Resources. Finally, the agreement should be executed and filed.

3.3 Power of attorney

There are two main types of power of attorney.

- i. A **special power of attorney** gives the donee of the power certain identified rights to represent the company in relation to a specific activity or matter; a specimen is illustrated in Appendix 29A of the online Study Resources.
- ii. A **general power of attorney** confers upon the donee of the power the right to represent the company in matters generally and, in particular, to bind the company to contracts and to enter into deals or transactions on behalf of the company; a specimen is illustrated in Appendix 29B of the online Study Resources.

Some service providers have been known to incorporate and provide directors for companies and then grant a general power of attorney over the affairs of the company to its beneficial owner. This gives the beneficial owner virtually unrestricted control

204. Although shareholder approval would exonerate the director for breach of the duty of care. See Module 8 section 5.1.

over the company and its assets but, consequently, transfers management and control to the client and therefore has adverse tax implications for the company. In addition, the directors arguably fail to comply with their fiduciary and other duties by allowing a third party to exercise control over the affairs of the company. The directors may therefore be held liable for any losses suffered by the company as a consequence of their failure to safeguard corporate assets. An exoneration clause in the company's articles or DSA may provide protection in certain jurisdictions, but even then, wilful default is excluded.

Accordingly, it is not advisable for a director to grant the beneficial owner a general power of attorney. Special powers of attorney are preferable, and the extent of the power conferred upon the beneficial owner should be as narrow as possible and carefully defined in the instrument. The specimen power of attorney in Appendix 29A restricts the powers conferred upon the attorney-in-fact in two respects. Firstly, it limits the beneficial owner's powers to enter into a defined transaction and, secondly, a time limit is imposed so that, on its expiry, the power lapses.

3.4 Control of the company's bank account

The person who controls the finances effectively controls the affairs of the company. As a result, it should be the directors who are sole, or joint, signatories of the company's bank account.

If the beneficial owner is authorised to control the company's bank account, it may create a number of problems. The tax position of the company may be adversely affected as it arguably offends the management and control test for tax residency. Furthermore, it is possible that transactions involving corporate funds may be entered into without the knowledge or approval of the directors. This is of great concern to the service providers, who may become criminally liable under AML and CFT legislation.

An alternative, acceptable, arrangement is for the client to be given restricted signing powers over corporate accounts. For example, the client may be given power to co-sign alongside, or consent to payments that are initially suggested by, the directors. Delays in administration may arise, however. It is also possible that this may be viewed as conferring an element of control upon the beneficial owner, with the attendant adverse tax consequences.

3.5 Use of a company credit card

Enabling the client to have unrestricted use of a company credit card is similar in nature to the grant of a power to sign on the company's bank account. The same risks arise.

An alternative is to issue the client with a credit card in their personal name and arrange for the company to pay debts that arise from the proper use of the card. Any sums applied in this manner should be treated as a repayment of the shareholder's loan.

3.6 Directing the directors

Some beneficial owners may wish to exert authority over the board of their managed companies and be able to instruct the directors to act in accordance with their wishes. There is an argument in support of this approach. After all, the beneficial owner has instructed the corporate agent to incorporate the company and provide services, and is paying the fees for this, and usually the company has been funded from the client's own resources. Regardless of any pressure exerted by the client, however, service providers must not carry out any actions that they believe are not in the best interests of the company.

The extent to which the beneficial owner may lawfully direct the directors to enter into a particular deal or transaction is a matter that should be dealt with in the articles. If the articles of the managed company is based upon the 1948 Table A,²⁰⁵ then the directors must manage the affairs of the company independently, without control or direct influence of the shareholders. Alternatively, if the article is based upon the 1985 Table A or the 2008 model articles published in England,²⁰⁶ then the directors must comply with any directions given to them by special resolution of the shareholders.

Notwithstanding the provisions of the articles, it is important to remember that there is no such thing in law as a nominee director. Service providers should not be treated as nominees, i.e. as the client's puppets. The keys to the provision of directors for a managed company are (a) for the service providers to ensure that they are comfortable with the bona fides and integrity of the client and the client's affairs; and (b) for the client to trust the reasonableness and integrity of the directors appointed to manage the company. The beneficial owner may, of course, make recommendations to the board of their company, but should not be seen to give binding instructions.

205. See art. 19.1, Appendix 1B of the online Study Resources.

206. The alternative art. 19.1, Appendix 1B (see footnote to art.19.1); art 4, Appendix 1C of the online Study Resources.



Learning outcomes

By the end of this module you should:

- be familiar with the range of company services that are provided from offshore centres, including
 - incorporation
 - registration and continuance
 - provision of directors and officers
 - provision of shareholders
 - provision of registered office facilities
 - corporate filing and general secretarial and accounting services
- be able to avoid problems associated with allowing beneficial owners too much control over the affairs of their companies, including the risk that:
 - the company will be liable to pay tax in the beneficial owner's home state
 - the service company and its officers will become liable for losses suffered by the company owing to the beneficial owner's actions
 - that the beneficial owner will use the company for illegal purposes and the service company will become criminally liable to prosecution under AML and CFT legislation.

Module 11:

Self-assessment questions

1. List the types of firm that provide company management services in a typical offshore jurisdiction.
2. List the corporate services usually offered to clients by a typical corporate services provider in and from a typical offshore centre.
3. Describe how the beneficial ownership of shares in a company is usually recorded to preserve confidentiality in cases where the shares are registered in the name of a corporate service provider.
4. Review the contractual terms of a typical nominee shareholder agreement
5. Can a nominee shareholder declaration be used as a substitute for a Will?
6. A nominee shareholder declaration states that a corporate subsidiary of the service provider ('Nominee Shareholder Ltd') holds the registered shares of a managed company ('AB Ltd') 'as nominee for and on behalf of Green and Orange, jointly.' Green dies.
 - (i) For who does Nominee Shareholder Ltd now hold the shares in AB Ltd as nominee?
 - (ii) How, if at all, would your answer differ if the declaration stated that the shares were held 'as nominee for and on behalf of Green and Orange, in common'?
6. Comment on the advisability of appointing the beneficial owner to the board of directors of their offshore company.
7. Comment on the advisability of appointing the beneficial owner as an investment adviser to their offshore company.
8. One of your corporate clients has asked the directors of their offshore company to issue them with a general power of attorney.
 - (a) Prepare a response; and
 - (b) distinguish between a general power of attorney and a special power of attorney.
10. A trust company provides full company management services for the beneficial owner of a managed company, including the provision of sole directorship. The client has just instructed the director, who are provided by the service provider, to act in a manner with which they fundamentally disagree. How should the director, and the trust company, proceed? Consider options.

Module 12:

Termination of Companies



Module 12:

Termination of Companies



Learning objectives

The purpose of this module is to:

- review the giving of security by fixed and floating charge and enforcement thereof by the appointment of a receiver
- outline ways in which an insolvent company may continue to trade as an alternative to liquidation
- review the typical process and procedures involved in
 - a compulsory winding-up or liquidation of a company
 - a voluntary winding-up
- explain the difference between dissolution and striking off and take a look at voluntary striking off.

Introduction

This module is about the termination of companies. Nonetheless, we start in section 1 by looking at some alternatives to a company liquidation, including entering into a compromise arrangement with creditors, and the appointment of receivers and corporate administration. In section 2 we begin our analysis of formal termination.

A company is created by a strict legal process. Similarly, it can be terminated only by a legal process, by following the winding-up provisions of applicable companies legislation. This procedure brings the life of a company to an end and is dealt with in sections 2, 3 and 4. The process involves the appointment of a liquidator to take control of the company and:

- collect in its assets and debts receivable and convert them into money
- pay all outstanding debts to creditors of the company
- distribute any surplus to shareholders according to their rights, if there is anything left over.

When this has been carried out, the company is formally dissolved and is removed from the register of companies.

Finally, there is a process by which the registrar may strike off a company on the basis that it is no longer carrying on business. In this regard, a hitherto informal practice of voluntarily striking off a company that is no longer required now has a statutory basis in England insofar as a company can request its own striking off and removal from the register of companies. Striking off is dealt with in section 6.

First, we will consider courses of action that are alternatives to the winding-up of a company.

1. Alternatives to liquidation

There are two things to note about the alternative procedures to liquidation in the US and UK. Firstly, the statutory provisions apply to companies incorporated in the jurisdiction where such legislation is enacted. Accordingly, the US and UK provisions apply to US and UK companies respectively. The critical question, therefore, is whether similar provisions apply to companies incorporated offshore. Secondly, the issues that relate to a compromise arrangement with creditors, appointment of receivers and corporate rescues are relevant mainly to commercial, actively trading companies, rather than passive asset-holding vehicles. Nonetheless, they do present some interesting issues.

In a nutshell, whenever creditors realise that a company is in financial difficulty and cannot repay borrowings, or pay for goods or services it needs to carry on business, the creditors have several commercial options available to them beyond simply suing for recovery.

- A creditor who has security over corporate assets as collateral can take steps to enforce the security, which typically involves appointing a receiver to assume control of the secured assets, often selling them and applying the proceeds to discharge the debt owed to the secured creditor; any balance belongs to the company (reviewed in section 1.1 below).
- A creditor who does not have security could precipitate discussions to induce the board of directors to propose a compromise arrangement with the company's creditors (reviewed in section 1.2) or consider appointing an administrator, in those jurisdictions where this remedy is available (reviewed in section 1.3 below).
- Alternatively, a creditor could simply force the company into liquidation by way of a compulsory winding-up order, reviewed in section 2 below.

The company itself, by its directors, could also initiate the procedures outlined in (b) above as an alternative to liquidation when the company is insolvent or is approaching insolvency, and either propose an arrangement with creditors (section 1.2), or apply for an administration order or Ch.11 protection, wherever these procedures are available (section 1.3).

In reviewing these alternatives you will note that, save in relation to the enforcement of security, a modern objective of the legislation is to rescue the company as a going concern rather than forcing it into a winding-up so that the company must cease to trade and liquidate its assets.

1.1 Enforcing security by the appointment of a receiver and manager

When a company borrows money from a lender, such as a lending institution or bank, it is obliged to comply with the terms of the borrowing and is often required to give the lender some sort of security.

Typical terms of borrowing include express provisions containing a list of 'events of default' which trigger automatic and immediate repayment of the debt. For example, if repayment is 'on demand', an act of default may be that a demand for repayment has not been complied with within 'x' days; and/or, in the alternative, that the company has defaulted upon an interest payment or scheduled capital repayment and fails to make good such default within a specified number of days, in which case the lender is entitled to call for immediate repayment.

Corporate borrowing may also be secured. A creditor may insist upon being given security for borrowed funds, such as having seniority if the debtor company goes bust. A company often provides security by way of a fixed or floating charge over its assets.

- A **fixed charge** is a legal mortgage over specified assets, usually real estate, which essentially allows the company to retain possession and use of the secured property but precludes the company from dealing with such property while the mortgage subsists.
- A **floating charge** is an equitable charge on some or all of the company's present and future movable assets, which permits the company not only to retain possession and use of such assets, but also the right to deal with the secured assets in the ordinary course of business. The floating charge will 'crystallise' over the secured assets and become a fixed charge on the occurrence of a 'crystallising event'. This may be any event described in the loan agreement or debenture, such as the company's insolvency, or when the value of its assets falls below a certain level, or when the company defaults on repayment of capital or an instalment of interest. When the repayment obligation is expressed to be 'on demand', a crystallising event may simply be that a demand for repayment has not been complied with.

Typical terms of an institutional loan agreement or debenture include a provision whereby a secured creditor is entitled to appoint a receiver and manager upon the occurrence of an event of default (for a fixed charge) or an event of crystallisation and default (for borrowing secured by a floating charge).²⁰⁷ The appointment of a receiver is usually, therefore, precipitated by some sort of default on the part of the company, at which point the secured creditor gives notice to the company (and often the registrar and the company's other creditors). An application to the court is not necessary (although such an application can be made in certain narrow circumstances).

Once the secured creditor appoints a receiver, the powers of the directors over the secured assets cease. Where the secured assets comprise all the assets of the company, the powers of the directors therefore cease altogether. The receiver takes over. The receiver owes fiduciary duties to the secured creditor, not to the company. In other words, the receiver is conferred with wide discretionary equitable powers which must be exercised in the best interests of the secured creditor. In practice this means that the receiver must:

- run the business of the company, if feasible, in order to sell it as a going concern, or

207. Technically a 'receiver' is appointed simply to receive the rent or other income from the secured property. When it is necessary for the receiver to manage the business of the debtor company then the receiver is strictly a 'manager'. The term 'receiver' is now used to describe both a receiver and a receiver and manager – *Re Manchester and Midland Railway Co.* (1880) 14 Ch D 645.

- if the company cannot be sold as a going concern, the receiver must cease trading and sell the secured assets on behalf of the secured creditor for the best price, and
 - pay their own costs and expenses from the proceeds of sale
 - repay the amount owed to the secured creditor
 - prepare financial accounts, and account to the company for any remaining balance.

The appointment of a receiver is an equitable remedy, rather than one governed by companies legislation. Nonetheless, in English law, successive Companies Acts have interfered with the remedy in order to try and balance the interests of the secured creditor with the interests of the company. For instance, companies legislation requirements enacted in the 1948 and 1985 Companies Acts ensure that receivers are more independent (disqualifying companies and bankrupts from being appointed as receivers), providing for certain oversight and supervision (over receivers' remuneration and requiring accounts to be delivered and returns submitted to the registrar), while at the same time improving their effectiveness in protecting the interests of the secured creditor (by increasing their powers of obtaining information and documents).²⁰⁸

English law has matured in the area of the appointment of receivers and the relevant statutory provisions have been removed from the companies legislation and are now found in the Insolvency Act 1986 as amended, where a receiver/manager is now known as an 'administrative receiver'. The critical question, however, is what is the nature of the legislation, if any, enacted offshore?

The remedy of the appointment of a receiver has its genesis in the law of equity, which applies throughout the offshore common law jurisdictions. The relevant legislation that has been grafted onto the law of equity as regards receivers tends to use the 1948 Act as a template, rather than the more sophisticated provisions of the English Insolvency Act. A receiver can be readily appointed out-of-court by a secured creditor with a fixed or floating charge according to the legal and equitable rights conferred upon the secured creditor in the instrument creating the charge. Companies legislation is largely peripheral.

1.2 Compromise arrangements with creditors

When directors realise that their company is insolvent, or is approaching insolvency, they are at risk of incurring criminal and civil liability for wrongful and/or fraudulent trading. They ought, therefore, to cease to trade and put the company into liquidation.

208. Part 6, 'Receivers and Managers', ss.366–376 of the Companies Act 1948, repeated with a few modifications in Pt 9, ss.488–500 of the Companies Act 1985. The modern English provisions are found in Pt III, ss.28–72 of the Insolvency Act 1986. For the offshore jurisdictions: Bahamas – the IBCA 2000 as amended 2008 does not contain statutory provisions relating to receivers, whereas ss.144–157 of the Companies Act 1992 for resident domestic companies is based upon the Companies Act 1948; Bermuda – charges must be registered and Pt 14, ss.55–61 of the Companies Act 1981 as amended is the same as the Companies Act 1948; BVI – Pt 8 of the BVI BCA relates to the registration of charges, and Pt 4, ss.116–148 of the BVI Insolvency Act 2003 as amended contains something much more sophisticated and is based upon the English Insolvency Act 1986 provisions for 'Administrative Receivers'; Cayman Islands – there is no statutory provision in the Companies Law 2022 Rev and so equitable principles apply to receivers of property of a Cayman Islands company, save for segregated portfolio companies in respect of which see ss.224–228 of the Companies Law; Gibraltar – Pt V relates to registration of charges and Pt 4 ss.97–133 of the Insolvency Act 2011 is based upon the Companies Acts 1948 and 1985; Guernsey – there is no statutory provision in the Companies (Guernsey) Law 2008 and therefore equitable principles apply, although Pt 21 deals with Administration Orders, reviewed in section 1.3 of this Module; Hong Kong – ss.74–91 of the Companies (Winding-up and Miscellaneous Provisions) Ord., Cap 32 deals with registration of charges and Pt 6, ss.297–302, entitled 'Receivers and Managers' is the same as the Companies Act 1948; Isle of Man – Pt 8 of the Companies Act 2006 applies to registration of charges and s.182 refers to the Companies Act 1931, where Pt 6, ss.227–282, entitled 'Receivers and Managers', is the same as the Companies Act 1948; Jersey – the Companies (Jersey) Law 1991 contains no statutory provisions and therefore equitable principles apply; Singapore – Pt 3 Division 8 deals with registration of charges while Pt 8 ss.217–227 of the Companies Act Cap 50, entitled 'Receivers and Managers', is the same as the Companies Act 1948.

The directors may, however, believe that, with a fair wind and a modicum of cooperation, they may be able to nurse the company back to profitable health. In these circumstances, they can take the initiative and approach the creditors of the company and, by delicate negotiations, try to persuade the creditors to continue to support the company.

A proposed compromise arrangement put to creditors often, for instance, includes a plan whereby:

- creditors agree not to enforce payment of their debt, or enforce their security, for an agreed period of time, to enable the company to find its feet and become financially stable again and, in the meantime, interest payments are suspended or reduced
- a proportion of the debt may be written off or converted into equity.

In order for a negotiated compromise with creditors to work, all the company's creditors must be bound by it. The problem for a company that is struggling financially is that **all** the company's creditors seldom unanimously agree to the planned compromise. Any single creditor who disagrees with the proposed compromise could insist on being paid at once and in full. In other words, a dissenting creditor can seek recovery of the money owed in a court of law or apply for the company to be wound up. Accordingly, companies legislation was enacted that enable a prescribed majority of creditors to make a compromise arrangement that is binding upon the minority of creditors, rather than requiring a unanimous consensus.

The specific statutory provisions were introduced in England by the Companies Act 1929, and repeated in ss.206–207 of the Companies Act 1948, then ss.425–427 of the Companies Act 1985. In this procedure, the company, by its directors, makes an application to the court for it to convene a meeting of all creditors. The meeting of creditors is a formal opportunity for the directors to disclose the financial health of the company and propose a compromise arrangement: a 'rescue package'. The proposed compromise is debated at the creditors' meeting and voted on. If a majority of 75% in value of all creditors present and voting in person or by proxy agree to the compromise it becomes binding once approved by the court. In other words, dissenting creditors can be forced to accept the compromise. When the court determines whether a compromise arrangement should be approved it has been held that the test is whether 'an intelligent and honest person acting in their own interests would approve'.²⁰⁹

The procedure described above as laid down in the old Companies Acts in England was made rather more sophisticated by the Insolvency Act 1986 as amended. This legislation introduced a requirement for the compromise arrangement to be approved not by the court but by an independent, qualified and regulated insolvency practitioner to ensure it is fair. Furthermore, statutory duties of oversight are imposed upon the identified insolvency practitioner to ensure that the compromise is implemented correctly. Dissenting creditors can apply to the court if they feel it is not.

The procedure for achieving a compromise arrangement with creditors is not often used in England (partly as a matter of historical commercial culture) but a similar type of compromise arrangement is common in the US, where it is described as 'filing for Ch.11 protection', referring to the statutory provisions in Ch.11 of the US Bankruptcy

209. *Re Dorman Long and Co* [1934] Ch 635.

Code.²¹⁰ It has been used on numerous occasions often, but not always, with successful results.²¹¹ We have included a description of this procedure here under the heading ‘compromise arrangements with creditors’, rather than a similar procedure enacted in England called administration (reviewed in section 1.3 below) because in Ch.11 the debtor company usually remains in control of the management of the business of the company, albeit subject to supervision and oversight of the court, rather than handing over management to a third party (an insolvency practitioner).²¹² As you will see, the Ch.11 procedures are more far-reaching and sophisticated than the English 1948 Companies Act equivalent.

The directors of the company or its creditors can initiate the Ch.11 procedure but it is usually done by the directors, who file with a federal bankruptcy court for protection. Under Ch.11, the directors are required to put together a ‘Chapter 11 plan’, which allows them to reorganise and manage the company for a fixed period. The period is designed to provide ‘breathing space’ for the directors of the company to reorganise its business, its finances and debt. The plan must satisfy statutory criteria and essentially reorganise the company’s business and finances to enable the company to emerge from the bankruptcy in due course as a viable concern. During this breathing space, a so-called ‘moratorium’ exists so that any pending lawsuits against the company are stayed, creditors cannot seek to recover the monies due to them, and secured creditors cannot enforce their security. Thus, the directors are able to nurse the company back to health and stability.

The Chapter 11 plan of reorganisation is prepared by the directors and proposed to The Ch.11 plan of reorganisation is prepared by the directors and proposed to creditors, who are entitled to vote on it. If it is approved it becomes binding upon the company and creditors, subject to the approval of the court. If the plan is rejected by creditors, the court can convert the procedure to a Ch.7 compulsory liquidation or dismiss the suit, remove the statutory protection and return the company to ‘normal’ status.

Creditors usually support a Ch.11 application when they believe that they stand a better chance of recovering their outstanding debt than would be likely in an immediate Ch.7 liquidation. If approved and formally adopted by the court, the directors typically continue to run the company as a going concern, and to implement and give effect to the Ch.11 reorganisation plan subject to making regular reports to a supervising committee of creditors. Upon completion of the plan, it is anticipated that the company will emerge fitter and leaner, with a clean bill of health and in a financial position to continue as a viable going concern.

Again, the critical question for offshore corporate service providers is, which type of procedure, if any, has been enacted by the offshore legislature and is available to offshore companies?

210. Chapter 7, Title 11 of the US Bankruptcy Code governs the winding-up and liquidation of companies. Chapter 11 relates to corporate rescue plans with creditors; Ch.13 governs bankruptcy of individuals.

211. Some of the largest Ch.11 applications occurred in the global financial crisis and subsequent recession: Lehman Brothers Holdings Inc (2008), Washington Mutual (2008) General Motors Corp (2009), Chrysler LLC (2009) and CIT Group (2009). Other infamous applications for protection were made by WorldCom Inc (2002), Enron Corp (2001) and Global Crossing Ltd (2002). Successful Ch.11 bankruptcies include Texaco Inc (1987), Refco Inc (2005), Delta Air Lines Inc (2005) and American Airlines. During the COVID-19 pandemic the following well-known companies filed for Ch.11 bankruptcy in the US: Arcadia Group, Blue Man Group, Brooks Brother (retail), Burton (retail), Cinemex, Cirque de Soleil, Debenhams, Dollar Rentacar, Dorothy Perkins (retail), Evans (retail), Firefly Car Rental, Golds Gym, Hertz, JCPenney (retail), Miss Selfridge (retail), MoviePass, Paper Store, Sizzler Restaurants, Thrifty Car Rental, Top Shop, USA Rugby, We Buy Any Car, YogaWorks, YouFit.

212. This is not always the case. The trustee of the debtor company’s business manages the business of the company throughout the period of protection, although in most cases the trustee is the board of the debtor company itself, rather than a third party.

The companies legislation enacted in the majority of offshore financial centres has copied the Companies Act 1948, rather than the more sophisticated version found in the English Insolvency Act 1986 or Ch.11 of the US Bankruptcy Code.²¹³ This requires a draft compromise arrangement to be drawn by the directors of the company and proposed to all creditors at a creditors' meeting. If approved by 75% of the creditors of the company by value present and entitled to vote in person or proxy, the draft compromise arrangement becomes binding subject to its being approved by the court.

The main exception is the BVI,²¹⁴ where Pt 2 of the Insolvency Act is modelled upon the more sophisticated English Insolvency Act 1986. The directors of a BVI BC may by resolution appoint a regulated BVI 'insolvency practitioner' as an 'interim supervisor' if they 'believe on reasonable grounds that the company is insolvent or is likely to become insolvent' (ss.20 and 21 of the Insolvency Act 2003). Statutory duties are imposed upon the interim supervisor to prepare a report for creditors (s.25) and convene a creditors' meeting (s.27). At such meeting, the creditors are asked to consider and vote on whether to accept or reject the proposed compromise arrangement (s.30). If the vote is in favour of the arrangement it becomes binding upon the company and creditors. But this is where the procedure departs from the 1948 Act model insofar as, rather than the board of directors implementing the approved compromise arrangement, the interim supervisor becomes the 'supervisor' who must then implement the arrangement (s.35) and submit regular reports and accounts to creditors and the court (s.37).

1.3 Corporate administration

As indicated above, modern corporate and insolvency legislation enacted onshore have a new objective, as is illustrated by the law relating to compromise arrangements and Chapter 11 protection. The objective is to try to facilitate a rescue of an ailing company as a going concern rather than to wind up the business and liquidate the assets. The relatively new English procedure for the appointment of an administrator under the provisions of the Insolvency Act 1986 as amended, has a similar objective.

Either the directors of the company itself or any one or more of its creditors may apply to a court²¹⁵ for an Administration Order in circumstances where:

- the company is, or is likely to become, unable to pay its debts

213. Bahamas – s.82 of the IBCA 2000 as amended 2008 does not use the Companies Act 1948 as a template, but it follows a similar underlying principle to 're-organisations' generally, as does s.167 of the Companies Act 1992 for resident domestic companies; Bermuda – ss.99 and 100 of the Companies Act 1981 as amended is the same as the Companies Act 1948, requiring a 75% approval of creditors and the approval of the court; Cayman Islands – ss.86 and 87 of the Companies Law 2022 Rev is the same as the 1948 Act; Gibraltar – the modern Insolvency Act 2011 of Gibraltar contains provisions relating to an appointment of an 'Administrator' by way of an Administration Order (see Pt 3, ss.44–96) based upon the modern English model; Guernsey – Pt 8, ss.105–112 of the Companies (Guernsey) Law 2008 is based upon the Companies Act 1948, but Pt XXI, ss.374–390, contains provisions relating to the appointment of an Administrator by way of Administration Order based upon the modern English model; Hong Kong – ss.166 and 166A of the Companies (Winding-up and Miscellaneous Provisions) Ord., Cap 32 is the same as the Companies Act 1948; Isle of Man – Pt 10, Ch.2, ss.157 and 158 of the Companies Act Cap 50, consolidated 2017 is the same as the Companies Act 1948; Jersey – Pt 18A, arts 125 and 126 of the Companies (Jersey) Law 1991 amended 2009 is the same as the Companies Act 1948; Mauritius – Pt 17, ss.253–259 of the Companies Act 2001 amended 2009 is the same as the Companies Act 1948; Singapore – Pt 7, ss.210–212 of the Companies Act Cap 50 consolidated 2017 is the same as the Companies Act 1948.

214. BVI – Pt 2, ss.14–45 of the BVI Insolvency Act 2003 amended 2004 contains something much more sophisticated called a 'company creditors arrangement' which is more closely based upon the English Insolvency Act 1986 reviewed in section 1.3 of this Module.

215. Section 9 of the Insolvency Act 1986 as amended, although administrators can be appointed without an application to the court by secured creditors if the right to appoint a receiver is reserved by the loan agreement or charge and such power becomes exercisable – hence the name, in England, of **administrative receiver** (see section 1.1 above).

- the appointment of a corporate administrator is reasonably likely to achieve a statutory objective,²¹⁶ essentially a rescue of the company as a going concern while ensuring that creditors are paid or, at least, are likely to achieve a more advantageous realisation of the company's assets, or better percentage collection, than on a winding-up.

An Administration Order appoints a regulated and qualified insolvency practitioner as administrator of the company and confers certain duties upon them. The administrator's first duty is to investigate the affairs of the company and prepare a plan of administration to reorganise the business of the company and its finances and debt, to be put to creditors for their approval at a meeting of creditors.²¹⁷ If the proposal is accepted by a majority in value of those creditors present and voting in person or by proxy, the plan becomes binding. The court and registrar of companies are informed accordingly. If the majority of creditors vote against the plan of administration, the court can make a compulsory winding-up order or dismiss the administration altogether and let events take their course. The second major duty of the administrator is to implement the plan of administration and put it into effect as the agent of the company. In these circumstances, the administrator assumes all the powers of the directors, including the power to run the business, manage and sell assets and make all necessary payments, etc.

Here comes the critical question again: how far, if at all, have these provisions been copied by the major offshore centres?

The English type of administration procedure has been enacted in Australia and Canada, although it has not been universally adopted by the offshore jurisdictions. The corporate administration remedy for both the debtor company and its creditors is not available according to companies and insolvency legislation enacted by the major offshore jurisdictions reviewed in this study text save for the BVI, Gibraltar, Guernsey and Mauritius. These jurisdictions have enacted insolvency legislation that follows the English model found in the Insolvency Act 1986. The others have not.²¹⁸

2. Compulsory winding-up

The terms 'winding-up' and 'liquidation' are synonymous. There are two basic types:

- i. compulsory winding-up, reviewed in this section; and
- ii. voluntary winding up, reviewed in section 3.

216. Section 8(1) of the IA 1986 as amended.

217. Section 23 of the IA 1986 as amended.

218. Bahamas – corporate administration following the English model is not available, just winding-up per Pt 9 of the IBCA 2000 as amended 2008 and Pt 7 of the Companies Act Cap 308; Bermuda – administration following the English model is not available, just winding-up per Pt 13 of the Companies Act 1981 as amended; BVI – s.197 of the BVI BCA 2004 amended 2007 applies the Insolvency Act 2003 to insolvent companies, in respect of which Pt 6 covers liquidations, while Pt 3 ss.76–114 covers Administration Orders based upon the UK template; Cayman Islands – administration following the English model is not available, just winding-up per Pt 5 of the Companies Law 2020; Gibraltar – Pt 3 of the Insolvency Act 2011 ss.44–96 follow the modern English model and provide for the appointment of an Administrator by way of Administration Order; Guernsey – Pt 22 of the Companies (Guernsey) Law 2008 covers voluntary winding-up, Pt 23 covers compulsory winding-up while Pt 21 ss.374–390 covers Administration Orders based upon the modern English template; Hong Kong – administration following the English model is not available, just winding-up per Pt 5 of the Companies (Winding-up and Miscellaneous Provisions) Ord., Cap 32 and arrangements with creditors under the Companies Act Cap 622; Isle of Man – s.182 of the Companies Act 2006 applies Companies Act 1931 to corporate insolvency of the New Manx Vehicle, while Pt 5 of the Companies Act 1931 covers compulsory and voluntary winding-up, but there is no provision for corporate administration; Jersey – administration following the English model is not available, just winding-up per Pt 21 Companies (Jersey) Law 1991 amended 2009; Mauritius – Companies Act 2001 amended 2009 refers to the Insolvency Act 2009 for corporate insolvency, in respect of which Pt 2 deals with winding-up and alternatives, sub-part 2 covers winding-up of companies, sub-part 3 covers receivers and sub-part 4 ss.213–303 covers Administration Orders based upon the modern UK template; Singapore – corporate administration following the English model is not available, just winding-up per Pt 10 of the Companies Act Cap 50.

The distinction is that a compulsory winding up is imposed on the company by an order of the court, whereas a voluntary winding-up is, as the name suggests, voluntary insofar as it is initiated by the company itself.

The grounds that must be established before a company may be wound-up compulsorily and the procedures that must be followed are based in statute and are therefore set out in applicable legislation. As you will know, the statutory provisions enacted by the major offshore jurisdictions are typically based upon those found in England's Companies Act 1948, and modified for local conditions. England has subsequently removed matters relating to winding-up from the companies legislation and enacted free-standing and sophisticated insolvency legislation, namely the Insolvency Act 1986 as amended. Of the major offshore jurisdictions reviewed in this study text, only the BVI and Guernsey have done something similar. Accordingly, in the offshore jurisdictions, save for the BVI and Guernsey, the 1948 Act remains the essential template.

2.1 Grounds for compulsory winding-up

There are occasions when the court may be asked to terminate a company and order that it cease trading, liquidate its assets and distribute the net proceeds of sale to creditors and any surplus to shareholders. The grounds upon which the court may order a compulsory winding-up of a company have been set out in successive Companies Acts in England²¹⁹ and similar provisions have been imported by the offshore jurisdictions. These grounds include the following.

- That the company is unable to pay its debts.²²⁰ This is the ground most often relied on in support of an application by creditors of a company for an order that the company be wound up. A company is deemed unable to pay its debts when a creditor has served a written demand on the debtor company in the prescribed form requiring payment of a debt legally payable and due and which the company fails to pay or secure within 21 days. Having regard to the fact that most offshore companies are formed in order to hold assets, rather than trade in the traditional sense, very few offshore companies are wound up in this manner.
- That the court is of the opinion that it would be 'just and equitable' to wind up the company.²²¹ The court may consider a winding-up to be just and equitable in situations where, for example:
 - the objects of the company have failed or have become illegal since the company was set up
 - the company cannot continue its business for some reason, such as deadlock on the board and at shareholder level

219. Sections 222 and 224 of the Companies Act 1948 state the circumstances in which the court may wind-up a company, with s.222(e) stating the inability to pay debts, s.223 providing for when the statutory demand is unmet and s.222(f) stating the just and equitable ground. These grounds are reiterated in s.517 of the Companies Act 1985. The current legislation in England is s.122 of the Insolvency Act 1986 as amended, which has seven grounds, but the two described in the text remain the most common grounds relied on in practice.

220. Bahamas – s.93 of the IBCA 2000 as amended 2008 and ss. 197 of the Companies Act 1992; Bermuda – ss.161 and 162 of the Companies Act 1981 as amended; BVI – s.211 of the BVI BCA applies the Insolvency Act 2003 to insolvent companies, where Pt 6 deals with compulsory winding-up and s.162 sets out the grounds; Cayman Islands – ss. 92 and 95 of the Companies Law 2020 Revision; Gibraltar – s.149 of the Insolvency Act 2011; Guernsey – s.406 of the Companies (Guernsey) Law 2008; Hong Kong – s.177 of the Companies (Winding-up and Miscellaneous Provisions) Ord., Cap 32; Isle of Man – s.182 of the Companies Act 2006 applies the Companies Act 1931 to corporate winding up of the New Manx Vehicle, where s.161 sets out grounds; Jersey – arts 155–159 of the Companies (Jersey) Law 1991 amended 2009; Mauritius – Companies Act 2001 amended 2009 refers to the Insolvency Act 2009 for corporate winding up, in respect of which Pt 2, sub-part 2, covers winding-up of companies; Singapore – ss.254 of the Companies Act Cap 50.

221. See the statutory authority referred to in the footnote above.

- the company is carrying on business in an illegal or fraudulent manner
- the regulator suspects that the company has been involved in criminal conduct, such as an investment fraud or money laundering, when it often has the power under local regulations to terminate the company on the grounds that it is just and equitable to do so.

2.2 Procedure

The following is a summary of the general stages leading up to a compulsory winding-up order.

2.2.1 Application to the court

An application for a winding-up order can be made by the shareholders or directors of the company, but it is usually made by a creditor as part of an action to recover money owed. The application has to be in the prescribed form supported by evidence of the ground relied on. The debtor company can respond.

2.2.2 Hearing

The court hears the application. If, after reviewing the evidence and being satisfied that one or more of the statutory grounds have been established, the judge will usually make an order for the company to be wound up, and appoint a liquidator.

2.2.3 Winding-up order

In England, both under the 1948 and 1985 Companies Acts, and under the Insolvency Act 1986 as amended, the **official receiver** becomes the liquidator of the company once a winding-up order has been made. The official receiver's first duty is to call a meeting of creditors for choosing a liquidator, who will replace the official receiver. If there is no nomination, or for other good reason such as insufficient assets to cover the costs of the liquidation, the official receiver may remain as liquidator. Note, however, that there is no public officer similar in name or role to the official receiver in the offshore jurisdictions. Accordingly, the English practice has been streamlined so that the court appoints an independent liquidator who has previously consented to act.

The winding-up order must be sent to the registrar of companies and advertised in accordance with local requirements, typically in the press and *Gazette*. The notice and advert will look similar to Appendices 30C and 30D of the online Study Resources.

2.3 Consequences of the making of a winding-up order

When a winding-up order is made, the following things occur.

- A liquidator, usually a qualified accountant, is appointed by the court and assumes control of the books, records and assets of the company to commence the winding-up process described in section 2.4 below.
- To preserve the assets of the company for the benefit of creditors, any further transfers of property belonging to the company, unless approved by the court, are void – s.232 of the Companies Act 1948.

- iii. Any lawsuits against the company are stayed, i.e. must cease, unless the court orders otherwise – s.231 of the Companies Act 1948.
- iv. The powers of the directors cease – s.232 of the Companies Act 1948.
- v. Floating charges over the assets of the company crystallise – s.322 of the Companies Act 1948. These are charges that float over the company's moveable assets rather than attaching to a specific asset (see section 1.1 above). A floating charge is said to crystallise when a 'crystallising event' occurs, as described in the instrument creating the charge. It also crystallises when a company ceases to trade or is wound-up. In these circumstances, the charge no longer floats over the assets of the company but descends and attaches itself to the class of secured assets belonging to the company at the time of crystallisation.
- vi. A statement of the company's affairs must be prepared and filed by the directors, setting out details of the assets and liabilities of the company, as well as a list of known creditors – s.235 of the Companies Act 1948.



Task 12.1

Review the companies legislation in the jurisdiction where you work, or that otherwise applies to companies under your management, and:

- a. establish the procedure for obtaining a compulsory winding-up order;
- b. establish the legal consequences of such an order; and
- c. compare this with the corresponding provisions in the Companies Act 1948.

2.4 Liquidator's duties

The core duty of a liquidator is to close down, rather than continue, the business of the company, and to collect in and sell the company's assets in the best interests of the company. A liquidator is considered, in law, an agent who owes a fiduciary duty as well as a common law duty of care to the company. When the company is insolvent such duty is, in practice, indirectly owed to the company's creditors.²²²

In order to fulfil this core duty, the liquidator is given extensive statutory powers to assume possession and control of, to manage and to sell, the company's assets.²²³ In practice, the liquidator performs the following tasks.

- The liquidator must assume control of the books and records of the company, and has extensive power to require persons to produce the same. The liquidator then conducts a thorough investigation into the financial affairs of the company to determine why it failed. The liquidator may, for this purpose, apply to the court for a public examination of the officers in order to investigate any misconduct in the management of the company. A liquidator who finds mismanagement, fraudulent or wrongful trading may file a lawsuit against the directors to recover compensation on behalf of the company. A liquidator who finds that a fraudulent preference has been conferred upon certain creditors may file a lawsuit against

^{222.} *Knowles v Scott* [1891] 1 Ch 717.

^{223.} See, by way of example, ss.237–251 of the Companies Act 1948, in particular ss.243, 244 and 245.

the preferred creditor to recover the preference.²²⁴ Any monies recovered are said to 'swell' the assets available to pay the company's creditors.

- The liquidator winds-up and liquidates the company by:
 - closing down, rather than continuing, the business of the company, which essentially means terminating employees and disclaiming contracts, i.e. serving notice on parties with contracts with the company, stating that the company is no longer bound by such contracts – so that the other parties cannot insist upon performing the contract, thereby adding to the debts of the company (such parties becoming unsecured creditors for moneys outstanding as at the date of the winding-up order)
 - taking possession of the assets of the company and collecting debts due to it
 - selling the assets in the best interests of the company, with reasonable care
 - determining the identity and value of creditors and whether they can 'prove' that money is owed to them
 - paying proper debts due to creditors of the company according to a statutory order, discharging costs first, then preferential creditors, then ordinary creditors *pari passu* (explained further in section 4 below)
 - preparing and submitting final accounts to the court and to creditors and applying for a final order of dissolution. A specimen statement of account is illustrated in Appendix 30G of the online Study Resources.

3. Voluntary winding-up

A company may be wound up voluntarily (without an order of the court) in circumstances where:

- the members of the company commence the winding-up process voluntarily, usually because they no longer wish the company to continue (the most common situation)
- creditors of the company decide that the company should be wound up because of debt or liquidity problems, but do not wish to involve the court in the process.

3.1 Members' voluntary winding-up

3.1.1 Grounds for a members' voluntary winding-up

There are often two grounds on which a members' voluntary winding-up may proceed.

- The articles may specify that the company should be wound up at the end of a specified period or on the happening of a particular event. If such a time arises, or event occurs, the members are usually required to pass an **ordinary** resolution recording their desire to proceed with the winding-up of the company.

224. Section 320 of the Companies Act 1948 (and corresponding provisions offshore). The winding-up procedure is designed to ensure all creditors are treated fairly and equally. A liquidator can therefore apply to the court to set aside a fraudulent preference. A fraudulent preference occurs when, in the period before the winding-up order, the directors of an ailing company make payments from corporate assets that favour or prefer one creditor over others. This is a particular problem when the preferred creditor is a person connected to the director or the company, and the payment was not motivated by commercial considerations but simply to ensure that the preferred creditor was not left having to claim in the insolvency.

- The members may decide that the company is no longer required and that the assets of the company (after discharging all its debts and liabilities) should be distributed to the shareholders. This ground occurs for reasons unconnected with the company's solvency. A **special** resolution of the shareholders is usually required in order to place the company into voluntary liquidation.

3.1.2 Usual procedure

The following account summarises how a members' voluntary winding-up should proceed under typical provisions contained in the Companies Act 1948 ss.303–310. For a more detailed review, see the specific legislation governing company liquidations in the jurisdiction where you work.²²⁵

i. Declaration of solvency

The directors must first prepare a declaration confirming that they have undertaken a thorough review of the finances of the company and that, in their opinion, there are sufficient assets to pay all the liabilities and debts incurred by the company in full. In other words, that the company is solvent. A specimen is illustrated in Appendix 30A. In order to substantiate this opinion, it is usual for the directors to append a statement of the assets and liabilities of the company to the declaration. The declaration of solvency is an important document. Directors who are fraudulent or negligent in checking the information contained in a declaration of solvency face criminal penalties (a fine and/or imprisonment).

ii. Special resolution

The members must usually pass a special resolution to terminate the company and appoint a liquidator. A special written resolution of the members is illustrated in Appendix 30B of the online Study Resources. Some jurisdictions do not distinguish between an ordinary and special resolution. The IBC jurisdictions, such as the BVI and the Bahamas, permit either the members or the directors to pass the resolution, provided they are authorised to do so in the company's memorandum or articles.²²⁶ A copy of the resolution must be sent to the registrar of companies.

iii. Liquidator appointed

The appointment of the liquidator is usually made at the time, and in the same resolution, as the resolution to wind up the company – see para.2 of Appendix 30B. Upon the appointment of a liquidator, all the powers of the directors of the company cease. A notice of the appointment must be published in the local press and the *Gazette* and sent to the registrar. A specimen notice for publication in the press and *Gazette* is illustrated in Appendix 30C; notice to the

225. Bahamas – ss.131–140 of the IBCA 2000 as amended 2008; Bermuda – Pt 13, ss.157 and 201–224 of the Companies Act 1981 as amended with ss.225–233 applying to every winding up; BVI – Pt 12, ss.197–208 of the BVI BCA 2004 amended 2007, whereas the Insolvency Act 2003 only applies to insolvent companies; Cayman Islands – ss.116–130 of the Companies Law 2020 Revision with ss.138–150 applying to every winding up; Gibraltar – ss.146–148 of the Insolvency Act 2011 which applies to members' voluntary winding-up; Guernsey – Pt 22, ss.391–405 of the Companies (Guernsey) Law 2008; Hong Kong – Pt 5(iii), ss.228–257 of the Companies (Winding-up and Miscellaneous Provisions) Ord., Cap 32; Isle of Man – ss.182 of the Companies Act 2006 applies the Companies Act 1931 to corporate winding up of the New Manx Vehicle, where Pt 5(iii) ss.214–242 apply to voluntary winding up; Jersey – Pt 21, Ch.2, ss.145–154 of the Companies (Jersey) Law 1991 amended 2009 deals with what is known as 'Summary Winding-Up'; and Ch.4 ss.156–186 deal with creditors winding up; Mauritius – Companies Act 2001 amended 2009 refers to the Insolvency Act 2009 for corporate winding up, in respect of which Pt 2 deals with winding-up and alternatives, sub-part 2 covers winding-up of companies; Singapore – Pt 10, Division 3, ss.290–312 of the Companies Act Cap 50, consolidated 2017.

226. BVI – s.199 of the BVI BCA; Bahamas – s.133 of the IBCA.

registrar in Appendix 30D. (For IBCs that have resolved to voluntarily wind up by resolution of the directors, the statement of solvency must contain additional particulars including a plan or articles of dissolution, and it is this document that is submitted to the registrar.)²²⁷

The liquidator is responsible for conducting the winding-up of the company, which includes tasks such as collecting in all the assets of the company and ensuring that all corporate debts are paid in full.

iv. **Members' meetings**

The liquidator may be required to call meetings of the shareholders from time to time (usually within three months of each anniversary of the commencement of the winding-up and also on its completion, unless dispensed with) in order to advise them of the progress of the liquidation. A specimen notice of final general meeting is illustrated in Appendix 30E of the online Study Resources and a specimen of written resolutions in lieu of a formal meeting is illustrated in Appendix 30F of the online Study Resources.

v. **Delivery of accounts**

After collecting all the assets of the company and paying all the creditors, the liquidator must prepare a final account. A specimen final statement of account is illustrated in Appendix 30G. The account must be presented to the shareholders at the final meeting referred to above (unless a meeting is waived) and filed with the registrar of companies, together with a request to dissolve the company.

After a certain period (usually three months) has elapsed, the registrar will remove the name of the company from the Register and issue a certificate confirming that the company has been dissolved.



Task 12.2

Review the companies legislation in the jurisdiction where you work or have some other connection. Compare its specific provisions for a members' voluntary winding-up with:

- a. the general 1948 Act model described above; and
- b. the more streamlined 'summary' winding up procedure permitted in Jersey.²²⁸

227. Section 138 of the IBCA of the Bahamas; s.199 of the BVI Business Companies Act.

228. The following is a concise summary of the streamlined procedure for a Jersey company to be wound up on a voluntary basis:

- The directors must convene a general meeting of the shareholders for the purpose of passing a special resolution to have the company dissolved. The directors must present a declaration of solvency to the shareholders.
- The shareholders meet and, if appropriate, pass the special resolution.
- The directors, officers and members prepare a letter addressed to the registrar confirming that they wish the company to be dissolved.
- When corporate income tax was payable, the directors had to obtain confirmation from the local tax offices that there was no tax liability outstanding, but this is now superfluous as Jersey companies pay a nil rate of tax.
- Copies of the letters from the directors, officers, members are sent to the registrar of companies with a request to have the company dissolved.
- Notices must be published in the local press recording the company's wish to be dissolved.
- Providing no objections are received, the registrar of companies will remove the company from the Register after a stipulated period of three months has passed.

3.2 Creditors' voluntary winding-up

If a company is insolvent (i.e. is unable to pay all its debts in full), the company does not have to wait for a creditor to apply to the court for a compulsory winding-up order. It may commence a voluntary winding-up. When the company is insolvent, the voluntary winding-up is called a **creditors' voluntary winding-up**. This is because the creditors of the company have a far greater say in the conduct of the winding-up procedure.

The usual procedure based upon ss.292–300 of the Companies Act 1948 is as follows.

3.2.1 Directors convene a general meeting of shareholders to pass a special resolution to wind up the company

In most cases, the directors of a company experiencing financial problems want to arrange for the company to be terminated as quickly as possible to prevent the financial situation from worsening and to protect them from incurring liability for wrongful or fraudulent trading. They are prevented from allowing a members' winding-up to proceed as they are unable to sign a declaration of solvency (as assets are insufficient to meet all debts). In such situations, the directors are allowed to call a general meeting of the shareholders so that they may pass a special resolution to wind up the company. Alternatively, some jurisdictions do not distinguish between ordinary and special resolutions and others permit the directors to pass the resolution. The resolution, when passed, must be filed with the registrar and published.

3.2.2 Directors convene a creditors' meeting to appoint liquidator

The directors then arrange a meeting of all the creditors of the company. At this meeting, the directors present details of the financial position of the company, including a list of its assets and liabilities. The creditors, rather than the shareholders, choose the liquidator by majority vote of those present in person or proxy.

3.2.3 Liquidator winds up the company

The liquidator, upon appointment, assumes all the usual powers of management and sale of the assets of the company as in a members' voluntary winding up. Subsequent meetings of creditors and members are then held periodically (at the same intervals as those for a members' voluntary winding-up). Once the affairs of the company have been wound up, and all assets collected and sold, and the proceeds shared between creditors in the manner described in section 4 below, final meetings of members and creditors are held, at which the accounts are presented for discussion and approval. Filings are usually required in line with those necessary for a members' voluntary winding-up.

4. Payment of debts

The winding-up of a company is conducted for the protection of creditors of the company. A liquidator is required to take all company assets into his or her possession, sell them and use the proceeds to satisfy the debts of the company. The debts must be paid in a proper order. Only when all the company's debts have been paid may the liquidator distribute any surplus to the shareholders.

The order for payment of creditors, according to ss.317 and 319 of the Companies Act 1948, is as follows:

- i. a creditor with a fixed charge over property of the company will usually enforce that security by sale of the secured property. A secured creditor with a fixed charge is not, therefore, usually paid by the liquidator. Only if the sale of the mortgaged asset does not produce sufficient funds to discharge its debt in full will the secured creditor claim the shortfall as an unsecured creditor;
- ii. the costs of the liquidation, including the fees of and expenses incurred by the liquidator, are paid in priority to all other debts, save debts secured by a fixed charge;
- iii. if any money remains after costs, etc. the preferential debts are paid next in line. These include any taxes, duties or other funds due to the government of the jurisdiction of incorporation and any wages outstanding to employees of the company (and moneys to depositors of a licensed bank, if a bank is being wound up).

If there is not enough money to pay each such creditor in full, the creditors are paid *pari passu*, i.e. each creditor receives the same percentage of the amount due to them (e.g. x cents per dollar owed);

- iv. next in line for payment are those creditors whose debts are secured by a crystallised floating charge over the assets of the company. These creditors are paid out in the order in which their floating charge was given.²²⁹ For example, assume that four creditors (A–D) have each made a loan of \$100,000 to the company, secured by a floating charge over the company's assets. The loans were made on 1 January, 1 February, 1 March and 1 April. If there is only \$300,000 available from the net proceeds of sale of the charged assets, creditors A, B and C will each receive \$100,000, and creditor D will receive nothing; and
- v. the ordinary unsecured creditors are paid last. Each debt is treated equally, which means that creditors are paid *pari passu*. So if there is insufficient cash to pay the ordinary debts in full, the creditors receive proportionate amounts (x cents in the dollar).



Task 12.3

Review the companies legislation enacted in the jurisdiction where you work, or that applies to companies under your management, and determine whether the order of priority for payment of debts is modelled upon the Companies Act 1948 as described above.

229. This part of the text describes the rule in *Dearle v Hall* (1828) 3 Russ 1: that the first in time prevails. The issue of priority between successive charges is actually a little more complex. This is because in English company law one must distinguish between the date of the charge and the date of its registration in the register of charges. Under early companies legislation in England, starting with the 1862 Act, through 1900, 1948, 1985 right up to the 2006 Companies Act, particulars of every fixed and floating charge made by a company must be entered into the company's register of charges. Failure to register does not invalidate the charge, but it may affect priority between successive charges. This is because registration serves as constructive notice to subsequent chargees. In short, the priority of successive charges may be governed by the date of registration rather than the date of the instrument creating the charge. To make matters more complex for offshore companies and their advisers, there are a number of jurisdictions where registration is not a mandatory requirement. In such jurisdictions the first in time, rather than the first to be registered, does indeed prevail and has priority over subsequent charges.

5. Reinstatement of liquidated companies

There is a procedure in most common law jurisdictions whereby the liquidator or shareholders can apply, within a very limited time period after formal completion of a liquidation (usually no longer than six months) for the liquidated company to be re-instated. This action may be taken if the liquidator discovers additional assets or liabilities which, for any reason, have been overlooked during the formal liquidation proceedings.

This procedure is very seldom used in practice, simply because company liquidation is a very formal procedure, and professional liquidators do not often overlook substantial assets or liabilities when they are carrying out their functions, and they make regular reports to creditors and/or the court.

6. Striking off

There are nowadays, in most jurisdictions, two ways for a company to be struck off the register of companies. Firstly the traditional, old-fashioned compulsory striking off by the registrar for just cause, which is based upon the Companies Act 1948 model and has been adopted across the jurisdictions. Alternatively, there is voluntary striking off, based upon a modern model which was introduced in England by the Companies Act 2006, and has been copied by a number of, though not all, financial centres.

6.1 Compulsory striking off

Under s.353 of the Companies Act 1948, a registrar of companies who believes that a company has ceased to carry on business may take steps to have the company struck off the register of companies. Similar provisions have been enacted offshore.²³⁰

The registrar must have just cause before removing a company in this manner. Usually, 'just cause' arises where there is failure on the part of a company to reply to letters or failure to submit an annual return (where one is required) or pay the annual registration fee.

The process begins with the registrar sending notice to the company at its registered office, asking whether it is still carrying on its business. If a reply is received which suggests that the company is still operating, so be it; the registrar will cease the procedure provided all fees have been paid and other filings are up to date.

If there is no reply, the registrar serves a second notice, stating that if a response is not received within a certain time period, usually two months, the company will be struck off. On the expiration of this period, and assuming there is no evidence to suggest that the company is operating, the registrar will strike the company from the register. Upon being compulsorily struck off in this manner, any assets belonging to the company are forfeit to the state.

230. Bahamas – s.165 of the IBCA 2000 as amended 2008; Bermuda – s.261 of the Companies Act 1981 as amended; BVI – s.213 of the BVI BCA 2004; Cayman Islands – s.156 of the Companies Law 2022 Rev; Jersey – s.205 of the Companies (Jersey) Law 1991; Guernsey – s.353 of the Companies (Guernsey) Law 2008; Isle of Man – s.183 of the Companies Act 2006; Gibraltar – ss.411–416 of the Companies Act 2014; Turks and Caicos Islands – s.173 of the Companies Ord; Hong Kong – Pt 15, Division 1, ss.744–746 of the Companies Ord., Cap 622; Singapore – s.344 of the Companies Act Cap 50.

This method of termination was, for many years, used when the company no longer has any assets and the beneficial owner did not wish to incur the additional costs by following the formal voluntary winding-up procedure. (This is probably the reason why England created a new statutory voluntary striking off procedure in the 2006 Companies Act.)²³¹ In the absence of a statutory provision permitting voluntary striking off, while it may be practical and save costs, it is not regarded as a satisfactory way of dissolving a company, for several reasons.

- Firstly, the liability of the officers of the company for their acts or defaults (particularly for fraudulent or wrongful trading if the company is subsequently found to have unpaid liabilities) and the liability of the members of the company for unpaid calls on their shares continue and do not abate, notwithstanding the fact that the company has been struck off.
- Secondly, the registrar's power to strike off a company is entirely discretionary, so there is often no telling when a registrar may strike a company off; the company could remain on the records for many years before the process is complete.
- Finally, the company may be reinstated to the register, perhaps many years after the original striking off, and thus a striking off does not actually dissolve the company until such time as the period has expired within which it can be reinstated.²³²

Any assets held by the company at the time it is struck off the register are essentially without a legal owner and so pass automatically to the state, including any funds left in a bank account.

6.2 Voluntary striking off

Some companies reach the end of their useful life and are no longer required. According to traditional company law, if it is solvent, a company can be placed into voluntary winding up by its members (or, in some jurisdictions, by its directors). But this involves a somewhat protracted and expensive process as it must be conducted by a qualified liquidator following statutory procedures. There must be an easier way of bringing the company's affairs to an orderly close, particularly if the company has no liabilities, no assets and is no longer trading. At one time, service providers were tempted simply to discharge all liabilities of the company, denude it of assets, and then deliberately fail to pay its annual registration fee, hoping that the registrar would, in due course, strike the company off the register by the method described in 6.1 above. As noted, however, this was a somewhat unsatisfactory solution. As a result, a number of the more progressive jurisdictions now permit voluntary striking off subject to the fulfilment of statutory conditions designed to protect creditors.²³³

231. The new voluntary striking off procedure created by s.1003 of the Companies Act 2006 permits a company, by board resolution, to apply to the registrar on prescribed Form DS01 for the voluntary removal of the company from the register. A board resolution is required, although for a multi-shareholder company it is likely that the board would obtain the prior approval of the shareholders in general meeting. The application cannot be made if the company is engaged in court proceedings or at any time in the last three months has: traded, made any disposal of its assets or changed its name. Having filed Form DS01 with the registrar, notice is published in the Gazette giving two months for objections. If no objections are received the registrar will strike the company off the register and give a further notice of doing so in the Gazette. At this stage the company is dissolved although can be reinstated by an application to the court within six years of the striking off. See section 6.2 below for the procedure in other jurisdictions that permit voluntary striking off.
232. Whilst a company that has been struck off the Register in England (and other jurisdictions) is not formally dissolved until the period has expired for it to be reinstated, the position is different in the BVI. Following the BVI Business Companies (Amendment) Act 2022, a newly struck-off company is automatically dissolved if it fails to cure its breach within a period of 90 days from the date it is struck off. To offset this provision, it has become easier to reinstate a BVI company that has been struck off by an administrative application to the Companies Registry – see section 6.3 of this Module.
233. England – s.1003 of the Companies Act 2006. The following offshore financial centres permit voluntary striking off on a statutory basis: Bahamas – s.261 of the IBCA; Bermuda – s.261A of the Companies Act 1981, as amended 2018; Guernsey – ss.357–365 of the Companies (Guernsey) Law; Hong Kong – s.750 of the Companies Ord Cap 620, where it is called de-registration; Isle of Man – s.190 of the Companies Act 2006; Singapore – s.344A of the Companies Act Cap 50.

There are minor variations across the jurisdictions, but the application for voluntary striking off, and pre-conditions that must be complied with, are described below.

Firstly, an application is commenced by the board resolving to apply to voluntarily strike off the company in circumstances when the director(s) is (are) satisfied that the statutory conditions are met. A specimen board resolution is illustrated in Appendix 31A.

The statutory conditions are essentially designed to ensure that the company is in a 'zero state', namely, it has:

- no assets, in particular no real estate in the jurisdiction of incorporation
- no debts or liabilities or outstanding claims against it
- no legal proceedings or insolvency matters are pending
- is no longer trading (and, in some jurisdictions, has not traded for a specified number of months).

The directors should then apply to the registrar for striking off. Depending upon the jurisdiction, this is done by filing with the registrar either a prescribed form containing a declaration of compliance confirming the statutory conditions are met (illustrated, generically, in Appendix 31B of the online Study Resources) **or** a copy of the resolution together with a statutory declaration of compliance (illustrated in Appendix 31C of the online Study Resources).

Upon receipt of an application in proper form, the registrar must publish concise details of the application in the *Gazette*, seeking objections. If no objections are received (presumably from creditors or claimants) within a prescribed period, usually two months, the registrar will strike the company off the register of companies, publish another notice in the *Gazette* and issue some sort of certificate of voluntary striking off.

Upon striking off in this manner, the company is dissolved and ceases to exist as a legal entity. Much as with compulsory striking off, however, it can be reinstated and restored to the register in the manner described in section 6.3 below.



Task 12.4

Review the legislation enacted in the jurisdiction where you work or have some other connection to establish:

- a. whether a voluntary striking off application can be made in lieu of a formal voluntary winding up; and if so
- b. research the required procedure; in particular, establish whether a particular application form has been prescribed.²³⁴

234. England – s.1003 of the Companies Act 2006. The following offshore financial centres permit voluntary striking off on a statutory basis: Bahamas – striking off is dealt with by s.165 of the IBCA but voluntary striking-off is not provided for on a statutory basis; Bermuda – s.261A of the Companies Act, inserted by Companies (Amendment) Act 2018; Guernsey – ss.357–365 of the Companies (Guernsey) Law; Hong Kong – s.750 of the Companies Ord Cap 620, where it is called de-registration; Isle of Man – s.190 of the Companies Act 2006; Singapore – s.344A of the Companies Act Cap 50. Surprisingly, voluntary striking off is not permitted in:

- a. a. BVI, where the only two methods of disposing of a company voluntarily are voluntary winding up and compulsory striking off for non-payment of fees – see s.213 of the BVI BCA,
- b. Jersey, where instead of voluntary striking off there is summary winding up in accordance with ss.145–154 of the Companies (Jersey) Law,
- c. the Cayman Islands where there is no statutory basis for voluntary striking off but it is permitted by the registrar on an informal basis; and
- d. the Bahamas – s.165 of the IBCA.

6.3 Reinstatement of companies that have been removed from the register

It is possible for a company that has been removed from the register as a result of a compulsory striking off to be reinstated.²³⁵

The reinstatement procedure is one of two types:

- i. **judicial**; or
- ii. **administrative**.

In those jurisdictions that still follow the 1948 Act, reinstatement is a judicial act that requires an application to the court by a director, a member or a creditor of the company for an order permitting the reinstatement of the company by the register. However, some jurisdictions have followed the modern English approach by making reinstatement an administrative procedure in that it requires an application to the registrar rather than the court. This is the approach taken in the more progressive jurisdictions such as the Bahamas, BVI, Guernsey, Hong Kong, Isle of Man, and Singapore, where reinstatement is administrative in nature, saving attorney's fees.²³⁶

An application for reinstatement has to be made within a prescribed period of time. The period differs from jurisdiction to jurisdiction – for IBCs an application must be made within five years from the date of the striking off; it is six years in England; 10 years in other jurisdictions; in Panama, reinstatement can take place at any time, but this is unusual.

The procedure to reinstate by court order requires the company's directors or members (or creditors) to engage attorneys to file an originating summons with an affidavit in support, establishing the applicant's legal standing and explaining why reinstatement is sought. A short hearing before a judge may be necessary, but the court will usually make an order for reinstatement on condition that all annual fees outstanding calculated to the date of reinstatement, have been, or will be, paid.

For an administrative reinstatement, the directors, members or creditors of the company file a prescribed form with the registrar. This form usually includes a declaration of compliance, which essentially states that:

- a. the applicant is eligible to apply to reinstate the company;
- b. the company's statutory registers are, or will be made, up to date; and
- c. all outstanding filing fees have been paid. A generic form is illustrated in Appendix 31D of the online Study Resources.

235. Bahamas – s.166 of the IBCA 2000 as amended 2008; Bermuda – s.261(6) of the Companies Act 1981 as amended; BVI – s.217 of the BVI BCA 2004; Cayman Islands – s.159 of the Companies Law 2022 Rev; Guernsey – ss.370–373 of the Companies (Guernsey) Law 2008; Isle of Man – ss.187 and 188 of the Companies Act 2006; Gibraltar – ss.414–416 of the Companies Act 2014; Turks and Caicos Islands – s.176 of the Companies Ord; Hong Kong Pt 15, Division 1, ss.744–746 of the Companies Ord, Cap 622, 2014. Singapore – s.344(5) of the Companies Act Cap 50. The statutory process in Jersey in arts 205 and 205A of the Companies (Jersey) Law 1991 states that a defunct company shall actually be dissolved and does not provide for its reinstatement to the register. However, arts 205(8) and 205A(3) state that the liability of every director and member of the company continues and may be enforced as if the company had not been dissolved.

236. Sections 1024–1028 of the Companies Act 2006; s.166 of the IBCA of the Bahamas; s.217 of the BVI Business Companies Act as amended 2022; Hong Kong – s.760 of the Companies Ord Cap 622: 'administrative restoration'; Isle of Man – s.187 of the Companies Act 2006; s.370 of the Companies (Guernsey) Law; in Singapore striking off and reinstatement are dealt with in s.344D ('administrative restoration'), and also the Companies (Striking Off) Regulations 2015 reg.6(1) provides for administrative reinstatement by way of application to the registrar.

In those jurisdictions where voluntary striking off and administrative reinstatement are permitted, an administrative reinstatement cannot be made by the registrar following voluntary striking off. In these circumstances, an application must be made to court.

The general effect of a court or administrative order that authorises the reinstatement, and the registrar's reinstatement of the company's name to the register of companies, is that the company is deemed to have continued in existence as if it had not been struck off – it is owned by the same shareholders, managed by the same directors, owns all its pre-existing assets and, crucially, owes all pre-existing liabilities.



Learning outcomes

By the end of this module you should:

- understand how creditors may recover moneys owed to them when a company is in difficulties and be able to distinguish fixed from floating charges
- be able to take steps, as a director of an insolvent company, to try to avoid liquidation
- understand the role of a receiver and manager, when appointed by a secured creditor
- appreciate the grounds for compulsory winding-up, the role of the court, the consequences of making a winding-up order, and the role of the liquidator
- be able to take the required steps to initiate a members' voluntary winding-up and follow the requisite procedure for voluntarily striking a company off the register
- be able to reinstate a company to the register when it has been struck off on a compulsory basis.

Module 12:

Self-assessment questions

1. Identify the alternatives to liquidation of a company that are available to a company's creditors.
2. Distinguish a fixed charge over corporate assets and a floating charge. What is the usual remedy employed by a secured creditor in the event of the borrower's default?
3. Describe the broad function of a receiver and manager appointed pursuant to a fixed and/or floating charge.
4. Set out the usual grounds upon which a court of law may order the compulsory winding-up of a company.
5. Outline the usual procedure involved in a compulsory winding-up in a typical offshore centre (where you work or have some connection).
6. Describe the usual reasons for a members' voluntary winding-up.
7. Outline the procedures available to directors of a BVI Business Company who realise that the company they manage is becoming insolvent and will shortly be unable to repay its debts.
8. Outline the usual procedure involved in a members' voluntary winding-up in a typical offshore centre (where you work or have some connection).
9. How can creditors enforce repayment of a debt due to them from a BVI Business Company (other than simply suing in a court of law)?
10. State the usual grounds for a creditors' voluntary winding-up.
11. Outline the usual procedure involved in a creditors' voluntary winding-up in a typical offshore centre (where you work or have some connection).
12. Summarise the broad duties of a liquidator.
13. Explain the cause and process of compulsory striking off.
14. Explain why a service provider may select a streamlined voluntary striking off rather than a formal winding-up of a company that is no longer required.
15. Describe the procedure to voluntarily strike a company off the register of companies.
16. Can a company that has been struck off the register of companies be reinstated to it? If so, describe the procedure.

All Modules:

Answers to self-assessment
questions



Module 2:

Answers to self-assessment questions

1. A company is a group of persons who organise themselves together as a separate legal entity designed to pursue a common objective or purpose, which usually involves the carrying on of a trade or business for profit.
2. The above definition does not wholly apply to companies incorporated offshore, which often:
 - are owned by a single person, rather than a group
 - do not trade, but merely hold and invest corporate assets
 - exist for purposes other than pure profit, e.g. asset protection, confidentiality, tax efficiency, estate planning.
3. The earliest form of operating structure used by businesspersons in medieval England was the sole proprietor. The main disadvantages included:
 - (a) undue risk insofar as the business owner is solely responsible, in full, for the debts of, and liabilities incurred by, the business; and
 - (b) although sole proprietors can borrow funds from third parties, they are unable to raise capital for the business from outside investors.

These drawbacks were overcome initially by traders combining together to conduct business as a partnership (known as *societas*), which spread risk and joined the capital of the partners together for their mutual benefit.

4. Partnerships (*societas*) suffered from three major drawbacks:
 - there was often a contractual restriction upon a partner's right to transfer their part of the business insofar as the remaining partners would have to unanimously agree to a proposed transfer
 - it did not allow the business to raise capital by inviting the investing public to invest in it (only the individual partners)
 - it did not have a legal personality and therefore could not own property or enter into contracts in its own name (except in the name of all the partners).
5. In the 16th century there was an expansion of the merchant shipping fleet in England. The merchants initially operated as sole traders but later formed 'companies' of merchants to trade particular overseas commodities. The Crown granted Royal Charters to such 'companies' of merchants enabling members to trade in a particular territory. Investors would contribute capital to these companies in consideration for the company to issue them with joint stock (shares in the enterprise), thereby becoming members of the company and sharing in its profits.

6. International trade increased throughout the 16th and into the 17th century and, in 1711, a group of merchants obtained a Royal Charter to trade in the South Pacific under the name of the South Seas Company. As an add-on to its usual business, this company subsequently acquired the UK Government's national debt and persuaded government bondholders to convert their bonds into shares of stock. But then in 1720 the stock crashed. An investigation revealed fraud and Parliament questioned the legality of corporate structures.
7. It was thought that the company structure could be used by dishonest directors as a vehicle to defraud investors. The Bubble Act 1720 therefore prohibited the use of companies as a legal structure and made their activities illegal. What remained were unincorporated partnerships, companies incorporated by Royal Charter and those companies incorporated by private Acts of Parliament.
8. The onset of industrialisation in the century after the Bubble was passed and, in particular, the growth in railway companies meant that measures were needed to allow corporate structures to exist legally. Businesspersons lobbied parliament to relax the prohibition upon the use of companies as an operating structure, but to regulate their operations to prevent the corporate structure being used as a vehicle for fraud. In this way growing businesses could more easily raise capital from investors to finance expansion, leading to a growing economy. Finally, in 1844 the Joint Stock Companies Act was passed which put the modern company structure on a firm legal footing. The Limited Liability Act 1855 subsequently introduced the concept of limited liability for shareholders
9. In a limited company, the liability of the members is limited to the amount they are required to pay for their shares or the amount that they guarantee to contribute on a winding up. The liability of the company to pay its own debts is unlimited. Arguments for the introduction of limited liability include the following: it makes investment in a company less risky and therefore more attractive to the public; capital therefore becomes more available and cheaper for the general good of business, commerce and the country as a whole. Arguments against it are that it encourages a company to be reckless and trade beyond its means, because shareholders know that, if the company fails, they do not have to pick up the pieces and pay the company's creditors themselves; lawful creditors doing business with a company in good faith may be left without redress if the company fails.
10. These types of industry were highly specialised and required a considerable amount of capital investment. Accordingly, the incorporated business entity carried significant benefits:
 - it allowed such companies to invite public participation, by selling shares to the public
 - it allowed investors to inject capital into an enterprise without the risk of them incurring any further liability in the future
 - it enabled the public to transfer their shares to a willing buyer without formality (for instance, on the stock exchange)
 - it enabled the business of the company to be managed by entrepreneurs and businesspersons with specialist expertise.

11. Drawbacks of operating a small- or medium-sized company that had been incorporated under the 1944 Act include publicity requirements and loss of confidentiality and the general expense of compliance with detailed regulations designed to curtail the possibility of a rogue board of directors defrauding investors, such as: accounting requirements, publication of financial statements, annual general meetings, etc. The Companies Act 1907 allowed smaller 'private' companies to opt out of some of these more burdensome compliance requirements when there was considered little risk of the directors stealing corporate assets.
12. English company law has been used as a model by the common law countries and offshore financial centres. In particular, the Companies Act 1948 tends to be used as an initial template and then amended or updated over time as company law has evolved.
13.
 - i. A company becomes an artificial person, and can therefore, in its corporate name, own property, enter into contracts, sue and be sued in a court of law.
 - ii. The liquidator of A Salomon & Co Ltd (on behalf of the company's creditors) commenced a lawsuit against Mr Salomon in his personal capacity, claiming that the company (and hence its mortgage of corporate asset in favour of Mr Salomon) was a sham, void and of no legal effect. The court held that:
 - the company was validly incorporated
 - its corporate structure, whereby all the shares were held by the Solomon family members, complied with the requirements of the companies legislation
 - the company was not, therefore, a sham, and the security conferred by the mortgage of corporate assets in favour of Mr Salomon was valid.
 - iii. If a companies legislation requirement is for a minimum of, say, two (or seven in the Salomon case) shareholders, these may be made up of a majority controlling shareholder and their nominee(s).
14. A company is considered to be an artificial person which has its own legal existence and legal personality that is distinct from its members. A third party can't go behind the 'veil of incorporation' and attack the members personally for acts done or debts incurred by the company (except in exceptional circumstances).
15. According to *Adams v Cape Industries Plc* [1990] Ch 433 an English court (and, therefore a court of a common law jurisdiction that follows English legal principles) is prepared to make an order that lifts the veil of incorporation, and thereby allow a creditor of a company to impose personal liability upon the company's shareholder when: (a) the company is clearly a 'sham' and it has been used fraudulently to avoid an existing obligation. See Appendix 3 in your online study resources: 'Lifting the veil of incorporation'. The lifting of the veil has two consequences: firstly, it allows creditors of a company to impose personal liability upon the company's shareholder and, secondly, it permit the creditors of a shareholder to enforce payment against the assets of the company. For example, in *Jones v Lipman* [1962] 1 WLR 832 a court ordered A to transfer certain property to B whereupon, in order to avoid such legal obligation, A transferred the property to a company of which A was sole shareholder. The court was prepared to lift the veil of incorporation and permit B to enforce the original obligation against the property of the company. In *Gencor ACP Ltd v Dalby* [2000] EWHC 1560

(Ch) a director of a public company (Company A) dishonestly stole money from the company and transferred it to Company B, a private company owned and controlled by him. Company A obtained judgment against the director, but the court permitted it to enforce the judgment against the assets of Company B. It was held that Company B was a mere façade and had been formed by the director in order to fraudulently avoid his existing liability to Company.

16.
 - i. Limited liability is *prima facie* unfair to, and operates against, the interests of creditors of a company. The risk of corporate collapse is taken by creditors rather than the owners of the enterprise.
 - ii. It is justified on the grounds of economic expediency – the overall good to the company and the wider economy outweighs the prejudice suffered by a few creditors.
 - iii. By either:
 - (a) obtaining security such as a mortgage or charge over corporate assets for moneys owed by the company; and/or
 - (b) obtaining personal guarantees from the shareholders/directors.
 - iv. A company may be limited by shares or by guarantee (usually the former).
17. A company can exist forever, until terminated by a formal winding-up procedure which can be voluntary or compulsory.
18.
 - i. A partner may sell their interest in a partnership if the remaining partners agree. The main practical drawback of such a sale is that the outgoing partner remains liable for the debts and liabilities of the partnership incurred while they were a partner.
 - ii. By transferring their shares as a voluntary gift to a donee or by sale to a willing buyer which are effected by the transferor and transferee executing a simple share transfer and lodging it with the company secretary (or equivalent) to update the register of members of the company.
 - iii. There may be restrictions upon a transfer of shares in the articles of a private limited company. This is usual when the number of shareholders is small and they have a personal involvement in the business insofar as each shareholder also sits on the board of the company. In these circumstances, Table A articles state that any transfer of shares requires the consent by board resolution of the directors.
 - iv. A more unusual restriction placed on share transfers is a pre-emption right conferred by the articles upon the shareholders. If a shareholder wishes to transfer their shares they first must offer them for sale at a fair price to the other shareholders.
19. To hold and invest corporate assets, and to allow those assets to be managed by the directors of the company on behalf of the shareholders. When the shares are held by nominees for a single beneficial owner we say the company is 'free-standing' or stand-

alone; when the shares are held by a corporate trustee we say the company serves as an 'underlying company' to hold the trust fund on behalf of the trustee.

20. The nationality of a company is determined by the jurisdiction where it is incorporated. A company cannot choose which law governs its internal management and administration. So, for example, a company incorporated in State A is governed by the laws of State A (although a company incorporated in State A can amend its constitutive documents (Module 5) and it may be able to migrate to State B (Module 4).

Module 3:

Answers to self-assessment questions

1.
 - i. The promoter is the person who gets the company off the ground. They form an initial business plan and arrange its working capital, are responsible for drafting the constitutive documents, instruct professional service providers to incorporate, sets up the undertaking and, in due course, when they sign the memorandum as subscriber, subscribe for shares in the company.
 - ii. A promoter must not make a profit out of the incorporation process without disclosing it to the directors or to the members of the company, or to potential members of the company if it is intended to issue additional shares to investors.
 - iii. The sale of the land by A to ABCD Ltd for \$2 million is proper provided A makes full and frank disclosure of their initial purchase of the asset for \$1 million) to the company's board of directors and to B, C and D. If they fail to do so, they have made a 'secret profit' and amounts to a breach of their fiduciary duty to the company. Accordingly, the company ABCD Ltd may rescind the contract or affirm it but compel A to turn over their profit of \$1 million to the company or sue them for compensation.
 - iv. No, although typical Table A articles confer a power upon the board of the company to reimburse such expenses when the company has been formed (usually exercised onshore so that the costs of incorporation become a company expense to set-off against revenues for corporation tax purposes).
2.
 - i. At common law, the contract is not binding on the company, nor can the company ratify and unilaterally adopt the contract. If the company wishes to be bound by the contract it must enter into a new contract with X after the date of its incorporation (which therefore requires X's consent) for it to be enforceable by or against the company. The promoter is liable under the terms of the original contract, not the company.
 - ii. Under modern companies legislation, the company by board resolution may unilaterally adopt a pre-incorporation contract (which does not require X's consent), whereupon the company may sue and be sued for breach and the personal liability of the promoter under the contract is discharged.
3.
 - a. Public companies are appropriate when shares are to be offered for sale to the investing public or the company is to be listed on a stock exchange.
 - b. Unlimited liability companies are used mainly for incorporated professional associations of lawyers or accountants.
 - c. Guarantee companies are used for 'not-for-profit' business activities where any profits of the company will not be distributed to its members but will be retained and re-invested in the business of the company.
 - d. In those jurisdictions where the distinction still persists, so-called 'Local' or 'Domestic' or 'Resident' companies are used to carry on business within the local economy of the geographical territory of the centre of incorporation, whereas 'IBCs', 'Exempt' or 'Non-resident, tax-exempt' companies are designed

for international offshore use insofar as they cannot trade or carry on business within the local economy of the geographical territory of incorporation nor typically to hold local real estate. They are generally used to hold 'foreign' assets.

- e. In those jurisdictions where LLCs are permitted, an LLC may be used for general asset-holding as well as trading or operating purposes. However, as an LLC is very flexible in terms of its management, organisation and allocation of profits and losses, it is often more typically used as a vehicle for investment funds, joint ventures, private equity funds, securitisation and international financing.
4. The following documents should generally be filed with the Registrar to incorporate a company (see section 3.5 of the course manual):
 - (i) in some jurisdictions which have dispensed with the memorandum, a completed prescribed application form
 - (ii) the proposed memorandum of association
 - (iii) the proposed articles
 - (iv) often a prescribed certificate or declaration of compliance
 - (v) prescribed particulars of directors and beneficial owners
 - (vi) the appropriate fee.
 5. The name of a company must distinguish it from other companies incorporated in that jurisdiction; it must contain the word 'Limited' (or equivalent) if the liability of its shareholders is limited to the unpaid amount payable when shares were acquired; the name must not be misleading or suggest a connection with government or that it performs a regulated activity. See section 3.3 of the course manual.
 6.
 - (i) The registers of directors and officers contains the names and addresses of the directors and company secretary, if one exists, or any other officers of the company, and the date appointed;
 - (ii) a separate register of registered agents is required for IBCs;
 - (iii) the register of members contains the name and address of shareholders, the number and type of share(s) held;
 - (iv) the register of charges is required in some jurisdictions designed to contain details of any charges (fixed or floating) over corporate assets held by the company;
 - (v) a register of beneficial ownership (or equivalent) is a new requirement described in section 4.1.5 of the course manual which requires either the company itself, or the regulator, to hold prescribed information about the 'beneficial owner' of the company (as defined in regulations as persons with significant ownership or control of the shares issued by the company, in respect of which see the answer to SAQ 7 below).
 7. A 'beneficial owner' of shares, particulars of whom must be included in a new Register of Beneficial Ownership of a company, means a person who meets one or more of the following conditions:
 - (a) owns directly, or indirectly through nominees, 25% or more of the shares of the company;
 - (b) directly, or indirectly through nominees, controls 25% or more of the shareholders' voting rights;

- (c) directly, or indirectly through nominees, holds the right to appoint persons to the board or directors; or (d) has the right to exercise, or actually exercises, significant influence or control over the business of the company. See section 4.1.5 of the course manual.

8. Typical business conducted at the inaugural board meeting of a new company include:

- (a) the approval of the Directors' Service Agreement;
- (b) appointment of company secretary, if necessary or required and registered agent;
- (c) adopt a seal, if deemed necessary;
- (d) appoint bankers, brokers and other agents;
- (e) select the company's financial year-end; and
- (f) allot and issue any new shares if necessary.

See section 4.5 of the course manual and a specimen set of resolutions in Appendix 9 of your online Study Resources.

9. (a) IBCs

The IBC is very common in offshore financial centres located in the Caribbean and other 'nil-tax' centres. Examples of the centres that offer IBCs include Antigua, Anguilla, the Bahamas, Barbados, Belize, British Virgin Islands (now called BVI BCs), Niue, St. Vincent and the Seychelles. In the Cook Islands, Mauritius and Samoa, corporate vehicles that have characteristics similar to those of the IBCs are known as International Companies. In Bermuda, the Cayman Islands and Turks and Caicos Islands there is a similar vehicle known as an 'exempted company'. In this context 'exempted' refers to the fact that they are exempt from the requirement to be majority owned by Caymanian citizens. The following are some of the significant features of these vehicles:

- (i) single and corporate directors are allowed;
- (ii) single members are allowed, subscribers do not have to take up any shares, and shareholder resolutions are passed by majority vote;
- (iii) a company secretary is not required (but if one is voluntarily appointed it may be a corporate secretary);
- (iv) directors need not be resident in the offshore centre of incorporation and there are no rules regarding frequency and location of director's meetings;
- (v) annual general meetings of shareholders are not required, nor are accounts required to be laid before the members at an AGM;
- (vi) a formal annual return is not required, but an annual duty is payable to the Registrar;
- (vii) a registered agent is required, that is, an agent who must reside in the jurisdiction of incorporation and who is responsible for ensuring that the local company law requirements are adhered to;
- (viii) limited information is required by the Registrar of Companies and even less information is public;
- (ix) they are not permitted to trade in the offshore centre, although this prohibition is being relaxed under OECD pressure; and
- (x) they enjoy modern flexible capital maintenance provisions, reviewed in Module 6.

(b) LLCs

An LLC is a separate legal entity offering its shareholders limited liability, but it differs from an ordinary company in three ways. Firstly, an LLC does not have a board of directors. Instead, the company is managed by its shareholders, called members, of which there are two types: the ordinary members and the managing member. The managing member is appointed by the ordinary members and is given all powers of management of the business of the company on a day-to-day basis. Secondly, its constitutive documents are somewhat unique insofar as they have Articles of Organisation and, in addition, it is typical for the members and managing member to enter into an Operating Agreement – this is an agreement that sets out internal rules governing such matters as membership rights, powers and duties of the managing member and their operating procedures, matters relating to distribution of profits, etc. Finally, when formed an LLC can elect to be taxed for US tax purposes as either: (i) a 'C Corporation' and thereby become liable to US corporation tax upon its worldwide profits from every source; or (ii) an 'S Corporation' and be treated for US tax purposes as a partnership. Most LLCs elect to be taxed as an S Corporation, so report their profits but are not taxed upon them. Instead, the LLC's profits are treated as pass-through so all annual profits are attributed to the members.

(c) LDCs

A limited duration company (LDC) enjoys the usual characteristics of a registered company but has a limited duration, generally 30 years or until the completion of a specified task or activity set out in the company's articles of association. An LDC has its origins in the company laws of the US where the Internal Revenue Service treat an LDC as a partnership for tax purposes, providing some tax planning opportunities for US citizens and corporations.

10. Protected Cell Companies (PCCs) were developed in Guernsey in response to the requirements of the local investment fund industry and are now also available in other jurisdictions by slightly different names. They share the usual characteristics of a limited company, save for one significant respect: their capital is divided up into separate parts, or cells, with assets held in each cell being segregated and insulated from assets in other cells. In theory, if the assets held in one cell are attached by creditors of the company, the assets in the other cells are protected because of the segregation of the capital. This can create benefits for those who create offshore collective investment funds, as the capital may be divided into separate cells. Each cell can then be operated as a separate sub-fund within the collective investment fund, thus enabling parts of the fund to invest in high-risk assets while preserving the protection of the other parts of the fund where increased risk is not acceptable. PCCs can also be used to avoid onshore controlled foreign company anti-tax avoidance legislation, which is dealt with in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

Module 4:

Answers to self-assessment questions

1. A foreign company (incorporated for instance in State A, say America) may wish to **establish a place of business** in an offshore jurisdiction (State B, say, the Bahamas). The companies legislation of a number of common law offshore jurisdictions with legislation based on the 1948 Act model permits this under what is known as a **registration** procedure applicable to foreign (or so-called 'overseas') companies. Alternatively, a foreign company (incorporated in State A) may wish to **migrate** from State A and become **re-domiciled** as a company in another jurisdiction (say, State B, the Bahamas). The company thereby becomes a State B company governed by the laws of State B. The companies legislation of a number of offshore jurisdictions with modern and flexible company legislation permits this under what is known as a **continuation** procedure applicable to foreign companies.
2. Whether a company incorporated in State A has 'established a place of business' in an alternative jurisdiction (State B, and therefore must comply with the registration requirements of State B) is a question of fact. There must be a specific place of business and identifiable persons conducting it. In *Artemis v Artemis Transportation Corp* [1982] HKCA 29 it was held that for a company to establish a place of business in a particular place it requires:
 - (a) some fixed place of business (such as an office or factory);
 - (b) human agents who reside in the jurisdiction for the purposes of carrying on the business of the company; and
 - (c) the conduct of such business should endure for a sufficiently substantial period of time to be regarded as a 'permanent establishment'.
3. Prior to, or within x months (usually one) of 'establishing a permanent place of business' in State B, a foreign company (incorporated in State A) must apply to become registered in State B. The application requires the foreign company to file the following documents with the Registrar of Companies of State B:
 - (a) a certified copy of its constitutive documents (typically its memorandum and articles);
 - (b) a certified copy of its certificate of incorporation, or other evidence of incorporation;
 - (c) particulars of its directors and other officers of the company;
 - (d) the name and address of the company's 'authorised representative' (a.k.a. 'authorised agent'), namely a person, resident within the offshore jurisdiction where the foreign company intends to operate, who is authorised to accept service of process and submit thereby to the jurisdiction of the courts of State B; and
 - (e) the appropriate registration fee. If content that the application is proper and in order, the Registrar will enter the name of the company on the Register of Foreign Companies (or equivalent) and issue a certificate of registration.

4. The foreign company's local authorised agent/representative has two functions:
 - (a) the authorised agent/representative is designed to accept service of legal process on behalf of the company so that it thereby submits to the authority of the court of the offshore centre. For example, a writ (complaint or similar legal process) issued by the court of State B is deemed sufficiently served upon the foreign company if it is properly addressed and delivered to the company's authorised agent/representative in State B. The foreign company will not then be able to ignore the proceedings by claiming that the court has no jurisdiction over it and arguing that it is only subject to the laws and the courts of its jurisdiction of incorporation; and
 - (b) the authorised agent/representative should ensure that, so far as they are able, the foreign company complies with applicable local laws and regulations, so there is someone on local soil for the authorities to question and hold accountable if things go wrong.
5. Statutory migration provides a way to transfer a business from one jurisdiction to another and, thereby, avoids winding-up the company in the first jurisdiction and transferring each and every asset to a new company incorporated in the second jurisdiction. There are a number of reasons for doing this, for instance, to:
 - (a) take advantage of a more favourable regulatory or tax regime or more conducive business environment;
 - (b) cut costs and streamline ongoing administration of the company;
 - (c) consolidate or merge with existing group structures;
 - (d) obtain access to new business opportunities; and/or
 - (e) obtain access to specialist capital markets.
6. The application to migrate a company from State A to State B typically requires a service provider acting for the company to prepare and file the following documents with the Registrar of Companies in State B:
 - (a) a copy of an appropriate (often, special) resolution of the shareholders of the company confirming the company's intention to migrate (e.g. Appendix 10A or 10B of your online study resources);
 - (b) a certified copy of the constitutive documents (memorandum and articles of association, and translations, if appropriate);
 - (c) articles of continuation, if necessary, containing amendments to the memorandum and articles that are to be effective upon re-registration and that will leave the company compliant with local companies legislation requirements;
 - (d) satisfactory evidence that the company is in good standing in the jurisdiction of incorporation;
 - (e) satisfactory evidence that the company is solvent (a requirement that exists to ensure that the company is not trying to run away from payment of its debts and liabilities incurred in State A); and
 - (f) most jurisdictions state that the foreign company must be authorised to migrate and transfer its domicile according to the law of the state of incorporation (or at least is not prohibited from doing so), and has complied with the requirements of the laws of the state of incorporation to de-register in such jurisdiction.

Note that the 'satisfactory evidence' referred to above is typically an affidavit by one of the board members of the company which confirms that each of the statutory requirements are complied with and, where necessary, exhibits verifying documentation (e.g. Appendix 10C of the online Study Resources). If the application is proper and in order, the registrar will issue a 'certificate of continuation'.

7. Upon the issue of the certificate of continuation referred to in the answer to SAQ 6, above, the (former foreign) company is deemed to be a company incorporated under and existing according to the offshore companies legislation of State B, and in particular:
 - (a) its memorandum and articles, as amended by the certificate of continuation, continue to apply;
 - (b) all property, including the benefit and obligations of all contracts, remains vested in the company;
 - (c) the company continues to be liable for all its existing debts, claims and liabilities;
 - (d) all shares owned by shareholders are deemed issued in conformity with local companies legislation and continue to be held by the registered shareholders; and
 - (e) in a nutshell, the company continues to exist but has simply migrated to, and become incorporated in, another jurisdiction.
8. See the specimen shareholders' resolution illustrated in Appendix 10B of the online Study Resources.

Module 5:

Answers to self-assessment questions

1. The broad corporate constitution, comprising the memorandum and articles of association, is used for all forms of company, incorporated for many different purposes: public/private ownership, onshore/offshore, large/small, operating a business/passive asset-holding. Nonetheless, companies legislation permits considerable flexibility. The contents of the constitutive documents of a BVI company which is listed on the NYSE would not be the same as a BVI company that is owned by a single beneficial owner, with a sole director, whose purpose is simply to hold and shelter family wealth.
2. The articles of association contain internal rules of management that affect only insiders within the organisation of the company, namely shareholders, directors, and other officers. Within the broad framework of the companies legislation, a company is free to adopt whichever articles containing whatever rules of management and administration of its business that the promoters desire and consider appropriate. Matters contained in the memorandum, such as the name of the company, its registered office and objects, the extent of the liability of its shareholders and the capital of the company are of fundamental importance to outsiders – these matters are therefore contained in the memorandum, which is registrable and open to inspection by the public. (In those jurisdictions such as the UK, Hong Kong and Singapore, where the memorandum has been abandoned, the usual content as described above is communicated to the Registrar in the application form submitted upon incorporation of the company and is available online to the public.)
3. The memorandum contains clauses dealing with the company's name, registered office, liability of its members, its objects and capital of the company. For IBCs there is an additional requirement to provide the name of the registered agent.
4. The registered office of a company is required to facilitate formal communications with the company; establish the nationality of the company; and as a physical place within the jurisdiction of incorporation to keep the corporate records of the company.
5.
 - i. In the case of *Ashbury Railway Carriage Co Ltd v Riche* (1875) LR 7 HL 653 the objects of the company were to make, sell and repair railway carriages.
 - ii. The company agreed with Mr Riche to build a whole railway system.
 - iii. When that contract was broken and the parties to it tried to sue for compensation the court held that it was void as the company had acted *ultra vires*, namely beyond its powers contained in its objects. Neither party could enforce the contract – both were without redress against the other in the event of breach.
 - iv. The rationale behind the *ultra vires* rule is investor protection, i.e. to protect investor shareholders, specifically by preventing directors from using company assets for purposes wholly different from those purposes contemplated by the shareholders when they invested in the company.

6. The *ultra vires* doctrine was considered unsatisfactory for two reasons. Firstly, it caused companies to adopt very wide and lengthy objects so the rule served little practical purpose and, secondly, it was a trap for unwary third parties. The doctrine has therefore been reformed by modern company by legislation enacted offshore by following one of four models:
 - (i) some jurisdictions follow the model found in the English 1985 Act which states that provided the third party enters into a contract with a company 'in good faith' but the contract is outside the scope of the company's objects clause, the contract is nevertheless valid and binding;
 - (ii) the 1989 Act model removed the requirement of 'good faith';
 - (iii) the 2006 Act model made the objects clause optional, so the law in either sub-para (i) or (ii) applies whenever an objects clause exists, but a company may instead elect in its objects clause to undertake any type of business activity; and
 - (iv) some jurisdictions such as Jersey and the Isle of Man have repealed the doctrine altogether, so all companies automatically have capacity to enter into any business activity.
7.
 - i. \$100,000 and \$50,000 respectively.
 - ii. \$100, \$150 and \$50 respectively.
8. As a general rule the memorandum may be altered by the shareholders of the company by passing a special resolution in general meeting (i.e. requiring a super-majority to vote in favour of the amendment). The amendment must be filed with the registrar. However, note:
 - (i) the address of the registered office can be changed by directors resolution (see section 3.2);
 - (ii) if the liability of shareholders is changed from limited to unlimited, the amendment requires the unanimous approval of the whole body of shareholders (see section 3.4); and
 - (iii) IBCs do not distinguish between ordinary and special resolutions of shareholders unless specific articles state otherwise and it is lawful for specific articles to confer the power to amend the constitutive documents upon the directors, requiring a simple board resolution.
9. Model articles are standard articles, sometimes annexed to companies legislation (not the IBC Acts of the Bahamas or the BVI), which a company's promoter may adopt in whole or in part during the incorporation process.
10. See section 4.3 of the course manual and the specimen articles in Appendix 2 and 3 of your online Study Resources.
11. As with the memorandum, the general rule is that a company's articles may be altered by the company by passing a special resolution in general meeting – although see the notes contained in the answer to SAQ 8 above.
12. An alteration to the articles is subject to the implied rule that any alteration must be *bona fide* in the interests of the company as a whole (not prejudicial to the minority shareholders nor solely for the benefit of the majority shareholder). See the cases of

Greenhalgh v Arderne Cinemas Ltd [1951] Ch 286 and *Dafen Tinplate Co Ltd v Llanelly Steel Co (1907) Ltd* [1920] 2 Ch 124 to illustrate the restriction in section 5 of the course manual.

Module 6:

Answers to self-assessment questions

1. 'Capital' in the non-technical sense is a sum of money or other property that may be used by a business to make profits. 'Equity finance' refers to the process of a company that raises capital through the sale of shares. By selling shares a company essentially sells an ownership interest of the company in consideration for cash to finance expansion of its business operations.
2. A public company may raise capital by selling its shares to the investing public. The issue of shares to the public may be made in one of two ways, namely by way of a 'public offer' or 'private placement'. A public offer is made when a company invites the general public to subscribe for its shares and the procedure is heavily regulated for investor protection purposes – see section 1.1 of the course manual. A placement is a private arrangement, the terms of which are negotiated by the directors of a company and a specific investor, whereby the investor agrees to take a certain number of shares in a company for an agreed price.
3. When the subscribers sign the memorandum and submit it to the registrar to incorporate a company, they agree to take the number of shares opposite their names – see the final paragraph of Appendix 1 of your online Study Resources. Accordingly, once the company has been incorporated, the subscribers become, by operation of law, the first shareholder(s) of the company. The subscribers take what are known as the 'subscriber shares'.
4. The procedure for a private company to issue additional shares is described in section 1.2.2, Stages 1–6, namely:
 - (i) ascertain who has the power to decide whether the company should issue shares (usually the directors);
 - (ii) the directors seek expressions of interest;
 - (iii) investors apply to subscribe for shares at the stated issue price – see Appendix 16B of the online Study Resources;
 - (iv) the directors resolve to allot the shares – see Appendix 16C of the online Study Resources;
 - (v) the directors issue the shares in consideration for the investor paying the company the agreed price, a share certificate is prepared and issued and the name of the new shareholder included in the register of members; and
 - (vi) in some jurisdictions, the company must make a return of allotment to the registrar.
5. Holders of fully-paid shares of a limited liability company are not liable for the debts of that company. Accordingly, creditors of the company may not be paid what is properly due to them if the company suffers financial collapse and becomes insolvent – they cannot impose liability upon the shareholders personally. In an attempt to reduce the potential prejudice suffered by creditors by the introduction of limited liability,

the capital maintenance doctrine tries to ensure that a company maintains a capital fund so that, if it is subsequently wound up, this fund can be used to pay creditors. Once a shareholder has been issued shares in the company, the price paid for them becomes the 'capital' of the company. This capital fund cannot be distributed back to the shareholders. It must be maintained in the business as a reserve to be used, if necessary, for the payment of the company's creditors.

6. The capital maintenance doctrine has an effect at two stages:
 - when capital is initially introduced into a company – the doctrine ensures that shareholders make full and proper payment for their shares and the consideration amounts to a price of not less than the 'par value' of each share; and
 - after start-up, during the lifetime of a company, the doctrine ensures that the capital of a company (initially introduced by shareholders in exchange for shares), is not distributed to the shareholders so as to deplete the company's reserves of capital.
7.
 - (a) A company must not sell its shares at a discount, below the shares' par value, as this would dilute its capital (to the prejudice of future creditors). If the 500 shares were sold and issued for a total consideration of £1,000, this would amount to £2 per share, and therefore the sum of £8 below their par value. The directors have, in these circumstances, committed a criminal offence.
 - (b) A company may issue shares for their par value or above it, at a premium. If the 500 shares were sold and issued for £100,000, it would amount to £200 per share. A company may sell its shares at a price equal to their par value in which case the consideration received by the company is credited to its share capital account. Alternatively a company may sell its shares at any price above the par value of the shares, in which case the premium must be credited to a 'share premium account'. The share premium account is treated like capital, and its credit balance cannot be distributed back to shareholders. Accordingly, if the shares are issued for £100,000, XYZ Ltd must allocate £5,000 to its 'share capital' and allocate the remaining £95,000 to the company's 'share premium' account.
8. The consideration paid by shareholders for their shares is credited to different accounts of the company which are subject to slightly different rules. The issued share capital (the aggregate of the number of shares multiplied by the par value of each share) is credited to the company's 'share capital' account. Whereas, the premium (the number of issued shares multiplied by the premium, i.e. the price paid in excess of the par value of each share, is credited to the 'share premium' account (known in the US as 'capital surplus').
9. A company's 'capital' must be maintained by the company as a notional fund to pay creditors. It cannot be used to distribute to shareholders as a dividend as this would deplete the company's capital to the prejudice of creditors. Capital in this context is the sum allocated to the company's share capital account as well as the sum allocated to its share premium account. The same rule, except expressed in the positive, is that a company can only finance distributions to shareholders by way of a dividend out of earned 'profits'. Profits in this context is defined as:
 - (i) the profit generated by the company in the latest financial year as shown in the company's income statement as compiled according to generally accepted accounting principles (GAAP); and

- (ii) profits generated in prior years (less losses) that were retained in a reserve of undistributed retained earnings.
10. The capital maintenance doctrine never really achieved its purposes of protecting creditors for several reasons. Firstly, a company was not required to issue a minimum number of shares, so a company's capital may be a very modest sum if only few shares are issued. Secondly, the par value of a share does not have to correspond to the commercial market value of the share, so can be fixed artificially low. Finally, the share capital and share premium account are accounting entries in the company's balance sheet and the funds do not have to be segregated in a ring-fenced bank account, So the funds can actually be depleted by the company paying creditors in the usual course of its business, not just upon the company being wound-up.
 11. The issued share capital (monies or other property received by a company in exchange for the issue of shares) must be maintained in the company and must not be distributed back to the shareholders save upon the dissolution of the company on a winding-up. However, that capital fund may be used by the company to pay creditors of the company in the normal course of business. Accordingly, if a company makes a loss in a financial year, it may have to pay its debts by resorting to capital (unless it has some other liquid reserves). If the company continues to make a loss for several years it is inevitable that it will ultimately become insolvent. If it is wound up at this stage, some creditors will not be paid in full. Accordingly, the capital maintenance doctrine may prevent the transfer of capital out of a company to shareholders, but it does not prevent it being transferred out of a company to pay creditors.
 12. The capital maintenance doctrine does not satisfy the requirements of the owners of an asset-holding company (the beneficial owner or corporate trustee) who, not only wish to transfer unlimited sums of money into the company, but also to take unlimited sums out of the company when the need arises. The capital maintenance doctrine restricts the amount of money that a company can lawfully distribute. (For this reason, the wealth management industry has devised methodologies to get around the doctrine, as explained in subsequent questions.)
 13. A typical asset-holding company incorporated in a jurisdiction which has retained the capital maintenance rules is financed by:
 - a nominal share capital of no more than \$1 or \$2, comprising of the funds received by the company from its shareholder(s) who take just one or two shares with a par value of \$1 each (so the share capital is a nominal \$1 or \$2)
 - significant borrowing (or debt), namely the funds lent by the beneficial owner/ trustee and borrowed by the company as a loan in consideration for the issue of a short-term promissory note.
 14. Most offshore asset-holding companies are financed by a nominal share capital and enormous shareholder loan from the beneficial owner. The advantage of financing an asset-holding company in this way is distribution flexibility. A company that has borrowed money must comply with the agreed terms of the borrowing. Accordingly, if the lender (namely the beneficial owner, wearing their hat not as beneficial owner of the shares of the company, but as creditor) makes a written demand for payment, in whole or in part, of the outstanding balance of the loan, in accordance with the terms of the original lending, the company must comply. Repayment of debt is not subject to the capital maintenance doctrine.

15. Loans are often documented by a promissory note repayable without interest upon demand – see Appendix 20A of your online study resources.
16. By AB calling in the loan by making a demand to repay it in whole or in part (as it is typically repayable upon demand) or by dissolving the company. A specimen demand for repayment is illustrated in Appendix 20B of the online Study Resources and a directors resolution to repay the loan in accordance with such demand is illustrated in Appendix 20D of the online Study Resources.
17. Under ss.35 and 36 of the IBCA 2000 of the Bahamas, dividends may be paid out of distributable profits (which include unrealised gains) and out of capital surplus (what Britons call the share premium account) namely the moneys paid by shareholders upon the issue of their shares attributable to the premium – the amount of the price in excess of their par value. The authority to distribute dividends out of unrealised gains and from the share premium account is subject to an overriding pre-condition namely that the company is solvent and its realisable assets exceed the sum of its total liabilities plus share capital. The directors must certify that the company satisfies the solvency test before the distribution is made – see Appendix 20E. Similar provisions exist in the Cayman Islands, Bermuda and Jersey. For the BVI, Guernsey and Man equivalent, see the answer to SAQ 17 below.
18. The concept of capital has been completely replaced. See section 7 of the course manual. Distributions of any amount, in cash or other property, can be made whenever the BVI BC is solvent and remains so immediately after the distribution. A declaration of solvency must be made by the directors, which is usually recorded in the resolution authorising (or recommending) the distribution, an example is given in Appendix 20E of your online study resources.
19. The following is a summary of the usual rights conferred upon the holder of an ordinary share:
 - (a) to attend and vote at general meetings;
 - (b) to be paid a dividend if one is declared; and
 - (c) to a return of their capital on liquidation together with a share of surplus profits.

Preference shareholders:

- (a) limited voting rights at general meetings;
- (b) to receive a dividend if one is declared in preference to the ordinary shareholders; and
- (c) to a return of their capital on liquidation, again in priority to ordinary shareholders.

The following is a similar summary of the usual rights conferred upon the holder of a debt instrument:

- (a) they can't vote at general meetings;
- (b) to receive interest on their loan in accordance with the terms of the security, if any; and
- (c) to a return of the monies lent either upon the agreed repayment date when the debt instrument matures, or upon demand being made.

20. (a) See the five stages described in section 5.1 of the course manual, namely:
- (i) the shareholder finds a willing buyer and they agree terms
 - (ii) they transferee and transferor sign a stock transfer form and the transferee delivers it to the transferor together with the corresponding share certificate in consideration for the transferee paying the agreed price
 - (iii) the transferee delivers the two documents to the company (secretary) for registration
 - (iv) the board approves the proposed transfer by directors' resolution in accordance with Table A articles
 - (v) the company (secretary) updates its register of members and, if necessary, register of beneficial owners and issues a new share certificate to the transferee.
- (b) See the two stages described in section 5.2, namely:
- (i) the deceased shareholder's personal representative (often named in the deceased's Will as 'executor') delivers the deceased's share certificate, death certificate and the grant of probate to the deceased's Will to the company (secretary) with a request to either register the name of the personal representative as new holder of the shares or, more typically, to register the deceased's heir as the new shareholder
 - (ii) the company now knows (one of its) shareholders has died, so will update its register of members accordingly, and register of beneficial owners if applicable.

Module 7:

Answers to self-assessment questions

1.
 - i. Ownership of a company is vested in its shareholders. However, the business of a company must be managed and governed. The traditional model was that this could be achieved if there was a separation of ownership from the power to manage the business. Based on this, specific roles were developed in relation to the ordinary shareholders and the board of directors. The board of directors manage business and are accountable to, and therefore supervised by, the shareholders. Ownership of a company is therefore vested in the shareholders, but a company usually assigns power to manage and control the business of the company to its directors.
 - ii. Reasons for the separation of ownership and control are as follows:
 - a) **Capital:** to enable entrepreneurs to raise capital from the investing public.
 - b) **Expertise:** shareholders are traditionally pure investors, usually numerous and without the specialist knowledge or expertise to run a company, whereas directors are usually executives/entrepreneurs and well qualified to manage the business of the company on a daily basis.
 - c) **Continuity:** if shareholders sell their investment, the management of the business continues regardless of a change of membership.
 - d) **Risk and efficiency:** shareholders assume little risk if the company is limited by shares, whereas the entrepreneurial managers have a far greater incentive for the enterprise to succeed.
 - iii. The separation of ownership and control is not absolute. Shareholders in general meeting retain the right to exercise key powers, such as to amend the constitution, remove and appoint new directors and voluntarily wind up the company. Beyond these strategic matters, however, the day-to-day management and control of the business is, by the articles, usually delegated to the directors. The division of power is, however, a matter for the articles and, in this regard, note the terms of Table A articles:
 - (a) art.80 of Table A of the 1948 Act;
 - (b) art.70 of Table A of the 1985 Act;
 - (c) art.70 of the current English Companies (Model Articles) Regulations 2008, which allows the shareholders, by special resolution, to give written and binding directions to the directors obliging them to exercise their powers of management in the manner specified.
 - iv. The directors owe their fiduciary duties and duty of care to the company. They are therefore obliged to run the company for the ultimate benefit of all the shareholders. A number of other persons and entities associated with a company are effectively disenfranchised, and are not given a voice to affect the

course of a company in any significant way (unless they are also directors and/or shareholders), for example: non-voting preference shareholders, debenture and bond holders, creditors, employees and executives, auditors, regulators and customers. Indeed, in some of the more sophisticated onshore jurisdictions such as England, directors are now required to not only serve the interests of the company, but also have regard to: the interests of employees, suppliers, customers and others, the community and environment; maintain a reputation for high standards of business (s.171 of the Companies Act 2006). But this type of modern provision has not been exported to the offshore common law jurisdictions which maintain the traditional model.

- iv. Because the traditional onshore corporate model is used as a template by the legislature of the common law offshore jurisdictions when drafting companies legislation, and by corporate service providers when drafting articles of association of companies incorporated in those jurisdictions.
- 2.
- i. The division of power is essentially governed by the articles rather than prescribed by legislation. As the articles are originally drafted on the instructions of the promoter/subscribers, who upon incorporation become the first shareholders, and as the articles can be amended by the shareholders by passing a resolution of the company in general meeting, this means that the division of power is effectively controlled by the shareholders.
 - ii. The role of the directors is set out in the articles. A typical article based upon art.80 of Table A of the Companies Act 1948 in the UK, provides that 'the business of the company shall be managed by the directors, who may exercise all powers of the company as are not, by the companies legislation or the articles, required to be exercised by the company in general meeting'.
 - iii. If art.80 of Table A of the Companies Act 1948 is adopted, the shareholders cannot control the exercise of the powers of the directors, A and B, to manage the company. The company in general meeting cannot compel the directors to do something, such as enter into a transaction, that they do not otherwise wish to do. Nonetheless, although the shareholders D–J cannot give binding instructions to the directors, they are generally empowered to remove the directors and appoint new ones (and thereby control the board) or wind-up the company. As a final alternative, they can, of course sell their shares.
 - iv. Under the terms of art.70 of the Companies Act 1985, a super-majority of shareholders may pass a special resolution of the company in general meeting to compel the directors to comply with directions given to them by the shareholders in connection with the management of the business of the company.
 - v. As a general rule, shareholders can expect typical articles to confer a power upon them, in general meeting to:
 - (a) amend the constitution of the company (memorandum or articles)
 - (b) alter the company's capital structure
 - (c) remove the directors and appoint new ones
 - (d) migrate to another jurisdiction
 - (e) voluntarily wind up the company.

3. **Article 20** – the companies legislation does not usually require a director to hold shares in the company, however it may be a requirement under the articles.

Article 21 – the minimum number of directors of a company is prescribed by statute (it used to be two, although a sole director is now permitted by most jurisdictions); however, the terms of the articles may prescribe otherwise; the articles may fix a minimum quorum necessary for the directors to transact business.

Article 22 – companies legislation does not require a director to retire every third year.

Article 23 – it is usual for the articles to confer upon the shareholders a power to set the remuneration of the directors, rather than state a fixed annual fee. It is quite lawful for the articles of a company to do all these things, however, in which case the provisions, set out in arts 20–23, bind the company and the directors. It would, however, be unusual to find these particular articles in the articles of association of an offshore asset-holding company.

4. i. See section 3.3.1 for the initial appointment of directors by the subscribers to the memorandum, which may be prescribed by companies legislation. If it is not prescribed by legislation, similar provisions are typically contained in a company's articles. The procedure is: for the director to give their consent to the appointment (Appendix 21A); the subscribers then appoint the director(s) by resolution (Appendix 21B); the director(s) may enter into a DSA (Appendix 21C); and their names must be entered into the register of directors and officers (Appendix 7B) and notice sent to the registrar.
- ii. Subsequent directors are appointed by the method prescribed in the company's articles. Traditional Table A 1948 articles state that subsequent directors are appointed by the company in general meeting – an ordinary resolution of the shareholders at the company's AGM. A 'casual vacancy' may be filled by resolution of the board of directors, but only until the next AGM when the shareholders appoint a permanent board member. More modern articles confer the power upon either:
- (a) the shareholders in general meeting; or
- (b) upon the board itself, which the remaining directors can exercise by simple board resolution.
- iii. For an example of straight voting as opposed to cumulative voting see the final paragraph of section 3.3.2.
5. i. Resignation and retirement (as opposed to by rotation) is a voluntary act effected by the director whereby they step down from the board. Such resignation, if prior to the expiry of a fixed term of office, must comply with any contractual provision agreed between the company and the director, otherwise the director may find themselves in breach of contract. See section 4.1.
- ii. Mandatory vacation from the office occurs when a director is removed from office for just cause on the grounds that are set out in the articles, such as bankruptcy, being of unsound mind, or being convicted of an indictable offence, or simply being required to vacate office by the other directors. See section 4.2.

- iii. There may be a statutory provision (based on the UK's Companies Act 1948) permitting a director to be removed from office without cause by ordinary resolution of the shareholders in general meeting. Further, or alternatively, it is common for an express article to provide for removal by the company in general meeting, again without the shareholders having to justify their action by having reasonable grounds. Section 4.3.
 - iv. Disqualification occurs pursuant to modern companies legislation whereby, in the public interest, regulators may take proceedings in a court of law for a 'disqualification order' in circumstances where a director is unfit to act.
6. The issues raised include whether:
- Z is prepared to sell their shares to X and Y, and if so whether the articles contain any restrictions upon transfer
 - the articles allow X and Y, who command 66.6% of votes, to convene a general meeting of the company to remove Z as director by ordinary resolution; if a special resolution is required, the articles may allow the directors to allot further shares to Y and X to increase their shareholding and dilute Z's shareholding (but this may amount to an act of oppression that prejudices the minority shareholders)
 - the minimum number of directors, and the quorum requirements, are satisfied
 - as a last resort, X and Y may voluntarily wind up the company if a 66% majority is enough to pass a special resolution (or if a resolution to voluntarily wind-up the company may be passed by board resolution or by a simple majority of shareholders).

Module 8:

Answers to self-assessment questions

1. In reaching decisions, the directors must follow the procedure laid down in the company's articles. Usually:
 - (a) the directors must convene a meeting of the board in accordance with the articles, by reasonable notice to all directors giving the time, place and date of the meeting and details of motions to be discussed;
 - (b) the meeting must be quorate;
 - (c) directors attend to discuss motions on the agenda; and
 - (d) the directors vote and pass a board resolution when the majority of directors present vote in favour of the motion. If the directors are in unanimous agreement, a written resolution may be passed, dispensing with the need to hold a formal meeting.
2.
 - i. Even though the directors of XYZ Ltd have acted beyond their powers (i.e. their action is *ultra vires*), the contract between XYZ Ltd and AB is valid and enforceable, provided AB acted in good faith, i.e. without knowing that the directors had acted beyond their powers or that the company's internal management requirements had not been complied with. This is the position both at common law (*Royal British Bank v Turquand* (1856) 6 E&B 327) and under modern companies legislation enacted in most jurisdictions that codify the rule in *Royal British Bank* by following the statutory model found in s.40 of the Companies Act 2006.
 - ii. AB may commence legal proceedings against XYZ Ltd for breach of contract and seek damages.
 - iii. The directors of XYZ Ltd are liable to the company for any loss suffered by the company, which was caused by them acting *ultra vires*, in excess of the powers conferred upon them.
3. Directors owe the following duties to the company:
 - i. the equitable fiduciary to:
 - (a) exercise their powers of management in good faith in a manner that benefits the company (described in section 2.1.1 of the course manual); and
 - (b) with integrity and loyalty, by observing the various rules relating to no-self-dealing, no-conflicts, no-profits unless authorised and no-benefits from third parties (section 2.1.2).
 - ii. the common law duty to use reasonable care and skill in exercising their powers of management of the business of the company (described in section 2.2).

4. The fiduciary duty requires a director:
 - i. to act in good faith in manner that benefits and is in the best interests of the company (see the examples in section 2.1.1 of *Hutton v West Cork Railway Co.* (1883) 23 Ch D 654, *Regal (Hastings) Ltd v Gulliver* [1942] 1 All ER 378, *Lee Panavision Ltd v Lee Lighting Ltd* [1992] BCLC 22, *Item Software (UK) Ltd v Fassihi* [2005] 2 BCLC 91)
 - ii. to act with scrupulous loyalty by complying with the various sub-species of fiduciary duty, namely: no self-dealing, no-conflicts of interests, no profits unless authorised; no benefits from third parties (see the various examples in section 2.1.2).

5.
 - i. Director A is in breach of their fiduciary duty owed to AB Ltd, namely in breach of:
 - (a) the implied duty to exercise good faith and use their powers for their proper purposes to benefit the company, rather than for the benefit of themselves or their associates, and to avoid conflicts; and
 - (b) the no-conflicts rule, the no-profits and no-benefits from third parties rules.
 - ii. Whenever a director enters into a transaction with their company (on a personal basis or via an associate), the transaction may be set aside by the company. The company, AB Ltd may, therefore, rescind the contract with AC Ltd, or enforce it, at its option.
 - iii. AB Ltd may rescind the agreement (as above) or elect to retain it but seek an order requiring A to turn over all the profits they make to AB Ltd.
 - iv. Director A should have obtained the informed consent of the company AB Ltd, by shareholders' resolution in general meeting following full disclosure of their interest in the management agreement with AC Ltd. This is the position at common law. Companies legislation in some jurisdictions, and certain articles of association, may allow the director to disclose their interest and obtain approval from a disinterested quorum of the directors of AB Ltd. For a specimen article, see art.18.2 of Appendix 1B.

6.
 - i. The directors of XYZ Ltd must comply with their fiduciary duties:
 - (a) exercise their powers over corporate assets in a manner that is beneficial to the company, not for their own benefit; and
 - (b) must observe the no-conflicts rule and refrain from entering into a contract with the company in their personal capacity. An interest-free loan has no corporate benefit and is therefore in breach of the directors' fiduciary duty to the company. Making the loan is lawful and proper only if the directors obtain the prior approval of, or ratification by, the shareholders in general meeting.
 - ii. If the loans were made at a commercial rate of interest the transaction could still be set aside no matter how fair the terms were in respect of the company (unless prior approval of/ratification by the shareholders in general meeting is obtained).

7. Under the principle laid down in *Re City Equitable Fire Insurance Co.* [1925] Ch 407, a director must perform their duties with the care and skill reasonably expected of a person with their knowledge and experience. This is a subjective test – the less knowledgeable and less experienced directors owe a lower standard of care! Under *Dorchester Finance Co. Ltd v Stebbing* [1989] BCLC 498 the test was strengthened and made an objective one. A director must use the care and skill reasonably expected of an ordinary and reasonable person. Under *Norman v Theodore Goddard* [1991] BCLC 1027, a director must use the care and skill of a reasonably competent business person. Most modern companies legislation adopts the *Dorchester Finance* test. A director is only liable for breach if their actions fall below the standard expected of a 'reasonably prudent person'. The BVI BCA 2004 codifies *Norman* in so far as a director owes a duty to the standard of a 'reasonable director'.
8.
 - i. You have breached the duty of care and may be held liable to the company AB Ltd, if it suffers loss as a result of your conduct (as in *Dorchester Finance*) in failing to protect the company's property and failing to enquire into corporate dealings.
 - ii. It is not negligent to rely on information given to you by attorneys retained by the company, provided there are no grounds to suspect that the information is not accurate. If you make the payment as requested, you may be held liable for any loss that may be suffered if the court considers the factual matrix to be suspicious. If in doubt, you ought to protect yourself from any potential liability by obtaining the prior approval of the company in general meeting by shareholders resolution – see sections 2.2.3 and 5.1.
 - iii. If you comply with the request, such conduct will almost inevitably fall below the standard of skill and care expected of a prudent person. A director ought not to rely on information received from third parties unconnected to the company without independent verification of its accuracy. If the company suffers loss you become liable to pay damages. Obtain prior approval as in part ii. above.
9. It is a well-established common law principle that only the company itself may commence legal proceedings in a court of law against the errant director (the so-called 'proper plaintiff' rule in *Foss v Harbottle* (1843) 2 Hare 461). A minority shareholder may only bring what is referred to as a derivative action in their own name against a director if it is alleged that the director has acted fraudulently. In that case the shareholder/claimant must establish as a preliminary issue that they have proper legal standing to commence the lawsuit – the court's **gatekeeper** role.
10. A director may obtain lawful protection from liability for a negligent error or mistake amounting to a breach of duty (but not fraudulent or wrongful trading):
 - by obtaining the prior approval of their actions from the shareholders of the company in general meeting, or a ratification thereof (section 5.1)
 - through exoneration provisions in the articles, in those jurisdictions that have not outlawed them (section 5.2)
 - exoneration provisions of the director's service agreement, but not the company management agreement unless the director is a party (section 5.2 and 5.3)
 - by obtaining indemnity insurance (section 5.4).

11.
 - i. A provision such as the one quoted exonerates the directors from liability to the company for negligent error or mistakes. These provisions are prohibited by companies legislation in the UK and some other common law jurisdictions such as Jersey, Guernsey and the Isle of Man, and are therefore void and of no legal effect in those jurisdictions. The prohibition does not exist in most of the offshore common law jurisdictions, where they are presumably valid. See section 5.2.
 - ii. An exoneration clause, purporting to exempt a director from liability to the company, found in a separate document such as a director's service agreement, is subject to similar statutory provisions as discussed in Part i of this question above. Furthermore, common law rules in some jurisdictions say that such clauses must be expressly brought to the attention of the company at the time the contract is entered into.
 12. Directors can be made personally liable for debts incurred by a company if the directors allow a company to continue to trade when the company is no longer solvent. A company is regarded as no longer being solvent if its liabilities exceed its assets or the company is unable to meet its debts as they fall due. So, if directors know that the company will be unable to pay its suppliers at the end of the month, or that the next repayment instalment of a long-term loan cannot be paid because the company does not have sufficient funds, the directors need to consider carefully whether to allow the company to continue to operate in business, or whether they should take steps to put the company into voluntary liquidation. If the directors continue to allow the company to trade, knowing that the company cannot pay all its debts as they fall due for payment, they run the risk of being made personally liable to pay the company's debts if the company is subsequently put into liquidation. It is one of the duties of a liquidator to consider the actions of the directors in the period prior to liquidation. If the liquidator believes that the directors knowingly allowed the company to trade while it was insolvent, the liquidator has a duty to the company's creditors to bring an action against the directors personally to recover compensation for the benefit of the creditors.
 13.
 - (a) To impose liability upon a director for **fraudulent trading**, a creditor must establish:
 - (i) *actus reus* – that the director continued to trade whilst the company was insolvent
 - (ii) *mens rea* – that director continued to trade with intent to defraud creditors, knowing that there was no prospect of them being paid.
 - (b) To impose liability upon a director for wrongful trading, a creditor must establish:
 - (i) *actus reus* – that the director continued to trade whilst the company was insolvent
 - (ii) *mens rea* – the director knew or ought to have known that there was no prospect of creditors being paid.
 14. The distinction between fraudulent trading and wrongful trading turns on the mental attitude held by the director. A director can be held liable to pay creditors of the company for **fraudulent** trading when they continue to operate the business whilst

it is insolvent if they subjectively appreciate that there is no hope or prospect of the creditors being paid. A director can be held liable to pay creditors of the company for **wrongful** trading when they continue to operate the business whilst it is insolvent in circumstances when a reasonable person would appreciate that there is no hope or prospect of the creditors being paid. See section 6.

Module 9:

Answers to self-assessment questions

1. The requirements, if any, for a company to have a secretary, varies between centres. In some jurisdictions a secretary is mandatory; in others a secretary is optional – see the footnote in section 1.1 (for example, a secretary is not required for IBCs, BVI BCs or the New Manx Vehicle, but companies incorporated in these jurisdictions do require a registered agent). You should be familiar with the rules that apply in the centre where you reside. In most offshore centres there are no restrictions upon who may be appointed as secretary – any individual who is *sui juris* or corporate secretary may be appointed. In Jersey a company secretary must comply with qualification requirements (but only in respect of public companies). In Bermuda only natural persons who reside within the jurisdiction may be appointed.
2. It is illegal according to companies legislation based upon the 1948 Act and also contrary to traditional articles (such as art.21.1(a) of Appendix 1B) for a sole director to also serve as company secretary. Although such a situation may create some administration efficiencies, there are certain corporate governance risks associated with one person having too much control in relation to the decision-making process.
3. The leading case at the time was ***Barnett, Hoares & Co. v South London Tramways Co.*** (1887) 18 QBD 815 which confirmed that the company secretary was a mere servant and required to do the bidding of the directors. However, over the years the role of the company secretary expanded and the more modern view was that the role carries with it extensive duties and responsibilities (refer to ***Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics Ltd*** [1971] 2 QB 711). However, the position is now largely redundant for private companies according to modern legislation, such as the Companies Act 2006 enacted in England. (See section 1.3).
4. When appointed, a company secretary usually has a delegated duty imposed upon them by the board of directors to maintain the corporate registers, issue share certificates, execute documents, ensure that local statutory filing requirements are met and, if required, make representations on behalf of the company.
5. Such a requirement is an attempt to ensure that there is a person who resides locally, within the jurisdiction of incorporation, who is accountable for the actions of the company. In respect of IBCs, etc., this function is assumed by the registered agent.
6. The company secretary is usually required to send to the members notices of meetings as well as copies of minutes of meetings.
7. This will vary between centres but could include:
 - an annual return (where applicable, as an annual return is not required for IBCs or Cayman exempted companies, although a declaration must be filed each year by 31 January together with the annual fee)

- notification of changes in the directors and other officers
 - changes in the capital, including the allotment of shares
 - copies of special resolutions that have been passed by the members, such as amendments to the constitution of the company.
8. The first secretary may be named in the articles; in which case they are appointed by the promoters/subscribers as part of the incorporation process. It is more usual, however, for the secretary to be appointed by the directors at their first meeting following incorporation. Subsequent to this, the directors usually have the power to appoint and remove the company secretary.
 9. As an officer of the company, the secretary is in the same position as a director. They must therefore exercise their powers in the best interests of the company and with an appropriate level of care and skill. If they fail to discharge these duties, they can be held liable to the company. A secretary can also be held liable for fraudulent/wrongful trading.
 10. Much like for directors, the liability of a secretary may be reduced if suitable provisions are included in the articles of association or if the contract appointing the secretary contains exoneration provisions intended to limit their liability. There are, however, statutory restrictions in some jurisdictions preventing an officer of a company from contracting out of liability. In all jurisdictions a secretary cannot lawfully obtain an exoneration for certain acts of default, such as wilful default, fraud or dishonesty. See module 8, section 5 of the course manual in relation to exoneration clauses generally.
 11. Registered agents are required for all IBCs, such as those incorporated in the Bahamas, also for BVI BCs and the New Manx Vehicle.
 12. A registered agent must:
 - (a) be resident in the jurisdiction of incorporation; and
 - (b) hold a proper license issued by the regulator.
 13. The registered agent is selected by the promoter on incorporation, and must sign the memorandum and agree to their or its appointment.
 14. Registered agents may retire by notice to the directors of the company. But if the board do not appoint a replacement, a complicated statutory procedure described in section 2.2 ensures one is appointed – essentially the outgoing agent must give notice to the registrar who must give notice to the company to appoint a new registered agent and threatening to strike the company off the register and, if such notice is not complied with, the company will be struck off.
 15. The registered agent usually:
 - (i) will keep and maintain the company's statutory registers and other corporate documents;
 - (ii) accepts service of process;
 - (iii) notifies the registrar of any changes to the board;
 - (iv) keeps the common seal, if the company has one;
 - (v) attests contracts and other documents on behalf of the company; and
 - (vi) complies with the reasonable requests of the board. See section 2.3 of the course manual.

Module 10:

Answers to self-assessment questions

1. The directors are usually responsible for the day-to-day management of the business of a company whereas the members are usually given powers:

- (i) to approve financial statements
- (ii) to declare dividends
- (iii) to appoint and remove directors
- (iv) to appoint auditors
- (v) to alter the constitution of the company
- (vi) to migrate
- (vii) to approve certain mergers and acquisitions
- (viii) to voluntarily wind-up the company

Note: the first four powers may be exercised at the company's AGM; the last four powers at an EGM; furthermore, the companies legislation of IBCs and the BVI BC state that, when authorised by the articles of the company, the directors may exercise the powers referred to in paras (ii), (iii), (v), (vi) and (viii).

2. The usual business conducted at an AGM includes:

- (i) considering and approving the annual financial accounts (and sometimes a report) presented by the directors
- (ii) declaring dividends
- (iii) the retirement and appointment of members of the board of directors
- (iv) the appointment of the auditors, when considered necessary.

3. There are minimum periods fixed by applicable companies legislation (usually seven 'clear' days in most offshore centres); but the statutory minimum is subject to any contrary provision in the articles, which may prescribe a longer period.

4. The following ancillary matters are, by convention, usually included in an agenda for a general meeting:

- shareholders present and those persons in attendance, including proxies
- absentees and apologies
- review of the minutes of the previous meeting(s) and matters arising from the minutes
- list of items for discussion (as reflected in the notice of the meeting)
- any other business
- date, time and venue of next meeting.

5. If a shareholder is unable to attend a general meeting, they are usually entitled to appoint someone to attend, speak and vote, on their behalf. This person is referred to as a 'proxy'; see arts 13.6 – 13.9 of Appendix 1B and arts 45 and 46 of Appendix 1C. If a director is unable to attend a board meeting, they may be able to appoint someone to represent them. This person is referred to as an 'alternate'; see art.20.16 of Appendix 1B and art.16(1) of Appendix 1C. A proxy may be an 'open proxy' which confers a discretion upon the proxy on how to vote either for or against a motion; it may be a 'specific proxy' in which case the proxy must vote in accordance with the directions of the person appointing him. Whereas an alternate director must act independently and decide personally how to vote on a particular issue (although they may have regard to the known views of the director appointing them).
6. The chairman of a meeting is usually required to confirm that the meeting has been properly convened and that a quorum is present, to lead discussions and preserve order, to make sure the required business is covered and to ensure that decisions are properly recorded.
7.
 - (a) Voting at a general meeting of the shareholders is initially by a 'show of hands', which means one vote per shareholder present and proxy votes are not counted. But, if a sufficient number of members so request, votes are counted by a 'poll', which means one vote per share owned and proxy votes are counted.
 - (b) Voting at a meeting of the directors is by a show of hands and resolutions are decided by a simple majority.
8. There are no prescribed requirements as to how minutes of a meeting should be structured although each service provider will have their own set of precedents which should be followed and adapted where appropriate. The conventional format of minutes of meetings is illustrated throughout the Appendixes of the online study resources.
9. The minutes of a meeting of directors usually comprise:
 - confirmation of the date and place of the meeting
 - persons present and those in attendance
 - persons absent and apologies
 - appointment of a chairman (and sometimes a secretary) of the meeting
 - confirmation that adequate notice has been issued and the meeting properly convened
 - confirmation that a quorum is present
 - the business conducted, usually following the notice of the meeting and including details of the resolutions passed
 - the date of the next meeting, if applicable
 - note of the termination of the meeting.
10. The types of resolution required are:
 - a. a directors' resolution is sufficient to fill a casual vacancy until the next AGM; permanent board members are appointed, subject to retirement by rotation every three years, by ordinary resolution of shareholders
 - b. special resolution of the members

- c. directors' resolution usually required, although individual members with enough shares can also instruct the board or company secretary to convene a general meeting
 - d. directors' resolution.
- 11. When there has been a meeting (of shareholders or directors) and resolutions passed, it is appropriate to record the resolutions in a minute of the meeting. When a formal meeting has been dispensed with under the provisions of typical articles, a formal minute is inappropriate. Instead, a 'written resolution' should be drafted, signed and recorded. The conventional format of written resolutions is illustrated throughout the Appendixes of the online study resources.
- 12.
 - a. See section 5.2.
 - b. See section 5.3.
 - c. See section 5.6.
 - d. See section 5.8.
 - e. See section 5.10.

Module 11:

Answers to self-assessment questions

1. Banks; trust companies; independent corporate services providers; law firms; accounting firms, all of whom must hold a license from the local regulator permitting them to conduct corporate management services in and from their local jurisdiction. See section 1.
2. This depends on the firm and the centre chosen, although the following services are usually provided:
 - incorporation of a company
 - registration and continuance
 - provision of directors and officers
 - provision of a registered office
 - provision of a registered agent
 - provision of nominee shareholders
 - maintenance of corporate records
 - statutory filings and secretarial services
 - accounting services.
3. The corporate service provider provides the registered 'nominee' shareholder to whom shares of a managed company are issued. The nominee shareholder is often a corporate subsidiary of the service provider. The directors of the nominee shareholder then execute a nominee shareholder agreement or declaration confirming on whose behalf the shares are held – see Appendix 27A and 27B of the online Study Resources.
4. The nominee shareholder promises: to hold the shares issued by the managed company as nominee or agent for and on behalf of the beneficial owner; not to sell, transfer, mortgage or dispose of such shares unless instructed to do so; to vote the shares as instructed; to assign any dividends that are distributed by the company to the beneficial owner.
5. The shares of most offshore companies are not registered in the name of the beneficial owner (client) but instead registered in the name of a nominee, (which is usually a company owned and operated by the corporate service provider). The beneficial ownership of the shares is recorded by the nominee executing a declaration which usually confirms that the shares are held by the nominee as nominee or agent (or 'bare trustee') for the beneficial owner. In some cases the nominee declaration may specify that the shares are held for a named beneficial owner and that on the death of that person the shares will be held for other named beneficial owners. This is intended to clarify who is to become the new beneficial owner of the company on the death of the first/original beneficial owner and to prevent possible probate problems on the death of the beneficial owner. However, it should be noted that such an arrangement is a testamentary gift which could result in the service provider being held liable for

intermeddling in the estate of the beneficial owner and/or committing a fraud on the estate. One way of avoiding the problem would be for the shares to be registered in the name of a nominee and for the nominee to hold the shares for and on behalf of the trustees of an offshore trust created to act as the holding entity.

6.
 - (a) The shares in AB Inc are held as nominee for the survivor, Orange, as, when held **jointly**, the share of a deceased co-owner automatically passes to the surviving co-owner.
 - (b) If the nominee declaration stated that the shares were held 'as nominee for Green and Orange **in common**', the interest in the shares of the deceased co-owner will now pass to the heirs and estate of Green according to the applicable laws of succession – so the nominee now hold a one-half interest in the shares for the heirs and estate of Green and the remaining one-half interest for Orange, equally.
7. The possible problems associated with management and control being held by the client beneficial owner include:
 - adverse tax consequences insofar as the company may become liable to pay corporation tax in the jurisdiction from where the business of the company is managed and controlled
 - loss of confidentiality.
8. There is a risk that the company will suffer loss by following poor advice given by the client beneficial owner. Liability for such loss could be traced back to the directors. It is therefore essential:
 - that the directors ensure that the client is competent to give investment advice
 - that shareholder approval is obtained to confirm the appointment
 - that suitable exoneration and indemnity provisions are contained in the articles or the directors' service agreement (DSA); note however that such clauses do not exonerate the directors from liability in all jurisdictions nor for bad faith or wilful default.
9.
 - (a) The usual response would be to discourage the grant of a general power of attorney, because of the problems associated with giving a third party power to enter into transactions that bind the company, the terms of which the service provider would not necessarily be aware. This could incur criminal liability under AML and CTF legislation. In addition, there are adverse tax consequences associated with giving the beneficial owner power of management and control, causing the company to become tax resident onshore.
 - (b) A general power of attorney confers upon the attorney-in-fact an unrestricted general power to represent the company and to enter into binding deals, contracts and transactions on its behalf. Whereas, a special power of attorney confers upon the attorney-in-fact a restrictive power, curtailed in terms of time and to specified transaction. For example, a special power of attorney may confer a power for a limited duration of up to three months which may be exercised only to bind the company into identified types of contracts or transaction or up to a maximum financial exposure.

10. The directors should not proceed. Alternatively, they should consider obtaining shareholder approval following full disclosure of the risks. The service provider may also wish to consider the advisability of continuing with the business relationship. It is also possible that the service provider may be under a duty to report the matter to the local money laundering authority if there exists a reasonable suspicion of criminal misconduct.

Module 12:

Answers to self-assessment questions

1. Whenever creditors of a company realise that the company is in financial difficulties and may be approaching insolvency they have several alternative options beyond simply suing for recovery:
 - (i) if a creditor has security, they can appoint a receiver (section 1.1)
 - (ii) they could induce the board to propose a compromise arrangement (section 1.2)
 - (iii) they could apply to the court to appoint an administrator in certain jurisdictions where this is available, such as BVI, Guernsey and Mauritius (section 1.3).
2. A fixed charge is a legal mortgage over specified assets, usually real estate, which essentially allows the company to retain possession and use of the secured property but precludes the company from dealing with such property while the mortgage subsists. A floating charge is an equitable charge on some or all of the company's present and future movable assets, which permits the company not only to retain possession and use of such assets, but also the right to sell or deal with the secured assets in the ordinary course of business. On the occurrence of an act of default (for the fixed charge) or crystallising event (for the floating charge), the secured creditor will typically appoint a receiver and manager over the secured assets.
3. The receiver will take control of the mortgaged assets (which will typically consist of all the company's real and personal property) and determine whether the business is viable. If it is, the receiver will run the business and apply any profit to pay down the debt due to the secured creditor. If the business is not viable, the receiver will sell the business as a going concern to a willing buyer, or simply sell the assets piecemeal for what they will fetch, applying the proceeds to pay down the debt due to the secured creditor. The surplus, if any, belongs to the company and is available to the ordinary unsecured creditors.
4. The usual grounds are that:
 - the company is insolvent and cannot pay its debts
 - the court believes it would be just and equitable to wind the company up.
5. The typical procedure is:
 - (a) a creditor applies to court, citing one of the statutory grounds, usually that the debtor company is insolvent
 - (b) an early hearing takes place where, unless the company can prove it is solvent, the court makes a winding-up order and appoints a liquidator
 - (c) the powers of the directors' cease, and the liquidator assumes control of the assets of the company

- (d) the liquidator collects debts due to the company, sells its assets and puts the proceeds into a single pot
 - (e) the liquidator asks creditors to prove their debts
 - (f) a statement of affairs is prepared, and the liquidator pays corporate debts according to a statutory order set out in section 4 of the study manual, with claims in the same category abating *pari passu* (being paid x cents per dollar owed)
 - (g) final accounts are drawn and submitted to the court with a request for the court to issue of a certificate of dissolution.
6. The usual reasons for a members' voluntary winding-up are that:
- the articles specify that the company shall be wound up upon the expiry of a certain time or on the happening of an event and the event occurs
 - the company is no longer needed and the shareholders want their capital to be returned to them.
- 7.
- a. Compromise arrangement with creditors in accordance with ss.14–45 of the BVI BCA (per section 1.2 of the course manual)
 - b. Administration in accordance with ss.76–114 of the BVI Insolvency Act 2003 as amended (per section 1.3)
 - c. Voluntary winding-up in accordance with ss.197–208 of the BVI BCA (per section 3.1)
8. The procedure is described in section 3.1. It involves:
- (a) the directors making a declaration that the company is solvent
 - (b) the shareholders passing a (special) resolution that the company be wound-up and appointing a liquidator
 - (c) the liquidator collects debts due to the company, sells its assets and puts the proceeds into a single pot
 - (d) the liquidator advertises for creditors and asks those creditors to prove their debts
 - (e) the liquidator calls a meeting of creditors, unless dispensed with, and pays creditors the amount due to them, and any surplus to the shareholders
 - (f) a final statement of account is drawn and submitted to the registrar with a request to dissolve the company.
- 9.
- a. If the creditor has security, they can enforce a fixed or a floating charge by appointing a receiver who will exercise a power of sale over the mortgaged asset (section 1.1).
 - b. If the creditor does not have security they have three options. Firstly, although a creditor cannot propose a compromise arrangement, they can induce the board to do so – unlikely in BVI because of the administration procedure described in (c) below (section 1.2).
 - c. Secondly, an unsecured creditor can apply to the court for an Administration Order and for the judge to appoint an administrator under Pt 3, ss.76–114 of the BVI Insolvency Act 2003 (per section 1.3).
 - d. Thirdly, an unsecured creditor can commence compulsory winding-up proceedings (section 2).

10. The usual grounds for a creditors' voluntary winding-up are that the company is insolvent and the members (and directors) wish to cease business and dissolve the company.
11. The typical procedure for a creditors' voluntary winding-up is described in section 3.2. The main difference to a members' voluntary winding-up is that the creditors select the liquidator at a preliminary meeting of the company's creditors.
12. A liquidator must comply with the duties described in section 2.4, namely:
 - to review the affairs of the company and, if necessary, bring a lawsuit against errant directors (in particular those engaged in fraudulent or wrongful trading) in order to 'swell' the assets available to pay the creditors
 - to collect debts due to the company and take assets of the company under their control and sell them and convert them to money
 - to pay creditors of the company according to the statutory order
 - to conclude the winding up by preparing accounts, convene final meetings, and make the necessary filings to formally dissolve the company.
13. The cause is generally failure to make filings, pay annual fees or respond to letters that have been sent by the Registrar of Companies, giving rise to a suspicion that a company is defunct and has ceased to carry on business. The process involves the registrar serving notice of their intention to strike off. If the default is not remedied, the registrar removes the company from the register of companies. Any assets held by the company when struck-off the register automatically vest in the government of the state of incorporation. See section 6.1.
14. A voluntary striking off is less formal, less time consuming and less expensive than a voluntary winding up, which involves the appointment of an independent professional liquidator who must follow statutory procedures. A voluntary striking off is effected by the directors of the company and is only permitted when a company is in a 'zero state', with no assets and no debts or outstanding liabilities.
15. The procedure is described in section 6.2:
 - (a) the board closes the company's business, liquidates its assets and pays all of its debts
 - (b) when satisfied the company has reached a 'zero-state' the directors apply to the registrar on a prescribed form supported by an affidavit asking for the company to be struck-off
 - (c) the registrar publishes details of the proposed strike-off in the Gazette
 - (d) if no objections are received within a prescribed period, the registrar with strike the company off the register and issues a certificate of voluntary striking off and the company is dissolved.
16. A company that has been compulsorily struck off the register can be reinstated to it upon an application being made by a former director, member or creditor of the company. The procedure may involve an application to the court, which is a judicial process, or an application to the registrar, which is an administrative process. The court or the registrar, depending upon the jurisdiction, will readily reinstate the company provided it pays all its outstanding governmental fees plus interest. See section 6.3.